THE INSTITUTE OF CHARTERED ACCOUNTANTS OF ZIMBABWE

A member of IFAC and ECSAF

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Zimbabwe Certificate in Theory of Accounting

Level 2

Zimbabwe Taxation 2022

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF ZIMBABWE
1918

ZIMBABWE CERTIFICATE IN THEORY OF ACCOUNTING

(ZCTA)

LEVEL 2

ICAZ CLASS OF 2022

APPLIED TAXATION

MODULE 1 - 2022

Key personnel and contact details

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Background to Taxation

Taxation is a subject grounded in law thus there is usually a clearer distinction between right and wrong answers and more consistency in the expected layout of solutions than in other subjects. Students who struggle with detailed computations in other subjects may be able to improve their overall marks through good performance in the taxation question(s), since the numbers themselves are usually not complex.

Although on the surface Taxation may seem like a large volume of rules to memorise, underlying the development of the legislation are principles, objectives and history. We would therefore encourage you to take the time to ask the "why" questions when engaging with the content, rather than focusing purely on the "what"/ "how" questions. This extra investment of time will make it easier to apply legislation in the exam, as well as help you to deal with any unfamiliar topics that may arise.

The primary goal of this programme is to focus on improving exam technique, while refreshing your technical knowledge. In order to maximise the effectiveness of the programme, you need to spend time comparing your solution to the model answer for each tutorial. It is not enough that you arrive at the same number as the solution; you need to follow the same approach, provide the same level of detail and have appropriate section referencing to score the available marks. Even if you came to the same answer, continue to ask yourself, "How could my exam technique have been better?"

Currency used in the book

This module is based on the Zimbabwe dollar which is the functional currency in Zimbabwe.

Assumptions and Abbreviations

Unless otherwise stated, the following assumptions must be made when interpreting the examples and practical questions in this volume:

- References to "the Act" bear reference to the Income Tax Act [Chapter 23:06]
- Businesses are registered operators for Value-Added Tax (VAT).
- Current year of assessment is a period from 1 January 2022 to 31 December 2022
- Figures and symbols are expressed in Zimbabwe dollars
- All figures and symbols previously in United States dollars are converted to Zimbabwe dollars on one-to-one basis through SI33 of 2019 when used from 22 February 2019
- The cost price of all purchases made by registered operators for VAT purposes is net after any input tax credit to which they are entitled to.
- All calculations are in Zimbabwe dollars unless or otherwise stated.

Abbreviations

Act	Income Tax Act [Chapter 23:06]
CAP	Chapter
CG	Commissioner General
CGT	Capital Gains Tax
CIR	Commissioner of Inland Revenue (South Africa)
CIR	Commissioner of Internal Revenue (for US)
COT	Commissioner of Taxes
CPD	Cape Provincial Division Law Reports
CSARS	Commissioner of South Africa Revenue Services
DTA	Double Taxation Agreement
GN	Government Notice
HCA	High Court of Australia
HH	High Court of Harare
HM	His Majesty
IMTT	Intermediated Money Transfer Tax
IPEC	Insurance and Pension Commission
ITA	Income Tax Act [Chapter 23:06]
ITC	Income Tax Case
KB	King Bench's Division
NRTF	Non-resident withholding tax on fees
PAYE	Pay As You Earn (Employment Tax)
Para	Paragraph
(Pvt) Ltd	(Private) Limited
QPD	Quarterly Payment Date (Provisional Tax)
RAA	Revenue Authority Act [Chapter 23:11]
S or sect	Section
SA	South Africa Law Reports
SATC	South African Tax Cases
SC	Supreme Court
SI	Statutory Instrument
TC	Tax Cases (United Kingdom)
TPD	Transvaal Provincial Division Law Reports
USD / US$	United States of America dollar
VAT	Value Added Tax
WT	Withholding Tax

ZIMRA	Zimbabwe Revenue Authority
ZWL$ / ZW$	Zimbabwe dollar
ZLR	Zimbabwe Law Report

TABLE OF RELEVANT STATUTES

Administration of Justice Act [Chapter 10:28]

Capital Gains Tax Act [Chapter 23:01]

Companies Act [Chapter 24:03]

Companies and Other Business Entities Act [Chapter 24:31]

Constitution of Zimbabwe (Amendment No. 20) Act, 2013

Estates Duty Act [Chapter 23:03]

Finance Act [Chapter 23:04]

Fiscal Appeal Court Act [Chapter 23:05]

Income Tax Act [Chapter 23:06]

Interpretation Act [Chapter 1:01]

Revenue Authority Act [Chapter 23:11]

Small to Medium Enterprises Act [Chapter 24:12]

Value Added Tax Act [Chapter 23:12]

SYLLABUS

CTA 2022 SYLLABUS

TAXATION EXAMINABLE PRONOUNCEMENTS

Core legislation under examination and level description

The syllabus is principally concerned with the taxes and duties levied in terms of the following five statutes:
The Income Tax Act [Chapter 23:06]
The Value Added Tax Act [Chapter 23:12]
The Capital Gains Tax Act [Chapter 23:01]
The Finance Act [Chapter 23:04]
The Estate Duty Act [Chapter 23:03]

All other taxes, duties and levies payable in terms of various statutes have been excluded from the syllabus, unless specifically mentioned in this document. References to the relevant Act have been inserted in the syllabus where appropriate.

Regulations, interpretation notes and binding general rulings are to be covered on the same level as the applicable provision in the Act.
Knowledge levels as defined in the Competency Framework are summarised as follows:

Level 1 (Basic)

At this level the candidate is required to acquire a knowledge and understanding of the core/ essence of the subject matter which includes that the subject matter exists, the significance and relevance thereof, and its defining attributes.

Consequently, the candidate is required to have a knowledge and understanding:
- Of the purpose and objective of the subject matter;
- Of the underlying principles/practices/legislation/requirements (hereafter "content"); and
- Of how the content relates to the discipline as a whole and to other disciplines (how it "fits in"); at a broad conceptual level.

At this level, knowledge and understanding of detail, including procedural or numerical aspects specific to the subject matter, are not required.

At this level the candidate should be equipped with the extent and depth of knowledge and understanding which enable the candidate to recognise issues when encountered and to seek further depth of knowledge and understanding.

Level 2 (Intermediate)

At this level the candidate is required to acquire a detailed knowledge and understanding of the central ideas and issues that comprise the substance of the subject matter.

Consequently, the candidate is required to have a knowledge and understanding:
- Of those aspects of the content that are central to the subject matter, so as to achieve a sound conceptual understanding,
- Of the detail, including procedural and numerical aspects specific to the subject matter, where appropriate.
- Knowledge and understanding of complexities and unusual/exceptional aspects are, however, not required.

At this level the candidate should be equipped with a sound knowledge and understanding of the substance of the subject matter to enable them to deal with issues and solve problems that are central to the topic. The candidate should have a sound conceptual knowledge which enables them to further explore and understand complexities, if necessary. This level includes the level of knowledge and understanding required for level 1 (Basic).

Level 3 (Advanced)

At this level the candidate is required to acquire a thorough knowledge and understanding of the subject matter. This level of knowledge and understanding extends beyond a sound understanding of central issues, to include complexities and unusual/exceptional aspects associated with the subject matter.

Consequently, the candidate is required to have a knowledge and understanding of:

- All content that is required to develop a thorough understanding of the subject matter,
- Complexities, and
- Sufficient depth to clearly locate content in the general field of accountancy and to identify implications and relationships.
- At this level the candidate should be equipped with a level of knowledge and understanding of the substance of the subject matter that enables them to perform tasks and solve problems with a high degree of rigour, exercising sound judgement.

This level includes the level of knowledge and understanding required for level 1 (Basic) and level 2 (Intermediate).

Income Tax Act

Sections	Topics	Knowledge Level
2A	When persons deemed to be associates	3
2B	When person deemed to control company	3
5	Preservation of secrecy	Excluded
6	Levy of income tax	3
7	Calculation of income tax	3
8 (1)	Gross income	3
8 (1) (a)	Annuity	3
8 (1) (b)	Amounts for services rendered	3
8 (1) (c) ARW 1st Sch.	Pension withdrawal	3
8 (1) (d)	Lease premium	3
8 (1) (e)	Lease improvements	3
8 (1) (f)	Fringe benefits	3
8 (1) (g)	Growing crops	3
8 (1) (h) ARW 2nd Sch.	Trading stock	3
8 (1) (i)	Mining recoupment	3
8 (1) (j)	Ordinary recoupment	3
8 (1) (k)	Concessions from creditors	3
8 (1) (l)	Lease recoupment	3
8 (1) (m)	Subsidies and grants	3
8 (1) (n)	Commutation of pension from a retirement annuity fund	3
8 (1) (p)	Gross income of a petroleum operator	3
8 (1) (r)	Commutation of pension from a pension fund	3
8 (1) (s)	Income from special mining lease	3
8 (1) (t)	Share option	3
8 (2)	Foreign exchange gain	3
8 (3)	Income received in advance	3

9	Income from sale of mining claims (excluded)	Excluded
10	Income deemed to have accrued (excluding s	3
11	Special provisions in connection with income derived from assets in deceased and insolvent estates	3
12	Circumstances in which amounts are deemed to have accrued from sources within Zimbabwe	3
13	Commissioner may approve of benefit funds & medical aid societies for the purposes of this Act	1
14	Exemptions	3
15	Deductions allowed in determination of taxable income	3
16	Cases in which no deduction shall be made	3
17	Special provisions relating to hire-purchase or other agreements providing for postponement of passing of ownership of property.	3
18	Special provisions relating to credit sales	3
19	Special provisions relating to persons carrying on business which extends beyond Zimbabwe	3
19A	Non-resident companies: basis of charge to and determination of company tax	3
19B	Meaning of "permanent establishment"	3
20	Special provisions relating to insurance business	Excluded
21	Special provisions relating to petroleum operations	Excluded
22	Special provisions relating to special mining lease operations	Excluded
23	Special provisions relating to determination of taxable income of persons buying & selling any property at a price in excess of or less than the fair market price & of non-resident persons exporting products of Zimbabwe without prior sale	3
24	Special provisions relating to determination of taxable income in accordance with double taxation agreements	3
25	Deduction of tax from dividends	3
26	Non-resident shareholders' tax	3
27	Repealed	Excluded
28	Resident shareholders' tax	3
29	Repealed	Excluded
30 ARW 17th Sch.	Non-residents' tax on fees	3
31 ARW 18th Sch.	Non-residents' tax on remittances	3
32 ARW 19th Sch.	Non-residents' tax on royalties	3
33	Additional profits tax in respect of special mining lease areas	Excluded
34	Residents' tax on interest	3
35	Exemption of petroleum operators & affiliates from certain taxes	Excluded
36	Exemption of holders of special mining leases from certain taxes	Excluded
36A	Tobacco levy	Excluded
36B	Automated financial transactions tax	Excluded
36C	Presumptive tax	Excluded
36D	Demutualisation Levy	Excluded
36E	Carbon tax	Excluded
36F	Repealed	Excluded

36G	Intermediated money transfer tax	1
36H	NOCZIM debt redemption and strategic reserve levy	Excluded
36J	Tax on non-executive directors' fees	3
36K	Petroleum importers levy	Excluded
36L	Bookmakers' tax	Excluded
37	Notice by Commissioner requiring returns for assessment under this Act and manner of furnishing returns & interim returns.	2
37A	Self-assessment	2
37B	Duty to keep records	2
38	Income of minor children	3
39	Duty to furnish further returns and information	1
40	Commissioner to have access to all public records	1
41	Returns as to shareholdings	1
42	Duties of companies to furnish returns & copy of memorandum & articles of association	1
43	Duty of person submitting accounts in support of return or preparing accounts for other persons	1
44	Production of documents & evidence on oath	Excluded
45	Estimated assessments	2
46	Additional tax in event of default or omission	2
47	Additional assessments	2
48	Reduced assessments and refunds	1
49	Amended assessments of loss	1
50	Adjustment of tax, etc. payable in pursuance of assessments made before date of commencement of charging Act relating to a period of assessment.	1
51	Assessments & recording thereof	1
52	Copies of assessments	1
53	Representative taxpayers	1
54	Liability of representative taxpayer	1
55	Right of representative taxpayer to indemnity	1
56	Personal liability of representative taxpayer	1
57	Company or society regarded as agent for absent shareholder or member	1
58	Power to appoint agent	1
59	Remedies of Commissioner against agent and trustee	1
60	Power to require information	1
61	Public officer of companies	1
62	Time and manner of lodging objections	1
63	Burden of proof as to exemptions, deductions or abatements	1
64	Special Court for Income Tax Appeals and proceedings on appeal	1
65	Appeals from decision of Commissioner to High Court or Special Court	1
66	Appeals from determination of High Court or Special Court to Supreme Court	1
67	Assessors	1
68	Decisions not subject to objection or appeal	1
69	Payment of tax pending decision on objection & appeal	1

70	Judge and assessors not disqualified from adjudicating or advising	1
71	Appointment of day and place for payment of tax	1
72	Payment of provisional tax & Schedule	2
73	Payment of employees' tax	2
74	Persons by whom the tax is payable	2
75	Temporary trade	1
76	No tax payable in certain circumstances	1
77	Recovery of tax	1
78	Form of proceedings	Excluded
79	Evidence as to assessments	Excluded
80	Withholding of amounts payable under contracts with State or statutory corporations	3
80A	Valid tax clearance certificate required before certain trades, services or entities licensed or registered	3
80A1	Payments to non-resident artistes or entertainers	3
80B	Interpretation in Part VIIIA	3
80C	Use of electronic data generally as evidence	3
80D	Establishment of computer systems for tax purposes	3
80DD	Virtual Tax Management System	3
80E	User agreements	3
80F	Registration of registered users and suspension or cancellation of registration	3
80FF	Commissioner may require register taxpayers to become registered users	3
80G	Digital signatures	3
80H	Production& retention of documents	3
80I	Sending and receipt of electronic communications	3
80J	Obligations, indemnities and presumptions with respect to digital signatures	3
80K	Alternatives to electronic communication in certain cases	3
80L	Unlawful uses of computer systems	3
81	Offences: general	2
82	Offences: wilful failure to comply with requirements of Commissioner or to keep proper accounts, & obstruction	2
83	Offences: increased penalty on subsequent conviction	Excluded
84	Offences: wilful failure to submit correct returns, information, etc	2
85	Offences: false statements, etc	2
86	Offences: wilful making of false statements, & keeping of false accounts, & fraud	2
87	Evidence	Excluded
88	Proofs of certain facts by affidavit or orally	Excluded
89	Forms and authentication & service of documents	Excluded
90	Regulations	Excluded
91	Relief from double taxation	3
91A	Collection of taxes due to another country under arrangements made pursuant to section 91 agreement	3
92	Reduction of tax payable as a result of double taxation agreements	3

93	Relief from double taxation in cases where no double taxation agreements have been made	3
94	[Repealed by Act 5 of 2009.]	Excluded
95	Credit where non-residents' tax on fees has been withheld	2
96	Credit where non-residents' tax on royalties has been withheld	2
97	Credit where presumptive tax has been withheld	2
97A	Credit where tax on commissions paid by insurers and estate agents to freelance agents has been withheld	2
97B	Calculation and fixing of interest payable under this Act	2
97C	Credit where tax on non-executive directors' fees has been withheld	2
98	Tax avoidance generally	3
98A	Income splitting	3
98B	Transactions between associates	3
98C	Reporting of unprofessional conduct	3
99	Transitional provisions relating to separate taxation of married women	Excluded

Value Added Tax Act

Section	Topics	Knowledge Level
1	Short Title and Date of Commencement	1
2	Interpretations (definitions)	3
3	Determination of Open Market Value	1
4	Act to be administered by the Commissioner	1
5	Delegation of functions by the Commissioner	1
6	Value Added Tax	3
7	Certain supplies of goods or services deemed to be made or not made	3
8	Time of supply	3
9	Value of supply of goods or services	3
10	Zero rating	3
11	Exempt supplies	3
12	Collection of tax on importation of goods, determination of value thereof, and exemptions from tax	3
13	Collection of tax on imported services, determination of value thereof, and exemptions from tax.	3
14	Accounting basis	3
15	Calculation of tax payable	3
16	Permissible deductions in respect of input tax	3
17	Adjustments	3
18		3

	Adjustments in consequence of acquisition of a going concern wholly or partly for purposes other than making taxable supplies	
19	Goods or services acquired before incorporation	3
20	Tax invoices	3
21	Credit and debit notes	3
22	Irrecoverable debts	3
23	Registrations of persons making supplies in the course of trade	3
24	Cancellation of registration	3
25	Registered operator to notify change of status	2
26	Liabilities not affected by person ceasing to be a registered operator	2
27	Tax Periods	3
28	Returns and payment of tax	3
29	Special returns	1
30	Other returns	1
31	Assessments	3
32	Objections to certain assessments and decisions	1
33	Appeals to Fiscal Appeals Court	1
34	Appeals against decisions of Fiscal Appeals Court	1
35	Members of Fiscal Appeals Court not disqualified from adjudicating	Excluded
36	Payment of tax pending appeal	1
37	Burden of proof	1
38	Manner in which tax shall be paid	1
39	Penalty and interest for failure to pay tax when due	3
40	Recovery of tax	Excluded
41	Liabilities for tax for certain past supplies or importations	Excluded
42	Evidence as to assessments	Excluded
43	Security for tax	Excluded
44	Refunds	1
45	Interest on delayed refunds	Excluded
45A	Refunds of tax to exempted persons	Excluded
46	Calculation of interest payable under this Act	1
47	Persons acting in a representative capacity.	1
48	Power to appoint agent.	1
49	Liability of representative registered operators.	1
50	Remedies of Commissioner against agent or trustee.	1
51	Repealed	Excluded

52	Separate persons carrying on same trade under certain circumstances deemed to be single person.	Excluded
53	Bodies of persons, corporate or unincorporated, other than companies.	Excluded
54	Pooling arrangements.	Excluded
55	Death or insolvency of registered operator.	1
56	Agents and auctioneers.	2
57	Records.	1
58	General provisions with regard to information, documents or items.	1
59	Furnishing of information, documents or items by any person.	1
60	Obtaining of information, documents or items at certain premises.	1
61	Powers of entry, search, etc.	Excluded
62	Offences.	2
63	Offences and penalties in regard to tax evasion.	2
64	Offences: increased penalty on subsequent conviction.	Excluded
65	Imposition of fine by Commissioner.	Excluded
66	Additional tax in case of evasion	2
67	Recovery of tax from recipient.	Excluded
68	Reporting of unprofessional conduct.	2
68A – 68K	EXCLUDED	
69	Prices deemed to include tax.	3
70	Prices advertised or quoted to include tax.	3
71	Rounding-off tables.	Excluded
72	Contract price or consideration may be varied according to rate of tax.	Excluded
73	Application of increased or reduced tax rate	Excluded
74	Tax relief allowable to certain diplomats and diplomatic and consular missions.	Excluded
75	Forms and authentication and service of documents.	Excluded
76	Arrangements and directions to overcome difficulties, anomalies or incongruities	Excluded
77	Schemes for obtaining undue tax benefits	Excluded
78	Regulations.	1
79	Tax agreements.	Excluded
80	President may suspend tax payable under agreement.	Excluded
81	Notice of variation of rate of tax.	Excluded
82	Transitional matters	Excluded
83	Act binding on State, and effect of certain exemptions from taxes.	Excluded
84	Repeal of Cap. 23:08 and savings.	Excluded

Capital Gains Tax Act

Sections	Topics	Knowledge Level
1	Short Title	
2	Interpretations (definitions)	3
3	Delegation of functions by Commissioner.	1
6	Charging of Capital Gains Tax.	3
7	Calculation of Capital Gains Tax.	3
8	Interpretation of terms relating to Capital Gains Tax.	3
9	When capital amount deemed to have accrued.	3
10	Exemptions from Capital Gains Tax.	3
11	Deductions allowed in determination of capital gain.	3
12	Circumstances in which no deductions may be made.	3
13	Damage to or destruction of specified asset	3
14	Determination of fair market price of specified assets.	3
15	Transfers of specified assets between companies under the same control.	3
16	Transfers of specified assets between spouses.	3
17	Transfer of business property by individual to company under his control.	3
18	Provisions for sales of immovable property under suspensive conditions.	3
19	Provisions relating to credit sales where ownership passes.	3
20	Provisions for the reductions in costs of specified assets.	3
21	Provision for sales of principal private residences.	3
22	Substitution of business property.	3
22A	Interpretation in Part IIIA.	1
22B	Capital gains withholding tax.	3
22C	Depositaries to withhold tax.	1
22D	Agents to withhold tax not withheld by depositaries.	1
22E	Payee to pay tax not withheld by depositary or agent.	1
22F	Exemptions.	3
22FA	Registration of depositaries.	1
22G	Depositaries to furnish returns.	1
22H	Penalty for non-payment of tax.	1
22I	Refund of overpayments	1
22J	Credit where tax has been withheld	3
22K	Application of Part IIIA to sales concluded before1.1.1999	Excluded
22L	Suspension of provisions of Part II A to marketable securities.	1
23	Application of provisions of Taxes Act relating to returns and assessments.	1
24	Application of provisions of Taxes Act relating to representative taxpayer.	Excluded
25	Objections and appeals	1
26	Day and place for payment of tax.	1
27	Application of provisions of Taxes Act relating to offences, evidence, forms and regulations.	Excluded

28	Application of provisions of Taxes Act relating to relief from double taxation.	1
29	Application of provisions of Taxes Act relating to tax avoidance.	3
30	Transitional provision re capital gains and losses of married women	Excluded
30A	Capital gains tax not withheld in terms of Part IIIA to be paid before transfer of specified asset.	Excluded
31	Returns by Registrar of Deeds, financial institutions and other persons.	Excluded
37A	Interpretation in Chapter VIII	3
38	Rates of Capital Gains Tax	3
39	Rates of Capital Gains Withholding Tax	3
39A	Payment of Capital Gains Tax in foreign currency in certain circumstances	1

Tax rates and prescribed values

Individual Tax Tables

Employment Income in ZW$ – 01 January 2022 to 31 December 2022

				Rate
From	0	To 300,000	multiply by	0%
From	300,001	To 720,000	multiply by	20%
From	720,001	To 1440,000	multiply by	25%
From	1,440,001	To 2,880,000	multiply by	30%
From	2,880,001	To 6,000,000	multiply by	35%
From	6,000,001	And Above	multiply by	40%
Aids Levy is 3% of the Individuals' Tax payable after credits				

Employment Income in USD – 01 January 2022 to 31 December 2022

ANNUAL TABLE (US$)						
				Rate		
From	0	To 840	multiply by	0%	Deduct	-
From	841	To 3,600	multiply by	20%	Deduct	168
From	3,601	To 12,000	multiply by	25%	Deduct	348
From	12,001	To 24,000	multiply by	30%	Deduct	948
From	24,001	To 36,000	multiply by	35%	Deduct	2,148
From	36,001	And Above	multiply by	40%	Deduct	3,948
Aids Levy is 3% of Individuals' Tax payable after credits						

NB: Foreign employees holding temporary employment permits issued by the Department of Immigration to work in the licensed Special Economic Zones, pay Income Tax at 15% of their taxable income.

Motoring benefits – Annual rates

Engine capacity	ZW$	USD	
	W.E.F 1 January 2022	W.E.F 1 January 2022	W.E.F 1 January 2021
Up to 1500	81,000	625	675
1501-2000	108,000	830	900
2001-3000	162,000	1,250	1,350
3001 and above	216,000	1,660	9,800

Fringe benefits

Benefit	Taxable	Comment
Accommodation	Cost to employee	Open market rental is deemed cost to employee
Airtime allowance	Cost to employer	If business usage is justified there is no benefit to the employee.
Insurance polices	Cost to employer	Premiums paid by employers on group insurance are non-taxable.

Canteen meals and subsidized lunches	Cost to employer	Cost includes both variable and non-variable (fixed) costs.
Phone Handset	Cost to employer	The benefit is implied whether acquisition is by an outright purchase or leasing.
Clothing benefit	Cost to employer	Uniforms or protective clothing as a condition of duty in terms of CBA is a non-taxable benefit to the employee.
DSTV	Cost to employer	Non-business entertainment is taxable.
Entertainment	Cost to employer	Business entertainment non-taxable
Fuel coupons	Cost to employer	Business mileage should be recovered using AA rates. Excess allowance is regarded as benefit to employee.
Fuel for use in private car for company purposes	Cost to employer	Business mileage should be recovered using AA rates. Excess allowance is regarded as benefit to employee.
Fuel for use in private car for personal purposes	Cost to employer	Allowance is regarded as benefit to the employee.
Gardener	Cost to employer	Taxable in the hands of the employee.
Interest free loan	LIBOR + 5%	
(15% in local currency)	LIBOR is obtainable from Zimra website depending on the tenure of the loan.	
Small loans ZW$8000 (US$100 foreign currency) or below are tax free		
Salary advances recovered on the next pay day are not deemed loan.		
Loans for education or for medical purposes are tax free.		
Medical contributions	Cost to employer	Amounts paid to an approved medical aid society on behalf of an employee are an exempt benefit to the employee.
Medical expenses	Cost to employer	medical expenses paid by employer are exempt
Motor vehicle acquired from employer	Open market value	Exempt for persons who are 55 years or above.
Passage benefit	Cost to employer	
	First passage benefits for taking up or termination of employment (one a piece) is non-taxable.	

Employee exemptions

Item	**ZW$**	**$ US**
Bonus	100,000	700
Retrenchment packages	400 ,000 or 1/3 of 2,000 000 (i.e. 1 666,000) whichever is greater	3,200 or 1/3 of 15,100 (i.e.5,033.33)
Pension commutation when employment ceases due to retrenchment	1,300 ,000 or 1/3 of 4,875 000 (i.e. 1 625,000) whichever is greater	3,200 or 1/3 of 15,100 (i.e.5,033.33)
Pension accrual or receipts of elderly persons (person over 55 years)	Amount received or accrued	Amount received or accrued

Sale of motor vehicle by employer to employee who is or over age of 55 years	Benefit or discount received	Benefit or discount received
Medical contributions and expenses incurred by employer on behalf of employee, his/her spouse or child.	Amount paid or incurred by the employer	Amount incurred by the employer
Death benefit paid bya trade union; or from a benefit fund; or in terms of a policy of insurance covering accident, sickness or death; or By a medical aid society.	Amount paid	Amount paid
Scholarship or bursary	Amount paid or value given	Amount paid or value given
Civil servants benefits e.g., representation allowance, sale or donation of motor, entertainment allowance etc	Amount paid	Amount
School benefit for teachers and non-teaching staff at school	50% of school benefit up to 3 children	50% of school benefit up to 3 children
Free use of residence or quarter or allowance including transport for members of staff of a mission hospital or rural clinic	Amount paid or value given	Amount paid or value given

Tax credits in Zimbabwe Dollar- annual rates

Item	**2021**	**2021**	**2022**	
	ZW$	**USD**	**ZW$**	**USD**
Credit to taxpayers over 55 years of age	7,2000 p.a	720 p.a	117,000 p.a	900 p.a
Blind person's credit	72,000 p.a	720 p.a	117,000 p.a	900 p.a
Mentally or physically disabled person credit	72,000 p.a	720 p.	117,000 p.a	900 p.a
Medical expenses	$1 in every $2 incurred	$1 in every $2 incurred	$1 in every $2 incurred	$1 in every $2 incurred

Elderly person's concession in Zimbabwe dollar

Item	**Annual**	**Monthly**
Rental Income	195,000	16,250
Interest on deposits with financial institutions	390,000	32,500
Interest on discounted instruments	390.000	32,500
Pension for a person who is 55 years or above	No limit	No limit
Gain on disposal of Principal Private Residence	No limit	No limit
Gain on disposal of marketable securities	234,000	N/A
Gain on acquisition of motor vehicle from employer	No limit	No limit

Trade and investment income tax rates

Taxpayer	Rate
Self-employed, sole trader or partners	24.72%*
Companies and trusts	24.72%*
Special Mining lease	15%

Licensed investor in Special Economic Zone (SEZ) First five years of the arrangement Second five years of the arrangement	 0% 15%
An approved BOOT or BOT arrangement: First five years of the arrangement Second five years of the arrangement Thereafter	 0% 15% 24%
Industrial park developer First five years of the arrangement Second five years of the arrangement	 0% 24%
Taxable income of operator of a tourist facility in approved tourist development zone (before the fifth year of his or her operation as such)	0%
An operator of a tourist facility in approved tourist development zone First five years of the arrangement Second five years of the arrangement	 0% 24%
Export manufacturing company which exports: Export level (%) 30-40 of its output Export level (%) 41-50 of its output Export level (%) above 51	 20% 17.5% 15%

**3% AIDS levy is applicable on income tax chargeable after-tax credits. Normal rate is 24%*

Capital allowances

Type of Capital Allowance	Rate
Special Initial Allowance:	
Large Corporates	25% per annum
Licensed Investor	50% in first year & 25% in subsequent years
SMEs	50% in first year & 25% in subsequent years
Accelerated Wear & Tear	25%
Wear and Tear on:	
Industrial buildings	5%
Farm Buildings	5%
Commercial Buildings	2.5%
Motor Vehicles	20%
Moveable Assets	10% (General Rate)

Withholding tax rates

Withholding Tax	Due date	Rate of tax
Non-Residents Shareholders 'Tax	Within 30days of the date of distribution	5% Victoria Falls Stock Exchange (VFSE) 10% Zimbabwe Stock Exchange (ZSE) listed 15% unlisted shares
Resident Shareholders' Tax	Within10daysof the date of distribution	10% ZSE listed 15% unlisted shares
Non -resident tax on interest	Repealed	Exempt
Non-Residents' Tax on Fees	Within 10 days of the date of payment	15%
Non-Residents' tax on remittances	Within 10 days of date of payment	15%
Non-resident tax on royalties	Within 10days of date of payment	15%
Resident tax on interest	By the 10th of the following month	• 15% general rate • 5% deposit of at least 90 days • Exempt deposit of at least 12 months
Tobacco levy	Within15daysof the date of distribution	1.5%

Automated Financial Transactions Tax	By the 10th day of the month following the month transaction was effected	0.50c
Demutualization Levy	Within three months after issuing to the member	2.5%
Intermediated Money transfer tax (IMTT)	By the 10th day of the month following the month in which it was effected.	2% of value of transaction
Withholding tax on local contract	By the 10th day of the month following month of payment	30%
Non-Executive Directors 'Fees	Within 10 days of the date of payment	20%
Property or insurance commission tax	By the 10th day of the month following month of payment	20%
Non-resident artists	By the 10th day of the month following month of payment	15%

Treaty rates of taxes

Country	Dividends[1]	Fees	Royalties	Remittances[3]
	%	%	%	%
Botswana	5[1]/10[2]	10	10	15
Bulgaria	10	10	10	15
Canada	10	10	10	15
China	2.5[1]/7.5[2]	7.5	7.5	15
France	10	10	10	15
Germany	10	7,5	7,5	15
Malaysia	10	10	10	15
Mauritius	10	0/15 [4]	15	15
Netherlands	10	10	10	15
Norway	15	10	10	15
Poland	10	15	10	15
South Africa	5/10	5	10	15
Sweden	15	10	10	15
United Kingdom	5	10	10	15

Notes

[1] Only on shareholding or voting power, by a company, of at least 25%; otherwise, the rates remain [1].
[2] The rate in scenario where voting power is below 25%.
[3] Not applicable on DTAs hence Non-residents' tax on remittances remains at 15% in all cases
[4] Both rates are specified. Exemption appears to depend on there being liability in Mauritius.

Value Added Tax prescribed values

Item	Amount (ZW$)
Compulsory VAT registration threshold	7,800,000
Voluntary VAT Registration	CG to fix minimum value
Qualification under VAT category C	31,200,000
Qualification under VAT category D	15,600,000
Minimum capital goods value for VAT adjustment	7,800
Minimum lay bye value	3,250
Value of supply not requiring tax invoice	1,300
Minimum VAT to be Refund	7,800
Civil penalty per day for late submission of returns	300
Civil penalty per day for late VAT registration	300
Civil penalty per day for late notification of change in status	300
Minimum value qualifying for VAT deferment	48,000
Penalty for delayed VAT arising from sale in execution of debt	Amount of tax due
VAT standard rate	14.5%
VAT Zero rate	0%
VAT on imported services	14.5%
Exempt rate	Nil

Income Tax prescribed values

Item	**2022 ZWL$**	**2022 USD**	**2021 (ZWL$**	**2020 (ZWL$)**	**2019 (ZWL$)**	**2018 (USD)**
Contributions by Employers to benefit funds for each member (employee)	130,000	1,000	80,000	15,000	12,000	1,500
Pension contribution **by member (employee)**	390,000	3,000	240,000	54,000	43,200	5,400
Pension contribution **by** employers per member	390,000	3,000	240,000	54,000	43,200	5,400
Arrear Pension contribution by individuals	130,000	1,000	80,000	18,000	14,400	1,800
Contributions by Member **(employee)** of retirement annuity funds	390,000	3,000	240,000	54,000	43,200	54,000
Contributions by Member **(employee)** of retirement annuity funds **when there is more than one fund**	312,000	2,400	192,000	27,000	21,600	2,700
Allowance to former employee retiring on grounds of ill health etc (exgraitia payment)	65,000	5,00	40,000	5,000	4,000	500
Allowance to former partner retiring etc on grounds of ill health (exgraitia payment)	26,000	200	16,000	2,000	1,600	200
Allowance to dependent (s) of former employee or partner	26,000	200	16,000	2,000	1,600	200
Donations to State, local authority, or religious organisation hospitals	13,000,000	100,000	8,000,000	1,000 000	800,000	100 000
Donation to a research institution	13,000,000	100,000	8,000,000	1,000 000	800,000	100 000
Donation of educational equipment, construction, or maintenance, books and other educational materials.	13,000,000	100,000	8,000,000	1,000 000	800,000	100 000
Donation to the Public Private Partnership Fund	6,500,000	50,000	4,000,000	500,000	400,000	50,000
Donation to the Destitute Homeless Persons Rehabilitation Fund	6,500,000	50,000	4,000,000	500,000	400,000	50,000
Trade Conventions or Trade Missions (each)	235,000	2,500	200,000	25,000	20,000	2,500
Expenditure incurred on infrastructural development or maintenance of property owned by local authority	6,500,000	50,000	4,000,000	500,000	400,000	50,000
Maximum lease expenses for PMV	1,300,000	10,000	800,000	100,000	80,000	10,000
Withholding tax on contracts (ITF263) threshold	130,000	1,000	80,000	10,000	8.000	1,000
Exemption of annuity on retirement lump sum payment cap	234,000	1,800	140,000	18,000	14.400	1,800
Exemption from income tax of Lump sum payments from funds with changed rules	234,000	1,800	140,000	18,000	14,400	1,800
Minimum exemption of pension commutation from the Consolidated Revenue Fund where employment ceases due to retrenchment	1,300,000	10,000	800,000	50,000	10,000	10,000

Limitation of PMV for capital allowances	1,300,000	10,000	800,000	100,000	80,000	10,000
Value of small loan free of tax	13,000	100	8,000 (US$100)	1,000	100	100
Deduction in respect of income of a Cooperative society.	65,000	500	40,000	5,000	4,000	500
Maximum lease expenses for PMV	1,300,000	10,000	800,000	100,000	80,000	10,000
Fixed standard value in relation to a class of stud livestock	19,500	150	12,000	1,500	1,200	150
Purchase price value in relation to stud livestock	19,500	150	12,000	1,500	1,200	150
Exemption of rental income in respect of tax payer aged 55years or more	195,000	1500	120,000	30,000	3,000	3,000
Exemption of a deposit with a financial institution to persons of 55 years and above	390,000	3,000	240,000	30,000	24,000	3,000
Exemption on banker's acceptances and other discounted instruments traded by financial institutions and accruing to a taxpayer who is of or over the age of 55 year.	390,000	3,000	240,000	30,000	24,000	3,000
Staff housing qualifying cost for capital allowances	3,250,000	25,000	2,000,000	250,000	25,000	25,000
Cost of farm dwelling for capital allowances	1,950,000	15,000	1,200,000	150,000	15,000	15,000
Any building used by farmer as hospital, nursing home or clinic	1,300,000	10,000	800,000	100,000	80,000	10,000
Any building used by farmer as a school	1,300,000	10,000	800,000	100,000	80,000	10,000
Any building used mainly as a dwelling by one or more individuals who control the mining company	1,300,000	10,000	800,000	100,000	80,000	10,000
Cost of PMV for miner	1,300,000	10,000	800,000	100,000	80,000	10,000
Any building used as hospital, nursing home or clinic at mine	6,500,000	50,000	4,000,000	500,000	400,000	50,000
Any building used as a school at mine	6,500,000	50,000	4,000,000	500,000	400,000	50,000
Renewal or replacement of buildings, works or equipment (mining)	1,300,000	10,000	800,000	100,000	80,000	10,000
Renewal or replacement of buildings used as dwelling (mining)	195,000	1,500	120,000	15,000	12,000	1,500
Informal Traders are individuals with a minimum income of	780 000	6 000	480,000	60,000	48,000	6,000

Capital tax values

Item	**2022**	**2022 USD**	**2021 (ZWL$**	**2020 (ZWL$)**	**2019 (ZWL$)**	**2018 (USD)**
Assessed capital loss to be reduced by an amount of	13,000	100	8,000	1,000	800	100

Exemption of amounts accruing to persons over 55 years on sale of marketable security	234,000	1,800	144,000	18,000	14,400	1,800
Limitation of deduction on computation of capital gains tax	6,500	50	4,000	500	400	50

Capital gains tax rates

Date of acquisition of specified asset	Applicable rate
Acquired before 1st of February 2009 and sold thereafter	5% of capital amount (proceeds less exemptions)
Acquired after 1 February 2009 and sold before 22nd February 2009	20% of capital gain (proceeds less exemptions less deductions)
Acquired after 1 February 2009 and sold after 22nd of February 2019	5% of capital amount (proceeds less exemptions)
Acquired after 22nd of February 2019 and sold thereafter	20% of capital gain (proceeds less exemptions less deductions)
Listed marketable securities acquired after 1 Feb 2009	Increased from 1% to 1.5% for shares held for a minimum period of 6 months.

Capital gains withholding tax

Date of acquisition of specified asset	Applicable rate
Immovable property	15% of proceeds (not final tax)
Unlisted marketable securities	5% of proceeds (not final tax)
Listed marketable securities acquired after 1 February 2009	1% of gross proceeds

Inflation adjustment rate 2·5%

Course outline

Block one

Topic	Date	Time (CAT)
Concepts of gross income & theory	TBA	TBA
Concepts of deductions	TBA	TBA
	TBA	TBA
Basic concepts of employment tax & Revision		
Capital Allowances	TBA	TBA
Partnership		
Mock Exam	TBA	TBA

Block Two

Topic	Date	Time (CAT)
Mining	TBA	TBA
Farming	TBA	TBA
Capitals gains		
	TBA	TBA
Taxation of Estates and Trusts	TBA	TBA
Mock Exam	TBA	TBA

Block Three

Topic	Date	Time (CAT)
	TBA	TBA
Capital gains tax		
Withholding Taxes	TBA	TBA
Transfer Pricing	TBA	TBA
Mock Exam	**TBA**	**TBA**

Block Four

Topic	Date	Time (CAT)
Value Added Tax	TBA	TBA
Mock Exam	**TBA**	**TBA**

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PART A

TAX ADMINISTRATION

1. The Zimbabwean Tax System

1.1 Introduction

This study unit introduces the overall structure of the Zimbabwean taxation system, discussing the functions and roles of the Zimbabwe Revenue Authority (ZIMRA).

Income tax is levied in terms of the Income Tax Act [Chapter 23:06]. In terms of section 7 of the Act, the rates of tax are fixed for each year of assessment, ending on 31 December, by the "charging Act", namely the Finance Act [Chapter 23:04] as amended by annual Finance Acts. The Income Tax Act is interpreted and administered by the Commissioner of Taxes (Commissioner General of ZIMRA) whose office is in Harare. All employees in the Zimbabwe Revenue Authority are subject to strict secrecy with regard to information obtained in the course of their duties. Policy matters relating to changes in the legislation rest with the Minister of Finance and Economic Development. The Act deals with both technical and administrative matters and encompasses, despite its title, various withholding and other taxes, some of which are also dealt with in this book.

Objectives:	1. To discuss the purpose, basis and nature of taxation in Zimbabwe; 2. To identify the different types of taxes in Zimbabwe 3. To discuss the role of the Zimbabwe Revenue Authority 4. To distinguish tax avoidance from tax evasion.
Act: (if applicable)	Sect 4 of RAA
Relevant case law	N/A

1.2 The overall Function and Purpose of Taxation

1.2.1 Purpose and effect of Taxation

Purpose	Description
Revenue Collection	Taxes generate revenue for funding public expenditures e.g., health care, education, infrastructure development etc.
Wealth Redistribution	Taxes can be used as a mechanism for wealth redistribution among society members to support economically disadvantaged members of society e.g., the sick.
Re-pricing	Taxes can be used in re-pricing as a way of addressing externalities e.g., duty on cheap imports, taxing informal sector.
Representation	Citizenry demands accountability and better governance once you are taxed.
Discourage Consumption of Certain Goods	Some goods like tobacco pose health problems to consumers, as such the government seeks to reduce the consumption of such goods by imposing some taxes on such goods. Excise duties are examples of such taxes.
Regulate Economy	Government may use taxation as an instrument to drive economic objectives of a country. Fiscal policy, for instance, is employed to control money supply. Taxation is used under fiscal policy to withdraw money from the economy. An example is the 2% Intermediated Money Transfer Tax (IMTT) which was used to tap into the informal market.

Control international trade	A healthy balance of payments is achieved when a country exports more than it imports. Therefore, a country may seek to reduce imports by imposing taxes on imports (custom duties/tariffs/surtax) thereby maintaining a favourable balance of payments
Prevent dumping of goods	"Dumping" refers to the exportation of cheaper sub-standard goods into the country by other (mostly developed) countries. Thereby significantly reducing the demand for local goods. Dumping is a big challenge to the economy as it destroys local industries as their output become uncompetitive. Government may seek to protect local industries by introducing taxes so as to make the foreign goods expensive compared to local goods.

1.3 Overall Structure of the Tax System in Zimbabwe

Tax	Type	Act
1. Corporate Income Tax	Chargeable on trade and investment income	Income Tax Act
2. Pay As You Earn (PAYE)	Chargeable on employment income	Income Tax Act
3. Value Added Tax (VAT)	Chargeable on consumption of goods and services	Value Added Tax Act
4. Estate Duty	Chargeable on the deceased person's property	Estate Duty Act
5. Capital Gains Tax	Chargeable on gains from sale of immovable property, marketable securities and certain intangible properties	Capital Gains Tax Act
6. Customs Duty	Chargeable on imported goods.	Custom & Excise Act
7. Withholding Tax	Chargeable on passive investment income	Income Tax Act
8. Presumptive Taxes	Chargeable on income of informal traders as identified in the 26th Schedule of the Act	Income Tax Act
9. Excise Duty	Charged on specified locally manufactured good.	Custom & Excise Act
10. Surtax	Charged on sale of immovable properties and marketable securities. Levied on listed imported goods and light passenger motor vehicles older than five years.	Customs and Excise Duty Act

1.4 Legal Basis and Nature of Taxation

In Zimbabwe taxes are levied and collected by the Zimbabwe Revenue Authority (ZIMRA) in terms of Section 4 of the Zimbabwe Revenue Authority Act [Chapter 23:11] on behalf of the Central Government. The Income Tax Act [Chapter 23:06] is the principal legal instrument in terms of which income tax is levied in Zimbabwe. In the case of *Nyambirai V NSSA and Another* 1995 (2) ZLR1, the court outlined the essential elements of a tax as follows:

- It is a compulsory and not an optional obligation;
- It is imposed by the legislature (Parliament) or other competent public authority;
- It is imposed upon the public as a whole or a substantial sector of the public;
- The revenue collected through taxation is to be used for the benefit of the public in general and to provide a service in the public interest.

A country can adopt either a residence-based or a source based (territorial) tax approach. The source of income is a very important concept in Zimbabwean taxation as it uses a source-based tax system. This entails that taxes are levied only on income, capital, property etc that emanates from a source within or deemed to be within the boundaries of its borders.

A residence-based tax approach is one that seeks to levy tax on income, capital, property etc. of its residents regardless of the source of the income. An example of such a country is South Africa.

1.5 Types of Taxes

Taxation is classified into two broad categories namely direct and indirect taxes. Direct taxes are taxes levied on income and wealth of individuals and organisations. The burden of these taxes is borne by the person or organization responsible for paying taxes i.e.

- Corporate Tax – tax on business income (profits).
- Pay As You Earn – tax on income earned by individuals from employment.
- Investment Income – tax on dividends and interest.
- Capital Gains Tax – tax on sale of immovable property and shares.
- Estate Duty Tax – tax on the property of a deceased person etc.

Indirect taxes are taxes levied on goods or services. The taxes are incurred upon the consumption of those goods or services. Indirect taxes are also known as consumption taxes e.g., Value Added Tax, Customs Duty, Excise Duty, Liquor Tax, IMTT, Carbon tax and so on. The burden of paying the tax falls upon the consumer of the good or service as opposed to the person or organisation that ultimately remits the tax to the Revenue Authorities. The tax is usually implicit in the price of the good or service. Key difference between direct and indirect taxes are that indirect taxes tend to be regressive in nature, that is, they have a relatively greater impact on the poor while direct taxes are progressive in nature. The more you earn the more tax you pay.

1.6 The Canons (Principles) of Taxation

These are essentially pillars of a good tax system. The principles were originally set out by Adam Smith in his book: *An Inquiry into the Nature and Causes of the Wealth of Nations*, Book 5, 1776 (see also the Commission of Inquiry Report Zimbabwe (1986) supra and similar findings in South Africa (Report of the Commission of Inquiry into the Tax Structure of the Republic of South Africa, 1986 – Margo Report). Through the writings of Adam Smith, it is now accepted that the following are the principles governing a good tax system:

Neutrality	• Neutrality requires that taxpayers should not be influenced by the tax system to choose one course of action rather than another solely or mainly because their tax position is better under one of the options. • A neutral tax system thus minimises as far as possible the impact of the tax structure on unintended economic behaviour including business organisation, work effort or savings.
Equity	• Equity is based on the assumption that all taxpayers should contribute towards the support of government in direct proportion to their respective abilities that is in proportion to the revenue they enjoy from the State. • Applied in taxation globally through concepts such as 'progressive taxation' and 'regressive taxation'. o Progressive taxation - tax structure which recognises the respective incomes and ability to pay for different taxpayers o Regressive taxation – the converse of progressive taxation i.e., lower income earners pay higher taxes.

Certainty and Simplicity	• Requires that any tax which a taxpayer is required to pay should be sufficiently clear and not arbitrary, and the time, amount and manner of payment should always be clear to a taxpayer. In terms of the Margo report: • Taxes should be certain and simple in concept and in collection. o Certainty requires that a taxpayer be reasonably certain of what his tax liability will be in any given set of circumstances. o Simplicity requires that tax should be easily assessed, collected and administered in order to minimise the costs of the tax to both the taxpayer and the *fiscus*.
Economic Efficiency	• Requires that taxes should not negatively affect the efficiency with which resources are being utilised in the economy • Every tax needs to be set up in a way that both takes up and keeps out of people's pockets as little as possible over and above what is brought into the public treasury of the State. • An improperly organised tax system could cause economic distortions, obstruct industry and discourage people from trading in certain industries. • An injudicious tax system may offer a great temptation to evasion or smuggling.

1.7 Administration of taxes

1.7.1 The Zimbabwe Revenue Authority (ZIMRA)

The management of a tax system lies with the Zimbabwe Revenue Authority ("ZIMRA") whose core business is the assessment, collection and accounting for revenue on behalf of the State. The authority derives its mandate from obligations imposed on it by the Revenue Authority Act and other government statutes. In broad terms the work of ZIMRA includes assessing, collecting and managing taxes and duties, administering the Customs regime for the control of imports and exports and collection of duties, co-operating with other state agencies in the fight against drugs, smuggling, and international trade crime and enforcing import, export and exchange control measures and advising the Ministry of Finance and Economic Development on fiscal and economic issues. It has its head office in Harare with a number of regional offices throughout the country. Taxpayers must pay their dues at the Regional Office under which the business is located or registered.

1.7.2 The Ministry of Finance and Economic Development.

The Ministry of Finance and Economic Development is the overseer of the Zimbabwe Revenue Authority, the Reserve bank of Zimbabwe and other relevant government ministries. Its role is to formulate fiscal and monetary policies through the National Budget, Mid & Annual Term Fiscal Policy Review etc as well mobilising funds for the government through the ZIMRA and other government bodies or negotiating and conclusion of grant and loan agreements with private, bilateral and multilateral financial partners.

1.8 Tax avoidance and tax evasion

Tax planning involves the organizing of a tax payer's affairs in a way that legally minimizes the impact of taxation imposed by statutes. The most important issues to take into account when tax planning are tax avoidance and tax evasion.

- Tax avoidance refers to the arrangement of one's affairs in a legal manner which results in minimization of tax liabilities as outlined in sect 98 of the Act. The court in *F* v *Commissioner of Taxes* 1976 (1) RLR 106 (A) at 113D) said tax avoidance is evil. Unlike tax planning which makes use of existing provisions within the law, tax avoidance is about manipulating the law in order to obtain a tax advantage.

Tax evasion refers to the minimization (or not paying) of tax liability by means which are outside the law e.g. falsification of records, misrepresentation etc. Tax evasion falls within the overall definition of "tax fraud".

Exam tip

When answering a taxation question, you should take advantage of all the available tax reliefs and incentives to minimise the tax payer's tax liabilities. (Tax planning).
Tax planning is not a separate topic but shall be examined in almost any topic. Mostly it is examined by giving the student an option to structure transactions given the known tax impact or picking the least tax alternative in a transaction where there is more than one tax treatment. Common examples of the above are (a) Choosing between alternatives to fund a business i.e., debt or equity (b) choosing the type of capital allowances that minimises tax e.g., between wear and tear or SIA.

1.9 Introduction

Taxpayers have rights and obligations in terms of the tax law. These obligations are enforced by way of administrative powers entrusted on the Commissioner. This chapter looks at these matters in detail, particularly focusing on income tax and capital gains tax administrative matters. Those relating to VAT are dealt with in the VAT Chapter.

Objectives:	• To identify the tax remittance calendar in Zimbabwe for different types of taxes and the respective returns. • To discuss the various types of assessments • To identify the Commissioner's powers • To discuss objection and appeals procedures
Act: (if applicable)	Sect 37- 77 ITA
Relevant case law	• *Trek Petroleum (Private) Limited v ZIMRA* No. SC 56/17 • *Central African Road Services (Pvt) Ltd (CARS) v* ZIMRA 17-HH-110 • *Time Security v Commissioner of Taxes (ZIMRA)and 4 Others* HH284-18 • *CRS (PVT) LTD v ZIMRA* HH-728-17, FA 20/2014

2.1.1 Computation of income tax

Section 7 of the Act provides that income tax chargeable against a person is calculated in accordance with the charging Act by reference to the person's taxable income in the year of assessment and the appropriate rates of income tax fixed by the charging Act relating to that year. Tax credits are also deducted from the income tax chargeable in that year of assessment. Only natural persons are entitled to tax credits. Lately however small companies are now entitled to claim Youth Employment Tax Credits. The tax payable in respect of a self-assessment return shall be calculated in the same manner in respect of each year of assessment during which a taxpayer carried on a trade and is required to submit a self-assessment return in terms of 37A of the ITA.

2.1.2 Tax Payment Dates

2022 Tax Payment Calendar

Tax Head	Due Date
Employees' Tax (PAYE)	By the 10th of the following month.
Business Income: Quarterly Payment dates (QPDs) 1st QPD (10%) 2nd QPD (25%) 3rd QPD (30%) 4th QPD (35%)	 25th March 2022 25th June 2022 25th September 2022 20th December 2022
Withholding Taxes: Non-Resident Shareholders' Tax Resident Shareholders Tax Non-Resident Tax on Fees Non-Resident Tax on Remittances	 Within 30 days of the date of distribution. Within 10 days of the date of distribution. Within 10 days of the date of payment. Within 10 days of the date of remittance.
Resident Tax on Interest	Payable by the 10th day of the month following the month of deduction.
Non-Resident Tax on Royalties	Within 10 days of the date of payment.

<table>
<tr><td>Automated Financial Transactions Tax</td><td>By the 10th day of the month following the month in which the transaction was affected.</td></tr>
<tr><td>Presumptive Tax:</td><td>1st Quarter (January to March)
2nd Quarter (April to June)
3rd Quarter (July to September)
4th Quarter (October to Dec)</td></tr>
<tr><td>Demutualization Levy</td><td>Within three months after issuing the Zimbabwean member concerned the free shares.</td></tr>
<tr><td>Tobacco Levy</td><td>48 hours after the date of the auction of tobacco concerned or after relinquishing possession of auction tobacco concerned.</td></tr>
<tr><td>Intermediate Money Transfer Tax (IMTT)</td><td>By the 10th day of the month following the month in which the transaction was effected.</td></tr>
<tr><td>Withholding Amounts under contracts with suppliers</td><td>On or before the 10th day of the following month after payment.</td></tr>
<tr><td>Non- Executive Directors' Fees</td><td>Within 10 days of date of payment of the fees.</td></tr>
<tr><td>Property of Insurance Commission Tax</td><td>By the 10th day of the month following month of</td></tr>
<tr><td>Mineral Royalties</td><td>No later than the 10th day of the month following the month in which the proceeds are received.</td></tr>
<tr><td>Capital Gains Withholding Taxes</td><td>No Later than the 3rd working day from the date when the payment was made.</td></tr>
<tr><td>VAT</td><td>By the 25th day of the following month after the end of the tax period.</td></tr>
<tr><td>Deferred VAT</td><td>From a minimum of 90 days up to a maximum of 180 days from date of deferment depending on the Value of the goods.</td></tr>
<tr><td>VAT on imported services</td><td>Payable by the 25th of the month that follows date of invoice or payment of non –resident, whichever is earlier</td></tr>
<tr><td>Stamp duty</td><td>By the 10th of the following month.</td></tr>
<tr><td>Betting Tax</td><td>By the 25th of the next month.</td></tr>
<tr><td>Income from E-commerce services</td><td><table><tr><th>Income period</th><th>Date QPD is paid</th></tr><tr><td>December – February</td><td>25th of March</td></tr><tr><td>March – May</td><td>25th of June</td></tr><tr><td>June – August</td><td>25th of September</td></tr><tr><td>September- November</td><td>20th of December</td></tr></table></td></tr>
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2.1.3 Returns and Assessments

In terms of sect 37 of the Act, the Commissioner must give public notice of the persons who must furnish returns to him for assessment each year and such persons shall be prescribed in such notice. Once a public notice has been made for the filing of returns, these should be filed within thirty (30) days after the date of the notice unless the Commissioner has exercised his discretion and for good cause specifically granted a further time.

Those on self-assessment in terms of s37A of the ITA do not required notification, their returns are submitted by the 30th of April following 31 December year end.
Persons may file returns in their individual or in their representative capacities, such as Public Officer of a company, Trustee of a trust, Executor of a deceased estate and Administrator of an insolvent estate. The public notice must also state the places at which the prescribed forms (returns) may be obtained and it becomes the responsibility of the persons required by the Commissioner to furnish the returns to apply for and obtain such prescribed forms of returns.
There are consequences including penalties for submitting returns late. One can submit estimated returns where information is scarce.

2.1.4 Other returns

Section 38 of the Act prescribes how the returns for minor children are submitted by the parent and for which income the parent does this for.
A person must furnish further returns and information when called upon to do so (s39). Many employers are, for example, required to lodge an annual return of general information, which includes items such as salary paid to each employee, interest, fees, rents and commissions payable.
Every company must file a copy of its memorandum and articles of association within 30 days of its incorporation and furnish copies of subsequent alterations (s42).
If the nature of a return is such that a balance sheet and profit and loss account are required to support it, these must be lodged, authenticated by the signature of the person making the return. Such accounts must be accompanied by a statement, by the person who prepared them, as to the extent of his examination of the books. A prescribed form is issued for this purpose (s43).
The Commissioner is granted various other powers of action, which are usually used only where it is suspected that a taxpayer's return, or failure to submit a return, is fraudulent, but which may be employed in relation to any taxpayer.

2.1.5 Assessments and Penalties

Section 2 of the Act defines "assessment" as: 'the determination of taxable income and of the credits (in terms of the Finance Act) to which a person is entitled or the determination of an assessed loss ranking for deduction.' The meaning of the term was expanded in the ITC 1535 (1992) 54 SATC 356 to encompass additional assessments done by the Commissioner on amounts that should have been charged tax but were not due to wrong application of a Double Taxation Agreement. In a recent case of *DNS (PVT) LTD vs. Zimbabwe Revenue Authority* HH 722-19 (FA22/16) it was stated that self-assessment constitutes the Commissioner's assessment.

Other assessments that may be done are provisional assessment S37 (14) (the term "provisional assessment" is not used in the Act) and estimated assessments S45.
The schedules normally issued out by ZIMRA prior to issuance of proper assessments do not constitute an assessment. As held in *Barclays Bank of Zimbabwe Ltd v ZIMRA* 2004 (2) ZLR 151 (H) at 154A-155C an assessment and notice of assessment have far reaching consequences because they invoke certain legal rights, duties and responsibilities on the tax payer and the tax man. It is difficult to proceed to an objection stage without a notice of assessment which is also predicated on an assessment. *(Further reading- Matrix Tax School Case Book- MA Ltd vs ZIMRA 16-HH-316).* Once an assessment is issued the Commissioner is entitled to collect tax as per assessment and this can only be mitigated by having a valid payment plan or a request for suspension of private pending objection or appeal. An assessment and a notice of assessment should strictly comply with the provision of both sections2 and 51 of the Income Tax Act.

2.1.6 Estimated assessments (section 45)

The Commissioner has the power to raise an estimated assessment when he has a reason to believe that the collection of tax that will become due is in jeopardy because a taxpayer has failed to render a return, is about to leave the country before submitting a return, the taxpayer is unable from any cause to submit an accurate return of his income or in other similar circumstances. An estimated assessment can also be raised where there are no proper books of accounts or record.

The Commissioner may agree with the taxpayer on an estimate of his taxable income or assessed loss and once agreed, the assessment shall not be subject to any objection or appeal. The Commissioner may only vary the assessment where the taxpayer withholds information which if it would have been known at the time of the estimate, would have resulted in an increase in his taxable income or reduced assessed loss. An estimated assessment does not relieve a taxpayer of a penalty or an interest for failure to submit a return. He/she may also be required to pay an additional tax on misrepresented agreed upon assessment.

2.1.7 Additional assessment (section 47)

An additional assessment may be raised where:

- income which was meant to be taxed was never charged to tax,
- in the determination of assessed loss income was excluded from tax,
- an expense was erroneously deducted, or
- Any sum granted by way of credit should not have been granted.

The Commissioner will include such income or disallow such deduction and call upon a taxpayer to pay the right tax. However, no additional assessment or tax shall be raised or charged if;

- The assessment was made in accordance with the practice prevailing or existing at the time of assessment.
- Six years have passed from the end of the relevant year of assessment, unless the Commissioner considers it necessary because of fraud, misrepresentation or wilful non-disclosure of facts by a taxpayer.

An additional assessment cannot override the decision of the Commissioner in an appeal case, i.e., of reducing or altering an assessment following a taxpayer's objection. Additional tax may be payable on an additional assessment. The Commissioner has a right to make an estimate when raising an additional assessment. In the recent case of *Bath vs the Zimra HH 552/20* and many others it was revealed that misrepresentation is not qualified, whether intentionally or unintentionally, it can expose a taxpayer to the ZIMRA overriding the six prescription period. Accordingly, errors committed when filing tax returns even if the accounts have been audited by independent auditors pose a big risk of ZIMRA setting aside the six-year prescription period.

2.1.8 Reduced assessment and refunds (Section 48)

Where it is proved, to the satisfaction of the Commissioner ("CG"), that a taxpayer has paid tax in excess of what is required by law, the CG shall issue an amended assessment to reduce the tax chargeable and, if necessary, to refund the overpaid tax. However, no amended assessment shall be raised if the assessment was made in accordance with the law existing at the time of assessment and six years have passed since the date of the notice of assessment in question. An amended assessment shall not be subject to appeal or objection.

The CG is required to pay interest on overpaid taxes if they are not refunded to the taxpayer within 60 days of a taxpayer claiming the refund or the date of completion of the assessment, whichever is the late date. However, the CG is not liable to pay refund where the overpayment was due to an incomplete or defective return or some other error of a taxpayer.

2.1.9 Amended assessment of loss (Section 49)

If it is proved to the satisfaction of the CG that a tax payer's assessed loss for any year of assessment is less than the amount which should be assessed loss for that year, the CG shall issue an amended assessment to increase the assessed loss. However, no amended assessment shall be raised if the assessment was made in accordance with the law existing at the time of assessment or six years have passed since the date of the notice of assessment in question. An amended assessment shall not be subject to an appeal or an objection.

2.1.10 Penalties (Section 46)

The Commissioner is empowered to impose a penalty (technically "additional tax") in any instance where a person either fails to submit a return or submits an incorrect return. The maximum penalty is 100% of the tax applicable to the default or, more precisely:

- if the taxpayer defaults in submission of a return, he is liable for 100% of the tax applicable to his entire taxable income.
- if the taxpayer, though he submits a return, omits an amount which ought to have been included, or makes an incorrect statement, or fails to disclose facts which should have been disclosed, or claims a deduction which is not permissible, or wrongly claims a personal credit he is liable for 100% of the tax which he would have escaped through his omission, etc. (refer to section 46 for more details).

The Commissioner is empowered to remit the whole or part of such penalties. Practice has shown this to be less prevalent as persons favour negotiation rather than appeals. An established principle with remittances has been that a remittance is granted in the case where no intent to evade has been shown ITC 1669 (1999) 61 SATC 479. In contrast, remittance is not granted where a taxpayer cannot prove that he/ she did not have an intent to evade tax, (ITC 1334 (1981) 43 SATC 98). The case of *PL Mines (Pvt) Ltd* v *Zimbabwe Revenue Authority* 2015 (1) ZLR 708 (H) at 730B-D sets out the principles governing the imposition of a penalty and that the appeal court is not bound by the Commissioner's considerations.

2.1.11 Representative Taxpayers (s53 to 61)

The term is defined in the Act to identify those persons upon whom liability and duties are imposed where the taxpayer is unable to deal personally with tax matters, such as companies, trusts and any individual who is absent from Zimbabwe. In the case of companies, the representative is the "public officer". In the case of an insolvent estate or a trust, it is the trustee, and in the case of a deceased estate itis the executor (each of the latter, along with company liquidators, insolvency administrators, etc., being covered by the wide-ranging definition of "trustee" in section2 (1)). All responsibilities and duties under the Act are still legally binding on the taxpayer despite the existence of a representative.

A non-resident broadcaster or e-commerce operator is required, within 30 days of becoming liable to pay the tax or of the promulgation of the Finance (No. 3) Act of 2019 whichever applies to appoint a person domiciled in Zimbabwe, to act as its representative taxpayer. The appointment should be notified to the Commissioner in writing.In the event of no appointment being made, the Commissioner can appoint any person to be the representative of the non-resident broadcaster or e-commerce operator. Section 53 of the Income Tax Act has also been amended with effective from 1 January 2020 to add to the list of existing representative taxpayer, person in Zimbabwe appointed by that company or entity or by the Commissioner as aforesaid. Importantly, foreign broadcasting and e-commerce operators are liable to 5% income tax on their fees derived from users in Zimbabwe. Such operators must derive revenue in excess of US$500,000 in Zimbabwe to be so liable. The representative is only liable to the extent that he possesses and controls the funds of the taxpayer and has the right to recover from the taxpayer any taxes paid on his behalf.

Section 56 holds a representative personally liable for unpaid taxes where that representative disposes of funds or money from which tax could have been paid. According to the decision in *Esselmann v Secretary of Finance* (1991) 53 SATC 285, liability for payment of tax arises only, as might be expected, at the point when a proper assessment has been raised and properly served. It seems clear, however, that the existence of annual payment dates similarly creates such liability.
Every Company incorporated in Zimbabwe should appoint a Public Officer to represents them. Section 61 gives the requirements of the Public officer and the time limits within which a company must appoint one. The appointment of Public Officer is approved by the Commissioner who usually only approves directors or senior management involved in the day to day running of the business. Of essence to state that a public officer must have the signing powers on company bank accounts. Penalties are prescribed for companies and their officials for not complying with the section and for individuals not carrying out properly the duties of a public officer.

2.1.12 Powers of the Commissioner

Access to all public records (Section 40) L: The Commissioner or his officer have the right to access all public records and inspect registers, books accounts, record, return, etc.
Powers of Search and seizure (section 34F RAA): Section 34F of the RAA grants the Commissioner and his officers' powers to obtain information on the administration of the various tax Acts. To this regard, the Commissioner at his discretion may request any person to produce for examination by him or his officer, at such time and place and as may be appointed by him, any deeds, plans, instruments, books, records, accounts, trade lists, stock lists or any other document he deems necessary.
Right to access to information, search and entry (section 44): The Commissioner may require a taxpayer or another person to, within a reasonable period, submit relevant material (whether orally or in writing). Right to access to information extend to information held by representative taxpayers, agents (banks) and trustees in possession of property and in respect of any moneys, funds or other assets which may be held by him for, or due by him to, any other person. He is empowered to access all public records. The secrecy provisions of any other law cannot be invoked to prevent disclosure to ZIMRA.

Appointment of tax collection agent (section 58): The Commissioner may, if he thinks it necessary, declare any person to be the agent of any other person. The declared agent may be required to pay any tax due from any moneys in any current account, deposit account, fixed deposit account or savings account or from any other moneys, including pensions, salary, wages or any other remuneration, which may be held by him for, or due by him to, the person whose agent he has been declared to be.
Recovery of tax (section 77 ITA & 33C RAA): The Commissioner can recover taxes when they become due or payable by action in the magistrates' court having jurisdiction in respect of the person by whom tax has become payable, irrespective of any enactment relating to magistrate's courts. The collection measure is, however, subject to the 6-year prescription rule. The tax so due or payable will be deemed to be a debt due to the State and shall be payable to the Commissioner in the manner and at the place prescribed. Directors of companies who cause companies to go into liquidation will be held accountable for the company debts. If they form another company carrying the same business that company is made liable to the old company tax liabilities *(Trek Petroleum (Private) v ZIMRA Judgment No. SC 56/17)*

2.1.13 Objections and appeals

Section 62 lists instances when a taxpayer is eligible to lodge an objection on:

- An assessment.
- Decisions made by the Commissioner in the 11th Schedule. Section 68 then precludes a taxpayer from objecting to decisions not listed in the 11th schedule.
- Where the question of relief from double taxation arises, i.e., either:
  - In the case of Zimbabwean income liable in Zimbabwe to both withholding tax and income tax in the hands of a non-resident; or

- In the case of foreign income liable to both Zimbabwean and foreign taxes in the hands of a Zimbabwean resident.

2.1.13.1 Objections

An objection should be lodged in writing and with full grounds within 30 days failure of which section 65 (4) will restrict subsequent appeals to the grounds in the initial letter only. Regarding obtaining a response, the taxpayer is at a disadvantage given that the Act does not prescribe any timeframe within which the Commissioner should respond to the objection. Instead, the Act deems any objection that has not got a response within 90 days of date filing objection to be disallowed and thus encourages the Commissioner to procrastinate. It is advisable for the taxpayer to engage in the appeal process to preserve their rights once a significant amount of time has elapsed.

The burden of proof entails the onus is on a taxpayer in any objection to assessment against any decision of the High Court or its review or a decision of a tax tribunal, to prove that his or her assessment was excessive or erroneous. The taxpayer should justify such through records hence record keeping is essential to discharge this obligation. Records should be kept in English language for a period of six years. The following case law illustrates the significance of this burden.

The case of *Reliance Land and Investment Co Ltd v CIR* (1946) 14 SATC 47, dealt with the issue of burden of proof. It was held that when a particular accrual has been determined by the Commissioner to be an accrual of income, the court must treat it as such until the taxpayer establishes, on a balance of probabilities, that it is an accrual of a capital nature. A similar standard had been laid down earlier in *CIR v Goodricke* (1942) 12 SATC 279.In ITC 1423 (1987) 49 SATC 85 the Commissioner had estimated the taxable incomes of a company and its directors as he considered its books and records to be unsatisfactory. The appeal failed as the taxpayers were unable to produce evidence to rebut the Commissioner's estimates. The court quoted with approval from an earlier judgment to the effect that the Commissioner's estimates potentially stand even if it is shown that an element of the assessment is a guess or is very probably wrong: "... It is prima facie right and remains right until (the taxpayer) shows it is wrong. The taxpayer must, as a rule, show not only negatively that the assessment is wrong, but also, positively, what correction should be made to make it right or more nearly right." And further: "Proof is not achieved by a taxpayer submitting that his guess is as good as the assessor's; more is required." In the case of an accrual or receipt such burden is imposed on the taxpayer, Appeals process (S64 to S70 and Sch. 12)

Every taxpayer has the right to appeal against any decision or part thereof made by the Commissioner within 21 days of the date of receiving the Commissioner's objection. The appeal can be heard either in the Special Court or High Court whichever the taxpayer prefers. The cost of taking the case to the Special Court, however, is lower because of the relaxed rules of representation. Both the taxpayer and the Commissioner have the right to further appeal to the Supreme Court.

Notably, an objection or an appeal does not extinguish the liability to pay the tax. Taxpayers must first make payment to ZIMRA on assessment and then pursue their various remedies against ZIMRA. Disputing a tax claim by a taxpayer does not automatically suspend obligation to pay but application can be made to Commissioner for suspension (*Metcash Trading Limited v Commissioner for SARS and Another* (2000) 62 SATC 84). The taxpayer can however apply to the Commissioner to waive payment until the outcome of the objection or appeal. This is known as the principle of pay now argue later. Commissioner has the power to defer payment and where deferment is granted the eventual tax due will include interest from the original date.

2.1.13.2 Appeals

In terms of sect 65 of the Act, appeals must be made within 21 days of the Commissioner's objection decision. Essentials of an appeal are as follows:

Every notice of appeal should:

- Be in writing

- State whether the appellant wishes to appeal to the High Court or to the Special Court
- Be lodged with the Commissioner within 21 days of objection decision or within 90 days of filling an objection whichever is earlier

Failure to comply with the above stated rules renders the appeal null and void. The objection will not be considered further unless the court to which the appellant intends to appeal to many, on good cause shown or the agreement of the parties, grant condonation. *(MA Ltd vs Zimra 16-HH-316).*

Rules and procedures of hearing appeals to special court are similar to those in the High Court unless otherwise provided. Important are the rules regarding counting of days, in the High Court which also guides the procedures for special court, non- business days are excluded whereas for a Supreme Constitutional court both business and non-business days are counted *(see Kombayi vs Berkout 1988(1) ZLR 53(S) at 56B as reported in MA Ltd vs Zimra 16-HH-316).*

2.1.13.3 Offences (S81 to S86)

The circumstances in which an offence will have been committed under the Act include;

- Failing or neglecting to submit a return;
- Refusing or neglecting to give information,
- Refusing or neglecting to attend an interview,
- Refusing to answer a question,
- Refusing to produce documents,
- Failing to reflect any portion of gross income or to disclose any material fact, either in one's own return or a return prepared on behalf of another person;
- Failing to keep proper books and accounts. These must be in English and retained for six years from the date of the last entry therein; retention of a photographic reproduction is, however, acceptable. (A person in receipt only of salary, wages or other personal remuneration is not required to keep books);
- Providing incorrect information or submitting incorrect returns or certificates;
- Failing to file the memorandum and articles of association of a company;
- Failing to give security, if required;
- Making false entries in the books of account.

Care should be taken by any person representing a taxpayer when it comes to the above offences because it is the representative that will be held accountable and fined and or imprisoned.

2.1.14 Legal Precedent

The Income Tax Act has its roots in the original Southern Rhodesian Ordinance of 1918, which was based largely on the South African and United Kingdom Acts in force at that time. Although the statutes have, of course, undergone substantial change, certain basic principles remain common. There are similarities also between the Zimbabwe and Australian Acts.

Rulings of foreign courts are not binding on the Zimbabwe Courts. However, the common roots of the Acts encourage domestic courts to accord considerable persuasive value to judgments from those countries. South African courts tend to give the same weighting to Zimbabwean judgements and it has led to law reports being published covering tax cases for both countries. This results in the majority of cases used in this module being cases from these publications containing judgements from South Africa, Zimbabwe and other Southern African countries.

This module does not seek to list every relevant case but merely to quote for the student sufficient cases to illustrate a principle or clarify an interpretation. It is important that students realise the importance of precedents. Legislation alone can never cover the wide variety of circumstances which arise and, where a topic is so covered, there will always be terminology requiring interpretation. Further, despite the increase in sophistication in the financial and commercial fields, Zimbabwe's tax legislation has remained relatively undeveloped in that it continues to rely largely on general principles, particularly in

areas such as the capital or revenue nature of receipts and expenditure. It is largely for this reason that resorting to case law becomes necessary on so many occasions. The Commissioner has published what are called "departmental practices" which are his application of the legislation or recapitulation of it that are a helpful guide to the taxpayer. To note though recent departmental practices are not available as general information and the published ones do not carry the force of law as they can be challenged in the courts of law. In a recent case of *LFCZ Ltd* v *Zimbabwe Revenue Authority* HH 164/2019 at pp 13-15 it was stated the Handbook was a written statement issued by the Commissioner which had the effect of a non-binding private opinion. Post 1 January 2010, taxpayers cannot therefore rely on the departmental practice or Handbook. If they need Commissioner's interpretation, they should apply for an advanced ruling in terms of s34D of the Revenue Authority Act.

Chapter round up

- Economic, social and environmental factors may affect the government's tax policies.
- Taxes can be classified into direct taxes and indirect taxes.
- Direct taxes are levied on income, while indirect taxes are levied on consumption
- Tax avoidance is the legal minimization of tax liabilities, tax evasion is illegal.
- Tax avoidance is the legal usage of the tax regime to one's own advantage in order to reduce the amount of tax that is payable by means that are within the law
- Tax evasion, on the other hand, is the general term for efforts by individuals, corporations, trusts and other entities to evade taxes by illegal means.
- The Commissioner has the power of entry into a taxpayer's premises, power to request information and to access records and books of a taxpayer.
- An objection must be made in writing, state the grounds of objection and be lodged with Commissioner within 30 days of the date of notice of assessment, decision or determination of the Commissioner.

PART B

INTRODUCTION TO INCOME TAX

3. Gross Income Concepts

3.1 Introduction

For the computation of taxable income to be performed, it has to meet the definition of gross income in terms of the Income Tax Act [Chapter 23:06]. The key requirement for income to be taxed in Zimbabwe is that it has to be from a source or deemed source within Zimbabwe. This is in line with the "source-based" taxation system that is currently obtaining in Zimbabwe as per the legislation in force. This study unit will discuss in detail the definition of gross income, the general deduction formula as well as the applicable case law which are used to interpret these definitions.

Objectives:	1. Define gross income and identify its key elements 2. Identify applicable case law that is used to interpret elements of gross income 3. Determine the residence of a tax payer as defined in the Income Tax Act 4. Apply the definition of gross income to different receipts accruing to tax payers and determine whether these are taxable in terms of the Income Tax Act.
Act: (if applicable)	Sect 8 (1) of ITA Sect 10 of ITA Sect 12 of ITA
Relevant case law	Geldenhuys v C.I.R., 14 S.A.T.A. 419 Lategan v C.I.R., 2 S.A.T.C. 16

3.2 Gross Income – Section 8 (1)

Gross income is defined as:

The total amount received by, or accrued to, or in favour of, a person or deemed to have been received or accrued in any year of assessment, from a source within or deemed to be within Zimbabwe, excluding amounts proved by the taxpayer to be capital in nature.

3.3 Components of Gross Income

Component	Explanation
Amount	Section 2 of the Act defines “amount” as money or any other property corporeal or incorporeal having an ascertainable money value. This means items settled in the form of barter transactions meet the above definition.
Received by	The words “received by” mean “received by the taxpayer on his own behalf for his own benefit” (Geldenhuys v C.I.R., 14 S.A.T.A. 419). A person cannot therefore, be taxed on amounts received by him for the benefit of another person, e.g., rent received by an estate agent on behalf of a client landlord is not gross income in the hands of the estate agent. It is important to note that a deposit received by a person who sells commodities in returnable containers constitutes gross income unless the deposit is received only in trust and cannot be mixed with the taxpayer’s own funds, or there is an

Receipts in Advance	obligation on the customer to return the container and the deposit is merely security to ensure performance of the obligation. A receipt in advance is the receipt of payment before the delivery of the goods or services to the payer. From the payer's point of view, it is an advance payment. According to the Income Tax Act, any amount received as a prepayment, shall not be gross income if the goods or services will be supplied in a subsequent year of assessment. It may be included in gross income proportionately if necessary when the goods or services have been supplied.
Accrued	Income accrues when a taxpayer becomes entitled to it or when it is due and payable to the taxpayer. The meaning of the word "accrued" is not settled law. In Lategan v C.I.R., 2 S.A.T.C. 16, the judge concluded that income accrues to a person when one becomes "entitled to" the income. Section 10 (7) of the Act affirms the decision in the Lategan case. The courts however, both in Zimbabwe and in South Africa, appear to be moving towards the views expressed in Delfos' case and in Hersov's Estate v. C.I.R., 21 S.A.T.C. 106, that "accrued" means, due and payable.
Deemed received or deemed accrued – sec 10	The Commissioner will invoke receipt or accrual under the circumstances outlined in section 10, although the income might not have been physically received. An amount will be deemed to have accrued to a person if it has been invested on behalf of the person. Section 10 (2) provides that partnership business income accrues on the accounting date. This provision reinforces the decision established in the case Sacks v CIR. Sections 10 (3) to 10 (6) provide for the taxation of income that accrue from donated assets. Section 10 (3) deems income accruing to a minor child as a result of a donation, settlement or other disposition, to be income accruing to the parent. Section 10 (4) counteracts tax avoidance schemes. If a minor child becomes entitled to income in pursuance of a donation, etc. made by a third party, i.e. a person other than his parent and the parent or near relative of the minor child has made a donation to the third party or his near relative, the child's income will be taxable in the hands of the parent. (Please note the section applies to income accruing from donated assets).\

3.4 From a source in Zimbabwe

Income is not taxable in Zimbabwe unless it is from a Zimbabwean source or has been deemed to be from a Zimbabwean source (section 12). Source is one of the words used extensively in tax matters but is not defined in the Act. Although there is no definition of "source" in the statutes, many legal precedents have dealt with the word extensively.

Specific circumstances under which income is deemed to be from a Zimbabwean source are outlined in section 12 of the Act. The most common examples are interest and dividends from outside Zimbabwe which are deemed to be from a Zimbabwean source in terms of section 12 (2).

Watermayer CJ in CIR v Lever Bros and Unilever Ltd 1946 AD 441: - "…. source of receipts, received as income, is not the quarter whence they come, but the originating cause of their being received as income …. the *quid pro quo* which he gives in return for which he receives them …"

The following are some important legal precedents: -

1. Directors' fees - ITC 235 (1932) 6 SATC 262: - "It is quite clear that the director's fees are derived from the fact that the appellant is a director of the company, and therefore must be assumed to have earned the fees at the headquarters of the company. It is there only that he can make his voice heard as a director."

2. Interest - "…. Provision of credit is the originating cause hence the place where exercised is the source …." This was the majority decision in CIR v Lever Bros and Unilever Ltd 1946, 14 SATC1.
3. International Trade - Transvaal Association Hide & Skin Merchants v COT Botswana Court of Appeal (May 1962 SATC 97). Company bought hides from a Botswana Abattoir via Botswana subsidiary, treated them with salt and bound them into bales in Botswana. The company headquarters in Johannesburg marketed the hides.

3.5 Deemed source within Zimbabwe

The definition of gross income modifies the fundamental principle of:

Component	Explanation
Overview	Section 12 sets out the circumstances in which certain types of income are subject to tax in this country although the real source may be elsewhere or where the determination of the actual source presents considerable practical difficulties.
Sale of goods	Section 12 (1) (a) – Sale of goods by a person conducting business operations - The proceeds of any contract made in Zimbabwe for the sale of goods are deemed to be from a source within Zimbabwe.
Services rendered in pursuance of trade	Section 12 (1) (b) – Income from services rendered - Receipts for any services rendered in the carrying on in Zimbabwe of any trade irrespective of where or by whom payment is made, are deemed to be from a source in Zimbabwe.
Services rendered in pursuance of trade	Section 12 (1) (c) – Income from services rendered by an employee (includes a company director), who is ordinarily resident in Zimbabwe, during a period of temporary absence from Zimbabwe shall be deemed to be from a source within Zimbabwe. ―Temporary absence means an absence for a period not exceeding in the aggregate 183 days in any year of assessment.
Services rendered for the State	Section 12 (1) (d) – Income from services rendered to the Zimbabwe Government either within or outside Zimbabwe shall be deemed to be from a Zimbabwean source. However, an amount received by or accrued to or in favour of a person by virtue of service rendered outside Zimbabwe shall not be deemed to be from a source within Zimbabwe if the person was not ordinarily resident outside Zimbabwe solely for the purpose of rendering such service.
Pension	Section 12 (1) (e) – Pensions or annuities arising from services rendered which are granted by any person wherever resident, the government of the former Federation or the Zimbabwe government shall be deemed to be from a source within Zimbabwe. However, provisos eliminate all.

Dividend and interest from a source outside Zimbabwe	Dividend or interest derived from foreign held securities are deemed by section 12 (2) of the Act to be from a source within Zimbabwe where they are received by or accrue to or in favour of a person who at the time of accrual or receipt is ordinarily resident in Zimbabwe. It does not matter whether the person has invested, accumulated or otherwise capitalized the amount or that the income has not been actually paid over to him but remains due and payable to him or has been credited to an account or re-invested or accumulated or capitalized or otherwise dealt with in his name or on his behalf. A taxpayer who receives or becomes entitled to a foreign dividend is precluded by section 16 (1) (n) of the ITA from claiming any expenditure incurred in earning such dividend income. Therefore, where dividend is received net of tax suffered at source, it should be grossed up so that Zimbabwean tax is computed on the gross dividend. The rate of tax to be applied on foreign sourced dividend is 20%, whereas income on other forms of securities as defined above is subject to income tax at the effective rate of 24.72%. A relief for double taxation in respect of tax suffered in the foreign country is then granted in terms of section 93 where there is a double taxation agreement between Zimbabwe and the country of source.
Annuity	Sect 12 (3) -Income received by way of annuity from a foreign source is deemed to be from a source within Zimbabwe if the annuitant was ordinarily resident in Zimbabwe at the time of acquiring the right to the annuity; whether by purchase or by the disposal of an asset. The provision ensures that contracts for the purchase of annuities concluded outside Zimbabwe or annuities payable by funds situated in Zimbabwe remains taxable if the money used originated from a Zimbabwean resident. The phrase "at the time the right to the annuity was acquired" should be interpreted to mean the time at which the proposal for the annuity was accepted.
Royalty	Sec 12 (4) - A royalty is deemed to be from a Zimbabwean source if or to the extent that such income is received or accrues as a result of the use or the privilege of use or right of use of any intellectual property within Zimbabwe. Royalties from the use of a patent, design, trademark, copyright, model, plan, secret process or formula, motion picture film or television film in Zimbabwe or the imparting of "know-how" for the use of any of the afore-mentioned items in this country are by this subsection, deemed to be from a source within Zimbabwe.
Recoupment	Sect 12 (5) - Recouped capital allowances in respect of fixed assets sold outside Zimbabwe are deemed by section 12 (5) to be from a source within Zimbabwe if capital allowances in respect of those assets were claimed in Zimbabwe.

Supply of broadcasting and e-commerce services	Sect 12 (6)-(8) - Income of satellite broadcasting and electronic commerce operator domiciled outside Zimbabwe to the extent that such income is received from persons resident in Zimbabwe for services rendered in Zimbabwe is deemed to be from a source within Zimbabwe. Thus, an amount receivable by or on behalf of a satellite broadcasting service domiciled outside Zimbabwe from persons resident in Zimbabwe in respect of television or radio subscriptions of fees paid by persons resident in Zimbabwe is taxed in Zimbabwe Also taxed is the income from electronically supplied products (e.g. downloaded music, books, and software) receivable by or on behalf of an electronic commerce platform domiciled outside Zimbabwe from persons resident in Zimbabwe in respect of the provision or delivery of goods or services to such residents is taxable in Zimbabwe. A "satellite broadcasting service" is defined as a service which by means of a satellite (whether or not in combination with cable optical fibre or any other means of delivery) delivers television or radio programmes to persons having equipment appropriate for receiving that service." Electronic commerce operator means an operator selling, providing or delivering services from outside Zimbabwe by use of a telecommunication or electronic means (and whether mediated by computers, mobile telephones or other devices) to customers or users in Zimbabwe. To the extent that the satellite broadcasting service provider and e-commerce service provider receive revenue from Zimbabwe in excess of US$500 000 (prior to 24 June 2019, ZWL$500 000), the income will be taxed at a flat rate of 5% and no deductions will be allowed. Permanent establishment rules do not apply in respect of services. Responsibility lies with the representative taxpayers of non-resident broadcasting and e-services operators to declare total income and pay the tax to the ZIMRA, in the absence of which the Commissioner General can make an appointment.

3.6 Excluding amount of capital nature

The definition of gross income specifically excludes amounts proved by the taxpayer to be capital in nature. The onus of proving that an amount is of a capital nature and thus not part of gross income and ultimately not liable to tax rests fairly and squarely on the taxpayer.

3.6.1 Fixed and Floating Capital

The words "of a capital nature" are not defined. It is not a precise term and has led to much difficulty, as no single infallible test has emerged from the welter of cases. A rough guide is to look at a receipt or accrual as would an accountant, to determine whether or not it was on revenue or capital account. If the amount flowed from the asset but the asset remained in ownership (e.g., rent from a building) it is on revenue account but if it flowed from the sale or exchange of the asset (e.g., factory no longer required by a manufacturer) it is on capital account. In so doing, however, it is essential to bear in mind the

difference between "fixed" and "floating" capital. Fixed capital is the factory of a manufacturer, the delivery van of a grocer, the X-ray plant of a radiologist, etc., whereas floating capital is that which "is consumed or disappears in the very process of production".

Another useful guide is to apply the metaphor that capital is a tree and income is its fruit e.g. an investor's holding in 5 per cent stock, as compared with the interest thereon. This is most useful when considering fortuitous accretions, such as an inheritance or a lottery win. Certainly, these are not the fruit of any tree and are, accordingly, of a capital nature.

Examples of other amounts which are capital in nature are the proceeds of life insurance policies and the proceeds of the sale of assets in which the taxpayer does not trade e.g., the sale of a house in Harare by an employee transferred to another town.

Unless the beneficiary continues to carry on the appropriate trade or mixes the assets with his existing trading assets, the realization of inherited assets results in a capital accrual. This is so even if it has been necessary to expend money, time or energy on, for example, a growing crop to bring it to fruition or the reduction of a piece of land saleable parcels. Darwendale Estate Ltd., v. C. of T., J.329 and I.T.C. 1196, 35 S.A.T.C. 235: Newmarch Investment and Trust Co. (Pvt) Ltd, v. C. of T., J.331.

Regard must be paid to intention antecedent to the date of acquisition (Lace Proprietary Mines Ltd, v C.I.R., 9 S.A.T.C. 349), change of intention (C.I.R., v. Lydenburg Platinum, 4 S.A.T.C. 8) and mixed and dominant intentions (S, v. C. of T., 24 S.A.T.C. 744: Smith v. C. of T., J.95, C. of T., v. Glass, 24 S.A.T.C 499: J. 110 and African Life Investment Corporation (Pty) Ltd., v S.I.R., 31S.A.T.C. 163).

Mixed and dominant intentions and possible change of intention or change in the nature of the investment (from direct ownership to participation through a company) were all discussed in Davenport v C. of T., 34 S.A.T.C. 94: J.316.

3.7 Damages and compensation

An amount received by way of damages or compensation for the loss, surrender or sterilization of a fixed capital asset or of the taxpayer's income-producing machine is a receipt of a capital nature (Glenboig Union Fireclay Co. Ltd., v. I.R.C.., 12 T.C. 427). Such an amount commonly met with is a receipt in terms of an agreement restraining a taxpayer from selling or using goods other than those supplied by the payer. Care must, however, be exercised, as certain similar agreements provide for the payment to be by way of discounts or rebates, and the receipt is, therefore, of a revenue nature in these cases and not to be excluded from gross income. Burmah Steamship Co. Ltd. I.R.C. 16 T.C. 67, provides a useful test whether the damages or compensation go to fill a hole in the profits of the taxpayer or whether they go to fill a hole in his fixed capital assets. If the latter is the case, then they are of a capital nature.

3.8 Restraint of trade

Basing on legal precedence, a person's right to trade freely is an incorporeal asset and an amount received for a restriction on that right is compensation for its sterilization. Receipts in respect of restraint of trade are thus generally of a capital nature.

Capital Receipts – Gross Income excludes any amount so received or accrued, which is proved by the taxpayer to be of a capital nature. Examples of capital receipts are, insurance proceeds, goodwill, lottery wins, inheritance and proceeds from sale of assets in which the taxpayer does not trade.

A rough guide to determine whether income is of revenue or capital nature would be as follows: -

If the amount flowed from the asset but the asset remained in ownership, it should be considered as revenue. If the amount flowed from the sale or exchange of an asset it should be considered as capital. Capital receipts may be referred to as the tree while revenue receipts may be regarded as the fruit.

Examples

Mr C, an architect, designed all the houses in a golf course development as well as the golf course and the golf club house, in return for being given one of the houses once it was built. Assume that the accrual takes place when Mr C receives transfer of the house and that the value of the house at the date of transfer is $28 000,000.

Mr C's gross income is $28 000,000.

Accrual

The sale and delivery of goods, by a person, in terms of a credit sale, takes place on 1 December 2020 with payment to be made on 2 February 2021.

Because a valid contract has been concluded on 1 December 2020 and delivery has taken place, the seller becomes entitled to the payment at that date. Accrual, therefore takes place on 1 December 2020 and the amount will be taxed in the 2018 year of assessment.

Source

Mr A receives $100,000 for the sale of goods in Harare. The originating cause of the $100,000 accruing is the sale and because the sale is in Harare the source is Zimbabwean. It can be seen that the conclusion as to the source of the income results from the answers to two questions-
What gave rise to the income? The sale.
Where is the sale? Harare.

3.9 Meaning of "ordinarily resident"

A person would be deemed to be ordinarily resident in Zimbabwe if he has a fixed place of abode in Zimbabwe. (Levene v CIR 1928). Comments: "that ordinary residence was residence in accordance with the way in which a man's life is usually ordered. Placed at its lowest it seems to me the use of the word ordinarily serves to emphasize that the residence must be settled and not temporary and casual".

Cohen v CIR 1946

The taxpayer, a director of OK Bazaar (1929) Limited, was requested to travel to the United States to act as the company's buyer. He and his family did not return to South Africa for a full year of assessment. The taxpayer sought to be exempted from tax on dividends accruing from South Africa on the basis that he was neither ordinarily resident nor carrying on business in South Africa.

Held: The word 'ordinarily' was linked up with the question of whether the man could be ordinarily resident for the purpose of the statute in more than one country. No authority existed on that question. If a person is resident in more than one country at a time, then he could only be ordinarily resident in one, it would be natural to interpret 'ordinarily' by reference to the country of his most fixed or settled residence. His ordinary residence would be the country to which he would naturally and as a matter of course return from his wanderings.

3.9.1 Determination of residence status

Individuals (including partners)	Determined by nationality, birth, fiscal domicile, real home on physical presents he country.
Company	Is regarded a resident if its place of management and control abides in Zimbabwe (a place where the controlling power and authority abides – i.e., where the board Directors resides).
Trusts	Is treated as ordinarily resident in Zimbabwe if part of its income is derived from source in Zimbabwe or the trustee is ordinarily resident in Zimbabwe or if the person who formed the trust was ordinarily resident in Zimbabwe at the time he made the trust instrument.

3.9.2 Tax consequence of residence

Residence Status	Taxation Basis	Income and Gains Covered
Ordinarily resident	Source taxing basis	Income for a local source and income from a deemed source
Non-resident	Source taxing basis	Income from a local source
Temporarily resident outside Zimbabwe	Source taxing basis (employment income)	Income earned outside Zimbabwe deemed to be from a source within Zimbabwe.

Chapter round up

- Income must be from a source within or deemed to be within Zimbabwe to be taxed in Zimbabwe, irrespective of the residence status of the person receiving the income.
- A person is ordinarily resident in Zimbabwe if he has a fixed abode in Zimbabwe. Ordinary residence implies a greater degree of permanence rather than residence.
- Income tax is charged on taxable income.
- Taxable income is computed as gross income, less exemptions, less deductions.
- Receipts of a capital nature are not taxable under the Income Tax Act.
- Receipts and accruals of a capital nature arise from disposal of fixed assets or compensation in respect of fixed assets or income producing or generating units.

4. General and Specific Deductions

4.1 Introduction

Section 15 (2) (a) of the Act provides the general guidelines to be applied when seeking to deduct expenditure not specifically covered in the Act. It is complemented by specific provisions which allow deduction of specific expenses and s16 which prohibits deduction of certain expenses in the computation of taxable income.

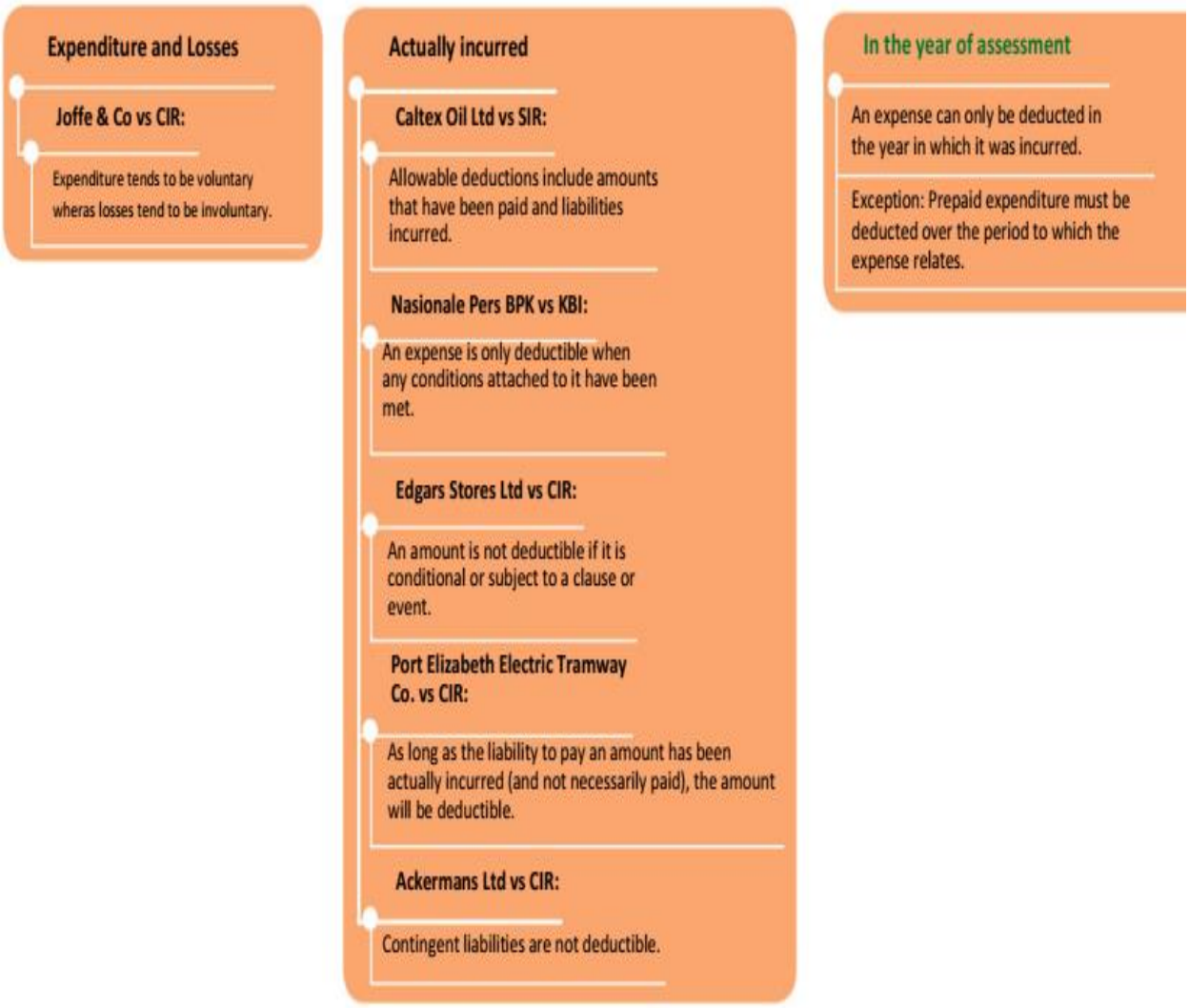
Objectives:	Define general deductions and identify key elements in the definition. Identify applicable case law that is used to interpret the general deduction formula. Explain income tax treatment of certain expenditure.
Act: (if applicable)	Sect 15 (1) of ITA Sect 15 (2) (a) of ITA
Relevant case law	DNS (PVT) vs Zimra-HH722/19 KANGRA GROUP (PTY) LTD v COMMISSIONER FOR THE SOUTH AFRICAN REVENUE SERVICE CASE NO: A20/18 Sub-Nigel Limited v CIR 1948 (4) SA 580 (A), 15 SATC 381).

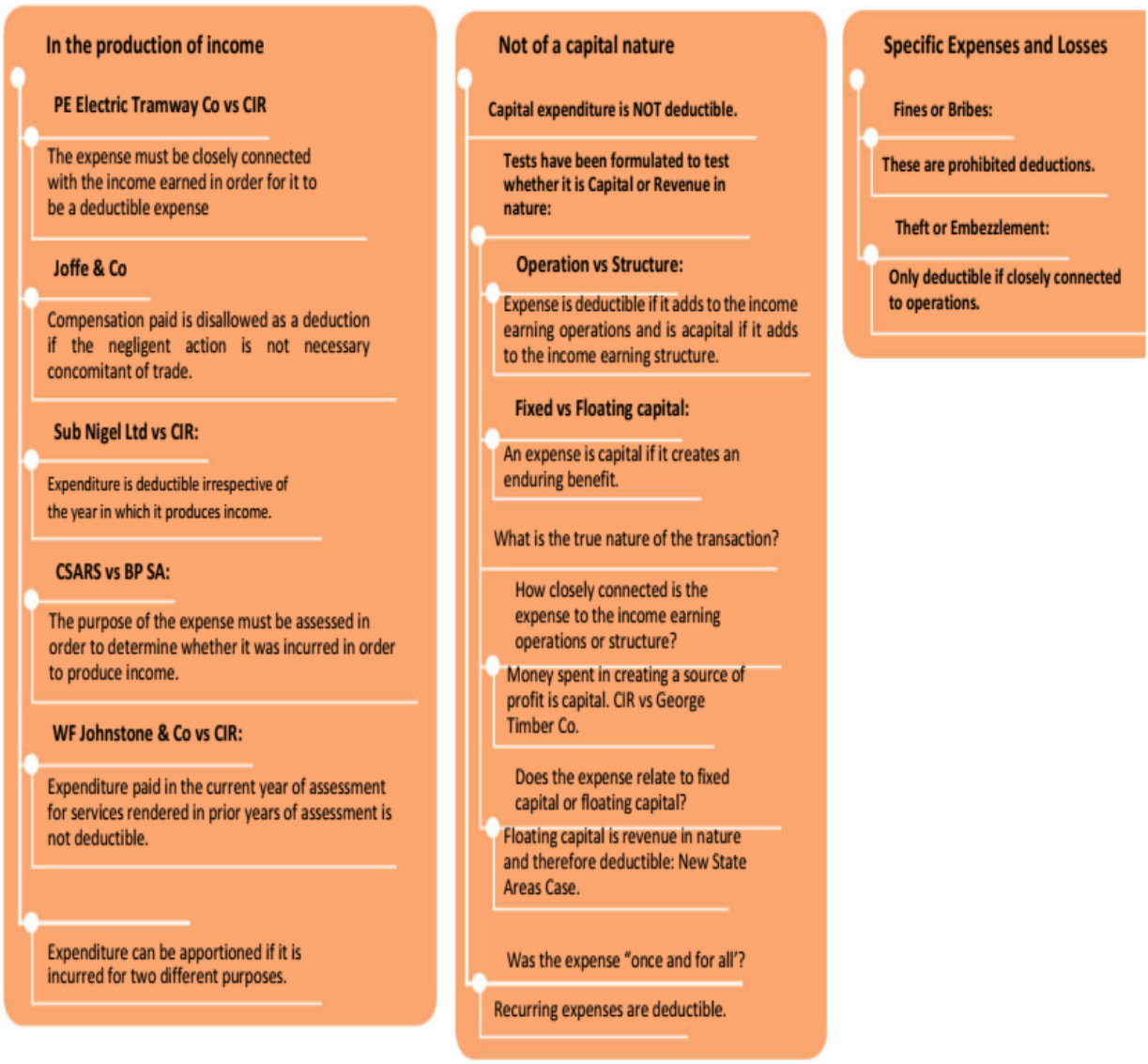
4.2 General Rule

Deductions allowable shall be expenditure and losses to the extent to which they are incurred for the purposes of trade or in the production of income except to the extent to which they are expenditure or losses of a capital nature. (Sect 15 2 (a))

In a case where a person earns income from trade and investment and income from employment, any amounts allowed to be deducted in terms of this section shall only be claimed in respect of the income to which they relate; Sect 15 1(b). E.g. – This applies to most small businesses, where the owner will use his motor vehicle to transport goods for the business and taking his children to school. Only the expenditure to the extent to which it is incurred on his business is allowable by the Commissioner.

Components of the General Deduction Formula





4.3 Actually incurred

There is no significant difference between the term expenditure and the term losses. In order for a deduction to be made, there must be settlement of a liability, in cash or otherwise, whether or not the liability may have been incurred voluntarily or not.

This means a liability does not need to have been paid for it to be recognised as having been incurred by the taxpayer. As long as the liability has actually been incurred, it may be deductible. In other words, once it has become due and payable. It must also be an unconditional liability. *In DNS (PVT) LTD vs Zimra-HH722/19* it was held that provisions are non-deductible because they do not meet the criteria of incurred and that amounts are incurred when there is an unconditional obligation to pay and yet the payment of the amounts in question (provisions) where subject to fulfilment of certain conditions. *For further reading regarding definition of incurred, refer to Chapter 9 of "Unpacking Tax Law and Practice in Zimbabwe 2022 edition".*

4.4 Prepayments

The matching concept of accounting applies. Section 15 (2) (a) (ii) provides that expenditure which consists of prepayments for goods, services or benefits that will be used up in any subsequent year of assessment, will only be allowed proportionately over the years of assessment in which the benefits are enjoyed. This means that it is allowed in the year in which it relates.

4.5 For the purposes of trade

This means for the purposes of enabling a person to carry on and earn profits in the trade. This entails expenditure not wholly incurred for purposes of trade or for some other purpose is disallowed. In practice this applies to small businesses or owner managed businesses where the owner may use items such as vehicles for both private and business purposes.

The ordinarily recurrent expenses of business, such as trading licence fees, audit fees, rates, secretarial fees, insurance premiums, business subscriptions and advertising costs will usually pass the test. Expenditure for the purposes of trade may be classified into two categories:

- Designed expenditure is money voluntarily and designedly spent by the taxpayer for the purpose of his trade e.g. salaries.
- Fortuitous expenditure is money involuntarily spent because of some mischance or misfortune, which has overtaken the taxpayer.

NB: *A deduction is not allowable where the expenditure, which though arising out of the manner in which a taxpayer conducts his trade, falls upon him in his capacity as a law-breaker rather than as a businessman, e.g., traffic fines, customs fines or parking fines. The expense should be an inevitable concomitant of the business.* In *KANGRA GROUP (PTY) LTD v COMMISSIONER FOR THE SOUTH AFRICAN REVENUE SERVICE CASE NO: A20/18,* compensation paid for deliberate breach of contract was disallowed on the basis that it was not a concomitant of production of income *(see Matrix Tax School Case Book for further detail of the case).*

4.6 In the production of income

This requires that an expense should have been incurred for the purpose of earning income. It is immaterial that the expenditure in question actually produces income (*Sub-Nigel Limited v CIR* 1948 (4) SA 580 (A), 15 SATC 381). The concern of the court is that the expenditure should be incurred for purposes of earning income.

It is not necessary that the expenditure should have actually produced income in the same year of assessment or that the expenditure should be matched to income. Therefore, as long as the expenditure is incurred for the purpose of producing income whether that taxable income is for the future period, the expenditure is deductible when incurred.

In determining whether expenditure is incurred in the production of income, the closeness of the connection between the expenditure and the income-earning operations must be assessed, having regard both to the purpose of the expenditure and to what it actually affects. The same approach must be adopted in determining whether expenditure is incurred in respect of receipts or accruals not constituting income as defined (exempt income).

Where expenditure incurred effected a dual purpose *viz,* production of both taxable and exempt (non-taxable) income, the expenditure actually effected a dual purpose requiring an apportionment of the expenditure incurred in the activities producing taxable income and that, only that amount should be allowed as a deduction.

The above principles found ground in *Port Elizabeth Electric Tramway Company Ltd v CIR, supra* where the court had earlier on found as follows:

- The test for determining whether expenditure is incurred "in the production of income" is twofold:

- The act to which the expenditure is attached should be performed in the production of income. An act will be regarded as being performed in the production of income if it is performed bona fide for the purpose of carrying on trade which earns the income.
- The expenditure in question should be closely linked to such act that it can be regarded as part of the cost of performing it. Provided that it is so linked, it does not matter whether the expenditure in question is necessary for the performance of the act, attached to it by chance or bona fide incurred for the more efficient performance of business operations.
- Where the act in question, though performed in the production of income, is unlawful or negligent, the expenditure attendant upon such act would probably not be deductible

As regards damages and loss through embezzlements, these are only deductible if they meet the requirements of section 15 (2) (a) i.e., the requirements outlined in the above court judgments. These types of expenses are deducted if they are a result of an act which is closely related to the production of income.

The same cannot be said of acts perpetrated by a proprietor, partner, managing director or manager acting as a proprietor. The court cases have tended to find that such expenditure and losses are not deductible. (*Lockie Bros Ltd v CIR* 1922 TPD 42, 32 SATC 150)

In *CIR v Genn & Company Limited* 1955 (3) SA 293, 20 SATC 113, the court observed that an expenditure is sufficiently closely linked to an income producing operation if it would be proper, natural or reasonable to regard it as part of the cost of performing it, having regard both to the purpose of the expenditure and to what it actually effects.

4.7 Not of a capital nature

In the same way as accruals "of a capital nature" are generally not subject to income tax, expenditure and losses to the extent that they are of a capital nature are not deductible from income. Section 15 (2) (a) provides that expenditure and losses of a capital nature may not be allowed as a deduction from a taxpayer's income even if all the other requirements of the general deduction formula have been met.

The starting point in distinguishing capital and revenue expenditure is the distinction between fixed and floating capital. *In CIR v George Forest Timber Co Ltd 1924 AD 516, 1 SATC 20 at 23 Innes CJ* stated the following: "Capital, it should be remembered, might be either fixed or floating. The substantial difference was that floating capital was consumed and disappeared in the very process of production, while fixed capital did not; though it produced fresh wealth it remained intact. The distinction was relative, for even fixed capital, such as machinery, did gradually wear away and required to be renewed."

There are numerous tests to determine whether or not expenditure and losses are of a capital nature. It is accepted that each case needs to be judged on its own facts when it comes to disputes surrounding this aspect. Some of the tests are as follows:

- Whether expenditure recurs or not- If expenditure recurs, this is often of a revenue nature.
- Whether an identifiable asset is created, acquired or owned.
- Enduring test- whether expenditure result in an enduring advantage being acquired by spending the money. This is likely to be capital nature.
- Whether the expenditure results in the profit-making process.

For further reading refer to Unpacking Tax Law in Zimbabwe 2021 Edition Chapter 9

Examples of Capital Expenditure

Capital expenditure for tax purposes includes:

- Cost of acquiring or constructing the asset itself.
- All costs necessary to get the asset ready for its intended use:
  - Insurance and freight charges.
  - Traveling costs to purchase the asset.

- Initial set up or installation costs.
- Calibration and programming costs.
- Customs & Stamp duty
- Any ancillary costs related to acquisition and installation of the asset.
- Insurance costs related to acquisition and installation of the asset.
- Site preparation costs to install the asset.
- Professional fees in connection with construction or purchase of the asset.
- Finance charges on hire purchase.
- Borrowing costs on construction of immovable property.
- Demolition costs for clearing ground to construct new asset.
- Cost of employee benefits.
- Initial delivery and handling costs.
- Realised foreign exchange gain or loss on asset acquisition or construction.

Cost or items not to be capitalised nor deductible for tax purposes

- VAT refundable in terms of section 15 (3) of the VAT Act.
- Revaluation and fair values.
- Impairment.
- Opening a new facility.
- Introduction of a new product or service (including costs of advertising and promotion)
- Conducting business in a new location or with a new class of customers (including costs of staff training).
- Administration and other general overhead costs (deductible).

Capital expenditure is not immediately deducted but written off for income tax purposes over the useful life of the asset by a method of capital allowances. Materiality is not a key consideration for revenue purposes. Classification of property, plant and equipment is legalistic not dependable on amount expended.

4.8 To the extent

This essential element allows for apportionment in the sense that a deduction may be allowed to the extent that it relates to trade expenditure and disallowed to the extent that it does not Capital Nature. The seemingly complex provisions of the general deduction formula are used to prevent abuse by taxpayers by making sure only that expenditure and only those losses actually incurred in connection with the taxpayer's business should be allowed as deductions from his/her taxable income. Bear in mind also, that there are specific rules that apply to particular kinds of expenditure. Therefore, these rules need to be considered in addition to the general rules outlined in the general deduction formula.
Where a taxpayer is uncertain as to how to treat a transaction or item for tax purposes, it is advisable to apply for an advance ruling in terms of s34D of the Revenue Authority Act.

Applying General Deduction Formula to certain expenditure

Item	Treatment
Interest	In CIR v Genn 1955 (3) SA 293 (A), 20 SATC 113 held that interest is consideration for the use of money. It is deductible where the loan is used by the taxpayer in the production of taxable income. Whether or not it has been used in the production of income, it all depends on the purposes of the expenditure and what it actually affects. For example, if the borrowing is applied in the acquisition of fixed assets the ZIMRA has regarded this to be of a capital nature and would want the interest capitalised and disallowed. The interest should be incurred with "one view" of producing income and where it is incurred on idle, vacant or unproductive property or property producing exempt income or income not from a source within Zimbabwe it is disallowed. The following interest is disallowed: • Incurred on purchase of share. • Interest on money borrowed to pay dividend (ITC 678 (1949) 16 SATC 348). Excessive interest in terms of thin capitalisation provisions. • Interest related to acquisition or construction of fixed assets.

	• Interest on foreign loans which is in excess of that expressed in Zimbabwe dollar using the inter-bank rate. Interest incurred when a business ceases is deemed not incurred in the production of income and is disallowed (ITC 411 (1938) 10 SATC 238 and ITC 1171 (1971) 34 SATC 80).
Raising fees or finance charges	Only raising fees of a revenue nature are tax deductible. As held in *CIR v Genn & Co. (Pvt) Ltd 20 S.A.T.C 113,* they should be allocated on a pro rata basis to items on which the loan has been expended, based on the gross amount of the loan. Raising fees for a loan incurred on special deductions available to farmers are deductible and also deductible is raising fee on a loan used for the day-to-day running of a business. Raising fees incurred on loan used to purchase assets ranking for capital allowances are capitalised to form part of the cost of the assets, thereby disallowing them.
Legal costs	Legal expenses are deductible if they are incurred in the production of income. The claim, dispute or action at law should arise in the ordinary course of or by any reason the taxpayer's trade. The following are tax deductible if incurred in the production of income or purposes of trade include: • Defending commercial contracts or other civil claims. • Defending a wrongful dismissal action brought by former employees or directors. • Preparing minutes of business and shareholders' meetings. • Eliminating competition, protecting an asset or removing an obstacle. • Evicting a tenant to obtain more rent by a landlord (but not alter or change property use). • Evicting a rent- defaulting tenant. • Recovering misappropriated funds. • The issuance of bonds, mortgages, debentures, borrowing or debt restricting. • Drawing up a lease agreement by a lessor, but not by the lessee. Capital nature legal costs are disallowed e.g., legal costs incurred for the purpose of acquiring a capital asset for the enduring benefit of business, costs incurred in defending an act which is meant to protect a capital asset (land, income – producing unit, etc.,), associated with the acquisition of a fixed asset, incorporations, amalgamations, corporation reorganizations or share issue etc. In *ITC 1528, 54 SATC 243,* it was held that capital nature legal costs do not include the cost of removing a business obstacle.
Fines and breaches of law	Whether incurred in trading or in the production of income, fines, bribes and penalties are non-deductible. They are contrary to public policy and allowing them would frustrate the legislative intent i.e., causing the punishment imposed to be diminished or lightened. Examples include traffic fines and penalties for breach of any statute whether of Zimbabwe or any country.
Cost of employment	Almost all expenditure incurred by employers in the form of remuneration whether for past, current or future services are deductible i.e., salary payments; fringe benefits and so forth are tax deductible. The employer should simply prove that the expenditure was incurred in the production of his income or for purposes of his trade. Also, revenue expenditure is a payment made in order to get rid of an unsatisfactory employee or director. However, unreasonable or excessive, payments made to related parties or directors are disallowed e.g., excessive salary paid to a family member. Also disallowed are payments to retiring directors for agreeing not to compete with the company (payments in restraint of trade).
Relocation costs	Moving cost and reinstalling equipment at the new site is capital in nature However, cost of stock removal and rubbles within the same premises is tax deductible. Also, deductible is the cost of relocating staff (*ITC 1716* (64 SATS 27).
Sponsorship	Sponsorship cost is deductible if a close connection exists between the expense and a taxpayer's business, no matter a third party is also to benefit out of the sponsorship. This connection is reflected by the fact that business is being promoted by incurring the sponsorship expenditure, for example:

	• The sponsorship agreement should be a specific requirement in the promotion of a taxpayer's business. It should also reflect the extent and prominence of the business exposure. • The sponsorship arrangement is regarded as a coherent marketing strategy. • The relationship of the potential market to the taxpayer's business. • The relationship between expenditure and the ultimate income derived, i.e., can it be proved that the income is a result of sponsorship? For example, a sale of bulls at an agricultural show by a farmer sponsoring the event in return for being able to display the bulls shows a direct relationship between the sponsorship expenditure and the resultant income. A sponsorship expenditure of a capital, private or domestic nature is not deductible. A sponsorship is of a capital nature if its main object is to create an image or goodwill, whereas it is of a revenue nature if it provides an opportunity for the taxpayer to advertise and also to conduct market research.
Patent, trademark, know how etc	Acquisition or registration of know-how, a patent or a trademark, etcetera is capital expenditure, unless the taxpayer is trading in such items, unless the person is engaged in the business of such items. Royalties and rentals are fully deductible, whether paid in fixed or variable amounts.
Cost of earning rental income	Expenditure incurred in the production of rental income is tax deductible, but not during the period the property is idle, vacant or unproductive. Various expenses allowable to the landlord include rates, advertising for tenants, water, repairs and maintenance of the property, expenses incurred in collecting rent, interest on loans to buy or improve the rented property, cost of evicting a tenant to obtain more rent or evicting a rent defaulting tenant, but not to alter or change the use of property. The landlord is also entitled to deduct amounts representing irrecoverable rent.
Licensing	The payment of licenses is more closely connected to the taxpayer's income–earning structure rather than its income earning operations. It is regarded as payment incurred to find and lawfully commence the operation and treated as capital nature expenditure. For example, in *ITC 1726* 64 SATC 236 it was held that the initial basic cellular licence fee was not routinely incurred in the running of the taxpayer's business, but constituted expenditure that was incurred to found and lawfully commence the operation of taxpayer's income earning structure, which was the cost of acquiring the right to perform the operations. The on-going annual licence being a recurrent expenditure was held to be deductible. Related to the issue of licencing is the payment of royalties or franchisee fee. The general principle is that royalties or franchisee fees will be allowed if they are incurred in the production of income. Where they are related to the capital structure so as to create goodwill, secure a competitive advantage, protect and promote the core business of the taxpayer, namely, its structure and identity they fall to be capital in nature.
Insurance	Insurance costs incurred for purposes of trade, or the production of income are deductible. Examples of deductible insurance premiums include group-term life insurance policies, public liability policies (third party policies), loss of profits, fire, theft or any business-related insurance etc. The general principle is that where premiums are paid on the employees' life insurance premium, the premiums remain deductible if the ultimate beneficiary is the employee and where the employer is the beneficiary, the deduction is disallowed. The insurance premiums for joint life policies and ceded life policies are however disallowed.

Chapter round up

- Expenditure is deductible if it is incurred for purposes of trade or in the production of income, unless it is of a capital nature
- Expenditure is incurred when is paid or payable
- Provisions are non-deductible because they are estimates
- Where the expenditure is not incurred wholly or exclusively for purposes of trade it is apportioned and allowed to the extent it reflects business purpose, but this does not apply to employee related expenses
- An expenditure is in the production of income if it is incurred as a result of an act which is done for purposes of earning income.
- Prepaid expenses are deducted in the year in which the expenditure relates in accordance with the accounting matching concept
- Capital nature expenditure is disallowed

PART C

TAXATION OF COMPANIES

5. An overview of taxation of businesses

5.1 Introduction

The computation of trading income is the same whether the trade is carried on by an individual, a corporation, a partnership, or a trust. Persons who are liable to pay tax on business and investment income pay based on annual quarterly payment dates. This includes non-executive directors and anybody whose income does not consist of remuneration on which pay as you earn was deducted.

Objectives:	1. Define trade and investment income 2. State how different type of taxpayers are taxed 3. Identify the various income tax rates 4. Identify persons subject to special income tax rates 5. Compute provisional and final income tax
Act: (if applicable)	Sect 2 Sect 19A & B Sect 72
Relevant case law	

5.2 Framework for computing taxable income of businesses:

Tax is paid on taxable income, and not on net profits. Taxable income is the adjusted net profit before tax as per financial statements. Net profit must be adjusted because accounting systems used to determine income and deductions may differ in some areas with those of tax. The starting point is the net profit figure in the income statement then adjust for:

- Capital receipts and accruals
- Statutory incomes such as recoupments, lease improvements etc.
- Income subject to final withholding tax at source
- Disallowed expenditure
- Tax incentives such as capital allowances, assessed losses etc.

The following is a recommended framework for use in the exam.

Net profit as per accounts before tax		xxx
Less		
Interest from financial institution included	(xxx)	
Dividend	(xxx)	
Capital receipts	(xxx)	
Profit on sale of assets	(xxx)	(xxx)
Add: Non-deductible expenditure charged in the accounts		
Depreciation	xxx	
Fines	xxx	
Penalties	xxx	
Donations	xxx	
Restraint of trade	xxx	
Loss on sale of asset	xxx	
Entrance fees	xxx	
Improvements to premises	xxx	
Drawings	xxx	
Income tax payments	xxx	
Covenants	xxx	
Private element of certain expenses	xxx	
Interest on late payment of tax	xxx	
Increase in general bad debts	xxx	

Provision for bad debts	xxx	
Entertainment	xxx	xxx
Add: Taxable income excluded from the accounts		
Recoupment	xxx	
Income received in advance	xxx	xxx
Less: Expenditure not charged to accounts		
Lease improvement allowance	(xxx)	
Special initial allowance	(xxx)	(xxx)
Taxable income		xxx

5.3 An overview of taxpayers

5.3.1 Corporates

A company is a separate legal personality that it is individually liable for corporate tax. Corporate income is initially taxed in the name of the company as tax on profits and then subject to withholding tax when distributed to shareholders. This is the hallmark of income earned through a corporate and probably the biggest disadvantage of a company compared to a sole trader or a partnership. Sole traders and partners only suffer tax once at individual level at an effective rate of 24.72% compared to 39.72% (aggregate of tax on profits and tax dividend) suffered by shareholders. Also, company losses are non-transferable to a shareholder, but can be inherited by a company which is under the same control with that company, subject to conditions stated in section 15(3) of the Act. A company pays tax on its profits, while its shareholder is subject to tax on dividend distributed to him. This "double taxation" of profits— once at the corporate level and then again on distribution to shareholders is the hallmark of company tax.

5.3.2 Partnerships

A partnership is not a separate legal persona for income tax purposes (VAT Act is an exception). It is not assessed for income tax as a company, but each partner is liable to income tax in his individual capacity on his/her share of taxable income. It constitutes a fiscal transparent entity (flow –through vehicle) in the sense that it is not in itself liable to tax on its profits but rather the individual partners are individually liable to tax on their respective proportionate shares in the partnership. This "flow-through" approach results in a single layer of taxation—at the partner level. An advantage of using a partnership as an investment vehicle is that assessed loss is not trapped in partnership as this immediately flows to partners. Also, a partnership does not distribute a dividend and once the partners are taxed there is no further tax on their income. A joint venture is treated in the same manner unless constituted as a company.

5.3.3 Sole Proprietorship

A Sole proprietorship or sole trader is a business that is run by its owner by himself. A sole proprietorship is not an entity separate from the individuals who own them, so they are not subject to separate taxation. The tax liability therefore falls upon the individual and treatment is similar to that of a partner.

5.3.4 Trusts

A trust is an entity formed by one person called a Founder, donor or settlor with its administration being entrusted to Trustees for the benefit of named beneficiaries. The beneficiaries may be specific or a group or class of persons. A trust is a common law institution in Zimbabwe i.e., it is not established through the provisions of a specific Act of Parliament. It is formed through a deed of trust executed by the Founder and the Trustees. The deed of trust is a form of an agreement wherein the parties spell out, inter alia the name of the Trust, the main objectives behind the formation of the Trust, the first Trustees and how they retain or lose office, duties and powers of trustees, the entitlements of beneficiaries, and amendment of the Deed and dissolution of the Trust. For more information on nature, types and taxation of trusts, see

Chapter on Trusts. Public trusts are however exempt from income tax (see para 2(l) of the 3rd schedule of the Act).

5.3.5 Non-resident companies

A non-resident company is taxable only in Zimbabwe if it has a permanent establishment (PE) situated in Zimbabwe. It is deemed to have a PE in Zimbabwe if and only if it has a fixed place of business in Zimbabwe through which it wholly or partly carries on business or if it carries on business through a dependent agent.

A fixed place of business includes an office, place of management, a branch, a factory, workshop, an installation or structure for the exploration of natural resources, amine, an oil or gas well, a quarry or any other place of extraction of natural resources or a building site or construction or installation project.

The following are excluded from the definition of a PE under the new section 19A of the Act:

- Facilities used for the sole purpose of storage, display or delivery of own goods or merchandise belonging to the enterprise (non-resident company).
- Maintenance and display of own stock of goods or merchandise by an enterprise for the sole purpose of storage or display or delivery.
- Maintenance of stock of goods or merchandise belonging to the enterprise solely for the purpose of processing by another enterprise
- Stock of goods or merchandise belonging to the enterprise displayed in a fair or exhibition which are sold at the end of the fair or exhibition
- The maintenance of a fixed place of business solely for the purpose of purchasing goods or merchandise or for collecting information, for the enterprise
- The maintenance of a fixed place of business solely for the purpose of advertising, for the supply of information, for scientific research or for similar activities which have a preparatory or auxiliary character, for the enterprise

Any combination of above activities shall not constitute a PE so long as the overall activity is that of preparatory or auxiliary character (para 4 of Article 5 of the OECD). But there are no hard and fast rules that can be laid to determine in each case which activities constitute preparatory or auxiliary character and those that are not. It all depends on the facts of each case (para. 24 Art 5 OECD).

Note that, a preparatory or auxiliary activity excludes management services within a group of companies. A fixed place whose sole purpose is advertising or supplying information or for scientific research or for the servicing of a patent or a know-how contract, provided such activities have a preparatory or auxiliary character (para. 23 Art 5 OECD), shall not constitutes a PE.

A liaison office established in Zimbabwe merely for undertaking promotional work as a prelude to actual commercial activities would not constitute a PE, unless it engages in commercial activities. It is deemed to be engaged in commercial activities when it enters into negotiations with the customers in Zimbabwe for import or purchase of goods by the Zimbabwean customers from the principal company.

Once a PE is deemed in Zimbabwe a tax nexus exists in Zimbabwe. The PE shall be required register and pay taxes in Zimbabwe (income tax and PAYE) as if it were a resident of Zimbabwe. It must appointment a resident representative (public officer) for the registration and administration of taxes. Where it transacts sales value of goods or services which exceeds $7,800,000 in any period of 12 months it must also register for VAT.

5.4 Basis of assessment

An ordinary tax year starts on 1 January and ends on 31 December. This is the ordinary year of assessment. The Commissioner may, on written application by a taxpayer grant a permission to use a different twelve month as the year of assessment and this shall be called a substituted year of assessment. The application must be supported by valid reasons. For example, this can be extended to subsidiaries of foreign entities or entities that have income of a seasonal nature.

The Commissioner may, by notice in writing, withdraw a taxpayer's permission to use a substituted tax year and any such withdrawal shall take effect at the end of the taxpayer's current substituted year of assessment. An interim period is a separate tax year (transitional year of assessment).

The person may also be granted different dates for payment of provisional tax (QPDs). Where the year of assessment for a taxpayer changes from the ordinary year of assessment to a substituted year of assessment to an ordinary year of assessment or from one substituted year of assessment to another, the period between the last full year of assessment prior to the change and the date on which the changed year of assessment commences shall be treated as a separate year of assessment, to be known as a "transitional year of assessment".

5.5 Meaning of trade

The definition of a "trade" is a very wide and intended to embrace every activity taken up with a view to producing income. Even the courts have interpreted trade to be neither exhaustive nor restrictive and will include any activity where a person risks something with the object of making a profit. But this does not mean to say that all income generating activities would constitute a "trade", as the term "trade", "does not embrace all activities that might produce income, for example, income in the form of interest, dividends, annuities or pensions.

Section 2 (1) of the Act "trade" as including "any profession, trade, business, activity, calling, occupation or venture, including the letting of any property, carried on, engaged in or followed for the purposes of producing income and anything done for the purpose of producing such income".

5.6 Carrying on a trade

The legislation has defined what a "trade" is, but the expression "carrying on business" has not been defined. The question whether a person is carrying on business is an inference from the facts, which inference is a matter of law (CIR v Stott) i.e., it depends on the particular circumstances of the company. It can therefore be submitted that a company such as a shelf company whose transactions have been limited to those formalities necessary to keep the company on the register of companies will not be regarded as carrying on business.

The following factors are often considered by the courts in determining whether a trade is being carried on or not:

- the manner of organization
- information they have to run the business
- past experience
- frequency of transactions
- money put into an activity in order to make money
- existence of legal relationships
- commercial character of the activities
- the size and scale of the activities
- characteristics or quality of the property dealt in, and

- inherent characteristics of a taxpayer
- The pursuit of an operation for profit, etc.

5.7 The adjustment of profits

Tax is paid on taxable income, and not on net profits. Taxable income is the adjusted net profit before tax as per financial statements. Any person who derives income from trading must pay income tax on his taxable income. The taxable income is the adjusted net profit as per the financial statements. Net profits must be adjusted because accounting systems used to determine income and deduction may differ in some areas with those of tax. The net profit must therefore be adjusted for tax income purposes. The starting point is the net profit figure in the income statement then adjusted as follows:

Adjustment required	Examples
Deduct capital nature receipts and accruals	Proceeds from disposal of fixed asset
	Compensation or insurance monies for loss of fixed assets. NB: Compensation for cancellation or loss of trading or commercial contract, lost trading stock or other working capital, should not be adjusted as these constitute gross income.
	Profit on sale of fixed asset
	Restraint of trade income, sale of goodwill etc.
Deduct exempt income and income subject to final withholding tax	Bank interest, dividend etc. NB: No adjustment is required of interest on receivables, working capital, any interest local bonds or debenture, interest received from a foreign source, etc as these are gross income item.
Add trading income not in net profit	Recoupment
Add back disallowed expenditure deducted in arriving at the net profit	Donations, provisions, entertainment, fines, depreciation, lease amortization expenses etc.
Deduct allowable deductions not in net profit	Capital allowances, scrapping allowance, assessed loss, lease improvement allowance, export market development expenditure etc.

5.8 Computation of taxable income

Net profit as per accounts before tax		xxx
Less		
Interest from financial institution included	(xxx)	
Dividend	(xxx)	
Capital receipts	(xxx)	
Profit on sale of assets	(xxx)	(xxx)
Add: Non-deductible expenditure charged in the accounts		
Depreciation	xxx	
Fines	xxx	
Penalties	xxx	
Donations	xxx	
Restraint of trade	xxx	
Loss on sale of asset	xxx	
Entrance fees	xxx	
Improvements to premises	xxx	
Drawings	xxx	
Income tax payments	xxx	

Covenants	xxx	
Private element of certain expenses	xxx	
Interest on late payment of tax	xxx	
Increase in general bad debts	xxx	
Provision for bad debts	xxx	
Entertainment	xxx	xxx
Add: Taxable income excluded from the accounts		
Recoupment	xxx	
Income received in advance	xxx	xxx
Less: Expenditure not charged to accounts		
Lease improvement allowance	(xxx)	
Special initial allowance	(xxx)	
Wear & tear	(xxx)	
Accelerated wear & tear	(xxx)	
Scraping allowances	(xxx)	(xxx)
Taxable income		**xxx**

5.9 Definition of taxpayers

Item	Treatment
Approved BOOT or BOT	Section 14 (1) of the Finance Act, 2014 define an approved BOOT or BOT arrangement as 'contract or other arrangement approved by the Commissioner, under which a person undertakes to construct an item of infrastructure for the State or a statutory corporation in consideration for the right to operate or control it for a specified period, after which period he will transfer or restore ownership or control of the item to the State or the statutory corporation concerned'". BOOT means build, own, operate, and transfer. BOT means build, operate and transfer. A contractor, in relation to an approved BOOT or BOT arrangement, means the person who enters into the arrangement with the State or the statutory corporation concerned. The Finance Act 2 of 2020 has added s 15 (2) (oo) to the Income Tax Act which will see BOOT and BOT projects expenditure on infrastructure rehabilitation and development being fully deductible against taxable income of the operator instead of being capitalised.
Export manufacturing companies	Is a company that conducts manufacturing operations and in any year of assessment exports at least 30% (50% before 1 January 2015) of its manufactured output. The manufacturing operations should be conducted in Zimbabwe during the year of assessment to the satisfaction of the Commissioner. The output is measured in terms of the physical units or quantities and assessed separately for each year of assessment. A manufacturing operation is a *'process of production which substantially changes the original form of, or substantially adds value to, the thing or things constituting the product'* (Section 14 (1) of the Finance Act).
Special economic zones	Means any part of Zimbabwe declared in terms of the Special Economic Zones Act (Chapter 14:34) (No. 7 of 2016) and that of an investment license to mean an investment license issued in terms of the Special Economic Zones Act (Chapter 14:34) (No. 7 of 2016), to a licensed investor with a qualifying degree of export-orientation and licensed investor shall be construed accordingly. It also defines a qualifying degree of export-orientation characterizing a licensed investor to mean that the licensed investor exports all of its goods and services.
Approved tourist development zone	Is an area declared under the Tourism Act (Chapter 14:20) as such and approved by the Tourism Authority. The operator should have at least 60% of his turnover denominated in foreign currency?

5.10 Rates

Taxpayer	Rate
Self-employed, sole trader or partners	24.72%*
Companies and trusts	24.72%*
Special Mining lease	15%
Licensed investor in Special Economic Zone (SEZ)	
First five years of the arrangement	0%
Second five years of the arrangement	15%
An approved BOOT or BOT arrangement:	
First five years of the arrangement	0%
Second five years of the arrangement	15%
Thereafter	24%
Industrial park developer	
First five years of the arrangement	0%
Second five years of the arrangement	24%
Taxable income of operator of a tourist facility in approved tourist development zone (before the fifth year of his or her operation as such)	0%
An operator of a tourist facility in approved tourist development zone	
First five years of the arrangement	0%
Second five years of the arrangement	24%
Export manufacturing company which exports:	
Export level (%) 30-40 of its output	20%
Export level (%) 41-50 of its output	17.5%
Export level (%) above 51	15%

**3% AIDS levy is applicable on income tax chargeable after-tax credits. Normal rate is 24%*

5.11 QPDs

Income tax is paid on quarterly basis in advance of year end on 25 March, 25 June, 25 September and 20 December at 10%, 25%, 30% and 35% respectively of estimated annual tax liability.

A QPD not paid on time or understated is subject to interest at the rate of 25%. The Commissioner can however waive or reduce the interest on a QPD which is understated by not more 10% margin of error or if he is satisfied that a person required to pay provisional tax was, through special circumstances, unable to pay the whole or part of an instalment of provisional tax payable by him.

The provisional tax is not a final tax. After the actual tax payable by a person has been determined, the Commissioner will set off any amount of provisional tax paid against the actual tax payable. Where there is an overpayment, the amount is set off against any other tax or amount due and payable to the Commissioner by the taxpayer. If there is no such amount the amount will be refunded to the person.

Chapter round up

- Tax is paid on taxable income, and not on net profits.
- Taxable income is the adjusted net profit before tax as per financial statements.
- Trading income is taxed at 24.72% (25.75% for periods before 1 January 2020) of taxable income.
- Special income tax rates apply to export manufacturing companies, licensed investor in special economic zone, BOOT/BOT, power generation projects etc.
- The tax is paid in advance of year end on quarterly payment dates (known as QPDs) based on the estimated taxable income.

6. Special Inclusion in Gross Income of Businesses

6.1 Introduction

The Act prescribe certain incomes as constituting gross income of a business notwithstanding the fact that they may be of capital nature. These are contained in ss 8 (1) (d), (e), (g), (h), (i), (j), (k), (l), (m), (o), (p), (s) and 8 (2) of the Act i.e., lease premium, lease improvement, growing crops, trading stock, mining recoupment, general recoupment, concessions, lease recoupment, subsidies and grants, designated area grants, income of petroleum operators, income of a holder of special mining lease and foreign exchange gains, respectively.

Objectives	Identify specific inclusions in gross income for companies and individuals in business. Identify exempt income for companies and individuals in business.
Act: (if applicable)	Sect 8 ARW 2nd Schedule Sect 14 ARW 3rd Schedule
Relevant Cases	Dr H C Avenant v The Commissioner For The South African Revenue Service Case (No: 367/2015) [2016] ZASCA 90 (1 June 2016)

6.2 Leasing incomes

6.2.1 Lease premium [sect 8 (1) (d)]

Lease premium is lessor's gross income when received or accrues to him. It is taxable in full in the year of receipt or accrual. It includes non-returnable deposits, lease goodwill and tenancy rights. Item is covered in dealt in the next chapter

6.2.2 Lease improvements [sect 8(1) (e)]

A lessor who in terms of any agreement relating to the grant to any other person of the right of use or occupation of land or buildings have improvements effected on his land or to the buildings by any other person he must include such improvements in his gross income.

Gross income to the lessor is: (i) the amount stipulated in the agreement as the value of the improvements or as the amount to be expended on improvements or (ii) if no amount is so stipulated, an amount representing, in the opinion of the Commissioner, the fair and reasonable value of the improvements (usually the cost of improvements). The value of improvements is taxable effective the date improvements are completed spread over the shorter of unexpired period of such agreement, cession or assignment and 10 years. Item covered in dealt in the next chapter

6.3 Growing crops [sect 8 (1) (g)]

Growing crops sold together with the farm or land constitute gross income of a farmer. For further details refer to Chapter on farming

6.4 Trading stock [Sect 8 (1) (h)]

This section brings into gross income:

- Trading stock on hand at the end of a tax year. (The treatment is similar to treatment under IFRS);
- Trading stock which has, during the year of assessment, been taken by the person for his domestic or private consumption or use; and

- Trading stock which has been donated.

The following is the valuation basis of the different types of trading stock.

Type or circumstance	Date of valuation	Method to be elected
Held on the last day of the year.	Last day of tax year or accounting year	Cost price, market value or replacement cost.
Consumed by taxpayer or put to other use.	Date of such use or consumption.	Cost price or market value.
On hand: On date of death, insolvency	Date of such happening.	Cost price, market value or replacement cost
Attached by court order	End of tax year	Cost price, market value or replacement cost
Sold with Business or Pursuance of court order	Date sold	Selling Price
Partially produced goods (WIP)	Last day of tax year or accounting year	What the CG considers as fair and reasonable price. (see Dr H C Avenant v CSARS)

NB: The Act does not state the valuation method for partially finished goods but provides that value must be fair and reasonable as held in (Dr H C Avenant v CSARS). The case also provided that trading stock is deemed held and not disposed of if the tax payer has dominium in it (ownership and control of property), (despite the stock not in its custody). *(Matrix Tax School Case Book-see Dr H C Avenant v CSARS)*

6.4.1 Definition of terms

Item	Description
Cost	It includes freight in costs, import duties, rebates and discounts, wages of employees directly engaged in the production process It excludes: • Unallocated overhead costs • Abnormal freight, handling and spoilage costs are current period charges. • General and administrative expenses unless they are clearly related to production and thus constitute a part of inventory costs. • Selling and marketing expenses are not inventory costs.
Market value	Includes the consideration for which other trading stock of the same kind, quality and condition is disposed of in the ordinary course of trade by other persons carrying on the same trade in like circumstances; Excludes any amount attributable to freight, handling and selling charges and commission incurred in the disposal in the ordinary course of trade of trading stock normally disposed of through an agent.

6.5 Concessions grant from creditors [sect 8 (1) (k)]

Where a taxpayer having incurred a liability in respect of expenditure, which has ranked as a deduction in terms of s 15 (2), which is subsequently released or forgiven by a creditor, the benefit there from is included in gross income. A debt is forgiven when a taxpayer is freed from the obligation to pay it. Therefore, a creditor who forgives, writes off or gives a concession to a debtor must include this in his gross income unless such forgiveness, write off arises as result of:

- Winding up of a company by the court because of its inability to pay debts
- A taxpayer being adjudged or declared insolvent or assigned his property or estate for the benefit of creditors.

- The estate of the taxpayer having been vested in the Corporation as defined in s 2 of the Agricultural Finance Act (*Chapter 18:02*)

6.6 Lease recoupment [sect 8 (1) (l)]

A lease recoupment arises when a previously leased property is sold for a price which has taken into account the rent already paid, lease premium previously paid or lease improvements incurred by a tenant. This provision is meant to address also situations in which a lessee who has undertaken improvements at certain cost who is then given an option to purchase the premises with the purchase price of which is reduced by the cost of the improvements. The recoupment is computed as the lower of the discount on acquisition of the property and the expenditure previously incurred by the tenant (i.e aggregate of rent, lease premium and lease improvement). Expenditure incurred by a tenant in terms of an agreed obligation to make improvements is treated as "rent" for the purposes of the operation of the section. This means that the recoupment on the part of lease improvement is the cost incurred not the amount allowed. The Commissioner must be of the opinion that purchase price of the property has been discounted, that discount is deemed to constitute recoupment.

not here were are not considering the amount allowed as a deduction

6.7 Subsidy and grants [sect 8 (1) (m)]

Any amount received or accrued by way of grant or subsidy in respect of any expenditure allowed or allowable as a deduction under the Income Tax Act. If a taxpayer receives a grant for the acquisition of an asset that ranks for capital allowances the amount of the grant will be brought into gross income.

6.8 Designated Area Grants [sect 8 (1) (o)]

Grants or payments awarded to farmers in terms of such a scheme are gross income for the purposes of this section.

6.9 Exchange gains [sect 8 (2)]

Any profit resulting from changes in exchange rate constitutes gross income the year of assessment in which they are realized. The following do not constitute gross income

- Paper or unrealised exchange gains - taxable upon realisation provided they are of a revenue nature.
- Variation arising on conversion of USD balances to ZWL$ through SI33 of 2019.
- Exchange gain expressed in other currencies i.e., variation that is reportable as gross income is that resulting from Zimbabwe dollar variation not in other currencies.
- Exchange gains of capital nature i.e., on fixed asset or income generating unit of the company- these are deducted from the cost of the asset, for purposes of s 15 (2) (c).
- Exchange gain arising from translation of balances

6.10 Annuities – Section 8 (1) (a)

An annuity is defined as a repetitive annual payment paid to a particular person for life or for some period. The source of an annuity is the act or document under which it is created. Where the annuity is a pension from a pension or benefit fund, the source is situated in the country in which the fund is resident. The characteristics of an annuity are:

- It provides for an annual payment, even if divided into instalments;
- It is repetitive, payable from year to year, at any rate, for some period and;
- It is chargeable against a person

An annuity may take any one of the following forms:

- An ordinary annuity purchased from an insurance company.
- An annuity by way of a gift or legacy.
- An annuity granted as consideration for the sale of a business or an asset or surrender of a right.
- Pension for services rendered

Purchased annuity - When an annuity results from the payment by an assured of a sum of money from amounts which were not allowed as a deduction when contributions were being made, such annuity is taxable only to the extent that it represents interest on the capital sum invested. That portion which, in the opinion of the Commissioner, represents a return of the purchase price of the annuity is excluded from gross income. The following formula is used to determine the annual taxable portion.

$$I = \frac{(P \times N) - A}{N}$$

Where I = interest content of annuity;

P = the annual payment;

N = number of payments expected (this may be a definite period or, in the case of an annuity payable for life, a number of years based on the life expectancy of the annuitant);

A = the purchase price of the annuity that was not allowed as a deduction

Where the annuity accrues over a period of time (i.e., payment is not made once in the year) during the year apportionment should be done based on period. The necessary details will be readily ascertainable from the insurance company granting the annuity. The expectation of life to be accepted in each case will be the actual figure utilized by the insurance company when fixing the purchase price of the annuity at the time of purchase. It should be note that-

Where the full amount of the contributions had been allowed as a deduction the annuity receivable shall be taxable in full i.e., the formula above does not apply in such a case.

Any sums received after the normal expectation of life has been exceeded will be treated as taxable income, and taxed accordingly, as the whole of the capital cost of the annuity will then have been allowed in full to the annuitant.

The formula applies to the calculation of the interest content of an annuity payable for a fixed period, notwithstanding that such guaranteed period of payment may exceed the expectation of life of the annuitant. For example, if an annuity is to be for a guaranteed period of 12 years, then —N in the formula would be 12.

Annuity by gift or legacy - This type of an annuity is either taxable in full or not taxable in full depending on where the fund is situated. A widow ‘s pension, which is one example of this type of an annuity, is not taxable in Zimbabwe if it is situated outside Zimbabwe even though her late husband may have rendered services in this country in the past.

Annuity arising from disposal of an asset - Such an annuity may arise from the sale of a business and, in such a case, the formula mentioned under purchased annuity above would be used, with the cash value of the business at the date of sale being accepted as —A, the purchase price of the annuity. The instalments receivable should be inclusive of interest.

Annuity in the form of a pension - The amount of a pension subject to tax cannot be reduced by the deduction of the capital cost content if the annual contributions have been allowed as a deduction.

6.11 Recoupment - Sect 8 (1) (j)

See capital allowances section for details

Chapter round up

- Gross income includes trading stock, concessions, realised exchange gain of a revenue nature, subsidy of a revenue nature etc.
- Foreign exchange gains of revenue nature are brought into gross income when realised, whereas unrealised exchanges and foreign exchange gain of a capital nature are non-taxable.

7. Exemptions Sect 14 & 3rd schedule

7.1 General overview

Exemptions are set out in section 14 of the ITA as read with the 3rd Schedule. Exempt income means income which is exempt from income tax and includes income which is not taxable income.

7.2 The Concept of annuity

Section 14(3) reflects the conduit pipe principle through which the income flows to the beneficiaries. It provides that dividend and interest which are ordinarily exempt in the hands of the recipient (payee) will change its identity when paid out by the interposing as annuity to the beneficiary. Where a trust receives bank interest and distribute it to a beneficiary, the interest will remain bank interest to a beneficiary.

However, an annuity forms an exception to the conduit pipe principle. Its source is the trust not the source of income used to pay it; otherwise an annuity would end up having two sources. Therefore, the exemptions in respect of dividends and certain interest in terms of paragraph 9, 10 and 11 of Third Schedule of the Act do not apply to any annuity paid out of such exempt income. In view of the decision in COT v R 28 SATC 115 it appears that this subsection is, certainly in respect of annuities created under a will in that the source of the income is the creating instrument, not the assets from which the income is derived.

7.3 The concept of receipts and accruals

The terms receipts and accruals broadly cover all forms of income i.e. profits from trading, interest, dividend, rent, or any other forms of income which is chargeable to income tax. For example, interest from a local financial institution which is normally subject to withholding tax at source would be exempt from such tax if payable to an entity whose receipts and accruals are exempt from tax. However, banks seeking to exempt withholding tax on interest paid by them to a statutory corporation should ask for a statutory from the payee, the reason being it is not automatic that because a statutory corporation is exempt on its receipts and accruals then interest is also exempted.

7.4 Employees of exempt employers

The salaries and wages of persons employed by exempt organisations, although paid out of exempt income, are subject to tax. Where the organization has employees, it should register as an employer and deduct PAYE from on the remuneration paid to the employees. For example, a church is liable to PAYE on remuneration, stipend or any benefit accruing to its employees including pastors.

7.5 Organizations not for profit

Most organisations which are operated not for profit have their receipts and accruals exempt in terms of paragraph 2 of the 3rd schedule of the Act. These include:

- agricultural, mining and commercial institutions or societies not operating for the private pecuniary profit or gain of the members
- Benefit funds
- Building societies;
- clubs, societies, institutes and associations
- Ecclesiastical, charitable and educational institutions of a public character;

- Employees saving schemes or funds approved by the Commissioner;
- Friendly, benefit or medical aid societies;
- Funds established by the Treasury in terms of the Public Finance Management Act (Chapter 22:19);
- Pension funds
- Any statutory corporation which is declared by the Minister to be exempt from income tax, but the Minister may impose a limit on receipts and accruals
- Trade unions
- Trusts of a public character
- Deposit Protection Fund
- Investor Protection Fund
- Insurance and Pension Housing Company

7.6 Clubs, societies, institutes and associations

Only clubs, societies, institutes and associations primarily organized and operated solely for social welfare, civic improvement, pleasure, recreation or the advancement or control of any profession or trade or other similar purposes if such receipts or accruals, whether current or accumulated, may not be divided amongst or credited to or ensure to the benefit of any member or shareholder other than by way of remuneration for services rendered, are exempted.

7.7 Ecclesiastical, charitable and educational institutions of a public character

The expression "of a public character" does not necessarily mean the general community. It includes sections of the public where the benefit to that section is universal and not only accruing to selected individual/s or only certain members of that section (ITC 69 (1927) 2 SATC 264; also, ITC 59 (1926) 2 SATC 186). In the Endeavour Foundation and UDC Ltd v COT (1995) 57 SATC 297 the court pointed out that where a fund benefits a selected member of the society i.e., children of selected employees of various benefactor companies it is not a fund of public character. Further, in the same case, the court in explaining the meaning of 'public character' pointed out that it suffices that an entity's activities benefit a wide cross section of the public to qualify as one of a public character. Generally, the court is more concerned with the actual activities of the taxpayer which in their character should display a public character. Thus, where a trust if formed as charitable, it can still be declared to be non-public in character where its activities show a deviation from what is known to be associated with a public character trust.

As regards what an institution is, the Shorter Oxford Dictionary defines same as an establishment, organisation or association, institute for the promotion of some object especially one of public utility, religious, charitable or educational etc. On the other hand, the word 'education' was considered in the same context in ITC 1262 39 SATC 114 as consisting elements of systematic or formal instructions, schooling or training. It was held also that activities of the company which were of cultural benefit were not education in the ordinary sense. Thus, education is not an acquisition of knowledge, skill or competence by any means whatsoever.

In line with the cases cited above, a charitable organisation of a public character would refer to an organisation that benefits the community or an appreciably large number of the community, and not merely for the benefit of private individuals. Its earnings should not be available for distribution to shareholders or private individual, but applied primarily and solely for the benefit of the public.

The exemption in relation to charitable and educational institutions of a public character may apply not only to their investment income but also to income from the rendering of services and from sales of goods: ITC 1565 (1994) 56 SATC 1; Chancellor, Masters and Scholars of the University of Oxford v CIR (1996) 58 SATC 45).

However, the Finance Act No.8 of 2015made some amendments that will make certain receipts and accruals of Ecclesiastical, Charitable or Educational institutions of a public character taxable with effect from 1 January 2016. Firstly, s14 ("Income Tax for periods of assessment after 1.1.10") of the Finance Act [Chapter 23:04] was amended by the insertion of the following definition – "company" or "trust", is deemed to include a reference to any ecclesiastical, charitable or educational institution to the extent that any part of the income of such institution is derived from trade or investment, not being income from trade or investment that is exempt from tax in terms of paragraph 2(e) of the Third Schedule to the Taxes Act.

This amendment effectively means that income from trade or investment of an ecclesiastical, charitable or educational institution is subject to income tax at the rate of 24.72% with effect from 1 January 2020. The exemption contemplated by paragraph 2 (e) of the Third Schedule of the income tax act [Chapter 23:06] will be limited to:

- Donations, tithes, offerings or other contributions by the members or benefactors of the institutions concerned
- Any other receipts or accruals that are not receipts and accruals of income from trade or investment carried on by or on behalf of the institutions concerned
- Receipts and accruals from trade or investment by any company of the institution provided the institution is the sole or principal member. The company should be licensed by the Minister responsible for the Companies Act [Chapter 24:03] in terms section 26 of the Companies Act.

Effectively, unlicensed companies of churches, schools or charitable institutions are subject to income tax. Further, the institutions are subject to income tax on trade and investment activities. The rules can be summarized as follows:

- A church, school or charitable institution that carries on trade and investment activities is subject to tax on profits from those activates
- Companies of institutions carrying on trade and investment and satisfying the requirements of s 26 of the Companies' Act are not subject to income tax on profits from those activities
- Institutions not licensed in terms of s26 of the Companies' Act taxable on trade and investment income or profits.
- All institutions that have not been registered under the Public Voluntary Act or by the Ministry of Education will have all their income taxed, as they do not qualify for the exemption offered to ecclesiastical, charitable or educational institutions.

7.8 Venture capital company

Receipts and accruals of any company which has as its principal objective to provide venture capital for development purposes are exempt from income tax subject to the following conditions:

- The venture capital fund or company and the recipient company should be residents and should be compliant;
- The venture capital company or fund must not reinvest the receipts and accruals subject to exemption in a business for the sale, leasing or other dealing with immovable property, business ordinarily carried on by financial institutions, financial or advisory services, gaming or games of chance. Additionally,
- the recipient must not be listed on a stock exchange; and
- the recipient must be or must propose to be active in agriculture, mining, manufacturing, tourism or other aspect of the economy deemed by the Minister by statutory instrument to be critical for national development; and
- the venture capital company or fund must not hold shares in the recipient to the extent of controlling it, nor must it exert

- control over the recipient directly or indirectly through a related entity; and
- The predominant mode by which the venture capital company finances recipients is by means of equity rather than debt.

7.9 Mortgage financing

A building society is exempted on its receipts and accruals in terms of paragraph 2(c) of the 3rd schedule of the Act. Effective 1 January 2013 the exemption was extended to financial institutions providing mortgage finance, but only to the extent of those receipts or accruals of the financial institutions which are attributable to the provision of mortgage finance. The term a "building society" means a building society registered in terms of the Building Societies Act [Chapter 24:02], whereas a 'financial institution' means any banking institution registered in terms of the Banking Act [Chapter 24:20]. Mortgage finance refers to the provision of loans for the acquisition of immovable property for residential purposes, which loans are secured by the collateral of immovable property. In the case of a bank providing both taxable income and the said exempt income, section 16(1) (f) of the ITA which prohibits deduction of expenditure related to the production of exempt income becomes very important. Expenditure related to receipts and accruals which are exempt from tax should not be deducted. The taxpayers should be able support the basis of apportionment of the expenditure.

7.10 Investor Protection Fund

The Finance Act 1 of 2014 introduced paragraph 2(n) of the 3rd schedule to the Act which exempts from income tax receipts and accruals of the Investor Protection Fund established in terms of the Securities Regulations, 2010 published in Statutory Instrument 100 of 2010. The fund is meant to protect investors in publicly quoted securities. The exemptions were made to apply retrospectively from 1 January 2013.

7.11 Insurance and Pension Housing Company

As a measure to facilitate provision of housing to potential home seekers, the Finance Act 1 of 2014 introduced paragraph 2(m) to the 3rd schedule of the Act exempting from income tax receipts and accruals of the Insurance and Pension Company. This is a company meant to secure financing for home seekers that is guaranteed by the State. The shareholders of such company are the Ministry of Finance, the Insurance and Pensions Commission and association representing pension funds, life and funeral insurers.

7.12 Quasi-Government and other bodies

The receipts and accruals of the following entities are exempt from income tax

- Any agency of any government, other than the Government of Zimbabwe, approved by the Minister by notice in a statutory instrument;
- Any international organization specified in terms of section 7 of the Privileges and Immunities Act [*Chapter 3:03*] which has been approved by the Minister by notice in a statutory instrument;
- The organizations referred to in the International Financial Organizations Act [*Chapter 22:09*]
- The African Development Bank
- The African Development Fund
- The South African Reserve Bank
- Any foreign organization that provides finance for development in Zimbabwe, to the extent that its receipts and accruals are from a project approved for the purposes of this subparagraph by the Minister.

7.13 Elderly person

An elderly person is entitled to various exemptions in terms of the Act. These include a pension accrual or receipt from a pension fund. The person is also entitled to the following exemptions;

The first $390,000 p.a of interest earned on any deposit with a financial institution.
The first $390,000 p.a of interest on a banker's acceptances and other discounted instruments traded by financial institutions
The first $195,000 p.a of rental income accruing to the taxpayer in the year of assessment

An elderly person is a person who is 55 years old or above. Please note the person should be above 55 years to be entitled to a pension exemption

7.14 Dividends

Paragraph 9 of the 3rd Schedule to the ITA exempts from tax dividends from companies incorporated in Zimbabwe provided that the paying company is chargeable to tax. It is irrelevant whether or not it has taxable income on which tax is in fact charged, provided it is a company which would pay tax on its profits. In particular, therefore, dividends received from building societies are not exempt, since their income is exempt from tax. Those dividends which are exempt from income tax may nevertheless suffer withholding tax see also below regarding class "C" permanent shares). Meanwhile, with effect from January 2017 the exemption contemplated under paragraph 9 of the 3rd Schedule does not, however, apply to amount received by or accrued to or in favor of a person by way of a dividend deemed to have been paid in terms of section 26 (2) or 28 (2)) of the Income Tax Act. This means that the deemed dividend i.e interest computed on a debit exceeding debit to equity ratio 3:1or excess fees, management or administration (section 16(1) (r) and 16(1) (q) respectively) is taxable income in the hands of recipient company.

7.15 Interest

The following interest incomes are exempt from tax:

- Interest on Tax reserve certificates (TRCs) issued by Zimbabwe Revenue Authority.
- Interest payable to a financial institution by another financial institution
- Interest payable to a holder of moneylender's license by a financial institution
- Interest payable to an insurer registered in terms of the Insurance Act (*Chapter 24:07*) by a financial institution
- Interest payable to a person whose receipts and accruals are tax exempt, e.g. interest payable to charitable organizations, trust of a public, education institutions, society or associations etc.,
- Interest on any savings certificate issued in terms of any law,
- Interest on any sum deposited with the Post Office Savings Bank of Zimbabwe,
- Interest on any loan made by the European Investment Bank,
- Interest on any loan to the Infrastructure Development Bank of Zimbabwe made by a non-resident institutional shareholder,
- Interest on class "C" permanent shares as defined in the Building Societies (Class "C" Shares) Regulations, 1986
- Interest on any "agricultural bond" issued by the Agricultural Finance Corporation and a consortium of commercial banks,
- Interest on any bond issued by the Reserve Bank of Zimbabwe on behalf of the National Fuel Investments Company (Private) Limited.
- Interest on any "Diaspora Bond" issued by the Commercial Bank of Zimbabwe (CBZ).

7.16 Small scale gold miner loan

Paragraph 10(q) of the 3rd schedule of the Act provides for exemption of interest on any loan made to a small-scale gold miner for carrying on mining operations or undertaking prospecting or exploratory works for the purpose of acquiring rights to mine gold as far as it is used by the small-scale gold miner in carrying on or undertaking such operations or works in Zimbabwe. A "small-scale gold miner" is a miner who, whether working on his or her own or with the assistance of one --or more employees, is classifiable as a "micro-enterprise" in the mining and quarrying sector of the economy by reference to the Fourth and Fifth Schedules to the Small and Medium Enterprises Act [*Chapter 24:12*].

7.17 Low-cost housing savings

Paragraph 10 (r) of the 3rd schedule of the Act provides for an exemption of interest on any deposit for the low-cost housing savings instrument as defined in the regulations to be prescribed by the Minister. This measure was introduced by the mid-term fiscal policy of 2014. It provides that the regulations in question shall be laid before the House of Assembly and not come into force until the lapse of fourteen sitting days after they are so laid, unless the House has earlier passed a resolution annulling the regulations (until this is done it is still a proposal).

7.18 Export incentive grant or incentive

An amount paid by the government to an exporter of goods under a scheme for the development of export trade is exempted from tax in the hands of the beneficiary taxpayer. The exempted amount shall not include an amount of any duty refunded in terms of the Customs and Excise Act.

7.19 RBZ export incentive

There is an insertion of paragraph 16 in the 3rd Schedule to the Income Tax Act which includes as exempt income a premium paid by the Reserve Bank of Zimbabwe (RBZ) in terms of Export and Foreign Remittance Incentive Scheme on receipt of earnings by exporters and on remittances from abroad received by individuals resident in Zimbabwe, being receipts or remittances channeled through any authorized dealer in terms of the Exchange Control Act (Chapter 22:05). The exemption was introduced by Finance Act No 2 of 2017 with effect from 23 March 2017 and the Finance Act 2018 has backed it to take effect from the 1st of June 2016 in order to align the exemption to the date the incentive was introduced.

7.20 Duty exemption certificates

An amount received by way of the sale, disposal or transfer of any duty exemption certificate issued by the Reserve Bank of Zimbabwe to an exporter qualifying for a rebate of duty on imports in terms of an export incentive scheme under which such certificates are issued is exempt from income tax.

Chapter round up

- The Act exempts certain income from tax in accordance with the provisions of Section 14 as read with the third Schedule.
- Amounts that are exempted from income tax are therefore not liable to tax at all.

8. Specific deductions and prohibited deductions

8.1 Introduction

The Act prescribes certain expenses as tax deductible despite not meeting all the essentials of the general deduction formula. These are contained in ss15 (2) (b) -s15 (8), s 17 and 18. In the same manner some expenses are disallowed despite meeting the requirements of s 15 (2) (a).

Objectives	Apply the general deduction formula. Identify statutory deductions Identify prohibited deductions. Calculate and account for capital allowances in the income tax return. Calculate recoupment and scrapping allowance. Understand the tax implications of leasing transactions. Calculate hire purchase (suspensive sale) relief. Calculate and account for assessed losses in the income tax return.
Act: (if applicable)	Sect 15 ARW 4th& 6th Schedules Sect 16 Sect 17 Sect 18
Relevant Cases	D Bank v ZIMRA [2015] HHC 135 MA Ltd v ZIMRA 16- HH-316 G Bank Zimbabwe Ltd v ZIMRA S15-HH-207 BT (Pvt) Ltd v ZIMRA, HH617/14

8.2 Statutory deductions- s15 (2) – 8

Expenditure	Explanation
Section 15 (2) (b) Repairs	Expenditure incurred during the year of assessment on repairs to articles, implements, machinery and utensils used and property occupied for the purposes of trade. Repairs resulting from the letting of property. Repairs resulting from the letting of property. Repair is restoration by renewal or replacement of subsidiary parts of the whole i.e. restoring an asset to its original state at the time it was first owned by the taxpayer. It is not necessary, however that the materials used should be identical with the materials replaced. *NB: Repairs are to be distinguished from improvements.* Examples: • Replacement of a broken window with a shatter proof (repair). • Replacing cement floor with tiles (repair). • Extension of building (capital).
Section 15 (2) (g) Bad and Doubtful Debts	A deduction can be claimed in respect of debts, which are irrecoverable as long as all the following conditions are met: • The debt must be due and payable to the taxpayer, • The debt must be proved, to the satisfaction of the Commissioner, to be irrecoverable as at the end of taxpayer's financial year; and • The debt must have been included in the taxpayer's income either in the current or any previous year of assessment. Where the debts remain unpaid for a long time and with no possibility of payment, bad debts will be assumed. (*BT (Pvt) Ltd v ZIMRA, HH617/14)*

Section 15 (2) (h) Contributions to a benefit or Pension Fund (A.R.W 6th schedule)	An amount to be determined in accordance with the Sixth Schedule in respect of contributions made in the year of assessment to a benefit or pension fund or the Consolidated Revenue Fund. Provided that no contribution to a retirement annuity fund shall be allowed as a deduction to a member of such fund who was not ordinarily resident in Zimbabwe at the time, he made the contribution. NB: The contribution paid by the employer allowed as a deduction is limited to $390,000 per employee and contributions paid by an employee allowed as a deduction are limited to $390,000 per annum.
Section 15 (2) (j) – Medical Aid Societies	The amount of any contributions paid to a Medical Aid Society by an employer in respect of his employees or their dependents.
Section 15 (2) (m) Experiments and Research	A taxpayer may deduct expenditure incurred during the year in carrying out experiments and research relating to his trade, other than expenditure of a capital nature incurred on plant, machinery, land or premises or on the acquisition of rights.
Section 15 (2) (n) – Experiments and Research	The principle is extended to sums, which the taxpayer contributes to other persons carrying out such experiments and research relating to the taxpayer's trade or a proportion of such contributions if the other person's expenditure is not wholly of this nature. The amount allowable as a deduction shall be determined by the formula: $\frac{A \times B}{C}$ Where: A = the amount of the taxpayer's contributions B = the amount incurred by the other person, which would have been allowed as a deduction in terms of sect 15 (2) (m) above C = is the total amount of the expenditure incurred on experiment and research.
Section 15 (2) (o) Scientific Research and Experimental Work	Deductible are contributions to approved scientific or educational bodies with the condition that they be used for industrial research or scientific experimental work connected with the taxpayer's trade.
Section 15 (2) (p) Educational Grant, Bursary or Scholarship	A deduction is allowed of grants, bursaries, scholarship paid for a person undergoing technical education, provided that the course is related to the taxpayer's trade and that the beneficiary is not the taxpayer, his spouse or near relative of either spouse. If the taxpayer is a company, the beneficiary should not be a near relative of the individual controlling the company, his spouse or near relative of the spouse unless the director works full time for the company and controls not more than 5% of the share votes.

Section 15 (2) (q) Voluntary Payments to Former Employees and/or their dependants	Any amount paid during the year of assessment by way of an annuity, allowance or pension is deductible subject to the following: • The employee must have retired because of ill health, infirmity or old age. • The amount allowed is restricted to $40,000 per tax year for each former employee. • In the case of payments to dependents or persons who were dependent on a retired or deceased former employee the annual restriction is $16,000 in respect of all dependents of each ex-employee. NB: In all cases the amount allowed is reduced by any obligatory payments (e.g., pension or annuity) received during the year by the ex-employee or dependant from any fund of the former employer.
Section 15 (2) (r) Donations	A deduction shall be granted for payments made to the National Scholarship Fund, National Bursary Fund or a charitable trust administered by the Minister responsible for either Social Welfare or Health.
Section 15 (2) (r1) Donations	Any amount not exceeding $13,000,000 paid by a taxpayer during the year of assessment to the State or to a fund approved by the Minister of Health for, any of the following operated by the state, local authority or religious organisation: • the purchase of medical equipment; • the construction, extension or maintenance of a hospital and or; • the procurement of hospital drugs (including ARVs).
Section 15 (2) (r2) Donations	Any amount not exceeding $13,000,000 paid by a taxpayer during the year of assessment without any consideration at all to a research institution approved by the Minister responsible for higher or tertiary education.
Section 15 (2) (r3) Donations	Any amount not exceeding $13,000,000 paid by a taxpayer during the year of assessment, without any consideration at all, to the state or a fund approved by the minister responsible for education, for any of the following operated by the state, local authority or religious organisation: • The purchase of educational equipment; • The construction, extension or maintenance of a school; and • The procurement of school books or other educational materials.
Section 15 (2) (r4) Donations	Any amount not exceeding $6,500,000 aid by a taxpayer during the year of assessment without any consideration to the Public Private Partnership Fund.
Section 15 (2) (r5) Donations	Any amount not exceeding $6,500,000 paid by a taxpayer during the year of assessment without any consideration to the Destitute Homeless Persons Rehabilitation Fund established by the Ministry of Finance under the Audit and Exchequer Act.
Section 15 (2) (s) Subscriptions	A deduction is allowed for subscriptions paid by a taxpayer in respect of his continued membership to any business, trade, technical or professional association. Entrance fees are not allowable.
Section 15 (2) (t) Expenditure Prior To Commencement of Business	A deduction is allowed from business income, in respect of expenditure which; was incurred by the taxpayer, 18 months prior to commencement of business, in the course of establishing the business, and would have been allowed as a deduction had it been incurred after beginning the business and is claimed in the year of assessment in which business commences.
Section 15 (2) (u) Opening Stock	Accounting principles are recognised and the taxpayer is allowed to deduct the value of the trading stock, which was on hand at the end of the preceding year of assessment, i.e., opening stock

S 15(2)(v) Trading Stock acquired other than in the course of trade	A deduction shall be allowed from the income derived by the taxpayer in a year of assessment, from the carrying on of a trade, an amount equal to what the Commissioner considers as, at the date it was brought to hand or at the date it was acquired, the fair and reasonable value of such trading stock of the taxpayer acquired otherwise than in the course of trade.
Section 15 (2) (w) Conventions and Trade Missions	The cost of attending a convention or trade mission is allowed as a deduction subject to the following: • The deduction is restricted to $235,000 of the amount spent in any one tax year and must relate to not more than one convention, which in the opinion of the Commissioner was in connection with the trade carried on by the taxpayer or one trade mission, approved by the Minister (not both). • If the convention or trade mission commences in one year of assessment and ends in another the deduction is allowed in the tax year it ends. • If the person attending is a member of a partnership and the partnership bears the expense, each partner is allowed to deduct an amount in proportion to his share of profits. • In such a case the limit of $235,000 is applicable to one visit by each partner
Section 15 (2) (aa) Legal costs on Income Tax Appeals	Taxpayers who appeal against any decision made by the Commissioner and whose appeal is allowed in full in the Special Court or the High Court, may deduct their legal costs (allowed by the registrar of the court as being in accordance with the proper scale for such costs) in the year of assessment in which the costs are so "taxed"
Section 15 (2) (bb) Legal cost on Income Tax Appeals	Should an appeal be taken further (by either partly) to the Supreme Court, and the taxpayer's case be upheld in full or to a substantial degree the court may, at its discretion, permit the costs to be deducted.
Section 15 (2) (jj) Approved Employee Share Option Scheme.	This section allows for a deduction of the fair value of any stock, shares, debentures, units or other interest paid or given by the client to an employee of the client or for the benefit of an employee of the client pursuant to an approved employee share ownership scheme or trust.
Section 15 (2) (kk) Maintenance on behalf of Local Government	Expenditure not exceeding $6,500,000 approved by the Minister responsible for local government on the maintenance of Government buildings, roads, bridges, water works, sanitation works, public works and any other utility, amenity or item of infrastructure.
Section 15 (2) (gg) Export development expenditure	The amount of any export-market development expenditure incurred by the taxpayer during the year of assessment, together with an amount equal to one hundred per centum of such expenditure. (The taxpayer gets a double deduction on expenditures incurred on export development). Export development expenditure includes: • research into, or the obtaining of information relating to, markets outside Zimbabwe; • research into the packaging or presentation of goods for sale outside Zimbabwe; • advertising goods outside Zimbabwe or otherwise securing publicity outside Zimbabwe for goods; • soliciting business outside Zimbabwe or participating in trade fairs; • investigating or preparing information, designs, estimates or other material for the purpose of submitting tenders for the sale or supply of goods outside Zimbabwe; • bringing prospective buyers to Zimbabwe from outside Zimbabwe; and

	• Providing samples of goods to persons outside Zimbabwe.
Section 15 (3) Assessed Losses	Where a taxpayer has income from one business activity but sustains a loss on another, the latter is set off and only the balance is taxable. If the deduction exceeds the income the excess is defined as the "assessed loss". Assessed loss determined in the previous year of assessment is deductible. Except in the case of mining no assessed loss shall be carried forward after the expiry of six (6) years from the end of the year of assessment in which it was determined. No assessed loss attributable to business operations carried on by a taxpayer shall be allowable as a deduction from income received by or accruing to him under a contract of employment. Assessed losses from the sale or disposal of a business unit can-not be carried forward. No assessed loss shall be carried forward where there is a change in shareholding with the intention of taking advantage of the assessed losses. This is essentially designed to avoid trafficking in shares of companies with assessed losses. Taxpayers would normally engage themselves in such activities so as to take advantage of the assessed losses. Whenever the exchange of shares of such a company takes place the onus lies with the taxpayer who buys the shares to prove that the transaction was devoid of a motive to take advantage of the loss. Where a new company is formed in Zimbabwe to take over a foreign company's business it can inherit the assessed loss of that company. Generally, a loss attaches to the taxpayer on whom it was assessed and cannot pass to another taxpayer. But in this case, it is permitted on condition that the members' shareholding is exchanged for a proportionate shareholding in the new company and no new shareholder will be accepted in the new company formed. In cases where losses have accumulated for a number of tax years and taxable income is realised in any of the subsequent tax years, the assessed loss incurred first should be exhausted before losses that occurred later. An assessed loss is not cancelled by the cessation of trade for a period, a complete change of trade or any other factor except in circumstances mentioned in the provisos to this section.

8.3 Prohibited Deductions – Section 16

Section 16 of the Income Tax Act outlines cases in which no deduction is allowable for tax purposes.

SECTION	EXPLANATION
Sect 16(1)(a)	The cost incurred by any taxpayer in the maintenance of himself, his family or establishment
Sect 16 (1)(b)	Domestic or private expense including travelling cost between home and place of work or to place where a taxpayer carries on a trade (or vice versa) and the cost of travelling between two places of work / trade whose businesses are distinct in nature. A home can be a place of business if it is specifically equipped for the purposes of the taxpayer's trade or regularly and exclusively used for such purposes.
Sect 16 (1)(c)	Indemnity insurance: Any loss or expense which is recoverable under any insurance contract, guarantee, security or indemnity Example *A vehicle belonging to Company A was involved in an accident*

Sect 16 (1) (d)	Tax on profits or income of taxpayer whether payable in Zimbabwe or outside Zimbabwe and interest chargeable on late payment of any tax. NB: Cost of complying with an obligation imposed by ZIMRA in relation to the tax affairs e.g., cost for preparing tax returns, tax health checks, PAYE, withholding taxes and irrecoverable VAT if expenditure is of a revenue nature are all deductible.
Sect 16 (1) (d1)	Intermediated Money Transfer Tax w.e.f. the 20th of February 2019 which is when the Finance Act 1 of 2019 was gazetted.
Sect 16 (1) (e)	Transfers and appropriations: all forms of profit appropriation i.e., dividend, general reserve or any income carried to any reserve fund, appropriated or capitalized in any way. This includes impairment reserve, revaluations and other similar amounts. All forms of provisions including but not limited to provisions for leave, bonuses and directors' fees and audit fees (DNS (PVT) LTD vs. Zimbabwe Revenue Authority HH 722-19 (FA22/16). Amounts not finalized at year end i.e., a contingent liability NB Amounts are allowed only when they have been actually incurred.
Sect 16 (1) (f)	Expenditure on exempt or non-Zimbabwean source income: expenditure incurred in the production of exempt income, income not from a source within Zimbabwe, private income or related to foreign dividend. The expenditure is apportioned if it is incurred for dual purposes i.e., partly in the production of income and partly for some other purposes.
Sect 16 (1) (g)	Contributions to unapproved fund: Contributions made to an unapproved pension fund, benefit or medical aid fund. Benefit and medical aid funds are approved by the Commissioner in terms of s13 of the Act.
Sect 16 (1) (h)	Notional interest: the cost of any notional interest forgone as a result of investing capital in a trade i.e. opportunity cost interest. This includes interest earned on capital employed in business e.g., interest on preference shares.
Sect 16 (1) (i)	Vacant or unproductive property: Domestic or private expenses, including rent, repairs or expenses incurred on a vacant, domestic, private, unproductive property or property not occupied for the purposes of trade, but repairs resulting from the letting of property or the occupation by the tenant are deductible.
Sect 16 (1) (j)	Restraint of trade: being of a capital nature. Restraint of trade includes an exclusive agency agreement which restraints another person from selling goods other than those supplied by the taxpayer or an agreement entered for purposes of eliminating competition.
Sect 16 (1) (k)	Leasing of a passenger motor vehicle: cost of hiring or leasing a passenger motor vehicle which is in excess of ZWL$1,300,000. The limit is determined on a cumulative basis i.e., over the life of leasing the same vehicle. The limit is applied only to the leasing or hiring costs; motor running expenses are deductible in full unless the vehicle is used by a shareholder or someone in the position of a proprietor (e.g., managing director, owner, partner etc.) for private purposes (see definition of passenger motor vehicle para 14 of 4th Schedule to ITA). EXAMPLE On 1 December 2021, XYZ Ltd commenced hiring a PMV from a local motor hirer company. It is required to pay monthly rental of $300,000. Show its deductible lease expenses in 2022. SOLUTION Maximum required by law 800,000 Less Paid the previous year (300,000) Deductible amount 500 ,000
Sect 16 (1) (l)	Cost of shares: cost of shares given to employees (including directors). Shares that are given as remuneration or as a bonus to an employee or a director are however deductible. See also above deduction in terms of s 15 (2) (jj) of the Act

Sect 16 (1) (m)	Entertainment expense: Entertainment is construed to mean hospitality or amusement of any form. Broadly, it covers the entertainment of customers, prospective customers, employees or any person. In *Rev v Hathorn & Others* 1948 (4) SA 162, 15 SATC 456 at 461 it was said that 'entertainment is capable of comprehending a banquet, a meal, or indeed refreshments of any kind and hospitable provisions generally' Expenditure is disallowed regardless of the fact that the taxpayer has incurred expenditure directly or indirectly through provision of any allowance to any employee or director for purposes entertaining anyone on behalf of the taxpayer. For example, expenditure incurred by companies on DSTV subscriptions for staff, gym fees; holiday cottages are considered forms of entertainment expenditure. The expenditure still needs to be tested against the general deduction formula in section 15(2) (a) of the Act and if it is found to be incurred for purposes of trade or in the production of the taxpayer's income, it will not be disallowed (*ITC 1394* (1984) 47SATC 119 (Z)).
Sect 16 (1) (n)	Expenditure on dividend from a foreign source: e.g., on brokerage fees, bank charges, postage expenses, interest payable on money borrowed to purchase the shares, etc.
Sect 16 (1) (p)	Expenditure incurred in the production of interest paid by a financial institution: expenditure incurred in the production of interest payable by a financial institution. In other words, where a taxpayer borrows money for on-lending to a bank, discount house or finance house or building societies, any interest incurred by him on the borrowed funds is not deductible. The reason being that no deduction is permissible of income e from tax. Interest payable by financial institution is exempt from tax but subject to final withholding tax at source.
	Interest on excessive debit capital (*the Thin Capitalisation Rule*): A company financed primarily by debt is deemed to be thinly capitalized. Thin cap is discouraged by limiting interest deductible in related parties borrowing to that applicable on debt to equity ratio of three to one ."equity" means issued and paid-up capital, unappropriated profits, reserves, realised reserves and interest-free loans from shareholders: independent party (ies) debt contracted by a local company or subsidiary of a local company with a locally domiciled, registered or incorporated financial institution or other person ordinarily resident in Zimbabwe; as long as the parties have not colluded is not affected by thin cap rules. The disallowed expenditure (excessive interest and other consideration) is computed as follows: $\frac{A \times (B-C)}{B}$ A = the total interest or expenditure incurred during such year on debt B =is the total financial assistance (debt) C =is the equity capital multiplied by 3 The following is the step-by-step procedure: 1. Aggregate equity is the aggregate of share capital, share premium, revenue or capital profits and any other owner's permanent capital (including shareholders loans) 2. The result is to be multiplied by three ("result 3"); and, 3. Then, result 2 shall be subtracted from the balance of all debts 4. Then, multiply excessive debt by total interest or expenditure incurred, and then divide by total debt 5. Result will be the excessive expenditure or interest. The excess debt is then reclassified as equity and the interest or other related expenditure on the reclassified debt is treated as dividend distribution by the company to its shareholders. These dividends are however subject to 15% Non-Resident Shareholder's Tax when such interest is paid to a non-resident.

	Fee, administration and management expenditure (commonly known as management in excess of 1% (0.75% prior to commencement) of the paying entity deductible expenditure. Deductible amount is computed as follows: 1% (or 0.75%) x [A- (B +C)] A total expenditure qualifying for deduction under s15 of the ITA. B management fee paid outside Zimbabwe by the taxpayer C is the mining capital allowances (for taxpayer who is a miner) • Withholding tax of 15% is applied on excessive fees if paid are outside Zimbabwe • The tax is paid to ZIMRA within 10 days of the date of payment of the fees. • Management fees that are not commensurate to those that would have been agreed by independent parties for the same services under the same economic environment are adjusted accordingly using transfer pricing rules. • These rules are independent of T P rules, both rules may be applied.
S16 (2)	Cost not directly related to a taxpayer's trade:

Chapter round up

- A bad debt is deductible if :(1) it is proved to the satisfaction of the Commissioner to be irrecoverable, (2) was included in the taxpayer's income and (3) the debt is due and payable to the taxpayer.
- Expenditure on convention and trade mission is deductible up to a maximum of $235,000 each, in the year in which the convention or trade mission ends.
- Assessed loss can be carried forward for a maximum of 6 years.
- A double ($2 for $1 incurred) deduction is granted of export market development expenditure.

9. Capital Allowances and Other Special Deductions

9.1 Introduction

The cost of acquiring assets used in trading is an expenditure of a capital nature, which is not allowable as a deduction. Depreciation also is not an expense to the taxman. It is replaced by the following capital allowances: Special initial, Wear and tear and Scrapping Allowance. To qualify for allowances an asset must be used for purposes of trade. Land generally does not qualify for either depreciation or capital allowances.

Objectives	1. Calculate and account for capital allowances in the income tax return. 2. Calculate recoupment and scrapping allowance. 3. Understand the tax implications of leasing transactions. 4. Calculate hire purchase (suspensive sale) relief. 5. Calculate and account for assessed losses in the income tax return.
Act: (if applicable)	Sect 15 (2) (c) Sect 15 (2)(d) Sect 15(2) (e) Sect 17 Sect 18
Relevant Cases	D Bank v ZIMRA [2015] HHC 135 Goldcoast (Pvt) Ltd v ZIMRA

9.2 Definition of Assets (4th Schedule):

Railway line	• The rails, sleepers and equipment pertaining thereto of any railway track but does not include ballast, embankments, bridges, culverts and other railway constructions
Commercial buildings	• Building constructed on or after 1975 and used to an extent of at least 90 % of its floor area for purpose of trade. • Examples retail shops, Hotels (registered in the Tourism act), showrooms, commercial offices etc. • It is not: ➢ A farm improvement, industrial building, staff housing, tobacco barn. ➢ A building used 10% or more of its floor area for residential purposes, but which is not: ➢ A block of flats, apartment or similar units of residential accommodation.
Industrial building	• Any building used as a factory for industrial purposes. • Any building containing a machinery and is used for machinery operations • Any building which is within the same boundaries with an industrial building • Any building erected for the purposes of carrying out industrial research or scientific experiments • A building owned by a manufacturer and is used for storing his goods i.e. raw material, processed goods or work in progress or finished goods. • Canteens, garages and drawing offices used mainly in connection with a manufacturing industry. • Toll-roads or toll-bridges as declared in terms of the Toll-roads Act • A hotel with a liquor license including permanent structures used together with it e.g., swimming pool etc • Tennis courts (permanent), golf courses and bowlings greens • Fencing or tarmac, concrete of similar sealing surrounding an industrial building. • *NB: Building should be used at least 50% of the floor area for purposes of trade*

	• NB: Warehouse does not qualify as an industrial building if they store goods which have not been manufactured by the taxpayer and showrooms are regarded as commercial buildings.
Staff Houses	• Any permanent building used by a taxpayer for the purposes of its trade for mainly housing its employees and not as residential units • The erection of such buildings should have been commenced on or after 1 January 2009 and the cost should not exceed $800,000 (the value is w.e.f. 1 January 2022.
Farm improvements	• Any building, works or structure of a permanent nature, e.g., including any building whose construction commenced on or after 1 April 1988 and is used as a school or as a medical establishment (a hospital, a nursing home or a clinic) in connection with the farming operations. More than 50% of farm school pupils must be children of farmer workers. More than 50% of the patients must be farm workers and their families. • It includes any building used wholly or mainly for the housing of staff employed at the school or at a medical establishment (staff houses for teachers and nurses). • Restricted cost for school or hospital is $1,300,000 • Restricted cost for teacher or nurse staff house is $1,300,000
Passenger Motor vehicles (PMVs)	• Vehicles powered either mechanically or electronically and used on roads mainly for conveyance of passengers • PMVs include station wagons, estate cars, vans, 4x4 double cabs etc. • The vehicle should be used at least 50% for the conveyance of passengers • The asset has a deemed cost of ZWL$1,300,000 • Passenger motor vehicle qualifies for both SIA and wear and tear
Articles, Implements and Utensils	• Movable asset with an independent identity despite being an integral part of a building • The asset should not be a permanent feature of a building • An item which is so integrated in an immovable asset that loses its independent identity ceases to be an article
Computer Software	• Computer software is an intangible asset that is either purchased or internally developed and should be capitalized if it meets the capitalization threshold • Purchased computer software, including software license fees, should be capitalized if the total dollar amount of the fee divided by the number of units served (terminals) exceeds the capitalization threshold. • For internally developed software, costs associated with the application development phase should be capitalized only if the costs were incurred subsequent to the preliminary project stage. • Costs associated with the preliminary project and the post-implementation/operating phases should be expensed as incurred. • Costs to develop or obtain software that allows for access or conversion of old data by new information systems should also be capitalized

9.3 Special Initial Allowance (SIA)

Act: (if applicable)	Section 15 (2) (c) ARW para 2 of the 4th Schedule to the ITA
Overview: (if applicable)	SIA is a tax incentive available to taxpayers who construct immovable property (other than commercial buildings) and incur expenditure on moveable assets. The allowance is at the rate of 25% in the first year and 25 % in each of the 3 subsequent years. Tax payers should make election to qualify for SIA.

Rules	**Items ranking for SIA:** • Expenditure incurred by taxpayer on construction of immovable property (industrial buildings, railway lines, staff housing etc other of commercial buildings) • Expenditure on additions to existing immovable properties as above, • Expenditure on new or used articles implements, machinery or utensils **Items on which SIA cannot be granted:** • Purchased immovable properties (buildings) • Commercial buildings • Items used less than 90 % in the production of taxpayer's income • Assets acquired through donations or inheritance • Assets acquired for purposes of lease under a finance lease **Conditions to qualify for SIA** • Assets should be used by taxpayer for purposes of its trade • Assets should be in use on the last day of the year of assessment and used 90% in trade or the production of income • SIA shall be forfeited if not claimed in the first year an asset is put to use, wear and tear is however claimable • SIA can never be apportioned on time or usage basis • Full SIA is claimed if an asset is used at least 90% in taxpayer's trade or in the production of its income. • Evidence of expenditure incurred, (such as invoice or receipt) and use of asset during the year of assessment • Is calculated based on cost i.e., straight-line method. • S.I.A. is granted in the year in which asset is first put into use. • Is granted upon election [in an exam key words are ''compute maximum allowances, or minimum taxable / tax liability '' when required to elect.] • Fiscalised electronic register charge SIA on 50% of the cost (4th schedule para 2).

9.4 Wear and tear

Overview: (if applicable)	It is the government's policy to grant uniform capital allowances to ensure equity amongst tax payers through a method called wear and tear. Wear and tear is granted where SIA has not been granted on ranking assets.
Rules	Items ranking for wear and tear: • Expenditure incurred by taxpayer on construction or purchase of immovable property • Expenditure on additions to existing immovable properties as above, • Expenditure on new or used articles, implements, machinery or utensils • Items on which wear and tear cannot be granted: • Items that ranked for SIA • Items not used in the production of income or trade of taxpayer • Items fully written off for tax purposes (ITV is zero) Conditions to qualify for wear and tear • Moveable assets should belong to and be used by taxpayer for purposes of its trade

- Assets should be in use on the last day of the year of assessment.
- Wear and tear should be calculated on written down value (ITV) of moveable asset
- Wear and tear is calculated based on cost on immoveable property
- When moveable property is used more than 10% by shareholders or owners, wear and tear is apportioned (not applicable to taxpayer)
- For immoveable property there should be evidence of expenditure incurred on acquisition or construction and use of asset for purposes of trade.
- For moveable property, there should be evidence of title and use for purposes of trade (Vehicle Registration Book)

Wear and tear rates

Asset	Rate	Base
(1) Railway line	5%	Cost
(2) Industrial buildings	5%	Cost
(3) Commercial buildings	2.5%	Cost
(4) Staff houses	5%	Cost
(5) Computers and data processing units (Servers and networks, End user devices such as desktops, laptops, printers etc.)	10%	Written down value
(6) Computer Software	10%	Written down value
(7) Furniture and Fittings	10%	Written down value
(8) Motor Vehicles	20%	Written down value
(9) Office Equipment	10%	Written down value
(10) Articles, Implement and utensils	10%	Written down value
(11) Plant and machinery used two shifts (16 hrs)	17.5%	Written down value
(12) Plant and machinery used 3 shifts (24 hrs)	25%	Written down value

Example (SIA & W&T

A taxpayer constructed a commercial building and staff housing in the first year of her trade, and used these for purposes of her trade on 1 November 2021. The commercial building cost $400 000 and staff housing cost $22 000. She also acquired furniture & fittings for $10 000 on 1 July 2021

Required to compute maximum allowances

Solution

Wear & Tear Schedule for the year ended 31 December 2021

Asset	**Commercial Building (ZW$)**	**Staff Housing (ZW$)**	**Furniture & Fittings (ZW$)**
Cost/ITV	400,000	22,000	10,000
Deemed cost	-	-	-
W&T rate	2.5%	5%	10%
SIA (25%)	NIL	5,500	2,500
W&T	10,000	Nil	Nil
ITV	390,000	16,500	7,500

Notes for the solution:

- Where you are asked to calculate maximum allowances, you allow for SIA since it has more allowances than W&T, subject to conditions stated above.
- A commercial building will never qualify for SIA at all
- The qualifying cost for a Staff housing is restricted to $1,300,000 per annum.

Capital expenditure for tax purposes

- Cost of acquiring or construction of assets itself
- All costs necessary to get asset ready for its intended use:
- Insurance in freight charges
- Traveling costs to purchase the asset
- Initial set up or installation cost
- Calibration in programming costs
- Stamp duty
- Custom duty
- Any ancillary costs related to acquisition and installation of the asset
- Insurance costs related to acquisition and installation of the asset
- Site preparation costs to install the asset
- Professional fees in connection with construction or purchase of the asset
- Finance charges on hire purchase
- Borrowing costs on construction of immovable property
- Demolition costs for clearing ground to construct new asset
- Cost of employee benefits
- Initial delivery and handling costs
- Realised foreign exchange gain or loss on asset acquisition or construction

Cost or items not to be capitalised for tax purposes

- VAT refundable in terms of section 15 (3) of the VAT Act
- Revaluation and fair values
- Impairment
- Opening a new facility;
- Introduction of a new product or service (including costs of advertising and promotional activities);
- Conducting business in a new location or with a new class of customer (including costs of staff training);
- administration and other general overhead costs;

9.5 Cost base of an asset for purposes of calculating capital allowances

Purchased Assets	Constructed Assets
For purchased assets the cost base is made of the following: • Purchase price • Costs necessary to bring an asset into condition of use e.g., Freight costs, travel costs, insurance costs, installation costs • Irrecoverable taxes e.g. VAT for non-registered operators, customs duty • Exchange gains or losses on acquiring the asset	The cost base would include the following: • Salaries and wages for construction staff • Architectures fees • Surveyors' fees • Material costs • Interest cost on loan used to fund asset construction (interest is capitalised up to the date asset construction is completed).
Inherited Assets	**Donated assets**
• Cost base is the value determined for estate duty purposes.	• Cost is equal to the market value of the asset at the time of donation.
Hire purchase acquisitions:	
• The cost is the full purchase price inclusive of finance charges.	

9.6 Scrapping Allowance – 4th Schedule Para 4

Scrapping allowances are the equivalent of losses on disposal of fixed assets used for trade. It arises when a scrapped asset is disposed of for proceeds which are less than the income tax value. Scrapping allowance is deducted in the determination of the taxpayer's taxable income. The question then arises, what is scrapping?

The word scrap is generally taken to mean used up or discarded and no longer used by the taxpayer for purposes of trade.

In a case where the asset has not been sold, the allowance can only be granted where the commissioner is satisfied that the asset has become useless for business purposes or has been discarded with no intention to use it again in the future.

When business organisations wind up operations, scrapping allowances will be allowed to the extent that it does not exceed the recoupment arising from the business closure.

Example
In January 2022 a taxpayer acquired a lorry for $16 000 000 which was to be used for the purpose of trade. The taxpayer elected to claim the maximum allowances available in terms of the 4th schedule. In June 2022 the lorry was scrapped as it had been involved in an accident and was damaged beyond repair. The taxpayer sold the scrap to a local garage for an amount of $2 000 000.

Required: Calculate the scrapping allowance available to the taxpayer.

Solution:

Since the taxpayer claimed the maximum available allowance the ITV on the date of scrapping is calculated as follows:

Cost	**16,000 000**
Less SIA – 2012($16,000*25%)	(4 000,000)
Acc W&T 2013($16,000*25%)	(4 000,000)
Income Tax Value on date of scrapping	8 000,000

Therefore, scrapping allowance is calculated as follows:	$
Proceeds	2 000,000
Less ITV	(8 000,000)
Scrapping Allowance	(6 000,000)

9.7 Recoupments Section 8 (1) (j)

Any accounting profit that may arise on sale or disposal of fixed assets is of capital nature and non-taxable. It is replaced by recoupment, which is a tax profit on the sale of an asset for which capital allowances were claimed in terms of section 15(2) (c). It is brought into gross income in terms of s 8 (1) (j). It represents a recovery of capital allowances previously granted.

- Whenever taxpayer sells a fixed asset at above income tax value (ITV), it should compute recoupment for inclusion in gross income
- Recoupment cannot exceed capital allowances previously claimed on the asset
- It is the difference between the selling price of the asset and its income tax value
- If selling price exceeds original cost, original cost is used as the selling price.
- For fixed assets with restricted qualifying costs such as. passenger motor vehicles (PMVs), recoupment is computed as follows:

$$\text{Recoupment} = [\text{Deemed selling price} \quad \text{Less} \quad \text{ITV}]$$

- Deemed selling price is computed as follows

$$\text{Recoupment} = [\text{Actual selling price} \times \text{Restricted cost/Actual cost}]$$

- Restricted cost is the cost qualifying for capital allowances i.e. ZWL$1,300,000 in the case of a PMV

9.8 Recoupment for damaged asset

Recoupment may arise when a damage of an asset occurs and compensation is received from an insurer. Relief is granted where such insurance proceeds are reinvested in similar property.

- Where a capital property is destroyed, the taxpayer is considered to have involuntarily disposed of the property for income tax purposes.
- The insurance proceeds received for a destroyed capital property are treated as proceeds of disposition of the property for the purposes of calculating recoupment and capital gain (in the case of immovable property)
- Relief on recoupment is granted upon election if a taxpayerif the insurance proceeds are reinvested in property of like nature subject the following conditions
  - It purchases or constructs or will purchase or construct, within a period of 18 months from the date the asset was damaged or destroyed, a further asset of a like nature in replacement thereof; and

- that such further asset has been or will be brought into use within a period of 3 years from the date the aforesaid asset was damaged or destroyed;

- In the event the Commissioner is not satisfied that:
  - Full amount so recovered or recouped has been fully expended on the purchase or construction of a further asset of a like nature within 18 months, he shall include any amount not so expended in the tax payer's gross income in the year of assessment in which the amount was originally recovered or recouped; or
  - A further asset of a like nature has been brought into use within 3 years, he shall include in that the tax payer's gross income, in the year of assessment in which the amount was originally recovered or recouped, any part of that amount not previously included in gross income;
- Therefore, when proceeds are partially expended recoupment to be included in gross income will be computed using the following formula:

$$\frac{A \times B}{C}$$

A is the unexpended amount
B is the recoupment computed using the full compensation
C is the compensation received.

The following framework is used to calculate recoupments.

	$
Proceeds	XXX
Less ITV	(XXX)
Potential Recoupment	XXX
Actual Recoupment (Limited to capital allowances previously granted)	XXX

Where an asset had its cost restricted for purposes of calculating allowances (e.g. passenger motor vehicle), its selling price must also be restricted for purposes of calculating recoupment, as follows:

Example: Recoupments

A taxpayer purchased the following assets in the 2016 tax year, a passenger motor vehicle for $150,000, Machinery $40,000. During 2019-tax year he sold them for $90,000 and $30,000 respectively.

Required: To calculate his recoupment in the current. Assume SIA was claimed.

Solution:

Passenger motor Vehicle:

Deemed selling price	$10,000 x $9,000 $15,000 =$6,000
Recoupment	
Deemed selling price	=$6,000
Less ITV*	($2,500)
Potential recoupment	$3,500
Allowances granted*	=$7,500
Actual Recoupment	=$3,500
*Allowances	
2010 SIA ($10,000*25%)	2,500
2011 Accelerated W&T ($10,000*25%)	2,500
2012 Accelerated W&T ($10,000*25%)	2,500

NB: That prior to 1 January 2019 the deemed cost on PMV was $10,000 and the question is based on the rules applying then.

Machinery: Recoupment		$
Selling Price		45,000
Less ITV*		(10,000)
Potential Recoupment		35,000
Allowances granted*		30,000
Actual Recoupment		30,000
*Allowances		
Cost		40,000
Less: 2010 SIA	(10,000)	
2011 W&T	(10,000)	
2012 W&T	(10,000)	(30,000)
Income tax Value		10,000

Recoupment on damaged asset

Where recoupment arises on damage of an asset, and the sale proceeds are receivable through an insurance policy, the whole amount will not be taxable provided the tax payer satisfies the commissioner that:

Within a period of 18 months from the date of damage or destruction he has purchased or constructed a similar asset thereof and that;
Such asset has been or will be brought into use within a period of 3 years from the date the original asset was damaged or destroyed.

9.9 Transfer of Assets – 4th Schedule

Where assets are transferred between companies under the same control, or between husband and wife or in a scheme of localization if the taxpayer so elect, there shall be no recoupment in the hands of the transferor.

The assets are deemed to be transferred at their income tax values hence no recoupment accrues.

9.9.1 Leases

A lease is a contract made between a lessor and a lessee for the hire of a particular asset. Usually, the lessee should pay a deposit on inception of the lease; thereafter he should pay monthly rentals. The deposit is often referred to as lease premium. Generally, lease rentals are business expenses to the lessee if the leased asset is used for the purposes of trade.

Lease Premium: is a consideration having an ascertainable money value passing from a lessee to a lessor for the right of use of the lessor's property i.e., occupation of building, use of secret formula, trademarks, machine etc.

The table below looks at the tax treatment of the lease premium on both lessor and lessee.

Lessor – sec 8 (1) (d)	**Lessee – sec 15 2 (d)**
A lease premium is gross income in the hands of the lessor in terms of sec 8 (1) (d) It is taxed in full in the year of accrual or receipt, and is never spread.	• Where the leased asset is used for the purpose of trade a lease premium is a business expense in the hands of the lessee. • Where the amount is paid in a particular year, the practice of the commissioner is to allow it as a business expense over the period of the lease or 10 years whichever is shorter. • The commissioner does not, however, grant a deduction where the leased property is used for private purposes.

9.9.2 Lease improvements

It is a common feature in the commercial sector for a lessee to put up a structure on the premises owned by someone else. Such a structure is referred to as a lease improvement.

Obviously, the structure will benefit him, and eventually the lessor on termination of the lease agreement.

However, not all structures will qualify as lease improvements (obligation under lease). Only those structures with a value agreed between the lessor and the lessee will qualify.

NB: difference between repairs and improvements.

The table below shows the tax treatment of lease improvements from a lessor and lessee perspective.

Lessor – sec 8 (1) (e)	**Lessee – sec 15 2 (e)**
• The value of the obligatory improvements constitutes gross income in his hands. • It is taxable over the period of the lease or 10 years whichever is the shorter, commencing the date improvements were completed. • Where the value is not stated in the agreement the actual cost of the improvements will be taxed in the lessor's hands. • Where the initial lease period is renewed only the initial period of the lease is considered	**Option 1** • The lessee is allowed a deduction on the value per agreement but this is spread over the unexpired period of the lease or 10 years whichever is the lesser. • The period of construction and period where the property is not used for purposes of trade is disregarded for purposes of computation of deduction. • The lessee is allowed a deduction from the date the property is first used for purposes of trade. • Where the initial lease period is renewed only the initial period of the lease is considered.
	Option 2

	Capital allowances are provided as an alternative to s15 (2) (e) upon election by the taxpayer as follows: Where the improvements are not in terms of the obligation (i.e. voluntary improvements) in the lease, then the lessee can claim SIA and Wear and Tear allowance The lessor will not be granted any of the above allowances until the property is rented out to an-other tenant and rent is thus receivable for the improvements

9.9.3 Summary points.

The leasehold improvement should satisfy the following conditions:

- should be paid for by the lessee (up front or over the remaining term of the lease)
- should be permanent in nature and affixed to the property
- should revert back to the lessor at the end of the lease
- should increase the future economic benefit of the leased asset
- there should be in place a lease agreement between lessee and its lessor
- there should be an obligation to effect improvements in terms of the lease
- there should be expenditure actually incurred in pursuance of such obligation
- lessee should use or occupy the land or building for purposes of its trade or in the production of income
- Should constitute income to the lessor.
- value of lease improvements is the amount stipulated in the agreement as the value of the improvements or as the amount to be expended on improvements
- If no amount stipulated, value of improvements is the amount regarded the fair and reasonable value of the improvements (usually the cost of improvements).
- No variation of value of lease improvements, unless ratified prior to completion of construction.
- If minimum cost of improvement is stipulated and actual cost turns out to be lower cost improvements are disqualified**.**
- If a lease agreement is cancelled, ceded or assigned, or the land or buildings on which the improvements were affected is disposed or sold or the lessor is deceased or declared insolvent, outstanding installment are taxed to lessor immediately.
- The initial lease period is used notwithstanding renewal or extension of lease term.
- If agreement is silent on lease term or is indefinite, 10 years should be used.

Characteristics of Leasehold Improvement

- Should be made to leased property;
- Should provide benefits that are long-term in nature
- Should become part of the landlord property.
- After the lease is terminated the improvements become the property of the landlord.
- Cannot be removed without damaging the structure or violating lease agreement.

Not lease improvements:

- Items that can be moved or taken out of the building when lease term expires
- Mobile buildings such as trailers or mobile homes.
- Repairs and Maintenance costs.
- Improvements of a temporary nature or those that are not affixed to the property
- Improvements that do not increase the economic benefit of the asset

- Improvements not in terms of the lease agreement- voluntary improvements.

Computation of allowance

- The lessee may, subject to certain limitations, deduct the expenditure actually incurred over the remaining period of the lease calculated from the date improvements are first used by him for purposes of its trade as follows:

$$\text{Allowance} = \left[\frac{\text{Value of improvements}}{\text{120 months/ *unexpired lease period in month}} \times \text{Outstanding months**} \right]$$

*The unexpired lease period is calculated from the date the improvements are first used by lessee for purposes of its trade to the expiry date of the lease

**Outstanding months are calculated from the date improvements are first used by lessee in its trade until the last day of the year and is equal to 12months.

9.10 Leasing of passenger motor vehicles

The table below shows the tax treatment of the leasing of PMV in the hands of the lessor and lessee.

Lessor	Lessee
Any vehicle purchased for leasing purposes is not restricted in cost, under both financial and operating leases. (Paragraph 14(2) (c) of 4th schedule). Under a financial lease (where lessor is not entitled to the re-turn of the asset at the end of the lease period - i.e., option exists), the lessor can only claim wear and tear on actual cost without restriction. SIA is not available under this option. Under an operating lease (where lessor entitled to the return of the asset at the end of lease period), SIA or wear and tear can be claimed, again on the actual cost	In the case of the leasing of a passenger motor vehicle, the deduction is restricted to a maximum of $1,300 000. (Section 16(1) (k) of Income Tax Act).

9.11 Personal assets brought into business

A taxpayer who brings into business a personal asset into business will be able to claim wear and tear on this asset from the day that the asset is used for the purposes of trade.

However, the taxpayer has to deduct notional wear and tear from the initial purchase price of the asset to determine the amount to be used for the purposes of claiming wear and tear.

9.12 Suspensive Sales and Credit Sales (Sect 17 & 18)

Section 17 and section 18 of the Income Tax Act outline the basis of taxation of amounts accruing under hire purchase and under credit sales.

Under these agreements the full amount of sale is receivable in instalments, which may stretch into years. For tax purposes the full sale price is deemed to accrue on the date of signing of the sale agreement. This would mean that taxpayers are "taxable" on amounts not yet received. However, sections 17 and 18 provide deductions which enable taxpayers to be taxable on profit which relate to

amounts which have become due and payable in each tax year. A calculation of the profit relating to amounts which are not yet due is made and deducted. This amount is added back to gross income in the subsequent year when a fresh calculation is then made.

In the case of hire purchase sales (section 17) the allowance is calculated in accordance with the following formula:

$$\frac{D*(E-F+G)}{E}$$

In which:

D=represents that portion of the amount accrued which is not due or receivable at the end of the current accounting year (tax year).

E=represents the total amount accrued under the agreement

F=represents the cost of to the taxpayer of the property so disposed of

G=represents that proportion of development and other charges which the Commissioner considers is applicable to such property.

Example

Alpha Electronics (Pvt) Ltd is a retail shop, selling televisions on credit to approved customers. Each Television cost Alpha Electronics (Pvt) Ltd $400. The 50 television sets were bought in 2017.
You are given the following information for the year ended 31 December 2019.
20 sets sold in April 2017 at $600 each
16 sets sold in October 2017 at $600 each
14 sets sold in March 2018 at $600 each
The terms of agreement require the customer to pay a deposit of 25% on date of sale and the remainder payable over 20 months in equal instalments commencing the month following that of sale.

Required: Compute the taxpayer's taxable income for each year during the credit period

Solution

	2017	2018	2019
Sales	21,600	8,400	-
Less Cost of sales	(14,400)	(5,600)	-
Opening stock	-	5,600	-
Purchases	20,000	-	-
Less closing stock	(5,600)	-	-
Gross Profit	7,200	2,800	-
Add s 17(1) Allowance b/f	-	3,960	1,875
Less s17 (1) Allowance (w1)	(3,960)	(1,875)	-
Taxable Income	3,240	4,885	1,875

Workings:

Monthly instalments/set: $= \frac{(\$600 - (25\% \times \$600))}{20}$

$= \$22.5$

Allowance =Gross Profit x Debtors not yet due
Sales

Gross Profit ratio = $7,200/$21,600 X 100%

= 33 1/3%

NB: Once this is found it is applied throughout the period of credit unless there is a change in price system

Debtors' schedule	**2017**	**2018**	**2019**
Balance b/f	Nil	11,880	5,625
Sales	21,600	8,400	Nil
Less Receipts	(9,720)	(14,655)	(5625)
Deposit	5,400	2,100	-
Instalments			
20 sets	3,600	5,400	Nil
16 sets	720	4,320	2,160
14 sets	Nil	2,835	3,465
Closing balance	**11, 880**	**5,625**	**Nil**
Section 17 Allowance*	3,960	1,875	Nil

* The allowance is calculated by multiplying the closing balance with 33 1/3%.

Chapter round up

- Capital expenditure is not deductible, but capital allowances are allowed on the expenditure.
- A commercial building is a building constructed on or after 1 April 1975 and is used to the extent of at least 90% of its floor area for purposes of trade.
- An industrial building is a building used as a factory and loses value through the use of chemicals, and must be used to the extent of at least 50% of its floor area for industrial purposes
- A staff house shall not include any residential unit whose cost exceeds $3,250,000 for a building constructed on or after 1 January 2009.
- The deemed cost for purposes of computing capital allowances on PMV is $1,300,000.
- SIA is an elective allowance granted at the rate of 25% on cost over 4 years
- SIA is granted on constructed immovable assets and movable assets purchased by a taxpayer.
- Assets used by a taxpayer for less than 90% in his trade, acquired through inheritance or donation and assets under a finance lease do not qualify for SIA.
- Wear & tear is granted on assets acquired or constructed where no SIA has been claimed
- The rates of W&T are 5% on cost of immovable assets, 2.5% on cost of a commercial building and 10% on movable assets based on a reducing balance method.
- Where the selling price of an asset is more than its original cost, recoupment is equal to capital allowances previously claimed.

10. Introduction to Transfer Pricing

10.1 Introduction

Transfer pricing legislation (s98A and 98B of the Act) was introduced on the 1st of January 2014 and was meant to forestall transactions that do not satisfy the arm's length principle between associates. The rules complement the 'old rules', i.e. Section 23 and 24 of the Act. These new transfer pricing rules are both domestically and externally focused. The concept of transfer pricing is amongst the suite of measures that have been legislated in order to reduce instances of tax avoidance by tax payers. Therefore, the legislation we are going to focus on here relates to Income splitting (Sect 98A) and Transactions between Associates (Sect 98B).

The transfer pricing legislation is accompanied by the definition of associated persons and deemed control of company (section 2A and 2B of the Act). Transfer pricing methods **were enacted in 2016** adopting these from the OECD Transfer Pricing Guidelines for Multinational Enterprises. The new transfer pricing methods are with effect from **1 January 2016.**

Objectives	At the end of this study unit students should be able to do the following: • Define associated parties. • Understand the arm's length principle. • Understand transactions that must satisfy the arm's length principle. • Understand the methods of transfer pricing. • Apply the methods of transfer pricing to a transaction.
Act: (if applicable)	Sect 2A Sect 23 Sect 24 Sect 98A Sect 98B ARW 35th Schedule
Regulations:	Statutory Instrument 109 of 2019
Relevant Cases	CF (Pvt) Ltd vs Zimra 18-HH-099 Nestle Zambia Trading Limited v Zambia Revenue Authority 2018/TAT/03/DT

10.2 Key Definitions:

Associates – Section 2A (when persons deemed to be associates)

10.2.1 ss1: General Rule

Where **a person**, **other than an employee**, acts in accordance with the directions, requests, suggestions or wishes of another person, **whether or not** the persons are in a business relationship and whether or not those directions, requests, suggestions or wishes are communicated to the first-mentioned person, both persons shall be treated as associates of each other for the purposes of this Act.

10.2.2 ss2:

Without limiting the generality of subsection (1) above, the following shall be treated as a person's associate:

a near relative of the person, unless the Commissioner is satisfied that neither person acts in accordance with the directions, requests, suggestions or wishes of the other;

Near relatives are defined as (sect 2): a lineal ascendant of an individual, including a step-father or step-mother; or a child or a lineal descendant of an individual other than a child; or a brother, half-brother, step-brother, sister, half-sister, step-sister, uncle, aunt, nephew or niece of an individual; or the adopter or adopters of an individual; or the spouse of a relative of an individual referred to in paragraphs (i) to (iv);

- **a partner of the person**, unless the Commissioner is satisfied that neither person acts in accordance with the directions, requests, suggestions or wishes of the other;
- **a partnership in which the person is a partner**, if the person, either alone or together with 1 or more associates, controls 50% or more of the rights to the partnership's income or capital;
- **the trustee of a trust** under which the person, or an associate of the person, benefits or may benefit;
- **a company which is controlled by the person**, either alone or together with 1 or more associates;
- **where the person is a partnership, a partner in the partnership** who, either alone or together with 1 or more associates, controls 50% or more of the rights to the partnership's income or capital;
- where the person is **the trustee of a trust**, any other person who benefits or may benefit under the trust;
- where the **person is a company**— a person who, either alone or together with one or more associates, controls the company; or another company which is controlled by a person referred to in subparagraph (i), either alone or together with 1 or more associates.

10.2.3 Control - 2B when person deemed to control a company

A **person** shall be deemed to control a company if the person, either alone or together with 1 or more associates or nominees –

- controls the **majority of the voting rights** attaching to all classes of shares in the company, whether directly or through one or more interposed companies, partnerships or trusts; (*Example if I hold 60% of voting rights in Company A, then I am deemed to control company A)* or

- Has any **direct or indirect influence that**, if exercised, results in him or her or his or her associates or nominees **factually controlling** the company (*Example if a I have the right to appoint the majority of the board of directors for Company A, then I may be deemed to control company A since I can indirectl*y influence company A through my board appointees).

From the above definitions the use of the word person is being frequently referred to, therefore we need to also define what is meant by persons in terms of the income tax act. Sect 2 defines **person** to includes a **company**, body of persons **corporate or un-incorporate** (not being a partnership), local or like authority, **deceased or insolvent estate** and, in relation to income the subject of a trust to which no beneficiary is entitled, **the trust;**

10.2.4 Income splitting – sect 98A

Where an individual attempt to **split income** with **an associate**, the Commissioner may adjust the taxable income of the taxpayer and the associate to prevent any reduction in tax payable as a result of the splitting **(tax avoidance)**.

A taxpayer shall be treated as having attempted to split income where— the taxpayer transfers income, directly or indirectly, to an associate; or the taxpayer transfers property, directly or indirectly, to an associate with the result that the associate receives or enjoys the income from that property; and the sole or main reason for the transfer is to lower the tax payable upon the incomes of the taxpayer and the associate. In determining whether a taxpayer is seeking to split income, the Commissioner shall consider the value, if any, given by the associate for the transfer of the income or property concerned.
Example

Company X and Company Y are associate companies as defined in section 2A of the Income Tax Act. In July 2016 they entered into a transaction in which Company X transferred one of its rental earning properties to Company Y. The decision was made when X's management noted that they could reduce their taxable income by transferring this property to Y since Y has been incurring significant losses over the past 4 years. Discuss the implications of the above transaction with reference to the requirements of sect 98A.

Solution

Given management's intentions when they transferred to property to Company Y, the transactions appear to be a tax avoidance scheme.

Therefore, we need to apply the requirements in section 98A to determine whether or not the transactions resulted in income splitting.

Was a property transferred to an associate who now enjoys/receives the income from that property? – In our case a rent earning property was transferred to company Y from company X, who are associate companies, therefore this requirement has been made.

Was the reason for the transfer to lower the tax payable upon the incomes of the taxpayer and the associate? – in this case the transfer will reduce the tax payable by company X and company Y since they have been making losses will most likely not have any taxable income, therefore requirement met.

Therefore, since the transaction has resulted in income splitting, the Commissioner will have powers to tax the rental income from the property in the hands of Company

10.2.5 Transactions between associates – sect 98B

9.2.5.1 Introduction

Section 98B stipulates the requirements in respect of **controlled transactions** between **associates** with the intention of addressing tax avoidance initiatives amongst tax payers. Therefore, for the rules in this section to apply there are two main basic requirements that have to be met:

The transaction in question should be a **controlled transaction** as defined; and the transactions should be affected between **associates** as defined.

Therefore, it becomes important to define what is meant by controlled transactions and associates.

9.2.5.2 Controlled Transactions:

The 35thschedule par 1 defines controlled transactions by defined what they are not. Uncontrolled transactions mean any transactions between **independent** persons. For the purpose of this definition, it means that associated persons as defined in Section 2A are not independent. Interpreting this definition examples of controlled transactions would include but not limited to transactions between: Spouses; near relatives; and a person and a company they control; **Associates:** refer to sect 2A discussion above

9.2.5.3 Section 98B Requirements in respect of controlled transactions between associate

98 B ss (1):

The **taxable income** for controlled transactions between associates shall be determined with reference to the **arm's length principle**, where the conditions of the controlled transactions do not differ from an uncontrolled transaction i.e., the conditions in the controlled transactions would not differ from the conditions that would have applied between independent persons, in **comparable transactions** carried out under comparable circumstances.

From the above it can be noted that for the arm's length principle to be applied there should be a comparable uncontrolled transaction which can be used as a benchmark against the controlled transaction in question. Therefore, it is key that we discuss the meaning of comparable transactions as it is key element in the applicability of the above requirement.

9.2.5.4 Comparability: 35th Schedule par 3

An uncontrolled transaction is comparable to a controlled transaction:

Where there are no differences between them that could materially affect the financial indicator being examined under the appropriate transfer pricing method; or

When such differences exist, if a reasonable accurate comparability adjustment is made to the relevant financial indicator of the uncontrolled transaction in order to eliminate the effects of such differences on the comparison.

Example:

Company X is a subsidiary to Company Y and are therefore associated companies as defined in section 2B. Company X sold machinery to company Y for a sale price of $6,000. For the purpose of section 98B this sale transaction would qualify to be a controlled transaction. A comparable transaction would therefore be a sale of a similar type of machine between independent persons **(uncontrolled transaction)**. If the machine sold between the independent persons is not of the same age as the one sold between company X and Y, then if a reasonable adjustment can be made to reflect the differences in the ages of the machines it would then still qualify as a **comparable transaction.**

As per par 3(2) to determine whether 2 or more transactions are comparable, the following factors shall be considered to the extent that they are economically relevant to the facts and circumstances of the transactions—

- the characteristics of the property or services transferred; and the functions undertaken by each person with respect to the transactions, taking into account assets used and risks assumed;

- and the contractual terms of the transactions **(e.g, cash sale vs hire purchase sale);** and the economic circumstances in which the transactions take place **(sale effected as part of liquidation proceedings vs normal sale)** and
- The business strategies pursued by each of the associated persons in relation to the transactions.

98B Par (2):

This paragraph makes provisions where a controlled transaction between associated persons is not affected on an arm's length basis and results in the avoidance, reduction or postponement of the liability to tax of either or both of them. In such a case any income accruing to the taxpayers shall be determined with reference to the arm's length principle as determined in terms of Par (3).

98B Par (3):

The determination of whether the conditions of a controlled transaction between associated persons are consistent with the **arm's length principle**, and of the quantum of any tax payable under subsection (2), are prescribed in the *Thirty-Fifth Schedule*.

35th Schedule Par 4: Transfer Pricing:

In terms of par 4 to the 35th schedule the arm's length remuneration of a controlled transaction shall be determined with applying the most appropriate transfer pricing method to circumstances of the case.

10.3 Transfer Pricing Methods (35th schedule par 4(5))

10.3.1 Comparable Uncontrolled Price Method

This method compares the price for property or services transferred in a controlled transaction to the price charged for property or services transferred in a comparable uncontrolled transaction in comparable circumstances.

10.3.2 Resale price method

The method is based on the price at which a product that has been purchased from an associated enterprise is sold to an independent enterprise.

The resale price is reduced by the resale price margin.

What is left after subtracting the resale price margin can be regarded, after adjustment for other costs associated with the purchase of the product (e.g., custom duties), as an arm's length price of the original transfer of property between the associated enterprises.

Example

During the year of assessment Entity X purchased goods for a consideration of $1,500 for entity Y which is an associated enterprise. Entity X then went to sale the goods to an independent entity for a sale consideration of $1,700. Ordinarily Entity X earns a margin of 20% on all sales of these goods. Calculate the transfer price for the goods purchase from entity Y, that should be used in calculating entity X's taxable income.

Solution:	$
Resale price	1,700
Less normal sales margin ($1,700 * 20%)	(340)
Arm's length price/transfer price	1,360

Therefore, when entity X is calculating their taxable income for the year, they should use a transfer price of $1,360 in respect of goods purchased from entity

10.3.3 Cost Plus method

The method applies the costs incurred by the supplier of property (or services) in a controlled transaction. An appropriate cost-plus mark-up is then added to the direct or indirect costs, to make an appropriate profit in light of the functions performed (taking into account assets used and risks assumed) and the market conditions. What is arrived at after adding the cost plus mark up to the above costs may be regarded as an arm's length price of the original controlled transaction.

Example

During the 2016 year of assessment P ltd sold goods to S ltd an associated company for a sale consideration of $3,000. P ltd had originally bought these goods from an independent entity for a purchase consideration of $2,700. Ordinarily for similar uncontrolled transactions P ltd charges a mark-up of 25% on such sales of these goods. Calculate using the cost-plus method the transfer price to be used for the sale transaction in determining P ltd.'s taxable income for the year.

Solution:	$
Purchase price	2,700
Add mark-up ($2,700 * 25%)	675
Transfer price	**3,375**

Therefore, P ltd should use a transfer price of $3,375 in respect of the sales made to S ltd in calculating their taxable income for the 2016 year of assessment.

10.3.4 Transactional net margin method

The method examines the net profit margin relative to an appropriate base (e.g., costs, sales, assets etc.) that a taxpayer realizes from a controlled transaction with the net profit margin relative to the same base achieved in a comparable uncontrolled transaction.

Example

	Associated parties	**Independent parties**
Sales price	1 200	1 320
Cost	(1 000)	(1 100)
Gross Profit	200	220
General Admin expenses	(100)	(120)
Net Profit	100	100

Required: Determine the arm's length price that the associated parties will sell to each other

Net Profit	100	100
Net profit/sales	8.3%	7.5%

The issue to be determined is whether this net margin of the associated parties is consistent with the net margin earned by independent parties performing comparable functions to the associated parties.

In this case using the profit indicator (PI) of Net profit/sales, the PI for independent parties in 7.5% whilst that for connected parties is 8.3%.

This PI is too high so the selling price for associated parties should be adjusted upwards in order to get a 7.5% PI.

10.3.5 The Transactional Profit Split Method

The transactional profit split method consisting of allocating to each associated person participating in a controlled transaction the portion of common profit (or loss) derived from such transaction that an independent person would expect to earn from engaging in a comparable uncontrolled transaction.

Illustration:

	Entity 1 - Associated	**Entity 2 - Associated**	**Group**
Sales Price	1 200	1 400	1 400
Cost	(1 000)	(1 200)	(1 000)
GP	200	200	400

Entity 1 is the tested party. The question is whether Entity 1's selling price of $1 200represents an arm's length price.

To determine the Group gross profit, use the selling price to 3rd parties which is $1 400 and the cost (purchases) from 3rd parties which is $1 000. The GP is thus $400.

Entity 1 had costs to 3rd parties whilst Entity 2 did not have any costs to third parties. The profit will therefore be allocated according to costs to 3rd parties as follows:

	Entity 1 - Associated	**Entity 2 - Associated**	**Group**
Sales Price	1 200	1 400	1 400
Cost	(1 000)	(1 200)	(1 000)
GP	200	200	400
Cost/Total Cost	100%	0%	100%
Profit allocation based on cost allocation	400	0	400

The Selling price by Entity 1 should be adjusted upwards so as to give a GP of $400. Therefore, the selling price is $1 400. This can be illustrated below:

	Entity 1 - Associated	**Entity 2 - Associated**	**Group**
Sales Price	1 400	1 400	1 400
Cost	(1 000)	(1 400)	(1 000)
GP	400	0	400

The following criteria should be considered in identifying the most appropriate method:

- The respective strengths and weaknesses of the approved methods; and the appropriateness of an approved method in view of the nature of the controlled transaction, determined in particular through an analysis of the functions undertaken by each person in the controlled transaction, taking into account assets used and risks assumed; and
- the availability of **reliable information** needed to apply the selected transfer pricing method or other methods; and
- The degree of **comparability** between the controlled and uncontrolled transactions, including the reliability of comparability adjustments, if any, that may be required to eliminate differences between them.

Section 98B par 4:

The requirements in section **98B par 1** also applies where a person **(whether or not an associated person)** who is resident in Zimbabwe engages in any transaction with a person resident outside

Zimbabwe in a jurisdiction considered by the Commissioner-General to provide a taxable benefit in relation to that transaction.

This means that transfer pricing rules may also be applied to uncontrolled transactions where tax payer resident in Zimbabwe transacts with a non-resident person and the commissioner is of the opinion that the non-resident will earn a tax benefit from the transaction.

Sources of information on comparable uncontrolled transactions – 35th schedule par 7

- **Internal** uncontrolled transactions, which are uncontrolled transactions where one of the parties to the controlled transaction is also a party to the uncontrolled transaction; and

- **External** uncontrolled transactions, which are uncontrolled transactions to which **neither** of the parties to the controlled transaction is a party.

Services between associated enterprises – 35th schedule par 8

A service charge between a taxpayer and an associated person shall be considered consistent with the arm's length principle where –

- it is charged for a service that is actually rendered; and
- the service provides, or when rendered was expected to provide, the recipient with economic or commercial value to enhance its commercial position; and
- it is charged for a service that an independent enterprise in comparable circumstances would have been willing to pay for if performed for it by an independent enterprise, or would have performed in-house for itself; and
- its amount corresponds to that which would have been agreed between independent enterprises for comparable services in comparable circumstances.

A service charge made to a person **shall not be** consistent with the arm's length principle where it is made by an associated person solely because of the shareholder's ownership interest in 1 or more other group members, including for any of the following- costs incurred or activities undertaken by such associated person:

- costs or activities relating to the juridical structure of the parent company of the first-mentioned person, such as meetings of shareholders of the parent, issuing of shares in the parent company and costs of the parent company's supervisory board; and
- costs or activities relating to reporting requirements of the parent company of the first-mentioned person, including the consolidation of reports; and
- costs or activities related to raising funds for the acquisition of participations, unless those participations are directly or indirectly acquired by the first-mentioned person and the acquisition benefits or is expected to benefit that first-mentioned person.

Chapter round up

- A transfer price is the price charged in transactions between firms that are related.
- Transfer pricing is harmful because it can result in profit shifting, which result in lower taxes being paid.
- An arm's length transaction is a transaction which is entered into between a willing buyer and willing seller and not constrained by the relationship between the parties
- Transactions made between a company and its division or branch are tax neutral
- There are five methods of establishing transactions at arm's length:
  - Controlled uncontrolled price method
  - Resale price method
  - Cost plus method
  - Transaction net margin method
  - Profit splitting method

PART D

TAXATION OF SPECIAL TAXPAYERS

11. Taxation of partnership

11.1 Introduction

A partnership is a business operation between two or more parties who share liabilities, profits and management responsibilities in accordance with a partnership agreement. It is not recognised as separate legal entities in terms of the law. Accordingly, taxation is assessed separately in the hands of each partner. A partnership is deemed a resident of Zimbabwe if, at any time, during the tax year a partner is a resident of Zimbabwe. Its income is derived from the services of a partner and is from a source within Zimbabwe if any partner renders services in Zimbabwe. A partner is not an employee and employment rules are inapplicable to partners.

Objectives	• Distinguish taxation of partners from companies. • State how personal items of partner paid by the partnership are treated for income tax purposes • Explain how a partnership is taxed • Compute the taxable income for each partner following a change in the profit-sharing ratio • Compute the taxable income for each partner following a change in the membership of the partnership • Describe the loss relief claims that are available to partners
Act: (if applicable)	Sect 10(2) Sect 37(15)
Regulations:	None
Relevant Cases	None

11.2 Basis of assessment

The computation of a partner's taxable income commences with the computation of partnership joint taxable income. Once the partnership's profits for a period of account have been computed, they are shared between the partners according to the profit-sharing arrangements for that period of account. A partner is treated as a third party on other contracts he may have with the partnership. The following table summarizes treatment of expenditure paid by a partnership for or on behalf of a partner:

Expenditure	Treatment In The Hands Of The	
	Partnership	Respective Partner
1) Partner's salary	Allowable	Taxable
2) Joint life policies	Not allowable	Taxable
3) Partner's life policy – partnership is the beneficiary	Not allowable	Not taxable
4) Partner's life policy – partner is the beneficiary	Allowable	Taxable
5) Partner's life policy – ceded to the partnership	Not allowable	Not taxable
6) Partners interest on Capital	Allowable	Taxable

7) Drawings	Not allowable	Not taxable
8) Interest on drawings	Taxable	Non deductible
9. Rents payable to a partner	Allowable	Taxable
10) Sports subscriptions	Allowable	Taxable
11) Other Club subscriptions	Allowable	Not Taxable if substantially patronized by
12) Medical aid contributions	Allowable	Taxable. Grant credit
13) Ex- gratia payments to former partner or dependant thereof who has resigned from the partnership because of ill-health, infirmity or old age	Allowable up to $26,000 per former partner and $26,000 per dependent (s) of one former partner.	Tax the full amount
14) Partner's private use of a motor vehicle	Allowable	Taxable
15) Retirement annuity fund contributions	Allowable	Taxable and, Allow deduction up
Pension, NSSA or RAF contributions	Deductible up to $390,000 p.a.	Non-deductible and non-taxable.

EXAMPLE
Alan, Betty and Charles are partners in a partnership. Alan has an annual salary of $60,000 and annual school fees of $10,000 for his son drawn from the partnership. Betty drew an annual salary of $20,000 from the partnership. The 3 partners share the balance of profits and losses equally. The partnership made a net loss of $60,000 in the current tax year after adjusting for all of the above items.

Compute taxable income for each partner.

SOLUTION

	Ratio	share of partnership income	other incomes	Total
Allan	1/3	(20,000)	70,000	50,000
Betty	1/3	(20,000)	20,000	nil
Charles	1/3	(20,000)		(20,000)

11.3 Changes in membership

A change in membership of the partnership implies profits or losses must be apportioned and shared according to the ratio applying before and after the change. The change can be as a result of new partners joining an existing partnership, death of a partner or a partner(s) leaving or retiring or a change in sharing ratios. It results in the accounting period being split into "sub-periods" before and after each change and profits and losses are allocated in accordance with ratios relevant to each period.

NB: Partners will still be required to prepare the accounts for a full year up to the last day of the accounting period. Only in a case of a death of a partner should accounts be prepared in order to ascertain the results of the partnership operations for the period from the last accounting date to the date of the death of a partner.

11.4 Assets co-owned

A partnership cannot own property in its own capacity, property is held by partners jointly, as co-owners. Any capital and scrapping allowances on such property are apportioned between the partners according to their sharing ratio. A change in partnership set up means the old partnership sold its assets to the new partnership based on market valuation thereby triggering recoupment or scrapping allowance. New partnership will be entitled to claim capital allowances based on market valuation

11.5 Goodwill

Goodwill is capital in nature and has no tax effect to either the seller or the buyer. It is closely associated with the business income earning structure than it is with income earning operations. However, it is treated as gross income if used as a trade good in a profit-making scheme or when sold to remaining partner(s).

11.6 Trade convention and mission

Rules for trade missions or conventions to the partnership are similar to those of the other taxpayer, except that each partner is entitled to one trade convention and one mission. One such trade mission or convention is deductible up to a maximum of $325,000.

11.7 Bad debts

Conditions for deduction of bad debts are similar to the general rules under s15 (2) (g) of the Act. However, an incoming partner cannot claim any bad debts arising out of debts which occurred before he was a partner. He cannot be taxed also on bad debts recovered of a sale which occurred before he joined the partnership. If a partner leaves a partnership, the remaining partners cannot claim the full allowance, because the portion of the debts was never due to them.

11.8 Subscriptions

Subscriptions paid for a partner by a partnership are deductible to the partnership and taxable to the partner. A partner can then deduct the same subscriptions. If dual usage can be established, a partner will be called upon to submit his estimate of business and private usage with a view to allow a deduction in respect of his business usage only.

11.9 Interest on money borrowed by partner

Interest on money borrowed to purchase interest in partnership or for on-lending to partnership, by a partner, is a deductible expense to the partner. However, if a partner incurs interest on drawings from the partnership it is not deductible despite it being taxable in the hands of a partnership.

11.10 Passage benefit

The cost of partner's business trip is deductible to the partnership even if he uses the opportunity to take a holiday after the business. However, if the partnership bears the cost of a holiday for a partner the amount is taxable to the partner and deductible to the partnership.

11.11 Returns and assessment

Partners must submit a joint tax return of their partnership income together with other information as is required by ZIMRA. In a **partnership** business, all partners share liabilities and profits equally unless

otherwise they have agreed some other ratios. A return must be accompanied by the financial report necessary to show the result of the partnership's operations. Each partner is separately and individually liable for the rendering of the joint return, although he is liable to tax only on his share of partnership profit or loss.

11.12 Assessed loss

Assessed losses are deductible and carried forward at a partner level, subject to a six-year limit. He/she can set off the partnership losses against general income of the same year from other trades. However, once a partner has been declared insolvent or had his property or estate assigned for the benefit of creditors, he is prohibited from carrying forward assessed loss.

Chapter round up

- Although a partnership is not regarded as a separate taxable entity its income is first determined on the basis that it is a separate taxable person, then shared amongst partners.
- The partners are responsible for paying tax on partnership income.
- When there is a change in membership of the partnership, profits or losses must be apportioned and shared according to the ratio applying before and after the change.
- Assessed loss is deductible and carried forward at a partner level, subject to a six-year limit.

12. Taxation of Farmers

12.1 Introduction

Farming refers to operation of activities that are pastoral or agricultural in nature including hunting or race horses breeding, leasing of grazing lands or letting of a farm for any of these purposes. However, farming as a hobby or for own consumption and only selling the surplus is not 'farming' business.

Objectives	• Compute tax liability of farmers • State how farming trading stock is treated for income tax purposes • Valuation of livestock • Apply standard values to the valuation of stock • Recognise the special deductions available to farmers • Compute farming taxable income • Understand how relief for farming losses is given.
Act: **(if applicable)**	Sect 8 (1) (h) of the ITA Sect 15 (2) (z) ARW 7th Schedule of the ITA
Regulations:	None
Relevant Cases	None

12.2 Livestock trading stock

Livestock trading stock is gross income in terms of s 8 (1) (h) of the ITA. It can be classified into stud and ordinary livestock. A stud is an animal kept for breeding purposes. An ordinary livestock is an animal born on the farm or purchased other than for breeding purposes. Farm trading stock includes livestock.

12.3 Valuation of stock in trade

The livestock of a farmer is valued as follows:

- Ordinary livestock is valued using fixed standard value of the livestock or the cost and maintenance value of the livestock whichever method a farmer elects in his first return of income in which that class of livestock is included.

- Stud livestock is valued using the purchase price value of each animal or the fixed standard value of the livestock, whichever method a farmer elects in his first return of income in which that class of livestock is included.

The valuation is done per each class of livestock e.g., for cows, heifers, oxen, tollies, bulls and calves. Once a farmer elects or fixes a valuation method and the value for a particular class of livestock is approved by the Commissioner, it becomes binding and irrevocable. He must obtain the consent or approval of the Commissioner to change the method. If he ceases to carry on farming operations and recommences at a later date, he is entitled to make a fresh election of the valuation methods.

12.4 Definition of the methods

Method	Description
Cost and maintenance value	Comprised of cost of breeding the livestock and maintaining it in the year of assessment and any preceding year of assessment. It is rarely used.
Fixed standard value	Value fixed by the farmer with the approval of the Commissioner. In the case of a class of stud livestock of a farmer, where the cost price of an animal to the farmer was less than ZWL$19,500, the standard value fixed shall be the price fixed by the farmer. If the cost of the animal in that class was ZWL$19,500 or more, the farmer can elect to use the fixed standard value or ZWL$19,500
Purchase price value	Is the cost of the animal for an animal acquired at a price less than ZWL$19,500 and for animal acquired at price above ZWL$19,500, the farmer can elect to use the cost price or ZWL$19,500

EXAMPLE

Lion farm has 42 heifers, 20 oxen and 4 bulls. Bulls were bought for $130 each. The FSVs for each animal by class are: heifer $130, ox $110 and bull $170.

Compute Lion Farm 's trading stock (valuation of trading stock).

ANSWER

Heifers	42 x $130	=	5,460
Oxen	20 x $110	=	2,200
Bulls	4 x $170	=	680
Total			8,340

12.4.1 Livestock reconciliation

Livestock reconciliation is necessary because animals move to higher grades during the tax year due to natural progression, e.g. calves grow to become heifers or tollies, heifers become cows and tollies grow to become oxen etc.

EXAMPLE

Calculate the closing trading stock for Mr. Baraza a farmer in Mahusekwa. He had 4 bulls, 10 cows, 14 oxen, 13 calves and 9 tollies at the beginning of the assessment year. During the year, 7 calves were born, 3 calves became heifers and 1 of them became a tollies, 3 tollies became oxen and 5 cows were sold. Mr. Baraza purchased 10 cows and 7 heifers.

ANSWER

Details	**Bulls**	**Cows**	**Heifers**	**Tollies**	**Oxen**	**Calves**	**Total**
Opening stock	4	10		9	14	13	50
Purchases		10	7				17
Births						7	7
Promotions in			3	1	3		7
Sales		-5					-5
Promotions out				-3		-4	-7
Total	4	15	10	7	17	16	69

12.4.2 Valuation of farm trading stock

Type of stock	Date of Valuation	Ordinary livestock *(T/p to elect)*	Stud livestock *(T/p to elect)*	Crops
Closing stock	Last day of tax year	FSV CMV	PPV FSV	Fair & reasonable
Consumed by taxpayer or put to own use	Date of such Use	Fair & Reasonable	Fair & Reasonable	Fair & reasonable
Stock on hand: On date of death, insolvency	Date of such Happening	FSV CMV	PPV FSV	Fair & reasonable
Attached by court order	End of tax year	FSV CMV	PPV FSV	Fair & reasonable
Sold with Business or Pursuance of court order	Date sold	Selling price	Selling price	Selling price

12.5 Special deduction of farmers- s15 (2) (z) ARW with para 2 of 7thSch

A farmer gets 100% deduction of expenditure incurred by him during the year of assessment in connection with farming operations:

- Works for the prevention of soil erosion, i.e., planting of trees, contour ridging, etc.
- Any water conservation works and contributions towards such works done by another person.
- The stumping and clearing of land for farming purposes.
- The sinking of boreholes and wells, but borehole equipment (pipes and pumps) is granted capital allowances.
- Aerial and geophysical surveys.
- Fencing used in farming operations.

The following points are important:

- Fence must be erected by the farmer or by any other person whose cost is recoverable from the farmer in terms of the Fencing Act and must be used in farming operations.
- On the other hand, water conservation work means any reservoir, weir, dam or embankment constructed for the impounding of water.
- The full deduction precludes deduction of capital allowances.
- The expenditure is not deductible if the item was acquired together with the farm, whether by way of purchase, inheritance or donation.
- The works need not be completed; deduction is made of cost incurred in that year.

12.6 Enforced sale of livestock

Livestock sale or disposal due to stress of drought, epidemic disease or compulsory acquisition of the farm is taxed favourable. Upon election, the famer can spread the income from such sales over three years in equal instalments commencing in the year of sale. Such election is irrevocable.

The enforced sale taxable income is computed as follows:

Livestock enforced sales		xxx
Purchases [number sold x FSV]	xxx	
Direct livestock expenses	xxx	(xxx)
Enforced sale taxable income		**xxx**

Direct livestock expenses are expenses directly identifiable with the keeping of livestock, e.g. livestock expenses, dipping fees, stock feeds, herd men wages, etc.

Direct expenses are computed as follows:

Direct expenses = $\frac{\text{Number of Enforced sales x Total farm direct expenses}}{\text{Average stock (number)}}$

Average stock is the total of opening stock and closing stock divided by 2.

EXAMPLE

Nelson sold 25 oxen and 10 cows for $40,000 due to drought. His FSV for each oxen and cow were $130 and $150 respectively. Opening and closing stocks of the herd were 260 and 210 respectively. The direct livestock expenses were $4,500.

Compute Nelson's yearly minimum taxable income.

SOLUTION

Epidemic sales		40,000
Cows: 10 at $150	1,500	
Oxen: 25 at $130	3,250	
Direct expenses	670	5,420
Enforced sales taxable income		34,580

Yearly minimum taxable income = $34,580/3 = $11,527

Direct expenses = $\frac{35 \times \$4,500}{(260 + 210)/2}$ = $670

A farmer whose enforced sale taxable income exceeds his other farm taxable income can upon election spread his total income over 3 years in equal instalment.

12.7 Restocking allowance

Para 6 of 7th Schedule allows farmers an additional deduction of 50% of the purchase price of every animal he purchases in order to restocking his herd, subject to the assessed carrying capacity of the land (ACCL). The formula for computing this allowance is as follows:

$$\frac{A \times B}{2C}$$

*

A is the cost of livestock purchased for restocking purposes
B is the difference between ACCL and stock on hand before restocking
C is the number of livestock purchased for restocking purposes

Chapter round up

- Farmers are subject to the ordinary taxation regime except that they are entitled to special reliefs specified under the 7th Schedule of the Income Tax Act:
- Stud livestock are valued using PPV or FSV, whichever a farmer elects ordinary livestock at CMV or FSV, whichever a farmer elects.
- Enforced sale income shall be taxable over there years in equal instalments upon election.
- Other farm income can also be taxed over 3 years, provided that such other income does not exceed enforced sale taxable income. An election must also be made.
- A farmer shall be granted a restocking allowance of 50% of the purchase price of every animal purchased for purposes of restocking the herd subject to the assessed carrying capacity of the land.
- A farmer is allowed to deduct in full any expenditure incurred by him during the tax year on:

- works for the prevention of soil erosion
- any water conservation works and contributions towards such works done by another person
- stumping and clearing of land for farming purposes
- sinking of boreholes and wells
- aerial and geophysical surveys
- Fencing used in farming operations.

13. Mining taxation

13.1 Introduction

A miner claims capital redemption allowance in place of capital allowances (SIA and wear & tear), lease premium, lease improvements and preproduction expenditure. Its recoupment is not limited to allowances previously granted and is permitted to carry forward its assessed losses indefinitely. Deductions and incomes of mining are ring fenced against set off with non-mining income or vice versa.

Objectives	• Distinguish mining operations from other operations • Distinguish between a mineral from non-minerals products • Compute tax liability of miners • Use different methods to compute capital redemption allowances
Act: (if applicable)	Sect 2 of the ITA Sect 15 (1) (c) of the ITA Sect 15 (2) (f) of the ITA 5th Schedule of the ITA
Regulations:	None
Relevant Cases	D Bank v ZIMRA [2015] HHC 135

13.2 Mining operations

Mining operations means:

(a) Any operations for the purpose of winning a mineral from the earth; and
(b) Any operations for the purpose of winning a mineral from any substance or constituent of the earth which are carried on in conjunction with operations in paragraph (a) by the person carrying on those operations; and
(c) Any operations for the purpose of winning a mineral from any substance or constituent of the earth which are not carried on in conjunction with operations referred to in paragraph (a) or by a person carrying on those operations as the CG may determine to be mining operations".

13.2.1 Definition of a mineral

A mineral is defined in s2 of the ITA as *"Any valuable crystalline or earthly substance which was deposited on earth by natural agencies. Excludes substances such as sand, stone, rocks, (e.g. granite), gravel, clay (other than fire-clay), soil, petroleum, etc. or such other substances extracted by a method of surface working, e.g. quarrying".*

13.2.2 Mining capital expenditure

Capital expenditure means expenditure incurred in relation to mining operations on buildings, residential buildings, staff welfare facilities, works, equipment, land, shaft sinking, including premium paid for the use of buildings, works, equipment or land etc provided that:

- Employees staff houses are not restricted
- Teachers or nurses' houses at a mine school, clinic or hospital are restricted to $6,500,000 per unit
- Any building used as a school or clinic or hospital etc in connection with mining operations is restricted to ZWL$6,5000,000. N*B: A school must be used by at least 50% of mine pupils, whilst a clinic, hospital etc should be used by at least 50% of persons employed at a mine and their families*.

- Any building used mainly as a dwelling by one or more individuals who control the company, in the case of a mine owned, tribute or leased by a company which is controlled by not more than four shareholders or directors is restricted to ZWL$1,300,000
- Preproduction expenditure is treated as capital expenditure when production commences. NB: This is expenditure on mine development, general administration and management (including interest and other charges or loans utilized for mining purposes, salaries and wages etc) incurred prior to commencement of production or during a period of non-production.
- Passenger motor vehicle is restricted to ZWL$1,300,000
- Expenditure on computer software is treated as mining capital expenditure effective 1 January 2020

13.3 Estimate of life of mine

The following are the maximum lives of the mines:

Type of mine	Life estimate
Iron mine	5 years
Lead or zinc mine	10 years
Any other mine	20 years

Life mine is computed from the beginning of the tax year and revised annually, but its revision does not affect CRA computed in any of the previous years.

13.4 Methods for computation capital redemption allowance (CRA)

Method	Description -
New Mine basis	• A new mine is a mine which commenced production on or after 1 April 1968, including a mine which was closed down or which changed ownership and subsequently reopened on or after 1 April 1968. • Method may be elected in the first in which production commences on a new mine. • CRA is equal to Current capital expenditure (CCE) + unredeemed balance of capital expenditure (UBCE) brought forward. • Recoupment (RE) is included in gross income separately • Thus 100% of capital expenditure is claimed as CRA
Life of mine basis	• The method applies to owners of mines (individuals or companies). • Capital expenditure incurred prior to production and the current capital expenditure is aggregated, the total is then divided by the life of the mine. • Therefore, CRA is equal to (UBCE –RE + CCE) /LOM • The remaining balance after claiming CRA constitutes UBCE to be used in the computation of CRA in the following year. • A company which is not the owner of the mine, can claim an allowance as fixed by the CG as considered to be fair and reasonable such as wear & tear. • An individual who is the owner can alternatively claim an allowance considered by the Commissioner as fair and reasonable. • An individual who is not the owner of the mine can claim an allowance considered by the CG as fair and reasonable.
Mixed basis	• Accumulated capital expenditure brought forward from previous year is spread over the assessed life of the mine, whilst current capital expenditure is claimed in full. • Therefore, CRA is equal to (UBCE – RE) /LOM + CCE • The method is used only where a taxpayer has made an election for it.

13.4.1 Recoupment

A miner's recoupment is in terms of s8 (1) (i) it is the equivalent of proceeds from disposal of capital asset. It is set off against unredeemed capital expenditure brought forward in the case of a taxpayer who claims CRA on the basis of life of mine or mixed method. Where it exceeds current capital expenditure and unredeemed capital expenditure brought forward, the excess is taken to gross income. Under new mine method, recoupment is taken straight into gross income. For items subject to cost restriction e.g PMVs, schools, hospitals etc, recoupment is equal to the deemed selling price of the asset. Deemed selling price is computed as restricted cost/actual cost x actual selling price.

13.4.2 Prospecting or exploration

This is expenditure incurred by a miner in searching for potential claims or in searching for minerals after a claim has been pegged e.g. expenditure on trenches, surveys, boreholes, test pits, preliminary samples and other prospecting and exploratory works undertaken for the purpose of acquiring rights to mine minerals in Zimbabwe or incurred on a mining location in Zimbabwe.

It can be deducted in full in the year of year assessment in which it is incurred or carried forward and allowed against income from mining operations in any subsequent year of assessment. The taxpayer should elect the method he wishes to adopt.

13.4.3 Assessed losses

Mining losses can be carried forward indefinitely. They cannot be offset against income of other businesses or vice-versa.

13.4.4 Replacement allowance

Subject to an election being made, cost of a single replacement or renewal of buildings, works or equipment which together with its accessories which does not exceed $1,300,000 is claimed as a deduction. If the expenditure is incurred on a building used as a dwelling by the shareholders/directors, the deduction is restricted to $12,000, provided that the mine is controlled by not more than 4 shareholders or directors.

Any recoupment arising out of an asset which was the subject of a replacement election is limited to allowances previously granted.

13.4.5 Independent mining locations

According to s 15(1) (c) of the ITA, each independent mine location is assessed separately despite being owned by a person with other mine locations. This entails the ring fencing of income of a mine location against any claim from it of any expenditure or losses of another location. Therefore, a taxpayer who has several mining locations must keep separate profit and loss statements for each mine location.

However, CRA can be claimed between inseparable or substantially interdependent mine locations.

Mine locations are deemed inseparable or substantially interdependent if both or all of the mining locations are held by the same taxpayer and the minerals produced at the locations should be part of an integrated process of beneficiation under the control of the same taxpayer.

Income from mining operations is also ring fenced against claims from trade and investment activities or vice versa.

Chapter round up

- Mining operations are subject to tax on the same basis as other operations except that miners are entitled to claim capital redemption allowances in lieu of capital allowances, lease premiums, lease improvements and pre-productions expenditure.
- Other differences arise from the fact that miners are allowed to carry forward their assessed losses indefinitely whereas other operators have a six-year limit
- Mining recoupment is not restricted to capital allowances previously claimed, but equal sale proceeds.
- CRA is claimed by a miner in lieu of capital allowances, lease premiums, lease improvements and pre-productions expenditure.
- Expenditure on building used mainly as dwelling by one or more individuals who control the company is restricted to $1,300,000 per unit.
- Expenditure in respect of any building used mainly as a dwelling by staff employed at the school, hospital, nursing home or clinic is restricted to $6,500,000 per unit.
- Expenditure in respect of a school, a hospital, a nursing home or a clinic is restricted to $1,300,000
- CRA can be computed using the new mine method, life of mine method or the mixed method.
- Maximum life of an iron mine is 5 years, 10 years for a lead or a zinc mine and 20 years others.
- A single replacement or renewal of building, works or equipment which together with its accessories does not exceed $1,300,000 is deductible in full, provided an election is made.
- CRA, assessed losses or expenditure is deducted under the mine location to which it relates
- Assessed losses from mining operations do not expire, but are subject to ring fencing.

PART E

WITHHOLDING TAXES

14. Withholding Taxes

14.1 Introduction

The concept of withholding taxes allows for the collection of taxes at source. This process enables tax to be secured early and increases collection efficiency because tax will be collected from fewer payers as opposed to a much greater number of payees. This probably is most viable way of collecting taxes from non-residents with no place of business in Zimbabwe. In this case the paying entity pays a net amount to the recipient and remits the tax withheld to the tax authorities (ZIMRA). In certain instances, income subject to withholding taxes is exempt from further taxes (i.e., the withholding tax withheld would be treated as a final tax). The withholding taxes we are going to discuss in this study unit are levied in terms of the Income Tax Act.

Objectives:	Identify the various types of withholding taxes. Determine the withholding taxes which are a final tax. To clarify when withholding taxes is applicable, how it is determined and when it is payable to Zimra
Act: (if applicable)	**Income Tax Act:** Sect 80 Sect 26 ARW 9TH Schedule Sect 28 ARW 15TH Schedule Sect 30 ARW 17TH Schedule Sect 31 ARW 18TH Schedule Sect 32 ARW 19TH Schedule Sect 34 ARW 21ST Schedule Sect 36J ARW 32ND Schedule
Regulations:	Double Taxation Agreements- See Appendix
Relevant case law	M Coy (Pvt) Ltd vs Zimra 16-HH-661 G Bank Zimbabwe Ltd vs ZIMRA S15-HH-207 ZIMASCO (Pvt) Ltd vs. CG of the Zimbabwe Revenue Authority 16-HH-149 Barclays bank of Zimbabwe Ltd vs Zimra, HH162-2004 SW (Pvt) Ltd vs Zimra HH499-19

14.2 General

All withholding taxes, with the exception of Non-Resident Shareholders' Tax, are payable to ZIMRA by the 10th of the month following the month of withholding or payment to the payee. A REV 5 should be completed and filed with the Zimra whenever tax has been withheld and it should reach Zimra by the 10th of the month following.

Non-Resident Shareholders' Tax is payable within 30 days of distribution of or becoming entitled to the dividend. For all withholding taxes penalties of up to 100% of the unpaid tax can be imposed.

Interest is charged at 25% for any month or part thereof during which tax remains unpaid. (I.e., 1 January 2020). Prior to this date the interest rate was 10% per annum. A delayed REV 5 attracts civil penalty of $300 a day up to 91 days after which there may be prosecution of the public officer. Below we discuss the various types of withholding taxes in detail.

An amount is deemed paid to the payee if it is credited to his account or so dealt with in such a way that the conditions under which the payee is entitled to them are fulfilled, whichever occurs first. (Barclays bank of Zimbabwe Ltd vs Zimra, HH162-2004).

Foreign exchange control approval is not a condition of payment. (SW (Pvt) Ltd vs Zimra HH499-19)

Payment can be by way of cash, payment in kind, inter-company debits or credits, barter, setoff or other settlement of obligation whatsoever and in any form.

14.2.1 Contract Payments- Sect 80

Withholding tax of 30% should be deducted from payments of more than $130,000 per annum to residents in respect of contracts unless a valid tax clearance certificate (ITF263) is provided by the payee. The deduction of withholding tax is predicated on a person being a payee. Finance Act no 3 of 2019 exclude the following from the definition of payee (i.e., 1 January 2020):

- non-resident persons subject to non-resident tax on fees, remittances and royalties,
- a non-resident broadcaster or e-commerce operator,
- non-executive director for purposes of withholding tax on fees only
- persons making any delivery of grain to the Grain Marketing Board
- Small-scale gold miner delivering gold to Fidelity Printers and Refiners (Private) Limited.

NB: Deliveries to Grain Marketing Board without producing tax clearance for the period 1 August 2013 to 31 December 2019 has been condoned. The effect is that such deliveries are exempt from 30% withholding tax, but taxes already withheld are non-refundable.

Withholding tax is not deductible on persons who are not payees. They are not required to produce tax clearance certificates to be paid.

Exemptions from 30% withholding tax

- Payments made to employees
- A sale effected in any shop in the ordinary course of the business of such shop, or any other consumer contract for the sale or supply of goods or services or both in which the seller or supplier is dealing in the course of business and the purchaser or user is not.
- Contracts for the purchase of auction or contract tobacco in terms of which tobacco levy may be required to be withheld.
- Tax payments and any *delict* claim against the State.
- Payment of taxes to Zimra.
- Payments to non-resident persons in respect of fees, royalties and remittances.

14.3 Resident and Non-Resident Shareholders Tax: Sec 26 & 28

The following should be withheld from dividends paid to non-resident shareholders and resident individuals, Partnerships and Trusts.

Dividend from Listed Companies	10%
Dividend from all other companies	15%

NB: Corporate income tax and withholding tax do not apply on dividends payable by a company to another company.

14.3.1 Non-Residents Tax on Fees – Sect 30 and 17THSchedule

Non-residents tax on fees are levied in terms of section 30 A.R.W the 17TH Schedule of the Income Tax Act. In terms of the 17TH schedule par 2(1) every payer of fees to a **non-resident person** shall withhold non-residents' tax on **fees** from those fees and shall pay the amount withheld to the Commissioner **within 10 days** of the date of payment or within such further time as the Commissioner may for good cause allow. **The withholding tax rate is 15%.**

From the above requirement there are two important terms that are key to triggering the requirement for the payment of the non-resident tax on fees, namely:

Non-resident person' means - a person, other than a company, who; or a partnership or foreign company which is not ordinarily resident in Zimbabwe. This means the definition is met any time that a resident tax payer in Zimbabwe makes payments to a foreign resident entity or individual.

Fees - means any amount from **a source within Zimbabwe** payable in respect of any services of a **technical, managerial, administrative or consultative nature**, ……. There are very few services that will not fit technical, managerial, administrative or consultative services. (M Coy (Pvt) Ltd vs Zimra 16-HH-661)

The term fees does not include any such amount payable in respect of

- services rendered to an individual unconnected with his business affairs; or
- services rendered by any person in his capacity as an employee, other than a director, of the payer; or
- education or technical training; or
- the repair of goods outside Zimbabwe; or
- any project which is specified for the purposes of this subparagraph by the Minister by notice in a statutory instrument.
- services rendered to a licensed investor in respect of his operations in a designated Special Economic Zone;
- Payment of fees payable to non-executive directors who are non-resident;
- export market services rendered by an agent of a company that exports goods from Zimbabwe: Provided, however, that the fees payable to the agent must not exceed 5% of the "free on-board value" (as that phrase is defined in the Customs and Excise Act [Chapter 23:02]) of the exports of the company for the year of assessment concerned, as confirmed on acquaintance by the company of the export documentation relating to its exports in that year;

Therefore, let's apply the above definition to the following examples of payments that may be made to non-resident persons/entities.

Service	Comment
Student registration fees paid to a foreign university or body e.g., Wits University, ACCA	This is education related and is specifically excluded from the definition of fees, therefore does not attract the non-resident tax on fees.
Annual license fees – e.g., payment for pastel accounting package license fees.	The service is in connection with the right of use rather than technical in nature therefore does not meet the definition of fees hence no withholding tax on fees levied but is subject withholding tax on royalties.
Management fees paid to a foreign parent company.	Managerial fees paid to a connected entity therefore subject to the withholding tax.
Payment for repair of machinery in South Africa	Specifically excluded therefore not subject to the withholding tax.

14.4 Source of fees

Schedule 17 of the Act only imposes withholding taxes on fees deemed to be from a source within Zimbabwe. Fees are deemed to be from a source within Zimbabwe if the payer is a resident and the payee is a non-resident (ZIMASCO (Pvt) Ltd vs. CG of the Zimbabwe Revenue Authority 16-HH-149). Where the services are rendered is immaterial.

14.5 Double Taxation Agreement (DTA)

Fees payable to residents of countries with tax treaties with Zimbabwe are subject to reduced rates with the relevant DTA. E.g. South Africa DTA provides for tax of 5%, Germany 7.5% etc (*see appendix for details)*. Treaty shopping is not permissible i.e., resident of a 3rd party trying to get access to a DTA where their country is not a party to the DTA.

Example

X Ltd. a bank based in South Africa and with operations in Zimbabwe paid an amount of $5,000 for technical consultancy services incurred in South Africa for the benefit of its Zimbabwean operations. X ltd. Paid for the services from its cash balances in Zimbabwe to a supplier in South Africa.
*From the above since X Ltd. made a payment to a South African supplier in respect of allocable expenditure, X will have to withhold $250 (5% * $5,000) in respect of the payment.*

There is no reduced rate for management, fee or administration expenditure which are deemed excessive in terms of section 16 (1) (r) of the Act.

14.6 Non-Resident Tax on Remittances – Sect 31 and 18TH schedule

In terms of the 18th schedule any non-resident person who effects any remittance in respect of allocable expenditure shall in relation to such remittance pay non-residents' tax on remittances to the Commissioner within 10 days of the date of remittance or within such further time as the Commissioner may for good cause allow. The rate of the withholding tax is 15%.

Allocable expenditure: means expenditure of a technical, managerial, administrative or consultative nature incurred outside Zimbabwe by a non-resident person in connection with or allocable to the carrying on by him of any trade within Zimbabwe.
NB: Remittances usually apply to branches, subsidiaries, permanent establishments and companies with related parties outside Zimbabwe.

From the above definitions the following requirements have to be met for a non-resident tax on remittances be payable to ZIMRA:

Requirement	Explanation
What expenditure is being paid for?	Technical, managerial, administrative consultative in nature. E.g., management fees, training on the use of software.
Where was the expenditure incurred?	For the withholding tax to apply the expenditure above should have been incurred outside Zimbabwe, for the benefit of the taxpayers Zimbabwe operations.
Who paid for the expenditures?	The expenditures would have to be paid by a non-resident person for the withholding tax to apply. Refer to the X Ltd. example above. non-resident person" means a person who, or partnership which, is not ordinarily resident in Zimbabwe, but does not include a licensed investor;
Was a remittance in connection with expenditure made?	A remittance in connection with the expenditure should have been made and remittance is defined as "the transfer of any amount from Zimbabwe to another country".

14.7 Non-Resident tax on royalties – sect 31 and 19th schedule

Non-residents tax on royalties are levied in terms of section 31 (a.r.w. the 19th Schedule) of the Income Tax Act. In terms of the 19th schedule par 2(1), every payer of royalties to a non-resident person shall withhold non-residents' tax on royalties from those royalties and shall pay the amount withheld to the Commissioner within 10 days of the date of payment or within such further time as the Commissioner may for good cause allow. The withholding tax rate is 15%.

Therefore, in order to determine which payments are subject to this tax we need to look at two key terms:
Non-resident person; "means a person, other than a company, who; or a partnership or foreign company which; is not ordinarily resident in Zimbabwe. This definition is exactly the same as the one under non-resident tax on fees.

Royalties "means any amount from a source within Zimbabwe payable as a consideration for the use of, or the right to use, any literary, dramatic, musical, artistic, scientific or other work whatsoever (including cinematograph films or recordings) in which any copyright exists, any patented article, trade mark, design or model, plan, secret formula or process, or for the use of, or the right to use, industrial, commercial or scientific equipment, or for information concerning industrial, commercial or scientific experience". From the above definition the key requirements are that the tax payer should be paying for the right of use of intellectual property, for the payment to meet the definition of a royalty.

We will now apply the above definitions to the services for which ICAZ is making payments to non-resident persons:

Service	Comment
Student registration fees paid to a foreign university.	The taxpayer will not be paying for the right of use but rather their students will receive tuition services from the foreign university. Therefore, does not trigger the non-resident tax on royalties.
LTS – Access fee for a software for students.	The taxpayer will be paying for the right of use of the LTS system over which a patent or copy right exists. Therefore, the taxpayer should withhold a non-resident tax on royalties on payments to LTS.
Information Kinetics –Monthly software.	The tax payer will be paying for the right of use of retainer fee for. A software that allows them to keep a database of consultants for a database of members and students. Since the taxpayer is paying that serves both member and for a right of use it therefore meets the definition of a student's royalty payment and thus subject to non-resident tax on royalties. The taxpayer will therefore be required to withhold the non-resident tax on royalties at a rate of 15% for each payment made on the qualifying services.

14.8 Resident Tax on Interest: Sec 34 & 21st schedule

15% should be withheld from interest paid by a financial institution (e.g., banks, building societies, the Reserve Bank and other financial institutions (including unit trust managers, asset managers)) on loans and deposits and income from Treasury Bills, Bankers Acceptances and instruments traded by financial institutions.

5% should be withheld from interest on fixed term deposits for at least 90 days.

Please note that the withholding tax deducted will be a final tax on the gross income which is exempt from Income tax.
Exemption from Resident Tax on interest will apply on a deposit with a tenure of a least 12 months.

14.9 Non-Executive Directors Fees: sec 36 J

20% should be withheld from payments to resident and non-resident non-executive directors who are not subject to PAYE. Non-executive director's fee qualifies as business income and tax withheld is deductible from income tax payable.

Non-executive directors have been exempted from paying income tax on fees from their directorship w.e.f from 1 January 2020. Any other trade and investment of the director is subject to income tax. The effect is that 20% withholding tax to be deducted by the company on directors' fees is now a final tax. The director is also no longer required to be in possession of tax clearance to receive fees without suffering 30% withholding tax.

14.10 Foreign currency of payment of taxes

Despite promulgation of sI142 of 2019 which outlawed the use of foreign currency in domestic transactions there are laws for payment of taxes in foreign currency where the underlying receipts are in foreign currency e.g employment tax, VAT, minerals royalties etc. However, the following withholding taxes are payable in Zimbabwe dollar with wef 23rd of February 2019:

- Non-resident shareholder's tax
- Resident shareholder's tax
- Resident tax on interest
- Non-resident tax on fees
- Non-resident tax on remittances
- Non-resident tax on royalties
- Tobacco levy
- Automated financial institution tax
- Intermediated money transfer tax (IMTT)
- Property Insurance tax
- Tax on non-executive director's fees

Example

Takunda is a non-executive director for H Ltd and during October 2021 he was in receipt of $2,300,000 in respect of his board fees for the quarter ended 30 June 2021. Discuss the tax implications of the payment to Takunda.

H ltd will be required to withhold 20% of the $2 300 000 paid to Takunda since the amount qualifies as a non -executive director's fees and they should remit the amount within 10days of making the payment to Takunda.

14.11 Intermediated Money Transfer Tax (IMTT) - s36G ARW 30th Sch.

IMTT is deducted by financial institution e.g banks, building societies, RBZ, POSB or the Infrastructure Development Bank of Zimbabwe, Agribank, licensed postal company, provider of a mobile banking service, an operator of a mobile money transfer platform.

It is tax levied on each transaction involving the "transfer" of money physically, electronically or by any other means takes place, other than a cheque. The transaction can be between 2 persons or from 1 person to 2 or more persons or from 2 or more persons to 1 person. Any transfer of money made a by financial institution to other financial institution on behalf of any of the persons for whom it acts as intermediary is exempt from IMTT. The tax is deducted by the financial institution from transacting parties and remit it to ZIMRA on or before the 10th day of the month following the month in which the

transaction subject to intermediate money transfer took place. A penalty of 15% is chargeable whenever the financial institution fails to withhold and remit the tax.

The Intermediated money transfer tax, was previously at the rate of 5 cents for every transaction but was revised with effect from 13th of October 2018 through Statutory Instrument 205 of 2018 to 2 cents per value of transaction. The Minister then regularised the amendment through the Finance Act, 2019 and currently the rate stands at 2 cents for every dollar transacted (0.02 cents), in terms of section 22G of the Finance Act. Finance Act of 2021 recently revised the minimum transfer value not to be subject to IMTT from ZWL$300 to ZWL$500 and the maximum tax payable per transaction by corporates from the current ZWL$800 000 to ZWL$1320 000 on transactions with values exceeding ZWL$66 million, with effect from the 1st January, 2021. For transactions in foreign currency, the tax-free threshold remains at US$5 per transaction

The Act further provides for following transactions to be exempt from IMTT:

1. the transfer of money for the purchase or sale of marketable securities;
2. the transfer of money for the purchase or redemption of money market instruments;
3. the transfer of money on payment of remuneration;
4. the transfer of money to or from the Zimra for the payment or refund of any tax, duty or other charges;
5. the intra-corporate transfer of money, that is to say, transfer of money between the treasury account and any trading account held in the name of the same company;
6. the transfer of money from (but not into) specified trust accounts;
7. the transfer of money into and from nostro foreign currency accounts;
8. the transfer of money by Government from the Consolidated Revenue Fund or from funds established in terms of section 18 of the Public Finance Management Act [*Chapter 22:19*] (No. 11 of 2009);
9. the transfer of money to any pension fund or to beneficiaries of such a fund;
10. the transfer of money for the procurement, production or sale (wholesale or retail) of a petroleum product by a petroleum company licensed in terms of Part VI of the Petroleum Act [*Chapter 13:22*] (No. 11 of 2006)
11. the transfer of money between an individual's mobile wallet account and his or her bank account; the transfer of money from a medical aid society registered in terms of the Medical Services Act to a medical service provider in settlement of a claim for services rendered by that provider;
12. the transfer of money in the form of insurance premiums— (i) by insurance brokers to insurance companies; and (ii) by insurance companies to reinsures, retrocessionanaires and asset managers registered in terms of the Asset Management Act [*Chapter 24:26*] (No. 16 of 2004);
13. the transfer of money to producers, sellers or exporters of minerals by the Minerals Marketing Corporation of Zimbabwe pursuant to the Minerals Marketing Corporation Act [*Chapter 21:04*];
14. the transfer of money to producers or sellers of gold by Fidelity Printers and Refiners (Private) Limited;
15. the transfer of money to a successor company of the Zimbabwe Electricity Supply Authority (referred to in section 75 of the Electricity Act [*Chapter 3:09*]) from a trust fund credited with prepayments for electricity made by a mobile banking service provider;
16. the transfer of money by travel agents to airlines on the purchase and administration of air tickets; the transfer of money involving a transaction other than one mentioned in the foregoing paragraphs, if the value of transaction is ten United States dollars or below".
17. Transfer of money to purchase tobacco
18. Transfer of funds for the purchase of auction or contract tobacco from buyers or contractors to auction floors. Effective 29th of March 2019
19. Transfer of funds by contractors and auction floors to growers of tobacco for deliveries of tobacco. Effective 29th of March 2019
20. Transfer of funds to buyers to enable them to purchase cotton or cotton seed from growers or contracted growers. Effective 29th of March 2019
21. Transfer of funds by buyers to purchase cotton or cotton seed from growers or contracted growers. Effective 29th of March 2019
22. Social transfers by any organisation of body designated as a "development partner" as gazetted the Privileges and Immunities Act. A "social transfer" means "social assistance in the form of money paid to those living in poverty or in danger of falling into poverty". *This appears effective from 1 January 2020.*

23. Transfer of money from the African Export-Import Bank ("Afreximbank") established by the Bank Agreement. Bank Agreement" means "the Agreement for the Establishment of the African Export-Import Bank ("Afreximbank") signed in Abidjan, Ivory Coast, by African States and certain International Organisations on the 8th of May, 1993". *This is with effect from 13th of October 2018*
24. Transfer of foreign currency awarded to any bidder on the Foreign Currency Auction System operated by the RBZ to the foreign currency account of any authorised dealer
25. Transfer of Zimbabwe dollars by an authorised dealer to the RBZ in settlement of foreign currency awarded to any bidder on the Foreign Currency Auction System operated by the Reserve Bank of Zimbabwe
26. Transfer of foreign currency by authorised dealers in settlement of international obligations for the importation of goods and services
27. Transfer of foreign currency by traders to the RBZ for sale on the Foreign Currency Auction System operated by the RBZ
28. Transfer of Zimbabwe dollars by the RBZ to traders or authorised dealers as settlement of foreign currency sold on the Foreign Currency Auction System operated by the RBZ
29. Transfer of money from a Nostro foreign currency account in the name of a person exempted in terms of the Privileges and Immunities Act [*Chapter 3:03*]
30. Transfer of the levy chargeable in terms of s53 of the Manpower Planning and Development Act [*Chapter 28:02*];
31. Transfer of money if the value of transaction of not more than ZWL$500 (US$5).
32. The transfer of funds from the Carbon Tax Sinking Fund account, to which a portion of the carbon tax revenues are dedicated in repayment of investors in the one hundred million United States dollar bond underwritten by Afrexim bank to finance road building, irrigation works and health infrastructure.

Chapter round up

- Resident Shareholder Tax applies on dividend distributed to a person other than to a resident company at the rate of 15% (10% if the paying company is listed)
- Dividend paid by resident company to another company is exempt from RST and income tax
- Non-resident shareholder's tax applies at the rate of 15% (10% if the paying company is listed) on dividend paid to a nonresident shareholder
- 15% NRTF applies on fees paid to non-resident providers of technical, consultative, managerial or administrative services
- 30% withholding tax on contract applies on payment to local supplier not in possession of tax clearance.

PART F

VALUE ADDED TAX

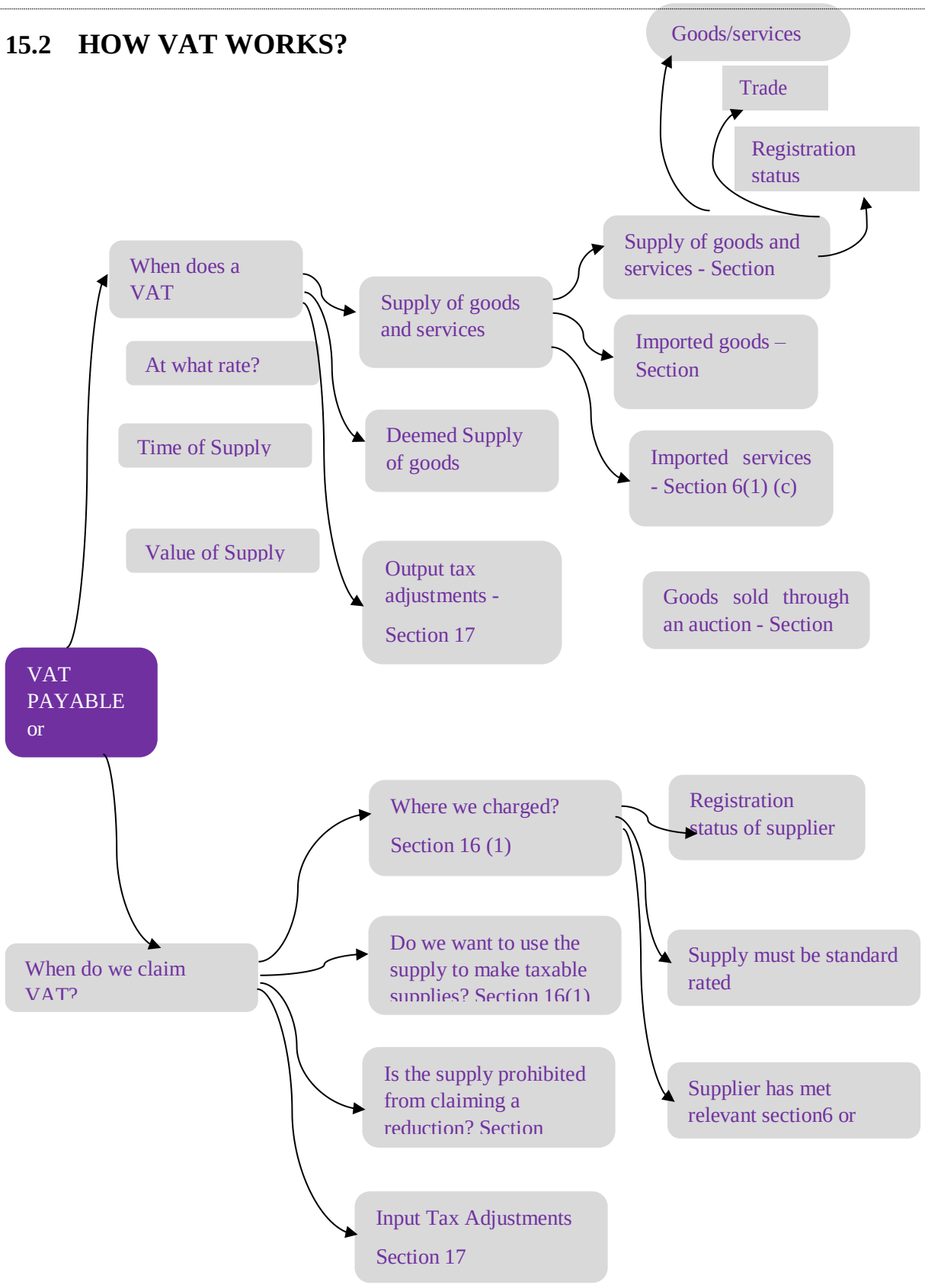
15. Value Added Tax

15.1 Introduction

Value Added Tax (VAT) is an indirect tax charged on consumption of goods and services. It is charged by VAT registered operators on their supplies of goods and services within or outside Zimbabwe. The tax is collected at every stage of the supply chain, i.e., from manufacturer through to the retailer. As each operator within the supply chain charges VAT, he/she will be entitled to a refund or deduction of input tax incurred by him/her on purchases and other expenditure items incurred for purposes of producing taxable supplies. Eventually, the burden will be borne by the final consumer. The broad-based nature of VAT makes it chargeable on all forms of goods and services, except those specifically exempted in terms of the VAT Act. It focuses on the transaction rather than the provider or recipient of the product or service.

Objectives	At the end of this study unit students should be able to do the following: • Key definitions in the VAT Act • Relevant Legislation • Application of the VAT formula • Describe the time of supply general rules • Identify deemed supplies • Apply the value of supply general rules • Identify zero rated and exempt supplies • Calculation of VAT on imported goods and services • VAT Adjustments • VAT Withholding Tax
Act:	VAT Act Chapter [23:12]
Relevant Cases	AT International Ltd vs the Commissioner Zimra (15-HH-823) CSARS vs Marshall NO (816/215) [216] ZASCA 158) Law Society of Zimbabwe vs Zimra HH-409-18 S Pvt Ltd vs Zimra RTCC vs CSARS (Case No: VAT 345) T (Pvt) Ltd vs CG of Zimra (15-HH-285) XO Africa Safaris vs CSARS (395/15) [216] ZASCA 160) PIL (Pvt) Ltd vs Zimra and the CG of Zimra (HH-213-17) Zimra vs Packers International Ltd (6-HH-316) MC Ltd vs the Zimra (16-HH-634) (Claremont Library Development Company (PTY) Ltd vs SARS (Case No: VAT1247)

15.2 HOW VAT WORKS?



15.3 Key Definitions/Interpretations

In order to be able to understand the operational aspects of the VAT Act, we first of all need to go through some key terms as defined in the Act. It is therefore important that when students identify instances where these terms are referred to in later sections of the chapter, they need to interpret their meaning with reference to the definitions below.

Term	Interpretation
Ancillary transport Services	Means: cargo inspection services, preparation of customs documentation and storage of transported goods or goods to be transported.
Association not for Gain	Means: 1. any religious institution of a public character (e.g., Roman Catholic Church); or 2. any other society, association, organisation or educational institution of a public character, whether incorporated or not, which: ➢ is not carried out for the purposes of profit or gain to any ➢ proprietor, member or shareholder; ➢ any property or income is utilised for the furtherance of its aims and objects; Examples of associations not for gain would include: Government schools; Mission Schools and hospitals
Capital goods	Means any asset, or any component of any asset, which is of a character subject to a deduction of expenditures incurred as provided in terms of paragraphs (c) and (f) of subsection (2) of section 15 of the Income Tax Act; **Examples include:** a) Commercial buildings; b) Farm improvements; c) Machinery and utensils; d) Capital expenditures as defined in the 5th schedule of the Income Tax Act.
Connected persons	The following are considered to be connected persons for the purposes of the VAT Act: a. Near Relatives (refer to interpretation of near relatives in the Income Tax Act); b. A trust and its beneficiaries; c. A partnership and its members; d. A company and a shareholder with more than 5% equity interest
Donated goods or services	Means goods or services which are **donated to an association not for gain** and are intended for use in the carrying on or carrying out of the purposes of that association e.g., goods donated to a church organisation. *Therefore, if Company A transfers goods for no consideration to a natural person. This transfer will not be a donation as defined.*
Fixed Property	a. Land and improvements on the land; and b. Shares which give beneficial rights in immovable property;
Imported Services	A supply made by a non-resident supplier to a recipient who is a resident of Zimbabwe and these services are consumed or utilised in Zimbabwe. *Therefore, from the above key requirements for a supply to constitute an imported service are as follows:* ➢ *Supply made by a non-resident supplier;* ➢ *Consumed by a resident recipient; and* ➢ *Consumed or utilised in Zimbabwe*

Goods	Means corporeal movable things, fixed property **but excluding** Money; and Right under a mortgage
Invoice	Means a document notifying an obligation to make payment
Trade	Any activity carried on **continuously** by any person in or partly in Zimbabwe and in which goods or services are supplied for a consideration, whether or not for a profit: Excludes: ➢ Hobbies ➢ Employment ➢ Activities of a local authority; ➢ Supplies to an independent branch outside Zimbabwe
Consideration	Selling price for the supply, i.e., Value plus VAT. A monetary value is usually attached but it also includes barter trade. It does not include a deposit for future supply of goods/services. *(S (Pvt) Limited vs Zimra-Barter constitutes a consideration.)*
Entertainment	Provision of any food, beverages, accommodation, entertainment, amusement, recreation or hospitality of any kind by a registered operator to anyone in connection with his trade. **Examples**: Lunch for employees Water dispenser in the MD's office
Open Market value	Price goods/services will generally fetch if supplies to any person in an arm's length deal. If such goods/services are not on the market, the value of any similar goods/service will be used or the Commissioner will attach a fair and reasonable value.
Financial service Means	• any service provided by a banking institution registered or required to be registered in terms of the Banking Act [Chapter 24:20]; or • any service provided by a building society registered or required to be registered in terms of the Building Societies Act [Chapter24:02]; or • the **provision of any deposit, loan or credit**, including the provision of any guarantee, indemnity, security or bond in respect of the performance of obligations related to a deposit, loan or credit; **(for example if Entity X sales goods on credit and charges interest for the credit, then Entity X would have provided a financial service to the extent of the interest charged)** or • the issue or transfer of ownership of any share in a company or interest in a private business corporation; or • services rendered by an **insurer registered** in terms of the Insurance Act [Chapter 24:07]; • the services of an actuary, insurance agent, insurance broker as defined in the Insurance Act [Chapter 24:07] or fund administrator as defined in the Pension and Provident Funds Act [Chapter 24:09], to the extent that those services are rendered to or on behalf of an insurer registered in terms of the Insurance Act [Chapter 24:07] or to or on behalf of a pension fund registered in terms of the Pension and Provident Funds Act [Chapter 24:09]
Instalment credit Agreement	means any agreement entered into on or after the fixed date whereby any goods consisting of corporeal movable goods or of any machinery or plant, whether movable or immovable are supplied under a sale under which— • the goods are sold by the seller to the purchaser against payment • by the purchaser to the seller of a stated or determinable sum of money at a stated or determinable future date or in whole or in part in instalments over a period in the future; and • such sum of money includes finance charges stipulated in the agreement of sale; and • the aggregate of the amounts payable by the purchaser to the seller under such agreement exceeds the cash value of the supply; and the—

	➢A purchaser does not become the owner of those goods merely by virtue of the delivery to or the use, possession or enjoyment by him thereof; or ➢B seller is entitled to the return of those goods if the purchaser • fails to comply with any term of that agreement; or
Rental Agreement	means any agreement entered into before, on or after the fixed date for the letting of goods, other than a lease referred to in paragraph (b) of the definition of "instalment credit agreement" in this section or a "financial lease" as defined in the repealed Act;
Exported	in relation to **any movable goods** supplied by any registered operator under a sale or an instalment credit agreement, means— a) consigned or delivered by the registered operator to the recipient at an address in an export country as evidenced by documentary proof acceptable to the Commissioner; or b) delivered by the registered operator to the owner or charterer of any foreign-going aircraft when such aircraft is going to a destination in an export country and such goods are for use or consumption in such aircraft; or c) removed from Zimbabwe by the recipient, who is a resident of Zimbabwe, for conveyance to an export country in accordance with an export incentive scheme approved by the Minister; d) removed from Zimbabwe by the recipient, who is not a resident of Zimbabwe, for conveyance to an export country, subject to such conditions as may be set by the Commissioner by notice in a statutory instrument;
Person	includes any public authority, local authority, company or body of persons, whether corporate or unincorporated, the estate of any deceased or insolvent person and any trust fund;
Supply	includes all forms of supply, irrespective of where the supply is effected, and any derivative of "supply" shall be construed accordingly;

15.4 Key words in the VAT Act

"Means" and "includes"

The definition in the VAT Act often provides that a word or phrase "means" something. In other circumstances it is stated that a word or phrase "includes" something, and in other cases, it is stated that a word or phrase "means and includes" generally. When a definition states that a word or phrase "means" something, such definition is exhaustive and the word or phrase can have no other meaning than that which appears in the definition. However, this is always subject to a proviso that a contrary intention may appear in the statute. On the other hand, the word 'includes' is normally used to widen the scope of the meaning of words or phrases occurring in a statute. In some instances, it may also be exhaustive whilst in other instances it may be open ended to accommodate a certain class contemplated.

"Notwithstanding anything…"

When the words "notwithstanding anything contained in this act" appears in a section or subsection of statute, the effect thereof is that such section or subsection must be interpreted as if the rest of the act is excluded. In some cases, the words may be in a subsection "notwithstanding anything in this section contained", and in such case the effect is that the subsection must be considered as if the rest of the section were excluded. When this phrase is used it usually in contradiction of the spirit of the Act or the spirit of a particular provision and it superimposes itself over the spirit of the Act or particular provision as the case may be. In addition, the word "notwithstanding" has been held to mean "even if" or "in spite of" meaning that what is about to be said in the Act will supersede what has been said before.

"Shall" and "may"

The word "shall" is normally used as being equivalent to "must". This word entails that the provision is imperative or peremptory, while the word "may" is usually used in a permissive sense. In general, in the more modern statutes, the word "shall" is used to create a duty or mandate. On the other hand, the

word "may "is sometimes construed as imperative, or "may" can be equivalent to "must". However, in the absence of proof that the legislature intended that the word "may" is to be interpreted as "must", such word is given its natural meaning, that is a permissive and not an obligatory use.

"And" and "or"
It is important to take note of the words at the end of (and sometimes within the same) sentences, which indicate several criteria or conditions, which need to be evident before a particular section (or part thereof) can be applied in any situation. When using "and" this normally indicates a link between several conditions, all of which need to be evident. When using "or" this indicates an option between two or more conditions, where, if either one is evident, the law will or can apply. Special attention is required to sections of the act which have a combination of "and" and "or" linking conditions, as these sections will be more difficult to interpret.

15.5 Relevant Legislation

Value Added Tax Act [Chapter 23:12]

Item	Legislation
Interpretations of the Act	Section 2
Charging of VAT	Section 6
Deemed Supplies	Section 7
Zero-rated supplies	Section 10
Exempt Supplies	Section 11
VAT on imported services	Section 13
VAT Adjustments	Section 17
Value of Supply	Sectton 9
Time of Supply Rules	Section 8
VAT on fringe benefits	Section 17(3)

15.6 Practicality of VAT

Value added Tax is a tax levied on consumption, therefore unlike other forms of taxes, VAT is triggered where a taxpayer makes a purchase or consumes products and services. The Value Added Tax Act (Chapter 23:12) came into effect from the 1st of January 2004 replacing the old sales tax. In terms of the VAT Act ordinarily only **registered operators** are permitted to charge output VAT on the supplies which they make and claim input VAT on their purchases.

A fishery sells 10 kg to a wholesaler. **$ 25.00** (exc VAT) $3,63 (VAT) $28.63 (Selling price) Vat paid before - $0	The wholesaler sells the 10kg to a retailer. **$35.00** (exc VAT) $5.08(VAT) $40.08 (Selling price) Vat Paid before – $3.63	The retailer sells to John Zifunzi **$50,00** (exc VAT) $7.25(VAT) $57.25 (Selling Price) Vat paid before $5.08	
Net VAT **$3.63**	Net VAT **$1.45**	Net VAT **$2.17**	Total VAT Collected **$2.17**

VAT is collected at the three stages where value is added i.e., from fishery to wholesaler, from wholesaler to retailer and from retailer to consumer. The total of the net VAT collected at every point of the value addition stages is finally borne by the final consumer of the goods i.e., $7.25.

NB: ***Throughout this chapter the rate of VAT used in all worked examples and illustrations, irrespective of the year attributable to the transaction is the rate applicable from 1 January 2020 (14.5%).***

15.7 Calculation of VAT

VAT Payable / (Refundable) = Output Tax – Input Tax

15.8 General Operational Aspects of VAT

Since VAT is premised on supplies, it is important to know when VAT should be charged. It is important to define the kind of supplies that attract the tax (section 6 (1), section 12 and section 13). In some cases, there is no proper supply but a deemed supply and these may also attract VAT as prescribed in (sections 7 and 17). After determining that there is a supply or deemed supply of goods or services it then becomes important to classify the supplies to determine the rate at which the supplies attract tax (sections 10 and 11). Some supplies (goods/services) are taxable at the standard rate (14.5%), some at zero % (section 10) and some are exempt (section 11) from VAT. If the supply is standard rated, then the value of supply to which the standard rate must be applied has to be determined (section 9). This could be the open market value, the cost or some other value prescribed by law. Lastly, since VAT is accounted for in defined periods for every registered operator, it is important to determine the time of this supply using the rules defined in the Act (section 8).

15.9 When should VAT be charged, or output tax arise? – Section 6

15.9.1 Supply of Goods or Services - Section 6 (1) (a)

In terms of section 6 (1) (a) of the VAT Act, VAT is charged on the value of the supply by any registered operator of goods or services supplied by him on or after the fixed date in the course or furtherance of any trade carried on by him.
NB: Section 6(1) (a) shall not apply to the supply of second-hand motor vehicles that are subject to a special excise duty.

15.9.2 Goods and Services

Key exclusions in the definitions of goods and services are;

❖ **Money** – examples of supply of money are employee allowances and cash donations.
Goods are excluded from the definition of services. This implies that there are certain goods that can be offered as a service and therefore a supply of both goods and services occurs simultaneously.

Exam Tip!!!

Supply – *Normally it is not difficult to establish whether there is a supply as defined but it is the absence of a supply that is usually examined. Also, in some cases supply is difficult to establish clearly and so the Act provides for deeming such supplies to be supplies per* ***section 7 of the VAT Act.***

Example 1

X lends an interest free loan of $10,000 to Y, repayable in 2 months' time. What has X supplied? Is it money or credit? X has not supplied money as they will get it back. So, there is no supply of money. X however has supplied credit, and this is a service as defined.

Example 2

X gives Y $10,000 for Y to use as she pleases. Now there is a supply of money only and no credit

Example

A person may transport firewood from a bush on behalf of clients who would have gathered the firewood. He may end up gathering and transporting the firewood to the clients' community centre and therefore will be offering a firewood service. Since firewood qualifies for the definition of goods, the firewood itself shall not be a service.

15.9.3 Trade

Key aspects of trade are:

- The regular activity, in Zimbabwe or partly in Zimbabwe; and
- To supply goods or services; and
- For a consideration; and
- Whether or not for a profit.

Trade excludes: hobbies, supply to a foreign independent branch, rendering of service by an employee to employer and the supply of exempt supplies.

15.9.4 Deemed Supplies – Sect 7

These are supplies that by their nature do not seem to be supplies but are deemed by the VAT Act to be supplies made in the furtherance of a trade, e.g.

Deemed Supply	Explanation
Sale in execution of debt –s 7(1)	Where goods which have been acquired or produced by a person, are sold in execution of a debt owing by him. **Example:** Entity X borrowed funds from Bank Z and has been failing to pay back the borrowed amounts. Through a Court order bank Z attached property belonging to Entity X and went on to sell this property in order to recover their monies owed. In this case Entity X would be deemed to have sold their property even though they did not actually receive the money from the sale.

Cessation of trade by a registered operator – s 7 (2)	The registered operator has to account for output tax on the value of assets on hand at the time he ceases to be a registered operator. However, no output tax is accounted for in respect of assets where input tax was originally denied in terms of section 16 (2). **Example:** Y limited, a registered operator ceased its trading operations on the 30th of June 2019 and at that time had the following assets at hand: ➢ Stove used in the staff canteen; ➢ Furniture and equipment; ➢ Standard rated trading stock (all initially bought from registered operators) On cessation of trade Y limited will be expected to account for VAT on the assets as follows: ➢ Stove – No output VAT since Y limited would have been denied to claim input tax on acquisition of the stove (refer to sect 16(2)) ➢ Furniture and equipment – Account for output VAT since these are taxable supplies. ➢ Trading stock – account for output VAT. **Time of supply:** a day prior to de-registration. **Value of supply:** The lesser of cost or open market value.
Door to door sales with an option to return goods – s 7(3)	If goods are sold to a customer with an option to return the goods to the supplier within a defined period of time, the supply will be deemed to only have been made on expiry of the period to exercise option to return. **Example:** Company A sold goods to its clients with an option that customers could return the goods before the expiry of 15 days from date of sale. Discuss **VAT implications of these transactions:** 1. If customers return the goods within the stipulated 15 days, Company A would be deemed not to have made any sales to these customers; 2. If the customers do not exercise the option to return the goods, the goods are deemed to have been supplied on expiry of the 15 days.
Lay bye agreement of consideration not less than $250 –s 7(4)	The goods sold on lay bye shall only be deemed to be a supply only when they are finally delivered to the purchaser. **Time of supply**: time the goods are delivered to the purchaser **Value of supply**: Consideration less VAT
Supply of a business as a going concern – 7(6)	The disposal of a trade as a going concern, or a part thereof which is capable of separate operation, shall be deemed to be a supply of goods made in the course of trade.
Indemnity payment under a contract of insurance. s7(7)	Where a registered operator receives an indemnity payment contract of insurance in the furtherance of trade, it shall be deemed to be a supply except: • Where the indemnification is in respect of a motor vehicle or • The registered operator was denied or was not able to claim input tax in respect of the initial acquisition of the indemnified assets
Transfer of goods to an independent branch – s7(8)	If a registered operator transfers goods or services to an independent branch in the furtherance of trade, the registered operator shall be deemed to have made a supply to that branch and shall account for output VAT.

Goods repossessed – s7(9)	This applies where a registered operator purchases taxable goods on credit which are later on repossessed due to failure to pay back the credit advanced. On repossession of the goods the registered operator is deemed to have made a supply and shall account for output VAT. **Time of supply**: The date of repossession **Value of supply**: Balance of cash value not recovered
Betting services – s7(11)	Registered operators in the business of providing betting services shall be deemed to have made a supply in respect of all bets made with them. **Time of supply**: The date the bet is made **Value of supply:** Amount received in respect of the bet

15.9.5 Time of Supply – Sect 8

Time of supply rules determine when a taxpayer should account for any output tax applicable for a taxable supply: ***General Rule: The earlier of an invoice being issued or any payment being made.*** The Finance No.3 Act of 2018 extended the meaning of "time of supply". With effect from 1 January 2019, the time of supply is not only determined at the time the invoice is issued or the time a payment is received but rather, the nature of the goods in question is now being taken into account. For instance, in the scenario where:

- ❖ moveable goods are supplied; the time of removal of goods marks the time of supply.
- ❖ the goods in question are immovable in nature, the time of supply shall be that time when the recipient finally gets the goods transferred in his or her own name.
- ❖ the time of supply of services is deemed to be that time that the service is actually performed.

So generally, the time of supply is determined by the earlier scenario of any of these four scenarios specified by the amendment to Section 8 of the VAT Act.

15.10 Value of Supply – Sect 9

- ❖ Where consideration is in money, the value is the consideration less VAT
- ❖ Where consideration is not in money, the open market value becomes the value of supply

15.10.1 Special Supplies

Items	Explanation
Goods supplied under rental agreements	Time of supply - 8(3a): Where payment is made in instalments the time of supply shall be deemed to take place when a payment becomes due or when received whichever is earlier.
Instalment credit agreements	Time of supply – 8(3c): time of supply is the earlier of the goods being delivered or the signing of the agreement.
Sales to connected persons	claim input tax and amount paid where input tax is claimable
Goods applied to own use	The value of the supply is the open market value of the goods.

15.10.2 Zero Rated Supplies – Sect 10

These are taxable supplies that attract a VAT rate of 0% and examples are:

- Exports
- Goods supplied to repair goods temporarily imported into Zimbabwe.
- Goods supplied under instalment credit agreement and are utilised in an export country.
- Goods supplied under a rental agreement if paid from an export country
- Supply of business as a going concern

- Drugs as prescribed in the Medicines and Allied Substances Control Act
- Transportation of goods or passengers to and from an export country (international carriage)
- Transportation of goods and passengers transiting Zimbabwe
- Gold supplied to the Reserve Bank or any other registered banks
- Agricultural inputs supplied to farmers e.g., animal feeds, fertiliser, pesticides, and seeds.
- Building bricks i.e., common bricks
- Basic commodities e.g., plain bread, cooking oil, milk, etc.

15.10.3 Exempt Supplies – Sect 11

These are supplies that are not subject to VAT. Suppliers of exclusively exempt supplies are not required to register for VAT. Examples are:

- Financial services (other commission paid to brokers or agents by short term insurer)
- Educational services
- Supplies by an association not for gain of goods where such goods were manufactured using at least 80% of donated goods.
- Transport Services for fare paying passengers
- Medical Services
- Supply of goods and services by an employee organization to its members to the extent that consideration of supply is limited to membership contributions
- Supply of residential accommodation in a dwelling under a lease or hire agreement.
- Supply of piped water, rates charged by local authorities and domestic electricity.
- Supply of fuel and fuel products.

There are cases where a supply may potentially qualify for more than one class of supplies such as international carriage of fare paying passengers, and under such circumstances the Act should give guidance of which classification takes precedence.

15.10.4 Standard Rated Supplies

Any supply by a registered operator which is not specifically identified as either exempt or zero rated is standard rated. Standard rated supplies attract VAT at a rate of 14.5%.

15.11 VAT On Imported Goods and Services

Students often confuse import VAT and input VAT. At this stage it is import VAT which increases the VAT payable and if eligible to claim input tax, this shall be done in the next stage.

15.11.1 Importation of Goods: Section 12

When goods are imported for consumption in Zimbabwe an import VAT will be levied to the extent that the goods are taxable supplies.

The import VAT is calculated on Value for tax purposes as follows:
Value for Duty Purpose: Cost plus insurance and freight (CIF) Add Duty = Value for Tax Purposes

Example

Takudzwa travelled to South Africa for his annual holiday in July 2019. During the period he was on holiday he decided to acquire the following items for his boutique in the Harare CBD.

	$
Clothing items	20,000

Shelve racks	1,000
Display dummies	*2,000*
	[redacted]
	23,000

He paid $4,000 as cost of delivering the goods from South Africa to Beitbridge port of entry. The customs duty payable was calculated as $3,500 by the customs officials. Takudzwa also paid $400 for insurance cover of his goods whilst they were in transit.

Required

Calculate the VAT payable by Takudzwa to ZIMRA.

Solution	$
Total Value of imported goods	23,000
Freight costs	4,000
Customs duty	3,500
Insurance costs	400
Value for VAT Purposes	30,900
Total VAT Payable ($30,900*14.5%)	4,480.50

Note: The obligation to remit the VAT to ZIMRA rests with Takudzwa. However, if Takudzwa is a registered operator and the goods purchased are used to make taxable supplies he will have an option to claim a VAT input tax deduction in respect of the imported goods.

15.11.2 Importation of Services: Section 13

VAT is charged on imported services where such services are consumed or utilised in Zimbabwe. The value of supply is the greater of OMV or invoice value of the service. VAT is payable by the recipient of the services. The Finance (No.3) Act, 2018 redefined "imported services" to mean "*a supply of services that is made by a supplier who is not resident in Zimbabwe or carries on business outside Zimbabwe to a recipient who is a resident of Zimbabwe to the extent that such services are utilised or consumed in Zimbabwe;".* It widens the tax base to include registered operators who were not required to account for VAT on services imported by them if such services were used to produce taxable supplies. Therefore; imported services have four key qualifying characteristics:

- There must be a foreign supplier (i.e. resident OR carries on business outside Zimbabwe) of a service; and
- There must be a resident recipient of the service; and
- The service being supplied by the foreigner must be a standard rated service; and
- The service so supplied should be utilised or consumed in Zimbabwe

This section was amended by Finance Act No 1 of 2019 w.e.f from 1 January 2019 to make every importer of services liable to VAT on imported services regardless of the purpose the services are used or utilised for. Prior to this only services utilised or consumed other than to make taxable supplies were liable to tax.

The recipient of the service has the responsibility to collect and pay the tax. She or he shall furnish the Commissioner with a declaration of the information on the transaction. The time of supply shall be deemed to take place at the earlier of issue of invoice by the supplier or at the time when any payment is made by the recipient in respect of that supply.

NB: W.E.F. 1 January 2020, imported services are included in the definition of input tax and therefore registered operators can claim input tax on imported services.

Example

A South African based lawyer (Thandeka Ngcukaitobi) comes and provides legal services to Zimbabwean incorporated and resident Puma (Pvt) Ltd (Puma). Puma is an energy company selling petrol only. Thandeka also provides legal services to another Zimbabwean resident Transaction Advisory Services (Pvt) Ltd (TAS) who are in the consultancy business focusing on technical consultancy (IFRS, IPSAS and Taxation). Are both legal services being provided by Thandeka imported services?

Solution

Conclusion: The legal services to Puma are imported services whilst those to TAS are not. Application of criteria to scenario: In both cases, Thandeka is a foreign supplier, supplying to local recipients, a taxable supply (i.e. legal service).

In the case of Puma, Puma is going to make supplies other than taxable supplies and therefore all four criteria are satisfied whereas with the TAS case, TAS is going to use the service to make taxable supplies and therefore it is not an imported service.

Example

Munhondo banking has both retail and investment banking units as part of its operations. In 2019 the bank decided to install a new banking system that would enable its clients to access the banking services over the internet. In June 2019 the bank engaged a consultant from South Africa to install and train its staff on the use of the new system. The consultant issued an invoice of ZAR80, 000 covering the cost of installing the system and training staff. Since the bank had an on-going relationship with the consultant, the amount they were invoiced was discounted. The value of the invoice would have been ZAR100, 000 if no discount was given.

Required:

What are the VAT implications of the transaction?

Solution

Munhondo has imported services it intends to utilise or consume in, hence the company should account for VAT on the imported service. The VAT amount with be calculated as:
ZAR100, 000 (open market value which is higher) *14.5% = ZAR14, 500. Therefore, Munhondo will remit the VAT to ZIMRA.

NB: If the imported service constitutes supply which would have been either a zero rated or exempt supply if the supplier was a resident of Zimbabwe, the output VAT on the transaction would be nil.

15.12 Accounting for VAT- Sec 14

Generally, VAT is accounted for on the invoice/accrual basis. VAT is accounted for on invoices received/issued irrespective of whether payment has been made/received.

VAT may also be accounted for on the cash basis, i.e., VAT is based on cash receipts/payments. Cash basis is only available to Local Authorities, Public Entities and Associations not for Gain

15.13 Payment of VAT in the Currency of taxable supplies

The Finance No.3 Act of 2018 indicated that if taxable supplies are paid for in foreign currency tax must be paid to the Commissioner in that foreign currency. Secondly; VAT is to be paid in either legal tender or foreign currency if the price for the taxable supplies in question is paid for in legal tender.

15.14 Settlement of Principal VAT prioritised over interest and penalty

The Finance No.3 Act of 2018 amended the sequence of payment of VAT in order to reduce the perpetual interest charges on taxpayers. The order of payment is now principal; penalty and interest, contrary to the previous position where priority was given towards settlement of penalty and interest. This measure takes effect from 1 January 2019.

15.15 Input Tax– Sec 16

15.15.1 Extension of time in which to claim input tax

The Commissioner may in his/her own discretion on good cause shown by the taxpayer allow input tax claims beyond the prescribed 12 months period. The claim may be allowed from the time a registered operator was required to make a return. This extension came into being through the Finance No.3 Act of 2018.

15.15.2 Input Tax Apportionment

Sec 16 (1): Input tax is generally claimed on all goods/services provided they are utilised in the production of taxable supplies. Where it is incurred for mixed supplies, apportionment will be done.

Basis of apportionment e.g., turnover basis and De minimus rule applies if use is 90% and above.

15.15.3 Prohibited deductions Sect 16 (2):

Entertainment: the provision of any food, beverage, entertainment, amusement, recreation or hospitality. Generally, input tax may not be claimed in respect of goods or services acquired for the purposes of entertainment, e.g., Provision of lunches to employees. However, the prohibition does not apply to goods/services acquired by operators in the business of supplying entertainment. However, the prohibition does not apply to goods/services acquired by operators in the business of supplying entertainment.

For example, the following is claimable **entertainment expenditure**

- VAT on entertainment i.e., on accommodation, travel costs etc. of employees and holders of the office away from home overnight on operator's business is deductible.
- VAT on meals given to staff after a conference or seminar provided the seminar or conference fee covered direct and indirect cost of the meal is deductible
- VA*T on entertainment expenditure in the form of promotional expenditure

Purchase of passenger motor vehicles:

- VAT incurred on PMV is disallowed no matter the purpose to which PMV is to be applied.
- The test is on the nature of the expenditure not the purpose of the expenditure
- Operator should disallow input tax incurred on acquisition or hiring of a PMV
- VAT incurred on modifications to a PMV incurred prior to its delivery

For example, the following are claimable:

- VAT incurred on PMV by Car dealer or rental company
- VAT incurred on PMV for demonstration or temporary use before sale
- VAT incurred on PMV acquired by RO for the purpose of awarding it as a prize.

- VAT incurred on PMV running expenses such as repairs, maintenance etc.
- VAT on modification costs after the passenger motor vehicle has been delivered
- VAT on the supply of PMV accessories.

Subscription fees to clubs or associations of a recreational nature e.g., VAT incurred on membership subscription to a club of to a sporting, recreational and private clubs etc the following however are claimable:

- VAT incurred on subscriptions to magazines and trade journals which are related in a direct manner to the nature of the business carried on by operator.
- VAT on membership fees paid to a professional body
- VAT on any fees or subscriptions to professional organizations paid by operator on behalf of its employees.

Disallowed input tax claim on premium on bond

The Finance No.3 Act of 2018 has disallowed input tax claim applicable on the bond premium, namely input tax applicable on the amount computed by applying a rate of exchange in excess of the parity rate of one United States dollar to a bond note unit. The goods or services in question must have been acquired in a legal tender.

15.16 VAT Adjustments – Sec 17

Adjustments are done where there is a change of use, either from taxable supplies to non-tax-able supplies or vice versa.

Section 17(1): where goods were acquired to make taxable supplies and are subsequently utilised to make non-taxable supplies an output VAT adjustment is done.

- The value of supply is deemed to be the OMV
- In the case of reduction in taxable use the formula A * (B-C) is used.
- Where A is the OMV, B is the initial %age use and C is the reduced % age use.
- In this case the registered operator should account for output tax by multiplying the OMV with 14.5%.
- If originally input tax was denied when goods were acquired no adjustment is required.

Section 17(2): Reduction in taxable use of capital goods (deemed supply)

Reduction of percentage use of capital goods:
Adjustment is necessary where the operator was initially allowed to claim input tax.
Adjustment not necessary where cost of goods is less than $600

- Formula: A *(B-C) is applied.
- A is the lesser of cost or OMV, B is initial taxable use and C is the current taxable use.
- The time of supply is deemed to be the**31st of December** of that particular year of assessment.

NB: No change of use of capital goods is required if this has been triggered by government policy w.e.f 1 January 2017.

Example

*XYZ limited, a regist*ered operator which makes both taxable and exempt supplies acquired a laptop computer for $1,150 (Inc. VAT) on 1 April 2019. At the time of purchase the laptop computer was to be used 100% in the production of taxable supplies. However, on 1 August 2019 a decision was made to use

the laptop computer 60% in the making of taxable supplies and the remainder in the making of exempt supplies. On that date the laptop computer had an open market value of $800.

Required:
Calculate the VAT output tax arising from the change in use. Note: XYZ had claimed the full input tax on the date they acquired the laptop computer.

Solution

VAT Output Tax is calculated as follows: A(B-C)*

B	*= 100%*	*A = $800 (lesser of cost and OMV at date of change in use)*
C	*= 60%*	
VAT Output	*= 14.5% * $800 * (100% - 60%)*	
	= $46.40	

15.17 Goods acquired prior to fixed date (1 January 2004) (section 17(4) (a)

Input tax adjustment will be made if goods are eventually utilised to make taxable supplies. Formula: A * B * C is applied

A represents a tax fraction, B lesser of cost or OMV and C percentage or ratio of intended use to total supply.

Where C is equal to or more than 90%, such percentage shall be deemed to be 100%.
This section is not applicable if input tax would have been denied in terms of section 16 of the VAT Act, e.g. a registered operator takes a stove from his house for use in the business's staff canteen. Although the stove is now used in the business, it relates to the supply of entertainment.

Example

Matamba (Pvt) Ltd acquired a manufacturing plant on 1 August 2003 for an amount equivalent to US$15,000. However, Matamba (Pvt) Ltd only commenced its manufacturing business on 1 July 2004 where the plant was brought into use. As at that the plant had an open market value of US$13,000 (the reduction in value was due to the fact that newer and more technologically advanced plant was now on the market). From that date the plant was being used 100% in the production of taxable supplies.

Required:
Calculate the input tax that can be claimed by Matamba.

Solution:

Apply the formula:	*=A*B*C*
	*= 14.5/114.5 * $13,000 * 100%*
	= $1,646.28

15.18 Goods acquired after fixed date (1 January 2014) (sections 17 (4) (b))

This section applies to **new VAT registrants** or those registered operators who would have been deemed by section 7(2) (cessation of trade) to have made a supply and input tax has previously been denied or not claimed:

- Where goods or services have been acquired by a person on or after the fixed date and tax has been charged in respect of the supply; or

- ❖ Goods have been produced by a person on or after the fixed date and tax has been charged in respect of the supply of goods or services acquired by him for the purpose of production;

When such goods or services are subsequent to the fixed date applied in any tax period by that person wholly or partly for use in the course of making taxable supplies; such goods or services shall be deemed to be supplied in that tax period to that person and an input tax credit shall be deducted in terms of

Section 15 (3).

The input tax deduction in terms of S15 (3) shall be determined in accordance with the following formula:

A*B*C, where –
A = the tax fraction
B = represents the lesser of Cost (including tax) and the OMV
C = represents the ratio of intended taxable usage to total intended use of goods immediately after the supply.

Where ratio is equal to or more than 90%, such percentage shall be deemed to be 100%.
NB!!! The above section (S17(4)(b), shall not apply where a R/O has been previously denied input tax deduction due to him not producing sufficient proof to support the claim but has now produced such proof (section 15(2))

NB: No change of use of capital goods is required if this has been triggered by government policy w.e.f. 1 January 2017.

Example

On 1 September 2019 loice went to the Harare Agricultural show and whilst there he acquired a sadza cooking machine (Gwatamatik) for $2,100 (Inc. VAT). At that time Aloice was contemplating starting a restaurant business but had not yet acquired premises to conduct the business from, therefore he used the Gwatamatik in his family home to prepare meals for his family. In December 2019 loice finally acquired premises for his restaurant business and immediately commenced operations as from that date. Aloice had already registered for VAT in anticipation of commencing operations. The Gwatamatik was transferred to the restaurant on the same date. The Gwatamatik had an open market value of $2,500 as at the date of transfer.

Required
Calculate the input tax that *can be claimed by loice.*

Solution
The Gwatamik with effect from December is now being used in the making of taxable supplies hence Input tax is now claimable:
Apply formula: *A * B * C*
14.5/114.5 $2,100 (lesser) * 100%*
$265.59

15.19 Fixed Property Transactions

If the seller is a registered operator, VAT is chargeable on the supply of both residential and commercial properties.

If the seller is a registered operator who sells a commercial property used for making both exempt and taxable supplies and was allowed part of the input tax:

- Will account for output tax on the sale
- Will be allowed an adjustment of input tax previously not claimed.

If the sale is by way of instalments, output tax will be accounted for as and when payment is received.

If the transaction is between registered operators and the sale qualifies as a sale of a going concern, the sale may be zero-rated

If the seller is a non-registered operator, no VAT is chargeable on the transaction.
If a registered operator acquires/purchases fixed property from a non-registered operator, notional input tax may be claimed but only where stamp/transfer duty was paid or is payable.

- Notional input tax will be restricted to transfer/stamp duty paid.
- Only claimable where the transfer/stamp duty has been paid

Example

On 2 May 2016, Mr Tafirenyika a registered operator entered into the following transactions:
He started to use his personal Toyota Vigo d/cab 100% for business purposes (making taxable supplies). The vehicle was purchased on 31 October 2015 for $24 500 (Inc. VAT) and on that same date its market price was $25 600.
He started to use his personal computer 100% in his business. The computer cost him $750 (incl. VAT) and had a market value of $450 on 2 May 2016.
He started to use his personal printer 95% for business. The printer was bought for $350 (incl. VAT) and its market price on 2 May 2016 was $400.
He converted 80% of his private residence into offices. He bought his residence for $100,000 and paid transfer duty of $8,000. He bought the residence on credit from the seller who is not a registered operator and has only paid $75000 to date. On 2 May 2016 when he started to use 80% of the offices, it had a market value of $110,000.

Required:

Calculate the VAT consequences of the above

Solution
Toyota Vigo: Cannot make an input tax adjustment as input tax was denied in terms of section 16(2) (d)
*Computer: Claim input tax using the formula A * B * C (15/115 * 450 * 100% = $56.99)*
*Printer: Claim input tax as follows: 15/115 * 350 * 100% = 44.32 (note 1)*
*Offices: Claim input tax using formula A * B* C * D (15/115 * 100 000 *80% * 100% (note 2) = $$10 131.00. Limit claim to stamp duty paid 8000 * 80% = $6 400.*
Note 1: Since the use is 95%, the de minimus rule applies.
Note 2: Although the residence is considered second hand goods and full payment was not made, it is fixed property and because stamp duty was paid, full input tax is claimable (D is deemed to be 100%)

15.20 Increase in taxable use of capital goods (section 17(5)

An adjustment is permissible where there is an increase in taxable use of capital goods. The adjustment is done at the end of the operator's financial year)
The formula **A * B* (C-D)** is applied where:

A- represents tax fraction,
B- -the lesser of cost or OMV,
C- the current %age use and
D- the %age use prior to the increase

The time of supply will be 31 December of that particular year of assessment.
Note: A change in use resulting in the increase in the extent of taxable use results in an input tax deduction.

15.21 Sale of a business as a going concern – Sect 18

The sale is zero rated in terms of section 10 (1) (e) and the Criteria for identifying a going concern:

- ❖ Parties to agree in writing that the sale is of a going concern,
- ❖ All assets necessary for the carrying on of trade have been sold to the buyer or Parties to agree that the sale price includes VAT at 0%,
- ❖ Both parties are registered operators,

Where the intended use of such trade, part, goods, services upon acquisition is equal to 90% and above, of the total intended use, the trade etc., is regarded as having been acquired wholly for taxable purposes. Zero rating will not apply where the business is used to the extent of 90% and above to make exempt supplies.

Where after the sale has been zero rated, the purchaser changes the use of the business, from taxable to non-taxable, an adjustment should be made. Output tax on the extent of non-taxable use is payable.

The adjustment is calculated as follows:

The total sale price less goods that did not qualify for input tax deduction at the initial purchase less the proportion of the taxable use

Should any of the assets acquired consist of items in respect of which input tax deduction would be denied in terms of Section 16(2) [e.g., Motor vehicle], the cost of acquiring the going concern may be reduced by the cost of such assets.

Where the two parties are connected persons and such going concern is acquired either for no consideration or for less than the open market value, the purchaser's cost is deemed to be the open market value of the business.

Example

Sale of a business as a going concern

Mr A purchased a r*etail business as a going concern. The business had the following assets:*
Toyota Hilux d/cab: purchase price $13000 and market price $15000.
Mazda T35: purchase price $8000, market price $6000
Computer: purchase price $250. Market price $100 (initially purchased from a non-registered operator)
Laptop: purchase price $560, market price $300
Stove: purchase price $230, market price $400 (was previously used by the seller to make staff meals.
Due to a slump in business, he decided to convert his business into a college offering tertiary education and transferred all assets to the college. The college was registered with the Ministry of Higher and Tertiary Education.

Required

Discuss the VAT implications of the transaction giving supporting calculations where necessary.

Solution

The conversion of the business from a taxable supply to an exempt supply requires Mr A to account for output tax in terms of section 18(2).
Output tax will be determined by applying 14.5% to the full purchase price, reduced by value of assets that did not qualify for input tax deduction on initial purchase
Output tax will be calculated as follows:
*Toyota Hilux: 13000 * 0 (Input tax denied ito section (16(2) (d))*
*Mazda T35: 8000 * 14.5% = 1160*

*Computer: 250 * 0 (no VAT charged initially as it was purchased from a non-registered operator).*
*Laptop: 560 * 14.5% = 81.20*
*Stove: 230 * 0 (Input tax was denied on initial purchase as it was used for entertainment).*
Total output tax payable will thus be $1,284.

15.22 Irrecoverable debts: Sect 22

A registered operator is allowed to claim input tax on irrecoverable debts subject to the following conditions:

- The supply was a taxable supply
- A return has been furnished with the Commissioner and VAT was accounted for on the debt
- The debt belongs to the operator and has been written off in his books
- Only the VAT on the cash value of an instalment credit agreement sale is claimable

Input tax deduction is not allowed where the debt has been transferred to someone on a non-recourse basis. Input tax is allowed where the debt transferred to someone on a recourse basis has been returned to the operator and has been written off. If the debt is subsequently recovered, an output tax adjustment should be made. A registered operator who claims input tax on a credit supply should make an output tax adjustment if the debt remains unpaid after a period of 12 months.
Meanwhile a taxpayer who has claimed the tax and has not paid within 12months must write back input tax claimed. (Claremont Library Development Company (PTY) Ltd vs SARS (Case No: VAT1247)

15.23 VAT on Fringe benefits – Sect 17(3)

An employer who provides fringe benefits to employees is deemed to have supplied goods or services on which output tax should be accounted for. Value of supply will be the value determined for PAYE purposes in terms of section 8(1) (f) of the In-come Tax Act

This subsection shall not apply to any such benefit if it is: -

- ❖ The supply of goods or services which are exempt in terms of section 11, e.g., residential accommodation [section 11(1) (c)], or
- ❖ The supply of such goods or services attracts a rate of zero percent in terms of section 10, e.g., supply of bread or sugar to employees [section 10(1)(g)], or
- ❖ The supply of entertainment e.g., free meals
- ❖ The benefit is granted by registered operators who are in the business of making exempt supplies. E.g., motor vehicle supplied to an employee by an educational institution, which is not registered for VAT.

Example

Fringe benefit

Tanaka is employed by B Ltd a registered operator for VAT purposes. As part of his employment benefits Tanaka has free use of an Isuzu KB (3100ccs) during the 2019 tax year and also received an entertainment allowance of $200 monthly which he used at his personal discretion. Tanaka had use of a company house for which he paid a monthly rental of $300 whereas the market related rentals for a similar house is $750.

Required

Use of motor vehicle
The value of the benefit in terms of the income tax act is $4,800. Therefore, the Output tax is calculated as follows:
$4,800 * 14/114.5 = $586.90
In B Ltd.'s records the VAT will be recorded as follows:

Dr Staff costs	$586.90 (cost to B ltd)
Dr VAT Output	$586.90

Entertainment allowance

In terms of the Income Tax Act the entertainment allowance is a fringe benefit since Tanaka is not using the allowance for B Ltd.'s business. However, in terms of the VAT Act entertainment B ltd would have been denied an input tax deduction in respect of entertainment related expenses, therefore there is no Output tax which accrues on this benefit.

Housing Benefit

Since Tanaka is paying below market rentals a benefit of $450 ($750-$300) accrues on a monthly basis in terms of the Income Tax Act. However, the provision of residential accommodation is exempt from VAT; therefore, no Output tax will accrue on the value of the benefit.

15.24 Pre-incorporation expenses: Sect 19

Input tax claimed on purchases made by another person before the company's incorporation, Can only be done if:

- Company has reimbursed the whole amount paid
- The goods/services were acquired for the purpose of trade by the company to be incorporated.

Input tax is not claimable where:

- ❖ Supply is not a taxable supply
- ❖ Goods/services were acquired more than 6 months before date of commencement of trade.
- ❖ The company does not hold sufficient records.

15.25 VAT Registration Requirements

For a person to charge and collect VAT they must be a registered operator. Registration can be voluntary or mandatory per section 23 of the VAT Act [Chapter 23:12]. Non-registered operators cannot claim input VAT as well and therefore the registration status of a taxpayer is very important in the determination of VAT payable or refundable.

Item	Explanation
Registration for VAT – Sec 23	Any person who on or after the "fixed date" (effective date of the VAT Act) carries on or intends to carry on any trade (s) and whose taxable value of supplies exceed or is likely to exceed $7,800,000 or the prescribed amount is required to 7register for VAT in terms of section 23 of the Act.
Liability for Registration – s 23(1)	***A person is liable to register if: -*** • At the end of any month, the total value of supplies of goods or services (turnover) has exceeded $7,800,000 or the prescribed amount in the preceding period of 12 months, or • There are reasonable grounds for believing that the total value of supplies of goods and services, which will be made in the following 12 months, will exceed the prescribed amount. • Unless it can be shown that the prescribed amount was exceeded as a consequence of: ➢ The sale of stock or other assets due to any cessation of or substantial and permanent reduction in the size or scale or any trade ➢ The replacement of plant and machinery or other capital assets used in the trade Abnormal circumstances of a temporary nature Registration should be done **within 30 days.**

Voluntary Registration – sect 23(3)	A person can apply for voluntary registration even if the total value of taxable supplies is less than the prescribed amount per annum. Registration is subject to a minimum turnover level set by the Commissioner from time to time. As a general rule of thumb, it will be advantageous for a person to register if they supply goods or services mainly to other registered operators. The person must satisfy the Commissioner that they are carrying on trade .
	Advantages of voluntary registration ➢ The VAT registration certificate is a prerequisite by most suppliers for consideration to participate in tenders. ➢ Being VAT compliant is also a consideration by ZIMRA for the issuance of a tax clearance certificate which saves on potential withholding tax of 30% from invoices issued to customers. ➢ Avoidance of potential penalties and interest from late VAT registration. ➢ Input tax claim from purchases obtained from VAT registered suppliers
Registration Procedure – 23(7)	Application for compulsory and voluntary registration must be made on the prescribed registration form together with any other documents, which the Commissioner may require from time to time (i.e., company registration particulars, bank details, etc.) For compulsory registration, this must be completed no later than 30 days from the date on which the registration threshold has been reached or the date it is established that the threshold is likely to be reached.

15.26 VAT Tax Periods – Section 27

Submission of Returns and Payments

All registered operators are required to submit returns and account for VAT to the Commissioner at regular intervals. These intervals are called tax periods.

A registered operator`s first tax period will commence on:

- The commencement date of VAT, or
- The date on which he becomes a registered operator, if he was not liable or carrying on any trade at the commencement date of VAT.

The month in which a registered operator`s tax period ends will be determined by the Commissioner. Tax periods do not all end at the same time for all registered operators.

These tax periods are as follows:

Two – month Tax Period (Category A or B)

Most registered operators will be allocated a "standard tax period" of 2 months unless otherwise requested, but such persons can elect to be on Category C (monthly). Registered operators may choose between the 2 categories, but if no choice is made the Commissioner will allocate them either category A or B automatically. The tax periods end as follows:
Category A: The last day of: - January, March, May, July, September and November
Category B: The last day of: - February, April, June, August, October and December

One – Month Tax Period (Category C)
Larger enterprises whose taxable supplies exceed $31,200, 000 or the amount prescribed will be to submit returns on a monthly basis.

Any Other Tax Period (Category D)

Registered operators will qualify for any other tax period if: -
- ❖ The registered operator's trade consists solely of farming activities; or
- ❖ The registered operator whose separately registered trade, branch or division consists solely of farming activities, provided any other trades, branches or division carried on by that registered operator do not consist of farming activities;

The total turnover from all farming activities must not exceed $15, 6000,000 or the pre-scribed amount.

15.27 Tax Invoices – Sect 20

Requirements for Tax Invoices

In practice, a registered operator is normally required to issue a tax invoice which satisfies the requirements of the Commissioner and the requirements of the contracting parties. A registered operator is required to issue a tax invoice within 30 days from the date of supply, but it may not be necessary to issue a tax invoice where the consideration in is immaterial. However, in such cases, some type of source document is required in order to claim input tax e.g., till slip, petty cash slip. etc.

Details on a tax invoice should include:
- The words "TAX INVOICE" in a prominent place
- Name, address and VAT registration number of the supplier
- Name, address and VAT registration number of recipient.
- Invoice serialised number and date of issue
- Description of goods and /or services
- Quantity or volume of goods or services supplied
- Price & VAT

NB:

- A registered operator is not allowed to issue more than one tax invoice for a single supply.
- If the need arises for him to issue another tax invoice for same supply, he is only allowed to issue a copy invoice clearly marked "copy".

15.28 VAT Deregistration- Section 24

A registered operator may be deregistered if: -
- ❖ If the value of his taxable supplies falls below the registration threshold
- ❖ He ceases to carry on any trade and will not carry on any trade within 12 months after that date
- ❖ Where he has applied for registration in anticipation of commencing a trade and has not commenced that trade.
- ❖ A registered operator has successfully applied for voluntary registration and it subsequently appears that he has not complied with the requirements.

Cancellation of registration, with the approval of the Commissioner will take effect from the last day of the tax period on which the application is made. A person who ceases to be registered remains responsible for any duties or obligations under the Act while he was registered. Implying that, the deregistered person will still be liable to pay all VAT debts which accrued during the period of being a registered operator.

15.29 VAT Withholding Tax

Certain persons known as VAT withholding tax agents are tasked with the responsibility to collect VAT on supplies made to them which are subject to tax at 14.5%. The Commissioner is empowered to appoint companies as withholding tax agents if he has any reason to believe that the operators they are dealing with are not providing truthful VAT returns. The agent will be tasked with the responsibilities of withholding a portion of the output tax as specified in the charging Act and to remit amounts withheld by the 15th of the following month or any date specified by the Commissioner. The amount of value added withholding tax to be withheld by a value added withholding tax agent in terms of s50A of the principal Act shall be ⅔ of the output tax to be paid to a specified operator with effect from the 1st of January, 2017.

The Finance Act 2018 revised the rate downwards from 10% to 5% (one-third) of the value of taxable supplies, with effect from 1 January 2018. The Commissioner may designate any person to be a value-added withholding tax agent provided that he may, at any time, revoke the appointment of a value added withholding tax agent, if he deems it appropriate to do so. The amount so withheld shall be credited to the account of the registered operator. The withholding tax does not relieve the supplier of taxable supplies of the obligation to account for tax in accordance with the Act and the regulations. Any value added withholding tax agent who fails to withhold or pay to the Commissioner any amount of value added withholding tax shall be liable for the payment, not later than the date on which payment should have been made if value added withholding tax had been withheld, the amount of such value added withholding tax which he or she failed to withhold or pay to the Commissioner and a further amount equal to such value added withholding tax. Any person who fails to deduct VAT withholding tax or comply with provisions relating to VAT withholding tax shall be guilty of an offence and liable to a fine not exceeding level seven or to imprisonment for a period not exceeding twelve months or both such fine and such imprisonment

15.30 Agents and Auctioneers (section 56):

In cases where an agent makes a supply of goods or services on behalf of another person who is his principal, that supply shall be deemed to have been made by the principal, section 56(1).

Where the agent is a registered operator, the agent may issue and receive tax invoices, debit notes or credit notes. This though does not relieve the principal of the obligation to account for output tax, deduct input tax and submit returns, section 56(2).

Where goods are imported into Zimbabwe by an agent who is acting on behalf of another person (a resident of Zimbabwe), the importation shall be deemed to have been made by the principal regardless of the fact that the documents are held by the agent, section56(3)

Where goods are imported by an agent on behalf of a foreign principal who is not a registered operator and the agent has paid tax on importation and there is an agreement in writing that the principal will not reimburse such agent, then that importation shall be deemed to have been made by the agent and not the principal. The agent will claim input tax, section 56(4).

Where agents issue or receive tax invoices, credit notes and debit notes, they are required to maintain sufficient records, section 56(5). Special provisions have been made in respect of auction sales where transactions will not ordinarily be a taxable supply. In such situations, the auctioneer is deemed to have supplied the goods in the course of furtherance of his trade, section 56(7).

15.31 Summary VAT Mind Map

Whenever you are tackling a VAT question you need to ask yourself the following questions:

- Have you identified and understood the details of the transaction?
- Has the transaction been affected as part of the taxpayer's trading activities?
- Is the taxpayer a registered operator?
- Has the transaction resulted in income or an expense for the taxpayer?
- Income: possible Output VAT
- Expenditure: possible Input VAT

- ❖ Should there be output VAT? Supply of goods or services, imported goods, imported services or goods sold through an auctioneer.
- ❖ Determine whether the transaction is either Zero rated, standard rated or Exempt;
- ❖ Determine the time of supply based on the information provided;
- ❖ Determine the value of supply based on the information provided; and
- ❖ Where applicable calculate the Output VAT or Input VAT arising from the transaction.
- ❖ In the case of expenditure and input tax, was the taxpayer charged VAT?
- ❖ Is the taxpayer going to use the supply in the making of taxable supplies?
- ❖ Is the supply not a prohibited deduction for input tax?
- ❖ Are there no VAT implications stemming from an adjustment per sections 17 and 18?

Chapter round up

- VAT is an indirect tax levied on the supply of goods and/or services, the goods and services must be supplied in the furtherance of a trade carried on in Zimbabwe on a continuous or regular basis.
- Zero rated supplies are supplies on which output tax is charged at 0%.
- Exempt supplies are supplies on which output tax is not charged.
- VAT registration threshold is $7,800,000 in any past period of 12 months or where there are reasonable grounds for believing that the said threshold will be exceeded.
- A person who has less than sales threshold of $7,800,000 in any period of 12 months may apply to ZIMRA for voluntary registration and may be registered subject to the Commissioner's discretion
- There are four different tax periods or categories under which a registered operator can submit his/her VAT returns, namely, category A, B, C and D.
- Time of supply defines the tax point for accounting of VAT. As a general rule, VAT must be accounted for on the earlier of an invoice being issued or the time a payment is made or received for the supply.
- The value of supply is value on which VAT must be computed on.
- VAT input tax is claimed on valid tax invoice, without which input tax cannot be claimed.
- Claim of VAT is prohibited goods or services acquired for purposes of entertainment, is a supply of passenger motor vehicle, club subscriptions, medical supplies or exempt supplies

PART F

Employment Tax, Capital Gains Tax and Estate Planning

16. Taxation of Employment Income

16.1 Introduction

Income earned by individuals from their employment is subject to income taxes and is taxed using PAYE tables (see appendix 1). The bases of the tax tables are to tax higher income earning individuals at a higher rate as compared to lower income earning individuals. Both local and foreign companies, including partnerships, associations, trusts and individuals doing business in Zimbabwe are under an obligation to register as employers, deduct and remit employees' tax to ZIMRA from remuneration they pay to their employees. The key to this study unit is the determination of taxable amounts arising from employment.

Objectives	• Define employment Income. • Identify items for inclusion in employment income. • Understand the basis of valuation of fringe benefits. • Understand the treatment of proceeds from Pension and Retirement Annuity Funds. • Identify items exempt for PAYE purposes. • Identify expenses deductible for employment tax purposes • Understand the concept of PAYE. • Calculate employee's tax liability. • Identify concessions granted to elderly persons. • Identify and compute tax credits available to individuals
Act: (if applicable)	Sect 2 of the ITA Sect 7 of the ITA Sect 8 ARW the 1st Schedule of the ITA Sect 14 ARW the 3rd Schedule of the ITA Sect 15 ARW the 6th Schedule of the ITA
Regulations:	Double Taxation Agreements- See Appendix
Relevant Cases	Heywood Haulage Investments Central Africa (Pvt) Ltd vs Zimra (HH-81-11) Six Private Schools vs the Commissioner General of ZIMRA (HH314-16)

16.2 Statutory instruments 33 & 142 of 2019

SI 33 of 2019 now incorporated in RBZ Act, converted balances in United States dollar into RTGS$ effective 22 February 2019 on a one-to-one basis. Accordingly, expressions and figures contained in the revenue statutes and any other Acts immediately became Zimbabwe dollars on that date. Meanwhile, SI142 of 2019 outlawed foreign currency as legal tender on the 24th of June 2019, and the introduction of the Zimbabwe dollar as the sole legal tender in Zimbabwe. This has however been reversed through SI85 of 2020 which has once again allowed the use of United States dollar in domestic transaction with effect from March 2020.

16.3 PAYE in foreign currency

PAYE is paid in foreign currency if a person earns wholly or partly in foreign currency. Separate tax tables for those earning in foreign currency exist with effect from 1 August 2019. For the period 1 January 2019 to 31 July 2019 the same tables were used except that PAYE will then be remitted in foreign currency. Tax credits were also denominated in foreign currency effective 1 August 2019. There are separate motoring benefits in foreign currency and Zimbabwe dollar.

16.3.1 Year of assessment

An ordinary year of assessment is a period from 1 January to 31 December. Just like 2019, there are two assessment periods for 2020 in respect of persons deriving income from employment:

- 1 January to 31 July
- 1 August to 31 December.

This means two ITF 16s are to be filed for 2019 within 30 days of end of each year of assessment.

16.3.2 Employment Income Sect 8 (1) (b)

Employment income is income earned by an individual in respect of services rendered under any contract of employment and any amount received due to the cessation of employment.

This includes salary, bonus, director's fees, compensation for leave due but not taken and any other form of reward e.g. benefits which are directly related to the rendering of services regard-less of whether the payment is voluntary or contractual. Note that the word ―amount‖ means not only money but also any other property, corporeal or incorporeal, having an ascertainable money value. Leave pay shall be deemed to accrue proportionately on the last day of each month of the leave period.

Therefore, from the above definition employment income includes among others:

- Salaries;
- Leave pay;
- Bonus;
- Gratuity on cessation of employment;
- Retrenchment packages;
- Commission earned as a result of employment;
- Pension;
- Superannuation allowance; and
- Commutation of a pension.

"Employee" includes a person who is a director of a company, agent or servant or is otherwise gainfully occupied and "employer", in relation to such person shall be construed accordingly.

Only remuneration from a source within or deemed source within is subject to tax in Zimbabwe. We consider the various scenarios below:

16.3.3 Income from a source within Zimbabwe

Taxation in Zimbabwe is based on source principle and not the residence status of an individual. In the case of *Commissioner of Taxes vs. Shein 22 SATC 12* the court highlighted that the source of income for services rendered is the place where the services would have been rendered or performed. Residents and non-residents alike rendering services in Zimbabwe, no matter where the payment is coming from are liable to employees' tax in Zimbabwe on such services.

16.3.4 Services of a Non-Resident or Expatriates

In terms of double tax agreement ("DTA") rules an expatriate or a non-resident employee can be exempted from taxation in Zimbabwe if a "DTA" exists between his country of residence and Zimbabwe provided all the following conditions are satisfied:

a) The employee remains treaty resident in his home country,
b) The non-resident or expatriate renders services in Zimbabwe for a period of less than 183 days in a year of assessment,

c) His/her remuneration is not be paid by, or on behalf of, an employer who is a resident of Zimbabwe and the person is taxed on this income in the home country,
d) The remuneration is not be borne by a "permanent establishment" that the non-resident employer has in Zimbabwe.

A "permanent establishment" is an international tax term meaning a fixed place of business through which the business of the employer is wholly or partly conducted.

16.4 Computation of tax liability

The tax liability is computed by applying the tax table for each year of assessment on the taxable income and deducting from that tax any rebates of the individual. The calculation of taxable income includes the following:

Salary		xxx
Bonus	xxx	
Less bonus exemption	(xxx)	xxx
Cash in lieu of leave		xxx
Gratuity		xxx
Leave pay		xxx
Cash allowance		xxx
Passage benefit (first time passage benefit)		-
Motoring benefit (based on engine capacity of car provided)		xxx
Housing benefit (open market rent)	xxx	
Less portion paid by the employee	xxx	xxx
Interest		xxx
Furniture benefit value of furniture		xxx
Entertainment allowance	xxx	
Less exemption (on expended on employer business)	(xxx)	xxx
Compensation for injury, sickness or death		-
Pension for an elderly person		-
Commission -		xxx
Income		xxx
Less Deduction		
Pension fund contributions (ordinary & arrear)	(xxx)	
Retirement annuity fund contributions	(xxx)	
NSSA contributions	(xxx)	
Professional subscriptions	(xxx)	
Approved donations	(xxx)	
NEC and Union contributions	(xxx)	
Trade tools	(xxx)	(xxx)
Taxable income		xxx

After the taxable income has been determined, the next step is the computation of tax payable using the tax rates for employed individuals as set out in Appendix A.

NB: The above is the prescribed format for use in the exam. Marks will be lost for using a different format

16.5 Employee vs Independent Contractor

The distinction between an employee and a self-employed person (or a consultant/independent contractor) is important because:

- Employment income is taxed at different rates to business income
- Employees have limited expenses to claim from employment income.
- Filing of returns and remittance of tax obligations differ between business and employment income.

In the event of a contention as to whether an individual is an employee or a self-employed person, the courts apply a three-pronged test as follows:

Control test	The test will involve considering the amount of control that one has over the other. If the degree of control is high it indicates a master-servant relationship, hence there is an employer-employee relationship. When the degree of control is small the relation is considered that of self-employed-customer relationship.
Integration test	The control test may not be sufficient to establish the nature of relationship between two people for instance where one is hired to provide a service which is highly technical and the hirer has no skills in that area, such hires normally exercise a high degree of independence in executing their mandates. An integration test tests the extent to which the individual is integrated into the business of the alleged employer. if the work done by the individual is an integral part of the alleged employer then the individual is an employee, if however, the work done is not an integral part, then the individual is self-employed
Economic reality test (multiple test)	The court may apply several tests to determine whether an employer-employee relationship exists. The following are some of the factors considered: The regularity of payment: An employee is often paid at regular intervals. The regularity of hours of work: An employee has stipulated working hours with fixed starting and ending times. The ability to delegate all the work: A self-employed person is able to delegate his/her work to subordinates, (he/she does not need to carry out the work), and employees should appear in person. Report for work: An employee is required to report for work whether or not there is no work to be done. Independent contractors only report for work if required, and they choose to. Leave entitlement: An employee is entitled to a leave whilst a self-employed person is not.

16.6 Special points to note about sect 8 (1) (b)

16.6.1 Bonus-3rd Schedule par 4(o)

A bonus or performance related award, e.g., profit share, accruing to an employee or agent in an employment or an agent/principal relationship is taxable as employment income, subject to an exemption.

The bonus exemption has been varied over the years as follows:

- 1 November 2012 to 21 February 2019 US$1,000 of aggregate bonus received or accruing to an employee in the assessment year.
- 22 February 2019 to 31 October 2019 ZWL$1,000 of aggregate bonus received or accruing to an employee in the assessment year.
- 1 November 2019 to 31 October 2020 ZWL$5,000 of aggregate bonus received or accruing to an employee in the assessment year and US$320 for a person whose earnings are in foreign currency.
- 1 November 2020 onwards ZWL$25,000 of aggregate bonus received or accruing to an employee in the assessment year and US$320 for a person whose earnings are in foreign currency.
- 1 November 2021 onwards ZWL$100,000 of aggregate bonus received or accruing to an employee in the assessment year and US$700 for a person whose earnings are in foreign currency

16.6.2 Cash In Lieu of Leave [C.I.L.O.L.]

Cash in lieu of leave is gross income, despite any clause in the contract reserving an employer's right to pay such amounts. It accrues when an employee becomes entitled to the amount.

16.6.3 Retrenchment payment - 3rd schedule par 4

A retrenchment package constitutes gross income subject to an exemption of one-third (1/3) (up to maximum of one third of ZWL$400,000 i.e., ZWL$80,000) of the package or ZWL$50,000 whichever is the greater amount (para4 (p) of the 3rd Schedule to the Act). Where one has received the retrenchment package in foreign currency the exemption is US$3,200 or a third of the package up to a 1/3 of US$15,100, whichever of the two is the greater amount. These measures are with effect from 1 November 2019.

Exemption of retrenchment package reviewed to the greater of ZWL400 000 or 1/3 of the retrenchment package, but capped to a third of ZWL2 million. The measure takes effect from 1 January 2021.

A retrenchment package includes severance pay and other benefits granted on retrenchment, exclusive of pension, notice pay and cash in lieu of leave (these are taxable in full). Other benefits granted on retrenchment include any amount payable by reason of cessation of employment e.g., school fees for children (even if it's to cover future periods), compensation for loss of office, awards, gratuities etcetera. Therefore, these amounts when paid upon employee retrenchment would be aggregated with severance pay for purposes of determining the exemption amount.

16.6.4 Gratuities – [Sect 8 (1) (b)]

A gratuity is fully taxable.

Awards, benefits and compensation - Sect 8 (1) (b)] and 3rd Schedule

Any amounts that is payable as award, compensation or benefit for services rendered is taxable (e.g., long service awards), unless the amount is paid to the employee, his family or his estate under the following circumstances:

- Under any law for sickness, injury disablement or death suffered in employment.
- In respect of injury, sickness or death which is paid by a trade union, benefit fund, medical society or an insurance company on a policy covering accident, sickness or death.
- In terms of Wankie Disaster Relief Fund to employee or to employee's dependents. In terms of any law for employee's personal injury, even if paid as compensation for loss of a taxpayer's ability to earn income in the future.

16.7 Employment Benefits – Sec 8 (1) (f)

Gross income includes benefits accruing from employment. These include board, occupation of quarters or residence, the use of or enjoyment of any other property whatsoever, corporeal or incorporeal, including a loan, an allowance, and passage benefit and any other advantage or benefit whatsoever in lieu of or in the nature of remuneration as stated above. These benefits are valued as follows:

- the occupation or use of quarters, residence or furniture, by reference to its value to the employee
- any other advantage or benefit, by reference to the cost to the employer (*Six schools vs Zimra SC61/17/1)*
- Specific valuation as provided in the legislation e.g. motor vehicle, motoring benefit

Below is a summary of some specific employment benefits

<table>
<tr><th>Type of benefit</th><th>Determination of taxable amount</th></tr>
<tr><td>Motoring benefit</td><td>
<table>
<tr><th>Engine capacity (CC)</th><th>ZWL$</th><th>USD</th></tr>
<tr><td></td><td>W.E.F 1/1/2022</td><td>W.E.F 1/1/2022</td></tr>
<tr><td>Up to 1500</td><td>81,000</td><td>625</td></tr>
<tr><td>1501-2000</td><td>108,000</td><td>830</td></tr>
<tr><td>2001-3000</td><td>162,000</td><td>1250</td></tr>
<tr><td>3001 and above</td><td>216,000</td><td>1660</td></tr>
</table>
</td></tr>
<tr><td>Disposal of motor vehicle to any employee.</td><td>In the case of a sale or disposal of a motor vehicle to an employee, whether during or on termination of employment, the deemed benefit shall be determined as follows:

Benefit = A – B

Where:

A: Represents the market value of the motor vehicle.
B: Represents the value at which the employee acquired the vehicle

Example

Frank bought a VW Golf from his employer at $2,400 when the market value was $5,400 on the date of purchase of the vehicle. How much is Frank’s taxable income?

Solution

Frank’s taxable income is $3,000 ($5,400 -$2,400).

Note: Persons who are 55 years or above are exempt from tax on this benefit. Market value should be obtained from motor dealers acceptable to Zimra and in practice Zimra wants 3 quotations.</td></tr>
<tr><td>Passage benefit</td><td>Passage benefit means so much as is borne of the cost or paid by an employer towards the cost of:

(a) Any journey made by an employee, his spouse and children or one or more of them in connection with his taking up of employment, service, office or other gainful occupation; and on the termination of his employment, service, office or other gainful occupation or
(b) Any other journey made by an employee, his spouse and children or one or more of them in so far as that journey is not made for the purpose of a business transaction of the employer (e.g., where an employee goes on holiday and the employer foots the costs associated with the holiday).

Exceptions to the general rule:
A journey undertaken to take up employment (or on termination) is excluded if it represents the first time such benefit is granted by the employer to that employee.</td></tr>
</table>

Occupation of residence	A benefit arises where the employer grants the employee free or subsidised accommodation or pays rent for an employee. The benefit is the open market rent less amount paid by the employee or rent paid by employer.
Loan benefit	Interest free or subsidised loan from employer to an employer is a taxable benefit to an employee at LIBOR + 5% (United States dollar loan) and 15% Zimbabwe dollar loan Small loans ZWL$8000 (US$100 foreign currency) or below are tax free. Salary advances recovered on the next pay day are not deemed loan. Loans for education or for medical purposes are tax free. Example1 Mrs. Hove borrowed $15,000 from her employer on 28 February at an interest rate of 2.6% p.a. and repaid the amount in full on 31 December of same year. The annualised LIBOR was 0.6%. Calculate Mrs. Hove's taxable income. Answer Mrs. Hove's taxable income is $375 {(10/12 x $15,000 x (5.6%-2.6%)}. Example 2: Mr. Warthog borrowed ZWL$450,000 from his employer on 01 January 2021 at an interest rate of 10% p.a and will repay the amount in full on 31 December 2021. Calculate Mr. Warthog's taxable income. **Answer** Mr Warthog's taxable income is (450,000 x (15% - 10%)) = ZWL$ 22,500 NB: Loan for education, technical education, medical purpose or below $8,000 is tax free
Shares acquired pursuant to an employee share option scheme – Sec 8(1) (t)	The exercising of an option to acquire shares pursuant to a share option scheme is a taxable benefit. The benefit is calculated and accounted for as follows: • 5% of market value of the shares on the day of exercise if the was options granted before 1 February 2009. • Amount computed as follows for options granted after 1 February 2009. A – (B+C) Where: A = Market value of shares at the time of exercise. B = Exercise price or strike price. C = The inflation allowance on strike price C = $\frac{(D - E) \times B}{E}$ D = Consumer price index on date of share option exercise. E = Consumer price index on date of share option offers. Where there is no inflation, the benefit is A – B. Example Mr. X was offered 100,000 shares by his employer (Z Ltd) at a price of $0.50 per share and should remain in the employment of Z Ltd for 5 years and assume he did and that on the date consumer price index had moved from 1.2% to 1.65%

	(time of offer to time of option). Advise Mr. X of his taxable income, if the share price on the date of exercise is $1.50. **Answer** A = $1.50 per share B is $0.50 per share C is $0.19 (0.50 x (1.65-1.20)/1.20) Benefit = 100,000 (1.50 – (0.50 + 0.19) = $81,000
Educational assistance	A scholarship, a bursary or an educational assistance paid on behalf of a student receiving instruction at an educational establishment is tax exempted, unless provided as a reward for services rendered or to be rendered by the person or his/her near relative. The benefit is also exempt if it is paid to enable a person to pursue a study or a research benefiting the employer.
School fees	Where an employer pays school fees on behalf of an employee for the education of the employee, spouse or children that is a taxable benefit to an employee.
Free or subsidized Lunches	Subsidized meals provided by an employer to employee give rise to a taxable benefit. The benefit is cost to the employer reduced by amounts recovered from each employee. Exempted are meals or refreshments supplied by an employer when the employee is entertaining business clients or someone on behalf of the employer.

16.8 Annuity- sec 8 (1) (a)

Any amount received or accrued by way of an annuity constitutes gross income.

The nature of an annuity was considered in ITC 826 (1956) 21 SATC 189 at190, as follows:

"An annuity may be described as an annual payment in perpetuity for the life of the grantee or for a limited period ..."

The following are the necessary characteristics of an annuity (ITC 761 (1952) 19SATC 103):

- It must be claimable from another person or body. Ex gratia payments, even though determined annually, for example, do not constitute annuities: CIR v Watermeyer (1965) 27 SATC 117;
- It must be a fixed annual payment (which may be divided into, for example, monthly instalments);
- It must be repetitive for a period. (See also KBI v Hogan (1993) 55 SATC 329.)

An annuity may arise in various ways, such as by way of:

- purchase from an insurance company;
- a gift or a legacy;
- a pension for services rendered;
- an "annuity on retirement"; or
- a sale of assets

a) Purchased Annuity

Where an annuity is purchased by the annuitant or his spouse the annuitant is taxable only on what may be termed the "interest content" of the annuity, i.e., after exclusion of such portion as, in the Commissioner's opinion represents a return of any purchase price. This interest is calculated as follows:

I = P -A/N

I = Interest
P = Annual payment/receipt
A = Amount used to purchase the annuity

N = life expectancy of the annuity

If the annuitant survives beyond the expectation of life, subsequent receipts are taxable in full as the capital cost will by then have been allowed.

b) Gift or legacy annuity

An annuity by way of gift or legacy is taxable in full, regardless of whether the annuity is paid partly out of capital (CIR v Milstein (1942)11 SATC 279)

c) Annuity from services rendered (pension)

Where the annuity is in the form of a pension for services rendered it is taxable in full if either there is no "cost", as in the case of a pension from a non-contributory fund, or if the cost by way of the employee's contributions has been allowed in full. If his contributions have not been allowed in full, probably, as commonly occurs, by reason of their having exceeded the maximum amount deductible in any year, the aggregate of the disallowances is deductible, from the time the pension starts to run.

Example

An employee who is about to retire at 31 December is entitled to a pension of $72,000 a year from his employer's fund. The employee's contributions to such fund have in recent years exceeded the deductible limit in his hands. The aggregate of the disallowances is established at $30,000. His life expectancy is 12 years.

Solution

Pension	$72,000
Less Disallowed portion ($30,000 /120months * 1 month)	$ 2,500
Taxable	$69 500

d) Annuity on sale of business

Where a sale of assets arises, one must distinguish between an annuity and a sale price receivable in instalments. If, for example, X sells a farm to Y for $500,000 and the contract requires Y to pay the $500,000 in ten annual instalments of $50,000 it is submitted that the instalments do not constitute an annuity. If, on the other hand, X sells the farm, worth $500,000 with the stipulation that Y pays X$50,000 annually for life, it is submitted that the annual payments will constitute an annuity. In the latter instance, on the authority of L v COT (1951) 18 SATC 137, the$500,000 may qualify for acceptance as the purchase price for the purposes of the application of the formula referred to in (1) above.

16.9 Pension on retirement

16.9.1 Pension received in instalment- sect 8 (1) (a)

A pension received or accruing on retirement to an employee is gross income in terms of s8 (1) (a) less proportion of contributions which were previously disallowed to the employee. The disallowed portion should be deducted equally over the life of the pension from the annual pension being received.

Example

Alice Medusa who is 44 years, old retired on 1 September 2019. She was employed by Tendon Accounting Services (Pvt) Limited, since 1994. Her employer contributes 50% to Old Mutual pension fund for its employees. Over the years Alice's contribution exceeded the limit by $35,000. She will be receiving

$1,000p.m. In arrears with effect from 25 September 2019. Her life expectancy is 10 years. Compute her taxable income for 2019-tax year.

Gross pension accrual/receipt ($1,000 x 4 months)	4,000
Less Disallowed portion ($35,000/120 months * 4 months)	1,167
Taxable income	2,833

16.9.2 Pension lump sum – sect 8 (1) (r)

In terms of section 8(1)(r) to the Income Tax Act any amount received by way of commutation (lump sum) of a pension or annuity which is payable from the Consolidated Revenue Fund or a pension fund, other than a retirement annuity fund is fully taxable.

However, per the 3rd Schedule Paragraph 6 (h1), the lump sum amount is exempt to the extent of the 1,300,000 or 1/3 of 4,875 000 (i.e. 1 625,000) whichever is the greater amount. The employee's employment should have ceased due to retrenchment

16.9.3 Lump sum or commutation receipts – sect 8 (1) (n)

The section is the authority for commutation of pension from a retirement annuity fund (RAF). This where a taxpayer elects to receive a lump sum amount in the year of retirement and a reduced stream of equal pension until the person dies. The amount to be taxable is arrived at after taking off **1/3 of the member's pension entitlement in the first year of receiving the lump sum amount.** The 1/3 of pension entitlement is referred to as a commutation and is regarded to be of a capital nature.

To be availed a commutation it is necessary that a taxpayer should elect. Pension entitlement is what the taxpayer is expected to receive over their life expectancy.

what about a Gratuity

Major diffe between 8(1)(r) and 8(1)(n)
1.CRF
2. Exempt portion is computed on the lumpsum
3. Is subject to limited whilst
RAF =Limit is just 1/3 of the entitlement

Example

Mike retired on 30 September 2019, and will be receiving a lump sum payment $250,000 from a retirement annuity fund as pension. His pension entitlement is $570,000. How much is taxable in his hands?

Gross pension accrual/receipt	250,000
Less 1/3 of pension entitlement ($570,000 x 1/3)	190,000
Taxable income	60,000

16.9.4 Pension exemption

A pension accruing to a person over the age of 55 years is however tax exempted. The person should have attained 55 years before the commencement of the tax year to qualify for the exemption.

16.9.5 Pension refund or withdrawal- sect-8 (1) (c)

This is now a refund or withdrawal how different is it from a 81r

A pension refund or withdrawal is an amount paid to or payable to a beneficiary by reason of the member's withdrawal (leaving/changing jobs or employer closed business) or liquidation or winding up of the fund before the envisaged benefits from the fund are due to be paid.

this should be due to changing jobs , close of business, change of employer

It is also referred to as terminal benefit and is brought into gross income in terms of s8 (1) (c) ARW 1st Schedule to the Act as follows:

Pension/Benefit fund

Lump sum payment (terminal benefit)	xxx	
Less Prescribed amount		(18,000)

RAF

Less Amount used to purchase annuity on retirement	(xxx)
Less transfer to pension fund pf	(xxx)
Less transfer to benefit fund BF	(xxx)
Taxable income	xxx

Note that transfer from pension fund to benefit fund does not qualify for exemption (deduction).

A lump sum payment (pension refund) is taxed at a special rate and does not attract AIDS levy. The special tax rate is the person's top marginal rate of tax (highest rate on his employment income) or 20% if the person's employment income is below the minimum taxable threshold. A directive must be obtained from ZIMRA for the computation of a lump sum payment.

16.9.6 Exemptions (on employment income) – Sect 14 and 3rd Schedule

- Bonus or performance related award -see above
- 50% of the amount waived in respect of tuition and boarding fees and levies payable by a member of the teaching and non-teaching staff of a school for up to three of their children.
- Retrenchment exemption- see above
- An amount received by or accrued to or in favour of an employee participating in an approved employee share ownership trust from the sale to or redemption by the trust of any stock, shares, debentures, units or other interest of the employee in the scheme or trust of any stock, shares, debentures, units or other interest of the employee in the trust.
- Medical expenses, medical treatment (including related travel), invalid appliances and the cost of medical aid contributions paid by an employer for an employee, his spouse and minor children.
- Rewards paid by the CG for information leading to the recovery of taxation revenue.
- Allowances for accommodation and transport and grants of quarters or housing for staff of district hospitals or rural clinics owned, operated or sponsored by a religious body or a rural district council.
- Subscriptions in respect of an employee's continued membership of business, trade, technical or professional paid on behalf of the employee by the employer but not club subscriptions
- Contributions paid by an employer to a pension fund or RAF e.g., NSSA contributions
- An amount accruing by way of a benefit in respect of the injury, sickness or death of a person which is paid to the person or his dependants or deceased estate—
  - By a trade union; or
  - From a benefit fund; or
  - In terms of a policy of insurance covering accident, sickness or death; or
  - By a medical aid society.
- An amount received by way of alimony, howsoever paid.
- An award, benefit or compensation, including a pension, to any person or his dependants or heirs under any law in respect of injury, disease, disablement or death suffered in employment.
- Civil servants benefit from employment with the State i.e., allowances, transport allowance, housing allowance or benefits etc.

16.10 Individuals exempt from Income tax

- President – salary and emoluments paid in respect of his office and a member of staff of the
- President if the President pays such salary and emoluments.
- Allowances paid to the spouse of the President or Vice President in respect of duties the spouse performs for or on behalf of the state.
- Salary and emoluments of persons or officials of UN organs and its agencies is also exempt.
- Allowances granted to Senior Government Officials, Minister, Deputy Minister, Provincial
- Governor, the Speaker and Deputy Speaker.
- Allowances or value of any benefit, which is granted to any person in full time employment of the State as specified in a Statutory Instrument e.g., housing and transport allowances.
- Allowances payable to a Chief or Headman.
- Allowances payable by the State to a person in its service in respect of the expenditure incurred by the person in the discharge of his duties outside Zimbabwe.

- So much of the expenditure of the person in maintaining himself, his family or establishment whilst employed on duty outside Zimbabwe as is in excess of his normal expenditure if he were employed in Zimbabwe.

16.11 Deductions

Employees are entitled to deduction of professional subscriptions, pension contributions, NSSA contributions etc. However, the allowable deductions are subject to the following restrictions:

Fund	Maximum allowable
In relation to an employee: Pension fund contributions other than to a RAF. 6th schedule para 15	$390,000 per annum.
In relation to an employer: Pension fund contributions other than to a RAF. 6th schedule para 10	$390,000 per annum per employee.
Employee RAF contributions.6th schedule para. 16	$390,000
Employer RAF contributions	Disallowed.
Aggregate maximum contributions to two or more pension funds other than RAFs.6th schedule para 18(2)	$390,000
Aggregate maximum contributions to two or more RAFs. 6th schedule para 18(2)	$312,000
Aggregate maximum contributions to two or more pension funds and RAFs. 6th schedule para 18(2)	$390,000
Arrear pension contributions	$130,000 per annum
NSSA (4.5%)	$5,000 per month
NEC contributions	Full amount
Professional subscriptions	Full amount

16.12 Credits – sect 7 (c) & the charging Act

After applying the tax rates the next step is to deduct the tax credits to which an individual is entitled to. An individual is entitled to deduction against his income tax invalid appliances and medical expense, elderly, blind and mental or physical disability credits as follows:

Notes	Elderly Person	Blind Person	Medical Expenses	Mentally or Physically Disability
Tax Credit	$117,000 p.a.	$117,000 p.a.	$1 for every $2 paid	$117,000 p.a.
Apportionment of credit	Yes	No	No	No
Transfer between spouses	No	Yes	No	Yes
Blind child				Grant credit
Non-resident	Yes	Yes	Medical aid contributions credit only	No
Blind taxpayer		Yes		
Medical expenses for a child who is no longer a minor child			Invalid appliances or fittings only	

An invalid appliance or fitting includes:

- a wheelchair or any mechanically propelled vehicle specifically designed or constructed to carry one person who has a physical defect or disability,
- an artificial limb, leg callipers or crutch,
- Spectacles or contact lenses or,

- Any special fitting for the modification or adaptation of a motor vehicle, bed, bathroom or toilet to suit the use by a disabled person.

Medical expense means any payment incurred or made by the taxpayer on/for:

- the purchase, hire, repair, modification or maintenance of an invalid appliance or fitting considered to satisfaction by CG for the use by the disabled person
- the services supplied to a taxpayer or his family by a medical or dental practitioner
- drugs and medicines supplied to him or his family on the prescription of a medical/ dental practitioner
- accommodation, maintenance, nursing and treatment, including blood transfusion and X-ray and laboratory examinations, tests, etc. of the taxpayer or his family at a hospital, maternity-home, nursing-home, sanatorium, surgery, clinic or similar institution.
- The conveyance by ambulance, including an air ambulance of the taxpayer or his family.
- The contributions to a medical aid society for the benefit of himself or his family.

No credit is granted on the cost of invalid appliance of medical expense refunded or recovered from any source whatsoever.

An elderly taxpayer is granted to a person who is over 55 years.

A blind person is "*a person whose eyesight is so defective during more than half of the period of assessment and is unable to perform any work for which eyesight is essential."*

Mentally or physically disabled persons credit is granted for mental and physical disability of a substantial degree and permanent nature. A disability is of substantial degree if it is certified by a doctor to be at least 50%. A spouse who has income must claim the credit in his/her own return and only transfer to spouse unused credit.

Non-resident persons do not qualify for medical expenses and disability credits

A spouse excludes a separated, divorced, unmaintained spouse or a wife in a polygamous marriage (not the first wife). A child includes one's own child, a legally adopted or step child.

Minor child means a child who is under 18 years of age and is un-married.

Lawful minor child

In relation to a taxpayer, means a lawful child of the taxpayer who-

a) was under the age of 17 years on the last day of the immediately preceding year of assessment; or
b) is born in the year of assessment; or
c) was under the age of 25 immediately prior to the commencement of the year of assessment and receives during any part of the year of assessment full-time instruction as a student at any educational institution.

16.13 Tax concessions for the elderly – over 55 years

For the purposes of these concessions, an elderly person is a person aged 55 years or more **Income Tax**

An elderly person is entitled to various exemptions in terms of the Act. These include a pension accrual or receipt from a pension fund. The person is also entitled to the following exemptions;

- The first $390,000 p.a of interest earned on any deposit with a financial institution.
- The first $390,000 p.a of interest on a banker's acceptances and other discounted instruments traded by financial institutions
- The first $195,000 p.a of rental income accruing to the taxpayer in the year of assessment

An elderly person is a person who is 55 years old or above. Please note the person should be above 55 years to be entitled to a pension exemption

- Pension received from a pension fund or the Consolidated Revenue Fund is exempt from income tax.
- Where an employer disposes of a motor vehicle to an employee whether on termination of employment or otherwise, the benefit is exempt from tax.

16.14 Administration of PAYE

Any resident or non-resident employer, who employs one or more members of staff whose gross pay, including benefits and allowances, exceeds the minimum tax threshold per month or the daily, weekly or annual equivalent, is required to register with the relevant Regional Manager of the Zimbabwe Revenue Authority (ZIMRA), withhold PAYE from employees and remit PAYE to the Commissioner General by the 10th of the month following the deduction.

Employers are responsible for under deductions as well as late payment of PAYE.
Interest is charged and penalties of up to 100% of the unpaid tax can be imposed on the employer.

Personnel employed by a single employer for the full fiscal period are taxed on the Final Deduction System. PAYE will be a final tax on employment income for the employee who will then not be required to complete tax returns.

Personnel employed by more than one employer or employed for part of a fiscal period and all individuals who receive pensions or annuities or taxable income from trade and investment are required to complete and submit annual tax returns.

Chapter round up

- Employment involves a contract of service whilst self-employment is a contract for services.
- The distinction between employment and self-employment is based on all the facts of the engagement.
- Income includes amounts paid in appreciation of services rendered if there is a casual link between the services and payment e.g. tips from customers
- Bonus exemption is $ 100,000
- Pension accruing to or received by a person who is over 55 years is exempt from tax
- Contributions to a Pension fund, retirement annuity fund or NSSA are deductible up to $390,000 p.a.
- An individual is entitled to deduct against his income tax invalid appliances and medical expense, elderly, blind and mental or physical disability credits.

17. Capital Gains Tax

17.1 Introduction

Capital gains tax is chargeable on the sale or deemed disposal of a specified asset from a source within Zimbabwe. A specified asset means an immovable property or any marketable security and certain intangible assets. It does not include movable property. An immovable property includes land, dams, roads, all buildings or structures with foundations in the soil. A marketable security is any security, stock, debenture, share or any other interest capable of being sold in a share market or exchange.

Objectives	• Describe the scope of capital gains tax. • List those assets which are exempt. • Compute capital gains on specified assets for both individuals and companies. • Recognise deductible expenditure, including adjustment for inflation • Explain the treatment of capital losses for both individuals and companies • Explain the treatment where an asset is damaged, lost or destroyed, and the implications of receiving insurance proceeds and reinvesting such proceeds • Explain and apply rollover relief as it applies to individuals and companies. • Explain and apply the relief available upon the transfer of assets by an individual to a company which he controls. • Explain and apply the relief available for transfers of assets between companies under common control. • Explain and apply the relief available where the purchase price is paid by instalments
Act:(if applicable)	Sect 2 of the ITA Sect 8(1)(j) of the ITA Sect 2 of CGTA Sect 8-22 of the CHTA
Regulations:	None
Relevant Cases	None

17.2 From a source within Zimbabwe

Only capital amount from source in Zimbabwe is taxable. Source of gain on an immovable property is where the property is situated and for marketable securities, it is the place the investor is conducting his investment activities (*ITC 1395* (1985)).

17.3 Payment of capital gains tax in foreign currency

Section 39A (9) of the Finance Act deems disposals for purposes of CGT not to be in Zimbabwe dollar notwithstanding SI142 of 2019 which provides the Zimbabwe dollar as the sole legal tender in domestic transactions from 24th of June 2019. It provides that"… it shall not be deemed for the purpose of the Capital Gains Tax Act [Chapter 23:01] that all transactions involving the sale or other disposal of a specified asset are in Zimbabwean currency, rather—….where any such transaction results in a capital gain being received by or accruing to or in favour of a person in whole or in part in a foreign currency, capital gains tax at the rate specified… shall be paid in foreign currency on the capital gain or on such portion of it that is equivalent to the portion of the total transaction denominated in foreign currency". This implies that where part of the capital gain is in foreign currency only capital gains tax applicable to the capital gain in foreign currency is remitted in foreign currency. The basis of apportionment is the capital gain.

17.4 Rates of Capital gain tax and Capital gains withholding tax

Section 39A (10) provides that *"for the purposes of determining the capital gain received by or accrued to or in favour of any person in respect of a specified asset acquired on or after the 1st February, 2009, but the 22nd February, 2019, and disposed of after that date, no amounts shall be deducted therefrom that are allowed to be deducted in terms of section 11 of the Capital Gains Tax Act [Chapter 23:01]"*. This amendment is meant to address the distortion brought about by SI33 of 2019 which provides for United States dollar values as at 22nd of February 2019 to RTGS$ on 1:1 basis the Finance Ac.

Date of acquisition of specified asset	Applicable rate
Acquired before 1st of February 2009 and sold thereafter	5% of capital amount (proceeds less exemptions)
Acquired after 1 February 2009 and sold before 22nd February 2009	20% of capital gain (proceeds less exemptions less deductions)
Acquired after 1 February 2009 and sold after 22nd of February 2019	5% of capital amount (proceeds less exemptions)
Acquired after 22nd of February 2019 and sold thereafter	20% of capital gain (proceeds less exemptions less deductions)

17.5 Framework for computing capital gains tax liability

Gross capital amount		xxx
Less Recoupment		(xxx)
Less Exemption		(xxx)
Capital amount		xxx
Less Deduction		
Cost of specified asset	(xxx)	
Improvements, additions or alterations	(xxx)	
Less capital allowances	(xxx)	
	xxx	
Inflation allowance:		
Original cost x 2.5% x no. of years	xxx	
Improvements, additions or alterations x 2.5% x no. of years	xxx	
Selling cost	xxx	(xxx)
Capital gain/loss before relief		xxx
Less Reliefs		(xxx)
Less Assessed loss b/f		(xxx)
Capital gain/loss		xxx

17.6 Gross capital amount

Gross capital amount is 'the total amount received by or accrued to or in favour of a person or deemed to have been received by or to have accrued to or in favour of a person in any year of assessment from a source within Zimbabwe. It excludes amounts subject to income tax such as recoupment.

17.6.1 Deemed sales- sect 8 (2)

Certain disposals are deemed to trigger capital gains tax as follows:

- Disposal otherwise than by way of sale e.g donation – deemed sold at it's the fair market price.
- Expropriation of specified asset -deemed sold at an amount equal to the amount paid by way of compensation for the expropriation of such specified asset.
- Sale in execution of court order- deemed sold at an amount realised from the sale.
- Redemption/maturity of specified asset-deemed sold at an amount received on maturity or redemption
- Deed of sale- deemed sold at an amount equal to the whole amount received by or accruing as a result of the transfer.
- Cessions - A transfer of rights in a residential, commercial or industrial stand is deemed to be a disposal of the stand. It does not matter whether the stand is serviced or not or whether the person's title to the stand is registered under the *Deeds Registries Act* (Chapter 20:05). The amount to be included in the gross capital amount is the amount paid to or accruing to the transferor.
- Relinquishing of rights in condominium by a member- deemed to be a disposal of the property by the member at the amount paid to or accruing to the member as a result of his relinquishing his rights

17.6.2 Exemptions- sect 10

Exemptions are contained in section 10 of the CGTA, as follows:

- Sale of a principal private residence if such person was, on the date of the sale, 55 years or above
- Sale of a specified asset by a public entity, an organisation not for profit and a quasi-Government and other related bodies other than disposals by an agricultural, mining and commercial institutions or societies not operating for the private pecuniary profit or gain of the members, building societies and employees saving schemes or funds approved by the Commissioner
- The first $144,000 on sale of any unlisted marketable security by a person who is 55 years or above.
- Sale of listed marketable securities, these are subject to a final withholding tax of 1%
- Sale or disposal by an employee of his shares or interest in an approved employee share or ownership trust to the trust.
- The realization or distribution by the executor of a deceased estate or a specified asset forming part of such estate

17.6.3 Deductions- sect 11

Deductions for capital gains tax purposes are as follows:

Component	Explanation
Cost of acquisition or construction	Cost of acquisition or construction of such specified assets that are sold during the year of assessment includes: • Interest on bond used to purchase or construct a specified asset • Cost of obtaining a valuation for CGT purposes • Cost of surveyor, valuer, auctioneer, accountant, broker, agent, conveyancer etc. • Stamp duty, transfer duty or similar duty • Installation costs including foundations and supporting structures • VAT paid and not claimed or refunded in respect of an asset • Costs of establishing, maintaining or defending a legal title in the asset Cost on acquisition through inheritance is the valuation of the specified asset as used for estate duty purposes (estate value). For a donation, the taxpayer's cost is the amount the donor's gross capital amount or gross income.
Cost of improvement (enhancement cost)	Cost of altering, additions or improving the specified asset in terms of s11 (2) (b) of the CGTA excluding those deductible for income tax purposes e.g repairs.

Inflation allowance	2.5% annually or part of year thereof inflation allowance on the original cost and cost of improvement. Part of the year is treated as a full year and both years of purchase and sale are counted.
Selling expenses	Section 11(1) (d) –Disposal cost i.e., legal costs, advertising costs, selling expenses, estate agency fees, brokerage commission or fee, valuation costs, etc.
Bad debts	A bad debt, other than doubtful debts, arising out of sale of specified assets.
Legal expenses	Legal expenses incurred for successful capital gains tax appeal cases in the High Court, Special Court or Supreme Court
Foreign exchange losses	Realised exchange losses related to specified assets.
Capital loss	Capital losses are deductible and carried forward indefinitely if they cannot immediately be utilised
Avoidance of double deduction	Expenditure should be deducted once if it's provided under more than one section

17.7 Damage or destruction of a specified asset

Where an asset is destroyed, it is deemed sold for an amount equal to insurance compensation received or accrued. If the compensation is less than original cost and cost of improvement of the specified asset, there is no deemed sale, the insurance proceeds should be used to reduce such costs.

If proceeds exceed the costs as aforesaid but taxpayer decides to replace or repair the specified asset, capital gain applicable to amount expended shall not be taxed. The replacement or repair should be affected within 2 years of its date of damage or destruction. The taxpayer should replace the specified asset by an asset of similar nature otherwise the relief cannot be granted.

EXAMPLE

ABC (Pvt) Ltd constructed a finished goods warehouse in June 2014 for $125,000. In July 2018 the building caught fire and was badly damaged. As a compensation for the damage, the company was paid $150,000 by its insurer and used $130,000 of the money to replace the building, which was brought into use on 1 January 2019. Show the capital gains tax effect of the transaction. Maximum capital allowances were claimed.

ANSWER

Gross capital amount		150,000
Less recoupment		(125,000)
Less Deduction		
Cost	125,000	
Less capital allowances	(125,000)	
Inflation ($125,000 x 2.5% x 5 years)	15,625	15,625
Capital gain		9,375
Less Relief ($130,000/$150,000 x 9,375)	8,125	
Capital gain		**1,250**

17.8 Related party transfers- sect 15 & 16

Subject to an election being made the following transfers or sales shall escape capital gains tax until the sale is made to a third party

- Transfer in a scheme of reconstruction, takeover etc between companies under the same control
- Transfer to new successor company in Zimbabwe as consequence of conversion of a foreign company

- Transfer as a consequence of conversion of a company to Private Business Corporation or vice versa.
- Transfer of specified assets between spouses including those triggered by divorce

17.9 Transfer of business property to company-s17

Subject to an election being made, an individual who transfers an immovable asset which he was using in trade to a company he controls shall escape capital gains tax until the sale is made to a third party. The election should be made not later than the date of submitting a return for assessment of capital gain.

17.10 Hire purchase sale- sect 18

A person who sales or transfers a specified asset on hire purchase or suspensive sale is entitled to a relief computed as follows:

$$\frac{A \times (B-C)}{D}$$

A amount not yet receivable (debtors) under the sale agreement at the end of year of assessment.
B is the capital amount accruing under the sale agreement
C is the base cost (acquisition, improvement, inflation allowance and selling cost)
D is the gross capital amount accruing under the sale agreement

The relief is capital amount in the taxpayer's return of the following year of assessment and to be substituted by a fresh allowance determined in that year of assessment.

EXAMPLE

HYT (Pvt) Ltd bought a factory building on 1 December 2015 for $400,000 and had been using it in its business since that date. On 2 March 2018 the company found a buyer willing to purchase the building for $750,000. This was the best bargain after several unsuccessful attempts by HYT (Pvt) Ltd to sale the property. Selling expenses are 10% of the gross proceeds.

The terms of the agreement were as follows:

a) The buyer to pay 50% of the sale price in the year of sale agreement and the balance over 2 years in equal instalment commencing 2018.
b) Ownership to pass immediately upon payment of the first instalment
c) In the event that buyer fails to pay an instalment the property will be repossessed

Show capital gains tax of HYT (Pvt) Ltd for the periods 2018, 2019 and 2020

ANSWER

2018		
Gross capital amount		750,000
Less recoupment ($400,000 x 5% x 3years)		(60,000)
Capital amount		690,000
Less Deduction		
Cost	400,000	
Less capital allowances (3 years x 5% x $400,000)	(60,000)	
Inflation ($400,000 x 2.5% x 4 years)	40,000	
Selling total gain	75,000	455,000
		235,000
Less Hire purchase allowance ($235,000 x 375,000/$750,000)		117,500
Capital gain		117,500
Tax @ 20%		23,500

2019	
Hire purchase allowance b/f	117,500
Less Hire purchase allowance ($235,000 x $187,500/$750,000)	58,750
Capital gain	58,750
Tax @20%	11,750
2020	
Hire purchase allowance b/f	58,750
Less Hire purchase allowance (0 x ($690,000 -$455,000)/$750,000)	.....
Capital gain	58,750
Tax @20%	11,750
Note debtors are computed as follows:	
Gross capital amount	750,000
Less cash paid (50% x $750,000)	375,000
Debtors (D in the formula) 2016	375,000
Less cash paid in 2019	187,500
Debtors (D) in 2019	187,500
Less cash paid in 2020	187,500
Debtors (D) in 2020	nil

17.11 Principal Private Residence (PPR) - sect 21

A PPR is defined in three parts as follows:

Component	Explanation
Dwelling	A dwelling which is proved to the satisfaction of the Commissioner that: • It has been a person's sole or main residence during the period it was owned by him • It has been a person's sole or main residence for at least 4 years before the date it is sold or for such other shorter period as the Commissioner considers reasonable. • It has been a person's sole or main residence despite him being prevented from residing in it due to employment or such other circumstances as the Commissioner considers reasonable.
Land	Any land, whether or not it is a piece of land registered as a separate entity in a Deeds Registry, which: • is owned by the individual concerned • surrounds or is adjacent to the dwelling in (a); and • is used by the individual primarily for private or domestic purposes in association with the dwelling in (a) • does not exceed 2 hectares or such larger area as the Commissioner having regard to the size and character of the dwelling in (a), is satisfied for the reasonable enjoyment of the dwelling as a PPR:
Other structures	Any garage, storeroom or other building or structure which is owned by the individual concerned and forms part of or is attached to or otherwise associated with the dwelling and which is used by the individual concerned primarily for private or domestic purposes in association with the dwelling.

Subject to election being made, a sale of a PPR or residential stand which is replaced by another PPR or residential stand does not attract capital gains tax. The election must be made on or before the date of submitting a return for assessment of capital gain. The replacement PPR should be on a land owned by the taxpayer in Zimbabwe. If only a portion of the proceeds from the disposal of a PPR or a residential stand are utilised to purchase or construct another PPR or to purchase a residential stand, the relief shall be on the gain applicable to the amount expended, computed as follows:

$$\frac{A \times B}{C}$$

A is the amount used to purchase/construct a new a new PPR or residential stand
B is the potential capital gain on the old PPR or old residential stand
C is the proceeds accruing on the sale of the old PPR or old residential stand

EXAMPLE

Mrs. X sold his primary home for $120,000 on 2 January 2018. She bought this house on 1 June 2014 for $65,000. Mrs. X paid $10,500 sales commission and $1,500 legal fees in connection with the sale. A month before selling the house, she incurred $5,000 on painting the house and repaired some items of the house at a cost of $2,500. On January 15, 2018, Mrs. X bought a new home for $95,000. Show the minimum capital gains tax impact of this transaction.

ANSWER

Gross capital amount		120,000
Less Deduction		
Cost	65,000	
Improvements	5,000	
Inflation		
$65,000 x 2.5% x 5 years	8,125	
$5,000 x 2.5% x 1 year	125	
Selling costs ($10,500 + $1,500)	12,000	90,250
Capital gain		29,750
Less Rollover (29750 x 95000/120000)		23,552
Capital gain		6,198
Tax @ 20%		1,240

17.12 Substitution of business property- sect 22

Subject to election being made, capital gain tax can be avoided on disposal of an immovable property which was used by the taxpayer in his trade whose proceeds are utilized to purchase or construct another immovable property. The election should be made on or before the date of submitting a return for assessment of capital gain. Both properties should belong to the taxpayer and used by him in his trade. If the proceeds are partially utilised the relief is computed as follows:

$$\frac{A \times B}{C}$$

A is the amount used to purchase/construct a new property
B is the potential capital gain on the old property
C is the proceeds accruing on the sale of the old property

EXAMPLE

Mr. X owned a retail shop which he acquired in 2015 for $50,000 (current ITV $46,250). He sold it in May 2018 for $80,000 and used $60,000 of the proceeds to purchase another shop. Show the minimum capital gain tax of this transaction.

ANSWER

Gross capital amount		80,000
Less Recoupment ($50,000 - $46,250)		(3,750)
Less Deduction		
Cost	50,000	
Less capital allowances	(3,750)	
Inflation ($50,000 x 2.5% x 4 years)	5,000	51,250
Capital gain		25,000
Less rollover ($25,000 x $60,000/$80,000)		18,750

Capital gain	6,250.

17.13 Rates of the CGWT

The following the rates of withholding

Specified asset	Rate	Comment
Listed shares	1%	Final tax
Specified assets acquired before 1 Feb 2009	5%	Final tax
Unlisted shares	5%	Subject to assessment of capital gains tax
Immovable property	15%	Subject to assessment of capital gains tax

Chapter round up

- Assets that are chargeable to capital gains tax are immovable assets and marketable securities. Movable assets are excluded.
- Gross capital amount is from a source within Zimbabwe if it arises from a disposal of an immovable property situated in Zimbabwe or marketable securities disposed by a person carrying on investment activities in Zimbabwe
- A specified asset acquired before 1st of February 2009 is subject to 5% capital gain tax, computed on the gross proceeds less any applicable exemption (no deductions are taken into account).
- A specified asset acquired after 1st of February 2009 and sold after 22 February 2019 is subject to 5% capital gain tax, computed on the gross proceeds less any applicable exemption (no deductions are taken into account).
- Listed marketable securities are exempted from capital gains tax but to 1% final withholding tax
- A person who is 55 years or above is exempt from capital gains tax on disposal of his principal private and on the first $144,000 on disposal of his/her unlisted marketable securities
- Deductible costs include original cost of acquiring or constructing the specified asset, enhancement cost, inflation and selling cost.
- Inflation allowance is computed thus, 2.5% x cost x holding period
- Capital losses which cannot be utilised are carried forward indefinitely.
- If an election is made, a transfer of specified asset between related parties is capital gains tax neutral.
- A taxpayer who sales his immovable property and uses the proceeds from that sale to purchase or construct another immovable property can defer capital gain accruing from that sale if he makes an election. A partial rollover is given where the proceeds are partially utilized.
- A taxpayer who sales a specified asset on hire purchase or on credit sale will be granted an allowance on outstanding receivables. The allowance which is a deduction in the year shall be taxable in the following year, when a fresh allowance is being computed.
- A principal private residence is a dwelling, but not all dwellings are principal private residence. A dwelling must be the person's main or sole residence to be principal private residence.
- Capital gain accruing from a disposal of principal private residence or a residential stand shall be deferred, if the proceeds from its disposal are used to purchase or construct another principal private residence or residential stand in Zimbabwe, provided an election is made.
- A disposal of principal private residence by a person who is 55 years or above at the time of disposal of the PPR is exempt from capital gains tax.

18. Deceased Estates

18.1 Introduction

A deceased estate refers to one's assets, liabilities and debts when they die (are deceased). If a person dies whilst in employment or in business, income and expenses received and paid prior to death are normally assessed in the period prior to date of death and that which is received in post death period is assessed in the post death period. In other words, a deceased estate is taxable. This could give rise to two assessments namely pre-death and post-death assessment. The estate will be represented by an executor or administrator who shall be responsible for collecting incomes and assets, settle claims etc. of the deceased accruing to the person either during the pre-death period or the post death period. Where the testator has created a trust, the Executor will also be responsible for handing over the estate to the trustees.

Objectives	• Describe the scope of income tax on income of a deceased person. • Explain the treatment incomes accruing to person after his death • Identify capital items of a deceased person exclude from gross income of a deceased person
Act: (if applicable)	Sect 2 of the ITA Sect 11
Regulations:	None
Relevant Cases	None

18.2 Income of a deceased

Death does not change the nature of a person's income or his how he is taxed. If an amount would have been income in the hands of the deceased, it will also be income when received by the executor. The deceased's remuneration, including voluntary awards given in respect of service rendered, remains employment income. A voluntary award made directly to a dependent or heir of the deceased could be treated as an amount of capital in nature, since the dependent did not render any services.

As a general rule, a deceased estate cannot be taxed on amounts which the deceased had no right to claim income in his lifetime and ex gratia or in pursuance of a gratuitous act made after the death of the deceased.

The following rules also apply:

- Cash in lieu of leave received by the executor of the deceased estate of civil servant is not taxed.
- Bonuses and directors' fees voted after death or which are not fixed in the articles of association are not taxable since the deceased had no right to the amount during his lifetime.
- Leave pay under an employment contract, royalties on a book, bonus or directors fees fixed in the articles of association (despite being voted after death) and contractual commission are taxable.
- Salary, business income accruing to the date of death, bonus or director's fees voted by the date of death and contractual commission due at the date of death are taxed in the pre death period.
- Commission in terms of a contract or agreement which is paid after death, to the executor of a deceased estate will be taxable either in the hands of the deceased if it becomes due and payable before death or in the hands of the estate if it becomes due and payable after death.
- Any income made by a taxpayer as director of a company or as an employee in respect of a right to acquire marketable securities, shall be deemed to have been made by him on the day before his death and shall be included in his income up to the date of death
- Any lump-sum awards from pension, provident and retirement annuity funds payable on the death of the member of such a fund are deemed to accrue to him prior to his death.
- Tax credits to which the person is entitled to can only be claimed pre-death. No tax credit is allowed to a deceased estate. The credits are reduced proportionately on a time basis.
- Medical expenses credit is claimed in the pre-death assessment despite being paid after death

- Life policies from an insurance paid to the estate or beneficiaries, including some other death benefits, pension etc are generally non-taxable.
- Lump sum directly paid to a beneficiary in terms of rules of a pension or benefit fund is of a capital nature.

18.3 Ascertained beneficiaries

Circumstances in which income is taxed in the hands of the beneficiary	Circumstances where income is taxed in the hands of the estate
Ascertained beneficiary who takes ownership of property upon testator's death	Prior to the distribution of an estate where a will provides for the whole estate to go to a specific individual
Where an asset is bequeathed to an heir	Where the heirs cannot be determined such as in the case of an inheritance to children still to be born,
After distribution of an estate where a will provides for the whole estate to go to a specific individual	Any income which cannot be linked to an ascertained beneficiary
Any income derived from an asset constituting the residue of the estate, provided that the heirs are ascertained beneficiaries in the same year.	Any income derived from an asset constituting the residue of the estate where the beneficiaries are ascertained after the year it is derived,
Where the receipt of the inheritance and the income is merely postponed until some future dates, for example until their heir attains majority	
Where the will provides that if the heir dies before the date on which he may receive the income the benefits will devolve upon other heirs, the beneficiaries are unascertained and	

An ascertained beneficiary is an individual identified or nominated in a will who has an immediate right to enjoy the present or future benefits of income accruing an asset formerly owned by the deceased. He/she will, on death of testator, take ownership of the property and liable to pay tax on income derived from the property from that date.

18.4 Character of income in the hands of beneficiaries

Income which accrues to the executor in the form of dividends or interest will also go to the beneficiaries as dividends or interest. However, the exemptions provided in respect of dividends and certain interest etc. does not apply to an annuity paid out of such exempt dividends and interest. An annuity forms an exception to the conduit pipe principle.

A lump sum (cash) or property is a receipt of a capital nature and shall not be taxable to be beneficiary. Only legacies which are in the nature of income, such as a bequest of an annuity are taxable. Bequest of a recurring nature, such as annuities in the hands of the beneficiaries on the date they are paid or legally be\come due and payable. This means that income from a specific bequest which, for administrative or similar reason, is held up for a long period and is paid over in a subsequent year in one lump sum by the executor is liable to assessment for tax in the respective years in which the income was derived by the executors for the benefit of the beneficiary in question.

18.5 Other aspects

- Carry forward of assessed losses of a deceased person to an estate or a beneficiary is not allowed.
- A will that gives a person a right to income, but not to the ownership/inheritance of an asset is known as a usufruct. As an example, a person may leave a house to son but grant the widower a life usufruct. The son may not sell the asset as long as the widower remains alive.
- An estate is regarded to be ordinarily resident in Zimbabwe if the deceased was ordinarily resident in Zimbabwe at the time of his death.
- If an asset is sold to a widow or beneficiary of a deceased employee by the company at a price below the market value any difference or gain is not taxable in the hands of beneficiary
- Bad debts written off are a deduction on the deceased and those recovered by the heir cannot be taxed on the heir since he is not the owner of the debts.
- Hire purchase allowance, allowed in the period up to death cannot be added back as income of the estate after the deceased's death. This amount is brought into gross income in full in the post death period.

Chapter round up

- When a person dies, a new person known as the deceased estate is created
- Each of the person is assessed separately
- Death does not change the nature of a person's income or his how he is taxed. If an amount would have been income in the hands of the deceased, it will also be income when received by the executor
- Amounts received after the person's death is gross income only if the person would have been entitled to receive the amount had it accrued during his life time
- Carry forward of assessed losses of a deceased person to an estate or a beneficiary is not allowed.

19. Objections and appeals

19.1 Objections

19.1.1 When Can Objections be made?

When a person is not satisfied with an assessment, such person may object to all or part of the assessment. Objections may be lodged against decisions made by the Commissioner. Such objections may be on the liability for registration, the cancellation of a registration, the refusal by the Commissioner to authorize a refund or a ruling which the registered operator may have good reason for disagreeing with.

19.1.2 Lodging an Objection– Section 32

A person wishing to make an objection to the Commissioner's assessment or decision must:

- Put the objection in writing
- Specify in detail the grounds of the objection
- Be made within **30 days** after the date of the decision or assessment. In the event of a dispute, the date of the assessment or decision will be the date the registered mail was posted to the person raising the objection.

If the objection is received by the Commissioner within the stipulated time period, the Commissioner will either:

- Alter the decision
- Alter or reduce the assessment, or
- Disallow the objection

A written notice must be sent to the person objecting to the Commissioner's ruling/assessment etc. informing him of the Commissioner's decision.

19.1.3 Grounds of Objection

The grounds of objection should be stated clearly and it is important to raise all the grounds at the time of objection. The Commissioner may, on good cause shown, give leave to the objector to amend or add to the grounds.

19.1.4 Late Objections

If there is a delay in lodging a written objection, the Commissioner may accept it provided good reasons are given for the delay. If an objection is not lodged, the assessment/decision becomes final after 30 days.

19.2 Appeals –Section 33

An appeal is only lodged if and when a person's objection was disallowed. A registered operator must appeal against the disallowance of the objection within **30 days** of the date of the notice. An appeal can be made to the Fiscal Appeal Court or to the Supreme Court depending on the nature of the dispute.

The appeal must be:-

- Made in writing
- Lodged with the Commissioner within 30 days after the date of the notice of disallowance of the objection

If there is a delay in the lodging of a written appeal, the Commissioner may condone the delay, depending on the reasons. The appellant is limited to the grounds of objection stated in his original objection unless, on good cause shown, leave is given to amend the grounds. The appellant or the Commissioner may appeal to the Supreme Court against any decision of the Fiscal Appeal Court.

19.3 Tax Planning

Students can be examined on choosing the option that has the least VAT consequences or least tax consequences with VAT being one of the taxes. Common examples are:

Employment costs that may have fringe benefits
Employers and employees often enter negotiations to structure fringe benefits including among other things housing, motor vehicles, allowances and so on. The student is expected to be able to discuss the tax implications of the various options in the hands of both the employee and the employer. The student is also expected to apply any relevant anti-avoidance legislation. Common example is whether the employer buys a vehicle and grants the right to use it to the employee who can later buy it at a lower price or the employer buys a vehicle for employee and the employee pays back the vehicle through deductions or service over an agreed period. These transactions could be viewed as loans or as remuneration and have different VAT implications.

Financing a business
Businesses are often faced with various financing decisions such as taking out loans, or equity financing or hybrid financing. Financing could be from local sources or from foreign, and the financing exercise may involve attendant services which could be imported services. It is important to understand the underlying transactions and the VAT consequences of such transactions.

Structuring a sales transaction
Businesses dispose of things from time to time for different reasons. Disposals are normally straight-forward supplies which is; what VAT is based on and therefore often attract VAT. It is important to note that businesses structure disposals in many varied ways and these alter both the value of supply and the time of supply. Commonly sales could be for cash or for credit (with varied terms). In some cases, the purchaser is renting to buy, or there could be a hire purchase agreement, suspensive sale arrangements with or without nominal interest. The sales could also be between connected persons. The student shall be expected to advise either the buyer or the seller or both on the best way to structure such sales transaction taking into consideration the VAT aspect of the resultant tax.

APPENDIX

Tutorial Questions and Answers

TUT 1

This question consists of five independent scenarios. You should respond to each scenario by referencing the applicable legislation and using relevant case law to support your answers.

deemed to be fro a source in zimbabwe in terms of section 121c

Your answers do not need to be in any specific format (such as a memo).

not from a source in zimbabwe

Time in SA means the true source is not zim

Scenario A

COT vs shein -true source is where the services were renderered

Jill Pearson is employed as a tour operator for African Overlander Ltd, a Zimbabwean company running tours into Botswana and Mozambique. Jill earns a fixed monthly salary of $120,000. Jill currently works on a month-on/month-off basis – for one month she is out of Zimbabwe leading a tour, and for one month she is at home in Gweru with her husband and children, and works at her office at African Overlander planning her next tour.

Jill's son Henry is studying Income Tax as part of his BCom degree, and recently told Jill about the "residency" test. Jill is now considering discussing with her employer whether she can spend more time outside Zimbabwe each year, in the hope that this will exclude her from the definition of Resident and reduce her taxable income.

You are required to advise Jill, with reasons, as to whether her plan will exclude her from the definition of Resident, and how else she might reduce the Zimbabwean income tax on her salary. 7 marks

Gross income shall be an amount received or accrued from a source in zimbabwe

Money is anything coporeal or incoporeal with anascertainable monetary value

Scenario B

CIR Vs People stores

the gym services are paid for using shows hence their value shall be the MV of the gym shares

The Seldom Active range of gyms and Crouching Tiger shoes intend brokering a deal, whereby Seldom Active will offer free gym access to all Crouching Tiger employees, in return for which Crouching Tiger will supply free training shoes to Seldom Active. The company will in turn provide the shoes to its employees. The two companies believe that this will result in no gross income for either companies, since no money has changed hands, and what has been received is for the benefit of their respective employees.

shall be a sales and a deduction of the respective staff

A regular gym membership at Seldom Active costs $6,000, while the retail price of a pair of Crouching Tiger shoes is $5,000.

***You are required to advise Seldom Active, with reasons, whether it's understanding of gross income is correct, and if not, how ZIMRA will view this transaction*. (9 marks)**

Scenario C

Mike Turner runs a used car business. Mike pays a small firm of accountants to keep his accounting records and file his tax returns. Mike's daughter Mini (a recently-qualified chartered accountant) recently sold her car, and Mike was surprised to hear that Mini does not believe that she will pay any tax on the sale, even though she made a profit on the sale. "I pay a fortune in tax on my car sales," moaned Mike. "Perhaps I should get better accountants!"

sales of car

income is taxable if received for the purposes of trade

the sale of the car is an enduring benefit since its inteded to provide troansportation of services

to what what for

You are required to explain to Mike why his car sales are included in gross income, while his daughter's sale is not, and whether either Mike or Mini are entitled to any deduction of cost in respect of their sales. (20 marks)

Scenario D

Extreme Sushi is a local sushi restaurant with sushi lovers who enjoy taking a risk flock to Extreme Sushi for its potentially lethal sushi made from poisonous blowfish. The blowfish is considered a delicacy, and an expert sushi chef removes the poisonous part of the fish during preparation.

A customer at Extreme Sushi recently died after having eaten some blowfish sushi that had been incorrectly prepared. Following a claim for damages, the restaurant was compelled to pay the customer's family $2 000,000 in compensation.

***You are required to advise Extreme Sushi, with reasons, whether the compensation payment for damages will be allowed as a deduction for income tax purposes*. (7 marks)**

Scenario E

Agricola Ltd is a farming supply company, with divisions operating in a number of farming-related markets. One of its divisions sells farming equipment, which is sold to commercial farmers subject to a two-year warranty. If the machinery breaks for any reason within two years of the date of purchase, Agricola is obliged to repair or replace the item. Agricola recognises a provision for repairs and returns in its accounting records based on the historical rate of return and cost of repairs over the last five years.

During the current year of assessment Agricola sold its farm equipment division to a rival company, Dear John Ltd. In terms of the agreement, Dear John agreed to take over responsibility for the repair or replacement of any items still under warranty at the date of the transaction, in return for which Agricola agreed to reduce the selling price of the division by the amount of the provision for repairs and returns in its accounting records.

***You are required to explain if, and when, Agricola may claim a deduction for the provision for repairs and returns.* (8 marks)**

Solution

Scenario A

Jill's proposal will not reduce her taxable income. (1)

The first test is of whether Jill is resident in Zimbabwe (Zim), that is whether she is ordinarily resident in Zim. This is true when Zimbabwe is the place to which she would "return from (her) wanderings" (Cohen) [alternatively, Zimbabwe is where she is "habitually and normally resident"]. (2)

cohen Vs CIR is the case law for ordinarily resident in zimbabwe

Jill is ordinarily resident in Zimbabwe - her family lives here, and she has no fixed place of residence anywhere else. (2)

Jill could however reduce her taxable income if she were to qualify as a non-resident during any given tax year. (1)

indicate the 183 days in your solution

In order to do so she would have to structure her work travel such that she would be out of the country for more than 183 days in total, and more than 60 continuous days, during any 12-month period. (1)

The remuneration she earned while outside Zimbabwe in the qualifying 12-month period will not be taxable in Zimbabwe. (1)

Scenario B

Seldom Active's understanding of gross income is not correct. It is based on an incorrect understanding of "amount, in cash or otherwise". (1)

Lategan Vs CIR talks about money

An amount exists for "every form of property … which has a money value" (Lategan). (2)

something that can be expressed in money butcher bros

Seldom Active has clearly received something that can be expressed in money (Butcher Bros) [Alternatively, there has been a quid pro quo the value of which can be expressed in money (Brummeria Renaissance]. (2) Brumeireia

Seldom Active's gross income is therefore the value of what is received, i.e. $5,000 per pair of shoes. (1)

Seldom Active cannot argue that what is received is not for its own benefit. (1)

The company benefits from the receipt, and the giving of the shoes to its employees is a second transaction, similar to that in Witwatersrand Association of Racing Clubs. (2) benefiting Wywatersrand Association

Seldom Active would be entitled to a deduction for each pair of shoes given to an employee as this is part of the cost of their employment. (1)

Scenario C

Mike's sales are included in gross income because they are not capital in nature, where-as Mini's sale is the realisation of a capital asset. (2)

Whether an asset is capital or revenue in nature is determined by the taxpayer's intention in acquiring the asset (unless there has been a subsequent change in intention) (Stott). (1)

Items acquired for disposal in a scheme of profit-making (Pick n' Pay Employee Share Purchase Trust). (1)

Mike's cars are acquired for disposal in the ordinary course of his business. (2)

Mike's cars are therefore his trading stock. (1)

Mini's car is a capital asset because she acquired it to obtain benefits through use. (1)

Mini's car is akin to a tree, the fruits of which are the benefits she obtains in driving it (Visser). (2)

Mini is entitled to realise her asset to best advantage (i.e., make a profit). This does not change the fact that the proceeds are capital in nature (Stott). (2)

Expenditure is deductible if it meets the requirements of section 15(a), specifically if it is incurred as part of a trade, is in the production of income and is not capital in nature. It must only be deductible to the extent it is incurred for the purpose of trade. (1)

The essential element of trade is that it has a profit-making purpose (Burgess) (2)

Expenditure is incurred in the production of income if its purpose is to earn income (Sub-Nigel) (2)

Fixed capital is capital in nature, whereas floating capital is not (George Forest Timbers) (2)

Alternatively, expenditure is capital in nature if it is intended to provide an enduring benefit (British Insulated & Helmsby Cables) (2)

Mike is entitled to an s15 2 (a) deduction when he purchases a car, because the purchase is in the production of income and is not capital in nature, since it is purchased for resale at a profit. (1)

In contrast, Mini's purchase is capital in nature, because she obtains an enduring bene-fit from driving the car, and the purpose in incurring the expenditure is not to produce income. (1)

Scenario D

The question to be determined is whether the payment meets the criteria of "in the production of income" for the purposes of s15 2 (a). (1)

Expenses per se do not produce income; it is actions that produce income. It is therefore necessary to identify the action that led to the expenditure, and to assess the closeness to which the action is associated with the production of the taxpayer's income (PE Electric Tramways). (2)

The action that gave rise to the payment was the serving of potentially poisonous sushi. This is a significant component of Extreme Sushi's business. (1)

The risk of someone being poisoned by this sushi is an "inevitable concomitant" (Joffe) of the taxpayer's business, which centres on the sale of potentially poisonous sushi (3)

The expenditure should therefore be allowed as s15 2 (a) deduction. (1)

Scenario E

In terms of s15 2 (a), a deduction is only allowable when it has been "actually incurred". (1)

This happens at the point that the taxpayer has an unconditional liability (Golden Dumps/ Nasionale). (1)

The taxpayer has no unconditional liability until a customer returns goods. The provision is therefore not deductible. (2)

The reduction in the selling price due to the inclusion of the provision in the net assets sold does not represent an actual accrual of this amount (Ackermans). (2)

The taxpayer cannot claim a deduction at the point that the division is sold. (1)

TUT 2

ECM is a company incorporated in Zimbabwe and is listed on the Zimbabwe Stock Exchange and is a subsidiary company of Evergreen Ltd which is a Mauritius based company. ECM primary business is the leasing out of construction equipment (this includes bulldozers, tipper trucks, jackhammers amongst others). In recent years ECM's business has been on the rise and management have made a decision to seek out opportunities in neighbouring countries such as Zambia and Mozambique.

Mrs. Makova who is a finance manager at ECM recently attended a tax seminar organised by one of the leading Chartered Accountant's firms in Zimbabwe (TCM Chartered Accountants) and the main topic of discussing was in reference to the definition and interpretation of **Gross Income.** As a follow up to the seminar Mrs. Makova send the following request for advice in relation to transactions they entered into during the 2020 tax year.

RE: APPLICATION OF GROSS INCOME

In light of the discussions, we had at your recently held tax seminar I am requesting advice in respect of the following transactions we entered into during the 2020 tax year of assessment:

1. It is ECM's practice to charge 10% non-refundable deposit in respect of all its leasing agreements that it enters into with its clients. The deposit is payable by the customer before ECM delivers the equipment to the client. During the year ECM received deposits amounting to $3 000,000 in respect of its leasing agreements with clients and the normal practice for ECM has been to invest the amounts so received in money market instruments. The money in-vested is normally held to pay for any future repair costs on the leased equipment.

2. Due to a construction boom in Mauritius ECM sold equipment worth $3 600,000 to Evergreen Ltd in August 2020. The $3 600,000 included a mark of 20% and the amount was only receivable from Evergreen in July 2021. The finance manager was not sure of the tax implications of the $3 600,000 receipts receivable from Evergreen. When ECM originally acquired the equipment, they had wanted to use it in their normal leasing business.

3. In April 2020 ECM was awarded a tender by the Mozambican government for the supply of construction equipment for a road construction project in Mozambique. The terms of the lease agreement were as follows:

- The lease period was for five months
- Commencement date of the lease agreement 1 March 2021.
- ECM had right to return of the lease equipment on expiry of the lease period.
- The monthly lease rental was agreed and set at $1 000,000

4. For the duration of the lease period ECM was to second two of its employees to operate the leased equipment in Mozambique. The employees would still be receiving their monthly salary from ECM and in addition to their normal salary the Mozambican government would pay the employees a monthly allowance of $1,000 000 each. Before the commencement of the contract the two employees were determined to be ordinarily resident in Zimbabwe. In October 2021 ECM instituted legal proceedings against one of their clients in respect of damages to their leased equipment. In the court proceedings that followed the client was found to be negligent in operating ECM's equipment. A court ruling was obtained in November in which the judge made the following judgement:

    - ECM to be paid $12 000,000 as compensation for loss of business during the period the equipment was not being used due to damages caused by the client.
    - ECM to be paid $8 000,000 in respect of the costs of repairs to be incurred on the equipment.
    - ECM to be paid $1 000,000 as compensation for legal costs incurred in pursuing the case. The client paid all the amounts in respect of the court ruling on 15 December 2020.

5. Over the years it has been ECM's practice to award its employees long service awards. In 2020 ECM paid $3 000,000 equivalent to an employee's 3 months' salary to an employee Mr Shumba who has been in ECM's employment for the past 10 years.

Required

With reference to information contained in note 1, 2 and 4 discuss the income tax implications of the amount's receivable by ECM. Bonus marks will be awarded for identification of relevant case laws in your discussion.23 marks

Based on the information in Note 3, assuming that ECM goes ahead with the contract with the Mozambican government discuss the following in terms of the Income Tax Act and relevant case law:

a) ***Whether the monthly lease income of $1 000,000 is taxable in Zimbabwe.5 marks***
b) ***In respect of the two employees whether their salary and allowance they are receiving from the Mozambican government qualifies as gross income and therefore taxable in Zimbabwe.8 marks***
c) ***With reference to Note 5 discuss the Income tax implications in Mr Shumba's hands of the long service award he received in 2020.*** *4 marks*

SOLUTION

Required 1:

With reference to information contained in note 1, 2 and 4 discuss the income tax implications of the amounts receivable by ECM. Bonus marks will be awarded for identification of relevant case laws in your discussion.

Note 1
The pertinent question to answer here is whether the deposit receivable from the customers constitutes gross income. 1

In terms of the definition of gross income an amount is received by a taxpayer if the taxpayer is able to use the received amount for their own benefit. (Geldenhuys v C.I.R). 2

In this case the deposits received by ECM are non-refundable, hence we can conclude that ECM has the right to use the amounts for whatever purpose the company deems necessary.

This is as held in the case between *Pyott Ltd v CIR 1945*, where the judge concluded that the amount of the deposit was income because it was beneficially received by the taxpayer. 1
Therefore, ECM should include the full amount of $3 000,000 in their taxable income for the 2020 tax year.1
WW

Note 2
The pertinent question to be answered is whether the receipt of $3 600,000 from the sale of the equipment is of a capital or revenue nature.1
Should the receipt be of a capital nature it is excluded from the gross income definition but may have capital gains tax (CGT) consequences? 1
In this case we need to determine ECM's intention when the equipment was acquired. (COT Southern Rhodesia v Levy 1952) 2
The finance manager explained that the equipment was bought with the intention of including it as part of the equipment they used in their leasing business.1
Therefore, on date of acquisition the equipment would have been held as capital assets. 1
Therefore, based on the intention on the date of acquisition the receipt of $3 600,000 is capital in nature.1

Even though ECM made a profit on the sale the proceeds are still capital in nature as concluded in the case between the COT Southern Rhodesia and Levy, where the judge concluded that the taxpayer is not required to completely exclude the contemplation of profitable resale.2

Note 4
Compensation for loss of business and repair costs

The pertinent question to be answered is whether the compensation receipt of $12 000,000 constitutes gross income.
If the payment is made for the compensation for loss of profits it will be of a revenue nature in the hands of the recipient. As was said in the Burmah Steam Ship Co case (*bonus mark for mentioning the case)* "is the receipt to fill a hole in profits or in fixed capital, $8 000,000 (or part thereof) is of a capital or revenue nature.1
Should the receipt be of a capital nature it is excluded from the gross income definition but may have capital gains tax (CGT) consequences? 1
The courts have held that damages and compensation receipt will be of a capital nature if the payment is for the loss or sterilisation of the taxpayer's capital asset (i.e., his income producing machine) assets".2
The receipt of $12 000,000 is compensation for loss of profits (i.e., future business generated by the equipment whilst it is idle) and of a revenue nature and included in gross income.1
The part of the receipt relating to repairs ($8 000,000) is a recoupment of section 15 2 (b) expenses claimed and is included in gross income.1
Therefore, the receipts of $12 000,000 and $8 000,000 should be included in ECM's gross income for the 2020 tax year.1

Compensation for legal costs

We need to determine whether the compensation for the legal costs is revenue or capital in nature.1
In order to make the determination we need to consider for what purpose the legal costs were incurred, i.e., to generate revenue or capital receipts.1
In this case the compensation received from the legal proceedings has been determined to be revenue in nature, hence the legal costs incurred will allowed as deduction in terms of Section 15 (2) (b). 2
Therefore, in light of the above the receipts of $1 000,000 are revenue in nature and are therefore to be included as part of ECM's taxable income.1

Required 2
Based on the information in Note 3, assuming that ECM goes ahead with the contract with the Mozambican government discuss the following in terms of the Income Tax Act and relevant case law:

a. ***Whether the monthly lease income of $10 000,000 is taxable in Zimbabwe.***
b. ***In respect of the two employees whether their salary and allowance they are receiving from the Mozambican government qualifies as gross income and therefore taxable in Zimbabwe.***

Note 3 a:
The pertinent question to address here is whether the lease income is from a source within Zimbabwe. 1
Since the equipment to be leased to the Mozambican government is movable, the general rule is that the source of any income generated from the leasing transaction would be where ECM's operations are located. 2
The period of the lease arrangement is also key in determining the source and in our case the period is only for 5 months. 1
Therefore, based on the above (the leased equipment is movable and is being leased for a period of less than 5 years, the source of the monthly rentals receivable by ECM will be
Zimbabwe. 1
Therefore, the $10 000,000 will be included in ECM's gross income and taxable in Zimbabwe. 1

Note 3: b

The issue at stake is here is determine whether the salary and the allowance is from a source within the Zimbabwe. The general rule with regards the source of income from employment services, is where the services are rendered by the employee.

In this case therefore the true source of the salary and allowance is Mozambique since that's where they would be rendering the services. 1

However, using the deemed source provisions, if a Zimbabwean resident earns employment income whilst temporarily not resident in Zimbabwe the income will be deemed to be from a source within Zimbabwe. 2

In our scenario the employees will be working outside Zimbabwe for a period of five months and this constitutes temporary absence since the period of absence is less than 183 days. 2
Therefore, both the salary paid to the employees by ECM and the allowance paid to the employees by the Mozambican government are deemed to be from a source within *Zimbabwe and should be included in the employees' gross income. 1*

The allowance and the salary are therefore taxable in Zimbabwe.1

However, there is a risk that the employees' income may be subject to taxation twice and the employees can apply the provisions in section 92 and 93(double taxation reliefs) of the Income tax act to minimise their tax burdens (bonus 2)

Required 3

With reference to Note 5 discuss the Income tax implications in Mr. Shumba's hands of the long service award he received in 2020.

The issue to address here is to determine whether the long service award received by Mr Shumba is revenue or capital in nature. 1
In this case since the long service award has been given to Mr Shumba as a return for 10years of service to ECM, the amount qualifies as employment income. 2

Therefore, since the long service award is employment income it is include in Mr Shumba's gross income and taxed during the 2020 year of assessment. 2

TUT 3

Brian Mayo is a qualified chef and had been working for the Blue Tourism Group (Blue) for the past 20 years in various capacities. Brian had started working for Blue when he was only 25 years of age fresh from Blue's world-renowned catering school. In 2020 due to the on-going strained liquidity and financial difficulties that the Blue Tourism Group was facing, management of Blue decided to undertake a restructuring exercise to realign the group's operations. As part of the re-structuring exercise Brian Mayo was retrenched along with 20% of the entire workforce of Blue. Blue applied for the relevant approvals in respect of the retrenchment exercise and these were duly granted in August, 2020 assigning an effective date of 1 October 2020 for the retrenchments to take effect.

Upon being retrenched in October 2020 Brian was in receipt of the following amounts:

Brian was offered to acquire the motor vehicle he had been using during his time of employment for an amount of $8,000. The motor vehicle has an engine capacity of 2,300 ccs and Brian has always been using this vehicle for the past 3 years. Blue had acquired the motor vehicle in 2010 for an amount of $22,000 and as at 1 October 2020 the vehicle had a market value of $14,000.

Cash in lieu of leave days $3,000

Kitchen equipment with a market value of $4,000. Brian did not pay any consideration for the said equipment.

Gratuity of $10,000

Before his retrenchment Brian had been in the process of making plans of opening his own food restaurant in the CBD of Harare. Following his retrenchment, he fast tracked his business idea and started his restaurant Candy Fast Foods (Pvt) Ltd (CFF). During the year ended 31 December 2020 CFF entered into two contracts as follows:

A service contract with Blue for a period of 2 years with effect from 1 October 2020. In terms of the contract agreement CFF would invoice Blue for any actual work done by CFF on behalf of Blue. CFF invoiced Blue $1,200 for each of the months of October and November and an amount of $3,000 for the month of December.

A catering service contract for $8,000 per month, with effect from 1 November 2020, with New Life Hospital which has its operations in Harare. On 1 Oct 2020 CFF recruited a staff complement of 6 permanent employees and 3 casual workers. Permanent employees are paid a monthly salary whilst the casual workers are paid a daily wage rate which is line with the industry norms. Permanent employees are paid a basic salary of $600 each per month and a monthly transport allowance of $50 each.

Brian Mayo's related earnings for the 2020 tax year were as follows:

From Blue Tourism Group (Jan to Sept)

Item	Notes	ZWL$
Gross basic salary		9,000
School fees allowance		4,000
Bonus	1	2,000
Refund of benefit fund contributions	2	28,000
Annuity	3	6,000
Pension receipts	4	120,000
Employee contributions to benefit fund	2	(600)
NSSA contributions		(216)
Employee pension contributions		(1,200)
Retirement Annuity Fund (RAF) contributions		(3,500)
Loan repayment	5	(2,400)
Employee contributions to Medical Aid Fund	6	(900)
Funeral Insurance policy contributions		(300)
NSSA contributions		(216)

Employee pension contributions		(1,200)
Retirement Annuity Fund (RAF) contributions		(3,500)
Loan repayment	5	(2,400)
Employee contributions to Medical Aid Fund	6	(900)
Funeral Insurance policy contributions		(300)
PAYE		(1,300)

From Candy Fast Foods (Pvt) Ltd

Item	Notes	ZWL$
Gross basic salary		4,200
Fuel allowance	7	1,000
PAYE		(800)

Notes

1. Blue's financial year end is 30 June. During the 2020 financial year in order to appease the employees of the impending retrenchment scheme, Blue paid a bonus of double each employee's basic monthly salary.

2. This amount is a refund in respect of contributions which Brian had been making to a non-registered benefit fund administered by Blue. The amount refunded to Brian is made up of employee contributions over the years $22,000 and interest component amounting to $6,000

3. Brian is entitled to receive this amount annually from the retirement annuity fund (RAF) which matured during the course of the year. In terms of the RAF rules, Brian will receive the same amount over the next 11 years (i.e. amount received over 12 years in total). A total of $12,000 was disallowed as a deduction in Blue's tax computation from the onset of his RAF contributions to maturity.

4. This amount was refunded to Brian when he was retrenched from Blue and he opted to withdraw from Blue's employer registered pension fund. His contributions to the pension fund have been allowed as a deduction in full in Blue's tax computation over the years. Brian transferred $40, 000 of his pension receipts to the Catering Industry Pension Fund which he became a member of effective 1 November 2020.

5. This amount is a repayment towards a $12,000 loan advanced to Brian in June 2020 and was to be repaid after the expiry of 2 years. Brian paid interest of 1% p.a. on the principal amount outstanding on the loan. Libor for the 2020 tax year was a constant 0.5%. In October 2020 when Brian was retrenched Blue decided to waive the payment of the remaining loan balance. The $2,400 is the only payment that Brian had made towards the principal balance of the loan.

6. During the 2020 tax year Brian incurred medical expenses amounting to $3,000 of which 60% were reimbursed by the Medical Aid Fund
7. Brian receives a fuel allowance for using his personal vehicle for the restaurant business. 40% of the fuel allowance was applied towards fuel expenses in conducting the restaurant business.

Additional Information

In order to finance his new business venture Brian decided to make the following disposals in November 2020:
He disposed of his Masasa house which was his Principal Private Residence as defined. The house was sold for an amount of $120,000 through a real estate agency, which charged him a commission of 1% of the sale proceeds. Brian had originally acquired the house in 2009 for an amount of $60,000. In December 2020 Brian acquired a smaller house in the western suburb of Tynwald for an amount $70,000. He sold off 2000 shares that he held in Dairyboard Zimbabwe Ltd for an amount of $1.20 per share. Brian had bought the shares on the ZSE in 2010 for an amount of $0.80 per share.

Required
With reference to the retrenchment from Blue calculate Brian Mayo's minimum taxable income arising from the retrenchment package.8 marks

Calculate Brian Mayo's taxable income for the 2020 tax year. For any amounts which are not taxable or deductible indicate by the use of a zero and provide a brief explanation.20 marks

SOLUTION

With reference to the retrenchment from Blue calculate Brian Mayo's minimum taxable income arising from the retrenchment package. 8 marks

Item	ZWL$	Marks
Motor Vehicle ($14,000 - $8.000)	6,000	1
Cash in lieu of leave*	-	1/2
Kitchen equipment	4,000	1/2
Gratuity	10,000	1
Loan waiver ($12,000 - $2,400)	9,600	2
	29,600	
Less 3rd schedule par 4 exemption^	(29,600)	2
Taxable income from retrenchment	0	

If the aggregate of retrenchment package is ZWL$50,000 of below the whole amount is tax exempt
Retrenchment package needs not be approved anymore for it to qualify for exemption
Cash in lieu of leave is not part of the retrenchment package since Brian Mayo is receiving the amount as return for providing employment services.

Item	ZWL$	Marks
Total Salary (90 000 + 42 000) – Sect 8(1) (b)	132 000	1
Cash in lieu of leave – Sect 8 (1) (b)	3,000	1
School fees allowance – Sect 8 (1) (f)	4,000	1
Bonus – Sect 8 (1) (b)	2000	1
Less exempt – 3rd schedule par 4	(2,000)	1
Refund of benefit fund contributions – Interest component only (w1)	6,000	1
Annuity – Sec 8 (1) (a) – (6,000 – (12,000/12))	5,000	2
Loan Benefit ((0.5%+5% -1%) *12,000 * 4/12)) – Sect 8 (1) (f)	180	2
Fuel Allowance (1,000 * 60%) – Sect 8 (1) (f)	600	1
Motor vehicle deemed benefit (9 000 * 9) – Sect 8 (1) (f)	81 000	1
Employee benefit fund – non registered scheme hence not deductible	0	1
NSSA contributions – Sect 15 (h)	(216)	1
Employee Pension contributions	(1,200)	1
RAF contributions	(3,500)	1
Loan Repayment – Capital in nature	0	1
Taxable income from retrenchment	0	1
Funeral Insurance policy contributions – Disallowed capital in Nature	0	1
Total Taxable Income	**226,864**	**1**

TUT 4

Anna Tote, a Saudi Arabian national, moved to Zimbabwe in January 2020 with her French husband, Nikita and their two children to take up a position as General Manager of Flamingo, a new hotel in Eastlea. For the first two months, Anna was paid from Saudi Arabia, where her salary was taxed at the rate of 10% (she has documentation to prove that this tax was paid to the Saudi Arabian tax authorities). However, from March 2020 onwards, her salary was paid from Zimbabwe. Nikita also got to be employed by FAO. They moved into an apartment, and the children are enrolled in a respected international primary school.

In February 2020, Anna's remuneration denominated in **United State**s, comprised the following incomes:

Item	USD
Salary	7,500
Bonus for successful opening of business	500
Housing Allowance	1,000
Medical insurance	800
Pension contribution	750
Children's school fees	1,900

Anna was also reimbursed $1,300 in respect of expenses related to a three-day business trip to Zimbabwe as follows:

Hotel	500
Air Travel	600
Out of Pocket Expenses	200

Anna was allocated a company car engine capacity 2000cc plus exclusive use of a driver. The driver's monthly salary $2,500.

Anna incurred medical shortfall of $300 which she seeks to claim as tax credit

Required:

a) On what basis is Anna's salary taxable: resident or non-resident? Give your reasons (3 marks).
b) Discuss the legal basis under which Nikita may benefit from tax exemption in Zimbabwe (4 marks)
c) Discuss the legal basis of Nikita's earnings in United States dollar (6)
d) Comment on the medical shortfall expenses Anna wishes to claim as tax credit
e) Compute Anna's tax liability on her February remuneration (10 marks).

SOLUTION

a) Basis of Anna's taxable income

A person of any nationality will be deemed a Zimbabwean resident if (s)he is domiciled in or has a principal place of residence in Zimbabwe, or is present in Zimbabwe for more than 183 days in any period of 12 months ending in the tax year (2).

Besides, income for services rendered is taxed based on the place the services are rendered, irrespective of the person's residence status. In practice however, tax is activated when a person assumes 183 days in the country (1).

b) Nikita exemption from Zimbabwe

Firstly, Article 27 of the Double Taxation Agreement (Tax Treaty), "remuneration paid to employees of diplomatic or consular missions of foreign governments holding an official or diplomatic passport of that government have received" are exempt from tax, provided that they are received "within the framework of fulfilling their official function" in Zimbabwe (2).

Secondly, SI 417 of 1999 provides an exemption from tax of salaries and emoluments of foreign officials, representatives, officers and employees employed by the Agencies of the United Nations (1).

The income of a non-resident is also exempted from tax in Zimbabwe provided that the employee's presence in Zimbabwe does not exceed 183 days and the remuneration for "technical assistance" is paid by a non-resident (and not by a resident of Zimbabwe) and the employer does not have a permanent establishment in Zimbabwe (1).

Following SI 33 and 142 of 2019 Zimbabwe has now a new currency and has outlawed the use foreign currency in domestic transaction in preference of the Zimbabwe. (1)

However, s4A (1) a) of the Finance Act (Chapter 23:04) provides that where earnings are received in foreign currency pay as you earn you be remitted to the ZIMRA in foreign currency whether the payment in foreign currency is against the spirit of SI142 of 2019 or not. Taxes follow transactions not the legality or illegality of the underlying transaction. (2)

The laws for payment of taxes in foreign currency were introduced 2009 when Zimbabwe opted for multicurrency ahead of the defunct Zimbabwe dollar (1)

Prior to 1 August 2019 (pre-Finance Act no 2 of 2019), but post 22 February 2019 the single tables would be able where earnings were in part foreign currency and part in Zimbabwe dollar. The pay as you earn would then be split into respective currency on proportion of taxable earnings. (2)

Effective 1 August 2019 separate tax tables were introduced. Pay as you earn on earnings in foreign currency computed using the United States tables and in Zimbabwe dollar computed using the Zimbabwe dollar tax tables (2).

Effective 1 January 2020 where earnings are wholly or partly in foreign currency United States dollar tax tables should be applied. Further, Finance Act no 3 of 2019 has also introduced United States values for certain remuneration items, exemptions, deductions and tax credits etc. For example, motoring benefits for those earning in part or wholly in foreign currency exist (2)

c) Anna's medical expenses

Section 13 of the Finance Act allowances for medical expenses credit of $1 for every $2 incurred.

d) Anna's February tax liability

Item	US$	Marks
Salary	7,500	0.5
Bonus for successful opening of business (500-320)	180	1
Housing Allowance	1,000	0.5
Medical insurance	0	0.5
Pension contribution	0	0.5
Children's school fees	1,900	0.5
Travel - exempt		0.5
Hotel - exempt	0	0.5
Air Travel exempt	0	0.5
Out of Pocket Expenses exempt	0	0.5
Company driver	2,500	0.5
Motoring benefit	400	1

Taxable income	**13,480**	**7**
on US$3000	871	0.5
on excess ($13,480-$3,000)	4,192	1
	5,063	
Less Medical shortfall (n/a)	0	0.5
	5,063	
Add 3% Aids levy	152	0.5
Tax liability	5,215	
Less PAYE	4,300	0.5
Tax payable	915	3

TUT 5

Dr. Joe Munjoma (aged 57) is a Zimbabwean resident taxpayer. He was employed as a dentist at Dentists (Pvt) Limited (Dentists) in Harare, but resigned from this employment on 31 July 2019. He started his own practice (Joe Dentistry) from his home on 1 September 2019. Information relating to Dr. Joe for the year of assessment ending 31 December 2019 is given below.

Employment package

A cash salary of $10,000 per month and 50% of the amounts billed to patients seen by Dr Joe. Dr Joe had billings of $610,000 for the period 1 January 2019 to 31 July 2019.

Dentists contributed 10% of his salary and share of billings to its company pension fund (which is registered in terms of the Pension and Provident Fund Act of Zimbabwe) for Dr Joe.

Dr Joe uses a company allocated laptop computer to review patient X-rays and to plan complicated dental surgery procedures. The laptop cost $2,000 and was purchased on 1 January 2019. When Joe resigned, he took the laptop with him and continued to use it in his own practice.

Dentists paid the sum of $500 per annum to license the specialist software used on Dr Joe's laptop computer. Dr Joe was permitted to continue to use the software in his own practice.

While working for Dentists, Dr Joe was allowed any dental work at no cost. Dr Joe needed some dental work and a cleaning by an oral hygienist during the year. The cost to Dentists of providing these services amounted to $560.

Dentists contributes the entire scheme rate to the medical scheme for its employees. For Dr Joe, this amounted to $350/month in total for his wife (as the only dependent) and himself.

Dr Joe had the flatlet on his property converted for use as a dental practice. The building work, which was completed on 1 August 2019, cost $50,000.

The dental equipment required to furnish the practice was purchased new at a cost of $100,000.

Dr Joe borrowed money from his personal bond to fund the expenditure on building work and dental equipment. Interest on the bond amounted to $5,000 (of which 20% pertains to the dental equipment and 10% to the building work).

Dr Joe's fee income from when he began trading in his own name, on 1 September 2019 until 31 December 2019, amounted to $420,000.

The portion of rates, water and electricity on the property which relates to the dentistry practice amounted to $3,600 for the period 1 September 2019 (when the conversion was completed) to 31 December 2019.

Other information:

Dr Joe contributed $200 per month to a retirement annuity fund (RAF) up to 31 July 2019 and these contributions were taken into account by Dentists when calculating the employee's tax withheld. When Dr Joe resigned from Dentist, he withdrew from the retirement annuity fund and with effect from 1 August 2019 started receiving a monthly payment of $700.

Dr Joe took over payment of the medical contributions for himself and his wife with effect from 1 August 2019. In addition, he incurred medical costs amounting to $200 on 30 July 2019, which were not recoverable from the medical scheme.

On 1 August 2019 Dr Joe also received a lump sum of $80,000 from the Dentists pension fund.

Dr Joe used part of the pension proceeds to acquire an office building in the Avondale suburb of Harare. He purchased the building for a total cost of $700,000 from a non- registered VAT operator. From 1 September he started receiving a monthly rental of $10,000.

Required

In respect of the above information calculate Dr Joe Munjoma's employment taxable income and tax payable for the 2019 tax year of assessment (12 marks)

In respect of the above information calculate Dr Joe Munjoma's trade and investment taxable income and tax payable for the 2019 tax year of assessment (8 marks)

For items which are neither taxable nor deductible indicate by the use of a zero and provide a brief explanation.

SOLUTION

a) Joe's Employment taxable income and tax payable

Item	ZWL$	Marks
Cash Salary ($10,000 * 7)	70,000	½
Based on Billings - $610,000 * 50%	305,000	1
Employer pension fund contributions- exempt	0	1
Laptop Benefit	2,000	1
Software benefit – ($500 * 5/12)	208	1
Dental work for Dr Joe – exempt	0	½
Employer medical Aid contributions – exempt	0	½
Contributions to RAF - $200 * 7	(1,400)	1
Receipt from RAF – Exempt – Joe is over 55 years	0	1
Receipts from Pension fund – exempt – Joe is over 55 years	0	1
Taxable income	**375,808**	
on $240,000	76,260	½
on excess ($13,480-$3,000)	61,114	1
	137,374	
Less Medical expenses credit (200* 50%)	(100)	½
Elderly person' credit	(900)	½
	136,374	
Add 3% Aids levy	4,091	½
Tax liability	140,465	
Less PAYE	-	½
Tax payable	140,465	12

b) Joe's trade and investment taxable income and tax payable

Item	ZWL$	Marks
Improvements Flatlet – ($50,000 + ($5,000 *10%)) *2,5% (W&T on commercial building)	(1,263)	2
Capital allowances – dental equipment ($100,000 + ($5,000 * 20%)) *25%	(25,250)	2
Fee Income	420,000	½
Rates, water and electricity	(3,600)	½
Laptop computer: $2,000 * 25%	(400)	1
Rental Income:	40,000	½
Less rental income exemption for elderly persons (3,000 x 4/12)	(1,000)	1
Capital allowances on office building - $700,000 *2.5%	(17,500)	1
Taxable income	**410,887**	
Tax at 25%	102,722	½
Less Credit – Medical aid contributions ($350 * 5 * 50%)	(875)	½
	101,837	
Add 3% Aids levy	3,055	½
Taxable payable	**104,892**	

TUT 6

Joseph Marange is currently employed with Musasa Limited. He has reached his maximum earning capacity at Musasa Limited. He currently earns a salary of $45 000 per month with a guaranteed bonus the equivalent of $45 000 (i.e., annual income of $585 000). He has decided to test the market place to see if he can find employment with another company that is prepared to pay him a higher salary. He has received an offer from Newdawn (Pvt) Limited. Newdawn (Pvt) Limited are prepared to pay him a salary of $52 000 per month plus a travel allowance of $5000 per month (i.e., $684 000 per annum). Joseph is excited about the prospect of earning an additional $99 000 per annum ($8 250 per month). However, he has been warned to take advice before accepting the new offer as Musasa Limited offers a number of non-cash benefits that Newdawn (Pvt) Limited does not.

Joseph Marange has approached you for assistance in establishing his after-tax income for both his current package and that of the new offers from Newdawn (Pvt) Limited. Details of each package follow below:

Musasa Limited

- Cash salary $45 000 per month- $540 000 per year
- Annual bonus (payable in December each year)- $45 000 per year
- Membership of a non-contributory medical aid scheme –Employer contributes the equivalent of $4,000 per month- $48 000 per year
- Pension fund membership own-contributions (10% of salary including bonus) $58 500
- Pension fund membership – employer contributions (10% of salary including bonus) $58 500

Newdawn (Pvt) Limited

• Cash salary $52 000 per month	624 000
• Travel allowance $5 000 per month	60 000
• Employer contribution to retirement annuity fund $3 000 per month	36 000

You have further established:

- Joseph is 42 years of age and married with two minor children. Membership of a medical aid is important to him. To join a medical aid in his private capacity will cost him $4 200 per month (or $50,400 per annum) to cover himself and his family.
- At Musasa Limited Joseph has the free use of a motor vehicle which has an engine capacity of 2200ccs. He uses the motor vehicle for both private and business purposes. If he decides to take up Newdawn (Pvt) Ltd.'s offer he will be given an interest free loan of $250,000 to acquire a vehicle of his choice. The condition for the interest free loan is that the motor vehicle will also be used for the business of Newdawn (Pvt) Limited
- Newdawn (Pvt) Limited does not have an approved pension fund but encourages its employees to join a retirement annuity fund (RAF) and contributes 50% of any amount payable to the fund by the employee. Should Joseph decide to join a RAF his monthly contribution will be $6,000, his 50% share being $3,000.

Required
To advise Joseph whether he should accept the offer of employment from Newdawn (Pvt) Limited.
Base your answer on the following assumptions:

- ***his choice will be influenced only by his after-tax income;***
- ***he will take up employment on 1 January 2021;***
- ***the full $60 000 travel allowance will be utilized for business purposes;***
- ***He joins both the medical aid and RAF as described above.***

CAA CTA OCTOBER 2013 Edited

SOLUTION

Item	ZWL$	ZWL$	Marks	Marks
	Musasa	Newdawn	Musasa	Newdawn
Salary	540,000	624,000	0.5	0.5
Bonus	45,000		0.5	
Less exemption	-5,000		0.5	
Travel allowance		60,000		0.5
Less business travel		-60,000		0.5
Employer contribution	-		0.5	
Own contribution	- 4,500		0.5	
Employer retirement annuity fund		3,000		0.5
Motor vehicle	108,000		0.5	
Loan		15,000		0.5
Retirement Annuity fund		- 27,000		0.5
Taxable income	683,500	615,000		
Tax liability				
On 600000	173,700	173,700	0.5	0.5
Excess	33,400	6,000	0.5	0.5
Tax liability	207,100	179,700	0.5	0.5
Medical expenses credit (50400*50%)		- 25,200		0.5
Tax after credits	207,100	154,500		
Add 3% Aids levy	6,213	4,635	0.5	0.5
Total tax liability	213,313	184,335		
After effect				
Taxable earnings	683,500	615,000	0.5	0.5
Less non-cash flow items motoring benefit	- 108,000		0.5	
Tax	- 213,313	- 184,335	0.5	0.5
Pension fund contributions already deducted				0.5
Pension fund contributions already deducted				0.5
Medical costs		- 50,400		0.5
Net cashflow after tax	362,187	430,665	6.50	8.00

The cash offer from New Dawn (Pvt) Limited is more favourable to the extent of $9 900 per annum, the after-tax income is also favourable at $8 268 ($46 179 – $37 911) less than his present situation. However, the estimates assume the travel allowance will be fully utilized for business purposes and not taxable. Should the full travel allowance not be expended for business purposes the taxable income and normal tax liability will increase, thereby reducing his after-tax income from employment with Newdawn (Pvt) Limited.

It is suggested that the offer be accepted as there are tax benefits in doing so.

TUT 7

George (Pvt) Ltd (George) is in the business of retailing top of the range furniture to an exclusive market of the affluent both in Zimbabwe and Botswana. The shareholding structure in George is as follows:

- Geo: 25%
- Georgina 25%
- Venture Capital (Private) Limited 50%

Geo and Georgina are siblings and they were the founders of George in 1998. However, after dollarization in 2009, Geo and Georgina sold part of their shareholding to Venture Capital (Private) Limited in order to raise much needed working capital for their business. Venture Capital (Private) Limited is a company incorporated and registered in Zimbabwe focusing on providing structured finance for small to medium business. George imports the furniture components from Malaysia and assembles the furniture items locally, in most cases at the client's site. During the year ended 2020, George posted a net profit before tax of $342,350.00. The following transactions amongst others were taken into account in determining the net profit before tax: All amounts exclusive of VAT

Note 1 – Inventory and Cost of Sales

Included in George's cost of sales are opening inventories of $61,000 (being the cost) and closing inventories of $73,250 (being the net realisable value as determined with reference to International Financial Reporting Standards requirements). The closing inventory was acquired by George for a total cost consideration of $94,000 and the replacement cost was determined to be $80,000.

Note 2 – Dividend income

2.1. Included in George's other income is dividends of $18,000 received on the 23rd of April 2020 and $13,500 received on the 30th of May 2020 from Econet Wireless Zimbabwe and Mascom (Botswana) respectively.

2.2. George paid a total dividend of $35,000 to its shareholders allocated in their shareholding ratios. The dividends paid during the year have been debited against retained income in the statement of changes in equity.

Note 3

3.1. During the year George acquired office furniture kits worth $43,451. Of these, kits worth $2,450 were used for its new offices and had not been appropriately adjusted for in the books of accounts and are included in the closing inventory figure in transaction 1 above.

3.2. George acquired a delivery vehicle for $35,000 from a local car dealer and this vehicle was immediately brought into use during the current year of assessment. A depreciation charge of $7,000 was debited in the income statement in respect of the delivery vehicle.

3.3 During the year George replaced the zinc roof on its office building with chromadec tiles due to their heat conducting properties at a cost of $5,450.

Note 4

4.1. During the year George sold a delivery vehicle with a carrying amount of $34,500, for $47,500. The profit on disposal was included in the computation of the net profit above. The delivery vehicle had initially been acquired in 2018 at a cost of $50,000 and George has always claimed the maximum possible capital allowances in respect of the vehicle.

4.2. George received donations of $5,000 from a Wall Street banker associate of Georgina who supports growing businesses. The donation income was appropriately accounted for as other income in determining the net profit for the year.

Note 5

During the year George incurred the following legal costs which were expensed under general administration costs in the income statement:

5.1. $3,500 for a labour dispute on unfair dismissal with a former employee.

5.2. $23,000 conveyancing costs for acquisition of an investment property. The investment property cost $450,000 and this amount was capitalised. As at year end George had not yet found a tenant for this property.

Note 6

George incurred the following finance costs which have all been expensed to the income statement:

6.1. $15,000.00 Interest on a bank loan used to acquire land.

6.2. $3,500 overdraft interest on a facility used to procure inventory.

George's debt: equity ratio at year end was 5:1

Note 7

7.1. George sells some of the furniture on credit and has provided for 5% of the total accounts receivable being unrecoverable. As at year end the total accounts receivable balance was $300,000 and the current year's provision for credit losses has been debited to the income statement.
7.2. During the year wrote off the following bad debts:

7.2.1. An employee who had been advanced a loan was diagnosed with a sight impairing ailment and George wrote off a debt of $1,500.00 as a compassionate gesture to alleviate the employee's cash flow challenges in seeking medical assistance.

7.2.2. $3,450 being the full amount owed in connection with a trade customer who filed for liquidation during the current year of assessment. The appointed liquidator for this customer indicated in a press release that creditors owed by the customer will be paid $.20 for every dollar owed.

Note 8

George is penetrating the Botswana market and incurred travel and subsistence costs of $4,500.00 for its marketing team and this amount was expensed under general expenses in the income statement.

Discuss with supporting calculations the income tax implications of the transactions in note 2 and 4

SOLUTION

Note 2:

Dividend Paid:

Sect 15: In terms of the general deduction formula in section 15, capital expenditures are not allowable as a deduction and we need to determine what type of expenditure the dividend is paid. (1 mark)

Dividends are a return on the capital invested by the shareholders and are therefore capital in nature and not allowable as deduction (1 mark)

Withholding taxes

Upon paying dividends to shareholders entities are to withhold dividends tax (s26 and s28) and remit to ZIMRA, the amount to be withheld is (1 mark)

10% for quoted companies; and

15% for all other companies.

In this case, 15% will be withheld as George is not a quoted (listed) company. (1 mark)

George has an obligation to withhold 15% of the amount payable to Geo and Georgina since dividends payable by a local company to natural persons are subject to the dividend withholding tax. (1 mark)

If the dividends are to be paid to a company incorporated within Zimbabwe, no withholding tax shall be charged; therefore, the portion payable to Venture Capital is not subject to the withholding tax. (1 mark)

Therefore, George shall withhold 15% of the amount payable to Geo and Georgina and remit to ZIMRA within 10 days of the payment being made, or the shareholder becoming entitled to it. (1 mark)

The total amount of withholding tax will be: $35,000 * 50% * 15% = $2,625. (1 mark)

Dividend Received from Mascom Botswana:

Sect 8: The issue is to determine whether the dividend received from Mascom is from a source within Zimbabwe. (1 mark)

In terms of section 12 (2), foreign dividends received by a taxpayer resident in Zimbabwe are deemed to be from a source within Zimbabwe. (1 mark)

Since George is a company registered and incorporated in Zimbabwe, the dividend from Mascom is deemed to be from a source within Zimbabwe and therefore taxable in Zimbabwe. (1 mark)

However, the dividend from Mascom will be taxable at a special rate of 20% instead of the normal tax rate on trade and investment income of 24.72% (1 mark)

Tax payable is therefore: $13,500 * 20% = $2,700 (1 mark)

Where foreign dividends received are net of withholding tax, and the foreign country is one where a double taxation agreement exists, a relief may be calculated. (1 mark)

Dividend received from Econet wireless Zimbabwe:

The dividend from Econet wireless Zimbabwe meets the gross income definition as per section 8 of the income tax act but is however exempted from income taxes in terms of the 3rd schedule par 9. (1 mark)

Also, since George is a local company, Econet will not withhold any dividends withholding tax on the payment of the dividend to George. (1 mark)

Note 4:

Disposal of Vehicle

We need to determine whether or not the receipts from the disposal of the delivery vehicle are revenue or capital in nature. (1 mark)

As George are not in the business of buying and selling vehicles, the receipts from the sale of the delivery vehicle are capital in nature, and thus do not fall into gross income. (1 mark)

However, since George was claiming capital allowances on the vehicle, a recoupment arises upon the sale of the vehicle and is included in the calculation of taxable income. (Sect 8 (1) (j)). 1 mark

Recoupment is calculated as Selling Price less Income Tax Value, limited to the Capital Allowances previously granted. (1 mark)

Recoupment = $47,500 – ($50,000*50%) = $22,500. (1 mark)

The profit on disposal is not included in gross income because it was not received. (1 mark)

Donation received

The question, with regards to the donation, is whether the amount received capital or revenue in nature. (1 mark)

Since George had no right to claim the donation from the Wall Street banker, the proceeds thereof would be capital in nature. (1 mark)

Total Available 22 marks

TUT 8

All amounts are in Zimbabwe Dollars and exclude VAT unless otherwise stated.

You are a CTA student in your second-year training with GWZ Chartered Accountants. You have been recently assigned to the tax division to work on a portfolio of clients that requires assistance on various tax issues. Your senior has asked you to work on Bestetner Limited (BS) which is a public Zimbabwean company that manufactures and distributes office equipment. BS have submitted their 2020 financial statements to GWZ and would like GWZ to assist them with the review of their income tax computations in respect of the 2020 year of assessment.

BS manufactures and sells a range of office solutions, from software solutions to hardware solutions. Their hardware products comprise of printers, copiers and projectors. They distribute these products by way of cash sales, credit sales, hire purchase and leasing. Your senior has reviewed the tax computation that was already done by BS and has come up with queries on the following transactions for which you must advise the correct tax treatment.

Leasing

BS leases machinery to both the local and the South African market. The leases vary from long term leases which are for more than 5 years on a selected range of products to mainly short-term leases i.e., those with a lease term of less than 5 years. During the year of assessment, BS leased machinery under both long term and short term to leases to South African and Zimbabwean customers. The South African leases were classified as finance leases for financial accounting purposes as the lease periods were for most of the useful lives of the assets and the total instalments exceeded the cash prices due to the interest components.

Sales

BS has three different categories of sales. Firstly, some of the goods are sold for cash. Secondly, some are sold on credit and BS reserves the right to repossess the goods upon default of the instalments although title passes to their customers on delivery. Lastly some of the goods are sold to the customer but ownership is transferred after the last payment is made and under this arrangement BS considers clients to be hiring to buy. On introduction of Copier-Scanner combo, a product that allows you to print, scan and copy, BS could not cope with the demand of this product and so had to take deposits ahead of the manufacturing process. In 2020 BS received $450,000 from different customers for which it was to deliver the machines in the second week of January 2021. These deposits were not separated from the rest of BS' receipts. BS also entered into a sales contract in which it agreed to receive $20,000 in advance in November 2020, for a supply to be made in January 2021. BS only received the amount on the 3rd of January 2021.

Expenditure

BS expensed (in their 2019 financial statements), finance costs for two borrowings from foreign entities.

i. ABSA loan

BS borrowed $800,000 from ABSA South Africa and used it to purchase land and the related finance charge was $80,000 for the year ended 31 December 2020. BS expensed it as finance costs in the books of accounts.

African Development Bank (AfDB) loan.

BS received a loan of $1,500,000 from AfDB Abidjan (Ivory Coast) to acquire new manufacturing plant and machinery. The loan accrued interest charges of $120,000 for the year and the debt-to-equity ratio of BS was 9:2 as at 31 December 2020.

BS also expensed unrealised exchange losses of $7,850 during the year.

BS engages foreign suppliers of goods or services from time to time. These include regional transporters or component providers from Europe. Some of the same goods and services are provided by local suppliers.

During the year 2020 BS declared a dividend of $717,000 to its shareholders, both local and foreign. BS also paid directors' fees of $36,000 to its board members. The board comprises of ten directors 3 of which are executive and received $10,200. Of the remaining 7, 4 are independent (received $13,300) and 3 are not independent (received 12,500).

BS uses a software supplied by an Indian firm in the manufacturing process for which it paid annual licence fee of $7,300 in the year 2020.

Required

			Marks
1(a)	Write a memo to the BS accountant in which you detail for him the dates BS should have paid provisional income tax, the percentage that should have been paid on each given date and the basis of the calculated amounts per section 72 of the Income Tax Act for the year ended 31 December 2020.		4
1(b)	BS would like to know the following: i. If they have to wait for a ZIMRA assessment for them to establish and pay the income tax payable (if any) relating to the 2020 year of assessment. ii. The deadline for paying income tax due and or submission of returns in respect of 2020 year of assessment. iii. If a return is required where there is a refund due.	2 2 1	5
1(c)	For the South Africa lease rentals, advise BS whether the lease rentals received should be included in its gross income for the year of assessment ended 31 December 2020 in the determination of the taxable income.		4
1(d)	Discuss the income tax treatment in the hands of BS for the year of assessment ended 31 December 2020 of i. The $450,000 and ii. The $20,000 sales contracts	5 3	8
1(e)	BS would like clarity on the income tax treatment of the given expenditures for the year of assessment ended 31 December 2020. i. Finance Costs ii. Unrealised exchange losses iii. Dividends paid iv. Directors' fees v. Annual licence fee for software	5 2 2 2 2	13
1(f)	BS would like to know whether it should have withheld any taxes in terms of the Income Tax Act in the year of assessment ended 31 December 2020 on the following transactions and also to know the amount, where applicable: i. Foreign suppliers of transport services to and from	2 2 2	

	Zimbabwe. ii. Dividend paid to both local and foreign shareholders iii. Licence fees for use of software.		
Total Marks			**40**

SOLUTION

Write a memo to the BS accountant in which you detail for him the dates BS should have paid provisional income tax, the percentage that should have been paid on each given date and the basis of the calculated amounts per section 72 of the Income Tax Act for the year ended 31 December 2020.

MEMO

To: The Accountant

From: CTA graduate

Date: 02 February 2021

RE: PROVISIONAL TAXES

With reference to our telephone conversation of yesterday, I have discussed below the dates for the 2020 provisional income tax and the percentages of the estimated income taxes to be paid.

Provisional taxes are paid on prescribed quarterly payment dates (QPDs). 1mark
The QPDs for 2020 are:
25 March and 10% of the estimated taxable income; (1mark)

25 June and 25% of the estimated taxable income; (1mark)

25 September and 30% of the estimated taxable income; and (1mark)

20 December and 35% of the estimated taxable income. (1mark)

The estimated taxable income is revised for each QPD (1mark)

I hope you find this of assistance

Sincerely

Communication and Layout (1mark)

BS would like to know the following:

If they have to wait for a ZIMRA assessment for them to establish and pay the income tax payable (if any) relating to the 2020 year of assessment. The deadline for paying income tax due and or submitting returns.

If a return is required where there is a refund due.

BS is a taxpayer on self-assessment per section 37A and therefore should not wait for a ZIMRA assessment (1 mark). BS shall calculate income tax per s7 and fill in an annual return based on the tax computation (1 mark)

BS shall submit the annual return 4 months from the year end i.e., by the 30th of April 2021. (1mark)

BS should also pay the tax payable, if any, by the same date. (1mark)

Annual returns shall be submitted regardless of whether there is taxable income or an assessed loss. (1mark)

For the South Africa lease rentals, advise BS whether the lease rentals received should be included in its gross income for the year of assessment ended 31 December 2020.

Lease rentals originate from the leasing of assets. The assets were leased in South Africa and are movable. (1mark)

There is no definition of source in the Income Tax Act and so reliance is placed upon common law as to its meaning. COT v British United Shoe Machinery (SA) (Pty) Ltd 1964 and Murray Ltd (1929). (1mark)

The true source of leasing of movable assets by residents for periods less than 5 years is Zimbabwe. (1mark)

If leased for periods longer than 5 years, then the source becomes where the asset is leased. (1mark)
BS received rentals for both long term and short-term leases. (1mark)

BS shall therefore only include in gross income those rentals from South African leases of not more than five years and exclude the rest from gross income. (1mark)

There are no deeming provisions for the long-term leases. (1mark)

Discuss the tax treatment in the hands of BS for the year of assessment ended 31 December 2019 of The $450,000; and The $20,000 sales contracts The $450,000

Section 8 of the Income Tax Act requires that an amount has to have been received by or accrued to or in favour of a person for it to be included in Gross Income. (1mark)

The $450,000 was received for tax purposes from a Zimbabwean source and is not capital in nature. (1mark)

BS received this amount for its own benefit as it could use this money. (1mark)
BS also received it on its own behalf and not as an agent of a principal. (1mark)
Cases for own benefit and own behalf. (2 marks)

The $20,000

An amount accrues when it becomes due and payable or when the taxpayer becomes entitled to it. (1mark)

The $20,000 became payable to BS in November 2020 and therefore it accrued to him. 1mark
BS should include in gross income the $20,000. 1mark

BS would like clarity on the tax treatment of the given expenditures for the year of assessment ended 31 December 2020.

Finance Costs
Unrealised exchange losses
Dividends paid
Director's fees
Annual licence fee for software
Finance Costs

• Deductibility of finance costs is determined after considering what the borrowings were used for. 1mark

Part of the loan was used for the acquisition of land and this is capital in nature and the portion of the finance costs related to the cost of the land is therefore also considered capital in nature. They are not allowed as a deduction. (1mark)

The finance costs associated with retooling are deductible. Whilst the retooling in itself capital in nature, the tools will get capital allowance and therefore the related interest is allowable. (1mark)
The deduction is however limited by thin capitalisation rules. s16 (1) (q). (1 mark)
[3/9 x $120,000] = $40,000 is the excess disallowed. (1 mark)
This disallowed cost is a deemed dividend to the recipient. (1 mark)
BS shall withhold taxes in terms of s26 (2) and s28 (2). (1 mark)

Unrealised Exchange losses

- Expenses or losses are generally deductible where they have been incurred for the purposes of trade and are not capital in nature1mark

These losses have not been incurred as there is no inescapable obligation to pay them yet. 1mark

iii. Dividends paid

These are distributions and are neither expenses nor losses. They are therefore not deductible based on the general deduction formula s15 (2) (1mark)

Dividends will however create withholding taxes obligations on BS's part as it must withhold 10% of the dividend paid because BS is a public company. (1mark)

iv. Directors' fees

All directors' fees shall be allowable deductions as they were incurred for the purposes of trade and are not capital in nature. S15 (2) (a) (1mark)

Withholding tax obligations however arise on 20% of the fees (1mark)

W.E.F. 1 January 2021 withholding tax of 20% is a final tax. No further tax is required from the non-executive director.

Annual licence fees

These were incurred for the purposes of trade as the software is used in the manufacturing process. By using the software, they create an inescapable obligation to the vendor hence they incurred the amount in the year of assessment (1mark)

They are not capital in nature as they are not for the creation of an asset that BS shall own i.e., a tree in the tree and fruit analogy. They are for access and use for a defined period which is not long term. (1mark)

BS has an obligation to pay withholding taxes on royalties of 15% of the fee. (1mark)

The rate of 15% can be reduced where there is a Double Taxation Agreement (DTA) between Zimbabwe and the supplier's country of residence. South Africa DTA provides for 10% withholding tax on royalties.

BS would like to know whether it should have withheld any taxes in the year of assessment ended 31 December 2020 on the following transactions and also to know the amount, where applicable:

Foreign suppliers of transport services to and from Zimbabwe.

Dividend paid to both local and foreign shareholders

Licence fees for use of software.

Transport services

Foreign suppliers of transport services are non-residents and therefore should be considered for non-residents' taxes. The transport services do not however constitute fees, royalties, remittance nor interest and therefore no taxes shall be withheld. (2marks)

Dividends

BS shall withhold taxes on dividend paid to both local and foreign shareholders (1 mark)
The withholding taxes shall be 10% as BS is a listed company. S26 and 28 (1 mark)

[10% x $717,000] = $71,700 (1 mark)

License fees
BS should have withheld Non-Residents' Tax on Royalties (1 mark)
The withholding shall be [15% x $7,300] = $1,095 (1 mark).
Royalties are income for the right of use and the supplier gave BS the right of use of a software system. (1mark)

TUT 9

Mr Cheda, a 61-year-old employee of Pine Jel, held a 4% interest in Pine Jel and managed one of the company's divisions. During labour unrest he was attacked by striking workers and the company paid for an air ambulance to fly him to a Johannesburg hospital, at a cost of $64 000. Pine Jel also paid for Mr Cheda's medical costs in Johannesburg, which amounted to the equivalent of $4 400 000.

Mr Cheda was so traumatised by the incident that he was unable to continue to work. His doctor later advised the company that Mr Cheda would not be able to return to work at all. Mr Cheda took early retirement on 31 July 2021.

Mr Cheda's cumulative pay slip for the period January 2021 to 31 July 2021 showed the following:

Item	ZWL$ 000
Salary	58 000
Bonus	4 000
Leave pay	2 000
Medical aid contributions	2 800
Retirement package paid by the company	60 000

The retirement package and accumulated leave were paid to Mr Cheda by means of a single electronic transfer on 31 July 2021.

Mr Cheda had paid his annual contribution of $6 000 000 to an approved retirement fund in January 2021

Mr Cheda informed Pine Jel that he would like to dispose of his 4% shares in the company, which he had purchased in May 2017 for $7 500 000. Neither the company nor the other shareholders were aware of any person who might be interested in purchasing the shares from Mr Cheda. The shareholders all agreed that the 4% interest was worth $40 000 000. The company offered to buy back the shares when its cash flow position improved.

Mr Cheda was interested in buying a twin a cab vehicle for his own use. Pine Jel had such a vehicle, which has a market value of $39 000 000, and the shareholders agreed that the company could purchase Mr Cheda's shares in exchange for the vehicle. This vehicle had originally cost $49 000 000. Mr Cheda accepted the offer and the exchange took place on 31 July 2021.

Mr Cheda did not dispose of any other specified assets during 2021 year and did not earn any other income during his 2021 year of assessment.

Various fees paid during the year ended 31 December 2021

Required

a) Prepare computations for Mr Cheda, taking into account all types of income for purposes of both income tax and capital gains tax [19 marks]

b) Calculate any income tax and capital gains tax payable for the tax year ended 31 December 2021 [6 marks]

Cite relevant sections of the Acts

SOLUTION

Mr Cheda taxable income

Item	$000	Marks
Salary	58,000	1
Bonus-s8(1)(b)	4,000	1
Less exemption – para 4(o) 3rdSch	(25)	2
Leave pay – s8(1)(b)	2,000	1
Medical aid contributions – 3rd schedule par 8 (2)	0	1
Costs of air ambulance – exempt 3rd schedule par 8 (1)	0	1
Medical costs in Jo'burg – exempt 3rd schedule par 8(1)	0	1
Purchase of motor vehicle exempt Mr Cheda is over 55 years old	0	1
Retrenchment package	60 000	1
Less exempted retirement package – ***(800 ,000 or 1/3 of 3,600 000 (i.e., 1 200,000) whichever is greater)***	(1 200)	1
Contribution to RAF – sect 15 (h) - limited to $240 000 per year*7/12	(140)	2
Taxable income	**122,635**	
Tax liability (122 635 000 * {1/(7/12)}) * 40% (*)	84 092.571	1
Less	300	1
Annua; tax liability	83,792.571	
Less Credits		
Elderly person's credit - $72 000 * 7/12	(42)	2
Tax liability	83 750.571	
Add 3% Aids Levy	2 512.517	1
Tax liability for a full year	89 263.088	
Tax liability for the 7 months (89 263 088*7/12)	50 320.135	1

* Note- the taxable income of 122 635 000 was first projected into an annual figure to allow for application of the annual tax tables.

Capital Gains Tax – Disposal of shares

Item	$000	Marks
Sales Proceeds – value of received vehicle – sect 8 (1) (a)	39 000	2
Less sect 10(m)exemption – Mr Cheda is over 55 years	(144)	2
Capital mount	**38 856**	
Capital gains tax 5% of capital gain (Fin Act no 2 of 2019)	1 942	2

Notes

- Finance Act no 2 of 2019 provides for 5% of proceeds for specified assets sold prior to 24th of June 2019 and retains 20% capital gains tax rate for disposals thereafter.
- The exemption of the elderly person is now ZWL 144,000 with effect from 1 January 2021.

TUT 10

Zuva Cards (Pvt) Ltd (Zuva) is a company resident in Zimbabwe. It designs and manufactures cards that are collected by children and sells these cards to producers of breakfast cereals and snack foods. Its financial year ends on the last day of December each year.
The issued ordinary share capital of Zuva was held as follows throughout the 2021financial year:
40% by Yugi Yuglyo, a resident of Armenia, a country with which South Africa does not have a double tax agreement;
30% by Tinotenda Moyo, a resident of Zimbabwe;
20% by Tyson James, a resident of Zimbabwe;
And 10% by Max Mapako, a resident of Zimbabwe.

These four shareholders were also the sole directors of Zuva during the 2021 financial year. Tinotenda Moyo is its managing director. Tinotenda Moyo, Tyson James and Max Mapako are all full-time employees and executive directors of Zuva and as such they receive salaries from the company. Yugi Yuglyo is a non-executive director. All four directors also earn fees for attending directors 'meetings. The meetings are held in Zimbabwe. Directors 'salaries and fees are included in the amount stated under the heading ―Salaries, wages and benefits‖ in the detailed income statement.

Yugi Yuglyo lent Zuva the equivalent of $ 65 000 000 on 30 June 2019. The funds were made available to Zuva in Armenia. Zuva transferred the funds to Zimbabwe in July 2019 for use in its business. This loan is denominated in United States Dollars and has no fixed terms of repayment. It bore interest at a rate of 18% throughout the 2021 financial year of Zuva, but no portion was repaid during this period.

(It should be noted that all amounts reflected in the detailed statement of comprehensive in-come below and in the notes that follow on it, exclude value-added tax (VAT) where appropriate unless specifically stated to the contrary. Zuva is registered as an operator for VAT purposes.)
The detailed draft statement of comprehensive income of Zuva for the year ended 31 December 2021 is set out on the next page:

Details		$ 000	$ 000
Sales			1,625,000
Less: Cost of sales			
Opening stock		- 152,500	
Purchases		- 1,157,500	
Less: Closing stock		60,000	- 1,250,000
Gross Profit			375,000
Add Sundry Income			
Dividend income	2	2,900	
Capital profit on sale of local shares	3	8,000	
Insurance settlement received	4	2,736	
Prescribed debt	5	600	
Profit on sale of machine A	11	6,750	
			20,986
			395,986
Less: Expenditure			
Bad debts	6	4,500	
Increase in provision for doubtful debts	7	600	
Depreciation on motor vehicle	8	3,705	
Depreciation on computer	9	570	
Finance charges	10	220	

Depreciation on machine A	11	1,250	
Depreciation on machine B	11	1,875	
Depreciation on other machinery and			
depreciable assets	12	8,625	
Rentals	13	6,750	
Insurance premiums	14	8,100	
Salaries, wages and benefits	15	290,000	
Restraint of trade	16	33,600	
Provision for leave pay	17	950	
Interest	18	11,700	
Cost of trade mark written off	19	4,000	
Other tax-deductible administrative and			
Marketing expenses		4,541	380,986
Comprehensive income (Net profit) before tax			15,000

Additional notes

On 1 December 2021, Zuva concluded a contract to import raw materials from an American supplier at a cost of $24 000 000. The raw materials were shipped free on board on 22 December 2021 but had not arrived in Zimbabwe by 31 December 2021. The creditor is to be settled on 31 January 2022. Zuva did not, in its 2021 financial year, process any accounting entries relating to any of these transactions.

Note 2

. The following dividends accrued to Zuva during the 2021 year of assessment

	$000
Dividends from resident companies operating in Zimbabwe that accrued to Zuva during the period January 2021 to October 2021. The shareholding of Zuva in these companies is in all cases less than 50%	2 020
A distribution from a collective investment scheme in property. This distribution comprises interest of $880	880
Total	**2 900**

Note 3

During the 2021 year of assessment Zuva disposed of only the following capital assets:
Disposal of some of its share investments at a capital profit of $5 500 000 (as determined in accordance with the Capital Gains Tax Act). The related accounting profit is $8 000 000.

Note 4

Sale (trade-in) on 31 August 2021 of machine A (see note 11).
A road freight contractor had collected an order of cards (trading stock) Zuva's premises for delivery to a customer. On its way to its destination the road freight contractor 's delivery van, along with Zuva' trading stock, was stolen. On 15 December 2021 Zuva was awarded an insurance settlement from its insurer of $2 736 000 for the stolen trading stock. This amount does not take any possible VAT adjustment that may have to be taken into account. You can assume that no accounting entry was made to record the sale of the trading stock or the write of thereof as a result of the theft.

Note 5

During the 2019 year of assessment Zuva had purchased raw materials for $1 500 000, excluding VAT, from a manufacturer that was closing down. Zuva paid $900 000 (being 60% of the purchase consideration) on the date of delivery. For the following three years it tried unsuccessfully to pay the 40% balance of the purchase consideration ($600 000). Every cheque posted was returned with ―address no

longer valid‖ endorsed on it. Because the debt has now pre-scribed, the amount owing has been written back in its detailed draft statement of comprehensive income.

Note 6
Bad debts written off of $4 500 000 consist of $1 800 000 for trade debtors and a loan of $2 700 000 to a supplier who has been liquidated. This loan came about during the 2020 financial year of Zuva, when it lent $2 700 000 to a raw material supplier who was experiencing liquidity problems. The supplier was liquidated on 1 December 2021 and Kiddies has been unable to recover any portion of the loan.

Note 7
The accounting provision for doubtful debts as at 31 December 2021 was $5 000 000, an increase of $600 000 from the balance as at 31 December 2020. These debts would have been allowed as a deduction under any other provisions of Sect 15 of the Income Tax Act, had it become irrecoverable.

Note 8
On 1 June 2021 a motor car used by Zuva's sales staff for visits to customers, was purchased and immediately brought into use. (This motor car meets the definition of a passenger motor vehicle as provided in the Income Tax Act.) It cost $29 900 000 ($26 000 000 plus VAT of $3 900 000). Depreciation of $3 705 000 has been provided for on this motor car.

Note 9
On 1 December 2019 Zuva leased a computer from a financial institution under a two-year finance lease. Zuva capitalised the financial lease for accounting purposes. It is an instalment credit agreement for VAT purposes. The computer cost the financial institution $1 967 000 ($1 710 000 plus VAT of $257 000). Total finance charges in terms of the lease amounted to $451 and the monthly rental to $100 000. The final lease rental of $100 000 was paid on 30 November 2021. On 1 December 2021 the financial institution simply abandoned this computer to Zuva without requiring any further consideration by Zuva. Ownership was therefore attained on 1 December 2021. On this date its fair market value was $1 150 000 ($1 000 000 plus VAT of 150 000). Despite being two years old, the computer was still in good working order and Zuva indeed used it during the entire 2021 year of assessment. Depreciation of $570 000 has been provided for on the computer.

Note 10
The finance charges of $220 000 accounted for in the 2021 statement of comprehensive income concern the finance lease for the computer in note 9.

Note 11
On 1 March 2020 Kiddies purchased a new machine (Machine A) on a cash basis in an arm's length transaction for $10 000 000. Machine A was immediately brought into use in its process of manufacture. On 31 August 2021 it traded in this machine for a more advanced manufacturing machine (Machine B). Machine B was purchased as a new machine on a cash basis in an arm's length transaction for $15 000 000. A trade-in price of $13 000 000 was obtained for machine A. On that date machine A had a book value of $6 250 000. Machine B was immediately brought into use in its process of manufacture. Zuva will elect any option that is available to it to defer any of its tax liability.

Note 12
All other machinery and depreciable assets had a $nil tax value on 1 January 2021.

Note 13
The rentals are paid monthly for the use of a warehouse leased by Zuva for trade purposes

Note 14
Insurance premiums of $8 100 000 were incurred during the 2021 year of assessment. In addition, Zuva paid insurance premiums of $8 875 000 covering the period 1 January 2022 to 31 December 2022 on 15 December 2021, on the advice of its insurance broker who claimed that this early payment would secure cheaper insurance. No portion of the advance insurance premium amount was expensed to its statement of comprehensive income for the 2021 financial year.

Note 15

Salaries, wages and benefits of $290 000 000 include directors 'salaries and fees. On 1 June 2021 Zuva employed a learner (a learner‖ who is not disabled) on a full-time basis at a wage of $75 000 per week. (This learner was not previously employed by Zuva.) Zuva entered into a 27-week, registered learner ship agreement with the learner in the course of its trade. The agreement commenced on 1 June 2021 and was completed on 6 December 2021. The learner ship agreement is registered with the Zimbabwe Manpower Development Fund (ZIMDEF). The wages paid to the learner and the levies paid to ZIMDEF are included in the salaries, wages and benefits.

Note 16

The restraint of trade payment of $33 600 000 was paid to a designer who had been employed by Zuva. She left its employ on 30 September 2021. The restraint of trade agreement is effective for two years commencing on 1 October 2021.

Note 17

The leave pay provision was increased by $950 000 for the 2021 financial year. As at 31 December 2021 the balance on the leave pay provision amounted to $5 450 000. Actual leave payments made during the year have been expensed directly to salaries, wages and benefits.

Note 18

Item	$000	Marks
Net Profit for the year	15 000	
Sales – Gross Income	-	
Purchases – imported raw materials – obligation to pay arose on the 22nd of December hence deductible	(24 000)	1
Closing stock – Include raw materials in transit- sect 8(1)(h)	24 000	1
Dividend Income: From resident companies – Exempt 3rd Schedule	(2 020)	1
Dividend Income: Interest not from financial institution hence taxable	-	1
Sale of shares – Capital in nature	(8 000)	1
Insurance settlement: Deemed received	2 736	1
Trading stock stolen	(2 000)	1
Prescribed debt taxable since the original purchase would have been allowed as a deduction	-	
Profit on sale of Machine A: accounting entry	(6 750)	1
Recoupment on disposal of machine A: ($10,000 000 * 25% * 2 years) – no capital allowances claimed in the year of sale	5 000	2
Bad debts: Trade debtors – deductible		
Bad debts: loan to supplier (capital in nature since Zuva is not in the business of giving out loans)	2 700	1
Provision for bad debts: not allowable since not actually Incurred	600	1
Depreciation on motor vehicle	3 705	½
SIA ($10 000 000 * 25%)	(2 500)	1
Depreciation on computer	570	½
SIA on computer: ($1 000 000 * 25%)	(250)	1
Finance Charges	220	1
Lease instalments paid: ($100 000 * 11)	(1 100)	1
Depreciation Machine A	1 250	½
Depreciation Machine B	1 875	½
SIA Machine B ($15 000 000 * 25%)	(3 750)	1
Depreciation on other machinery and depreciable assets	8 625	½
Rentals- deductible	-	
Insurance premium: 2021 tax year	-	
Insurance premium: 2022 deductible in the period it relates (in 2022)	-	1
Salaries and wages	-	
Restraint of trade: Capital in nature	33 600	1
Provision for leave pay – no expense actually incurred	950	1
Provision for leave pay – no expense actually incurred	950	1
Interest	-	

Trade mark: Capital in nature: no capital allowances are available on intangible assets except on computer software	4 000	2
Admin and marketing expenses	-	1
Taxable income	55 411	

Interest incurred during the 2021 financial year on the company's business bank account amounted to $11,700 000.

Note 19
On 1 December 2021 Zuva purchased outright the Beyblade‖ trade mark from another card manufacturer for $4 000 000. The acquisition gives Zuva the exclusive right to market cards un-der the Beyblade trade mark in Zimbabwe.

In November 2020 Zuva bought stock for $2 415 000 ($2 100 000 plus VAT of $315 000) from a local supplier. Zuva claimed an input tax credit of $315 000 for its tax period 1 October 2020 to 30 November 2020. However, because of quality problems, Zuva paid the supplier only $1 932 000 ($1 680 000 plus VAT of $252 000) on 30 November 2020, refusing to settle the account until the quality problems had been resolved. On 31 December 2021 an amount of $483 000 ($420 000 plus VAT of $63 000) was still outstanding despite numerous letters of demand from the supplier. The amount was reflected under creditors in the statement of financial position of Zuva as at 31 December 2021. No VAT adjustment that may be required has been reflected in the detailed draft statement of comprehensive income of Zuva for the 2021 financial year. None of this stock was on hand as at 31 December 2021.

Other information

Zuva has neither an assessed loss nor an assessed capital loss to carry forward from its 2020 year of assessment.

Required

Calculate the normal tax liability of Zuva Cards (Pvt) Ltd for its 2021 year of assessment. Show all workings and address all items. Your answer should start with the comprehensive income (net profit) before tax of $15 000 000.

TUT 11

ABC (Private) Limited is a retail business with several branches across the country. The company trades in foreign currency despite Statutory Instrument 142 which out lawed domestic transactions in foreign currency. Therefore, all amounts stated in this question are expressed in United States dollar. The company made a net profit before tax of US$345,000 for the year end 31 December 2019. This was after taking into account the following items (unless otherwise mentioned):

a) Life assurance premiums to First Mutual on the life of its Finance Manager amounting to US$25,000.
b) Depreciation charge for the year amounting to US$110,000.
c) Voluntary pension of US$600 paid ex-gratia to a former Manager who retired on grounds of ill-health.
d) Interest paid included US$1,200 paid on a loan raised to buy a vacant town stand, which is at present not being used by the company for any purpose.
e) Improvements to premises amounting to US$300,000 relate to a warehouse constructed for the storage of the company's finished goods. These improvements were erected by the company on leased premises without the prior consent of the lessor. ABC did not get reimbursement from the lessor; instead, they were given notice to vacate the property with effect from 1st September of the following year (2020).
f) A donation of US$3,800 for cyclone IDAI victims through the Ministry Social Welfare.

g) Donation to a government school for the purchase of books US$154,500.
h) The company paid provisional income tax of US$125,000 during the year and had US$23,200 deducted by its customers upon payment for not having a tax clearance certificate during the month of January 2019.

The following have not been taken into account in arriving at net profit before tax:

a) On 1 June 2016 ABC (Pvt) Limited entered into a lease agreement with Mr Chauke (Landlord) for the letting of a retail store at a monthly rental of $5,000. ABC immediately paid a deposit of $5 000. The lease agreement is valid for nine (9) years. In terms of the agreement ABC is required to effect improvements to the value of $120,000. The improvements were completed on 1 September 2019 and bought into use on 1 October 2019
b) All Fixed assets listed below were purchased during the 2018 tax year. The Income Tax Value of these assets as at 31 December 2017 were as follows:

Type of asset	Cost	ITV
Office Furniture	260,000	195,000
Shop Equipment	200,000	150,000

c) No new assets were purchased during 2019
d) Assume foreign exchange rate of ZWL15: USD1

Required:

a) Comment on the deposit paid by ABC (Pvt) Limited to Mr Chauke [1 mark]
b) Calculate the deduction allowable to ABC in respect of note 9 [3 marks]
c) Calculate ABC's capital allowances in United States Dollar for 2019 [4 marks]
d) Comment on note 5 [3 marks]
e) In the advent of SI 142 which outlaws use of foreign currency, advise in what currency should ABC pay its liability to ZIMRA [2 marks]
f) Compute ABC's tax liability for the year ended 31 December 2019. [7 marks]

Your answer should take into account the effects of SI33 and I142 of 2019 and Finance ***Act no 2 of 2019***

SOLUTION

a) Deposit by Chauke is consideration in money payable over and above rentals and is deductible in section 15 (2) (d) of Income tax act
b) These are deemed voluntary improvements and not recognised under section 15(2) (e) the following are the requirements for lease improvements:
- There must be in terms of an agreement between the lessor and the lessee
- There must be an obligation to affect the improvements in terms of the lease agreement
- There must be expenditure actually incurred in pursuance of such obligation
- The land or building must be used or occupied for purposes of trade or in the production of income

c) Lease expenditure

Item	USD	Exchange Rate	ZWL$	Comment
Rent	- 60,000	83	- 4 980 000	Deductible
Lease premium (5000/9 years)	- 556	83	- 46 148	deductible s15(2)(d)
Lease Improvements (120,000/108-40)*3)	- 5,294	83	- 439,402	deductible s 15 (2)(e)
	- 65,850		- 5 465 550	

d) Capital allowances

Item	USD	Exchange Rate	ZWL$	Comment
Office equipment (260,000*25%)	4,333	83	4333	Deemed converted on a 1 to1 basis in terms of SI 34 from USD to RTGS$
Shop Equipment (200,000*25%)	3,333	83	3333	Deemed converted on a 1 to1 basis in terms of SI 34 from USD to RTGS$
USD capital allowances	**7,667**			

Following SI 33 and 142 of 2019 Zimbabwe has now a new currency and has outlawed the use of foreign currency in domestic transaction in preference of the Zimbabwe. (1)

However, s4A (1) (c) provides that where a company, trust, pension fund or other juristic person has its taxable income in foreign currency, they shall be required to pay tax in the same currency (2)

The laws for payment of taxes in foreign currency were introduced 2009 when Zimbabwe opted for multicurrency ahead of the defunct Zimbabwe dollar (1)

e) Tax liability

Item	USD	Exchange rate	ZWL	Comment
Net Profit Before Tax	345,000	83	28,635,000	
Life Assurance Premium (Deductible)	-	83	0	Deductible
Depreciation	110,000	83	9,130,000	
Voluntary Pension paid to of	600	83	0	ZWL$ limit for 2021 is 240 000, hence no non-deductible amount
Interest	1,200	83	99,600	not in the production of income
Improvements	300,000	83	24,900,000	not used for purposes of trade since its now being vacated
Donation	-	83	0	Allowable
Donation to movement school	154,500	83	4,823,500	Act limits this to 8 000 000 in 2021 excess disallowed (12823500-8000000)
Rent	-60,000	83	-4,980,000	Deductible
Lease premium	-556	83	-46,148	deductible s15(2)(d)
Lease Improvements	-5,294	83	-439,402	deductible s 15 (2)(e)
Office equipment (260000*25%)		83	0	Deemed converted on a 1 to1 basis in terms of SI 33
Shop Equipment (200000*25%)		83	0	Deemed converted on a 1 to1 basis in terms of SI 34
Taxable income		83	62,122,550	
Tax liability		83	15,356,694	

Less Provisional tax	-125,000	83	-10,375,000	
30% Withholding Tax	-23,200	83	-1,925,600	
Tax Liability	57,717	83	3,056,094	

TUT 12

Mukwa Sawmills (Pvt) is located in Penhalonga. It specializes in high-end furniture for office and home use. The company has been in operation for several years and closes its accounts to 31 December each year. For the year ended 31 December 2020, the company furnished the following financial statement:

	Notes		$
Sales			1,999,456
Less: Cost of sales			(675,400)
Gross profit			1,324,056
Dividends	1		65,000
Interest	2		56,200
Rental	3		120,000
Gain on disposal of fixed asset	4		34,500
			1,599,756
Less: Operating Expenses			
Rates and rent on factory land		34,000	
Bonus		98,000	
Depreciation		189,100	
Donation	5	1,638,000	
Entertainment	6	36,400	
Fines and penalties	7	10,000	
Foreign exchange gain	8	(25,000)	
Foreign exchange loss	9	45,000	
Insurance Charges	10	19,800	
Lease of motor vehicles	11	330,000	
Legal fees	12	27,000	
Loss on disposal of fixed asset	13	13,900	
Promotion	14	230,000	
Provision for doubtful debts	15	60,000	
Repair and maintenance	16	85,056	
Royalty	17	60,000	
Salaries and wages		345,678	
Security services	18	45,000	
Shipping charges	19	82,000	
Staff retirement benefits	20	153,000	
Traveling	21	7,000	3,483,934
Net loss			(1,884,178)

The accounts are accompanied by the following additional information:

1. Dividends received during the year are made up of the following:

Company	Gross	Tax	Net
Special economic zone	25,000	Exempted	25,000
Kadoma paper Mills	40,000	8,000	32,000

2. This is a non-exempt interest earned from fixed bank deposit.

3. The rental was received from a furniture subcontractor who used part of the company's factory space to store his goods temporarily pending construction of his own warehouse.

4. An old machine was disposed of during the year to a furniture subcontractor for a small profit.

Unity Peoples' Party (a political party)	12,000
Contribution to the State to help set up Maternity Ward unit at Parirenyatwa Hospital	926,000
Approved Destitute Homeless Persons Rehabilitation Fund	700,000

5. Entertainment expenses are made up of the following:

Drinks for office and factory staff	5,000
Drinks for clients	7,400
Annual dinner for staff	24,000

6. The company incurred a sum of $10,000 on fines and penalties during the year. It is made up of the following:

Fines for company Lorries that were caught speeding	8,000
Penalties for late submission of statutory forms to various Government offices	2,000

7. An amount of $25,000 represents gains made in forward purchases of raw materials from Brazil and Argentina. As at 31 December 2020 a sum of $12,000 out of the $25,000 was not realized.

8. Foreign exchange loss of $45,000 represents the loss made on three separate sales to a company in Italy. Of this loss, a sum of $12,000 was not realized as at 31 December 2020.

9. Insurance charges are made up of the following:

Transit insurance paid to Export Insurer for cargoes of furniture to Italy	12,000
Insurance on stocks, factory building, plant and machinery	7,800

10. Motor vehicles are leased by the company as part of a strategy to eliminate cash being tied up on unnecessary assets. Lease payments were made to a local motor leasing company as follows:

Model	lease/bf	Rental for 2020	cumulative
4 Tonnes Mitsubishi Truck	20 000	140,000	160,000
Land Cruiser for MD	50,000	120,000	170,000
Honda CRV	50,000	70,000	120,000

The Honda CV is used to transport visiting dignitaries and important visiting clients. The 4 Tonne Truck is used occasionally for transportation of very bulky and special-order furniture.

11. The company furnished details of the legal fees incurred as follows:

Fees paid for arranging a loan for the purchase of a special plant	3,000
Fees paid to defend the company in court against a case brought by the Ministry of Environment in which the company was charged with polluting a nearby river by discharging toxic wastes.	9,000
Fees paid for the recovery of bad debts arising from furniture sales made three years ago but still outstanding.	8,000
Fees paid for patenting a new design for a new line of furniture	7,000

12. One of the Lorries owned by the company met with an accident and was written off.
13. This consists of general advertisement of the company's various products in the local newspapers and selected home and women's magazines and $100,000 reserves for future promotion.
14. Provision for doubtful debts of $60,000 relates to provision for general bad debts.

15. The repair and maintenance expenditure provided by the company is as follows:

Minor repair and maintenance of factory building, plant and machinery	12,456
Extension of the loading and unloading bay	27,600
Construction of a new manager's room in the factory area	45,000

16. During the year the company paid a royalty to an Italian design house in consideration of technical advice and technical assistance in respect of the manufacture of furniture of special designs. On 15 July 2020 $40,000 was paid but no withholding tax was deducted. On 15 September 2020 another $20,000 was paid and the withholding tax was remitted to ZIMRA on 10 October 2020.
17. The company engages security guards from a leading private security firm to guard the factory. A trespass occurred in the factory premises. Upon investigation, it was found that the security guard on duty at the time of the incident was found to be careless and negligent in his duties. The security firm agreed to compensate the company a sum of $30,000 for the trespass. This amount has been netted off in the security service charges debited in the account.

18. The following are included under shipping expenses:
    a) Amount of $7,000 paid to the Immigration as penalty for failing to declare in time a particular shipment of furniture on to a ship.
    b) A sum of $75,000 represents freight charges for transport of some furniture from Penhalonga to Beira Port.

19. To avoid high turnover of staff, the company decided to operate its own insurance-based retirement benefit fund. During the year, the company paid an initial lump sum of $150,000 to an insurance company to setup this fund. The company is then required to pay a sum of $100 per year for each *new* employee who joins the company during a particular year, to entitle them to participate in the scheme. During the year 2020, the company recruited 30 *new* employees.

In addition, an annual fixed sum of $1,000 is payable to the insurance company to validate the scheme. This sum is payable only from next year onwards. Manager and staff who retire or leave the company are paid a one-off retirement benefit directly by the insurance company based on an agreed scale, one of the determinants being the employee's length of service with the company. The company has written to the CG for approval of the retirement scheme, but as at date of close of accounts, the approval has yet to be received.

20. The company's marketing manager showed exceptional initiative in furthering the sales of the company's products, especially in promoting it overseas. The company therefore awarded $7,000 an all-expense paid trip to Egypt, for him and his family in November 2020.

21. The company has incurred the following capital expenditure for fixed assets in the assessment year ended 31 December 2020:

- purchase of a computer for a director’s use $2000) (this computer is used 65% for business purposes and 35% for private purpose)
- purchase of computers which were leased to customers for rental income $290,000.
- Purchase of delivery vehicles $160,000
- Purchase of a private car on hire-purchase (cost = $200,000, down payment of $20,000 on 1 January 2020, monthly payments for 10 months from February 2019, $20,000 each month (interest portion = $2,000 each month))
- Purchase of one set of network computer system $500,000
- Purchase of office furniture $80,000
- Purchase of room air-conditioners $70,000
- Built 3 dwelling units for its staff for total cost of $80,000

23. The ITVs of items brought forward from the previous year of assessment are as follows:

Plant and machinery (used 2 shifts)	$500,000
Warehouse	$600,000 (cost $800,000)

Required:

a) Compute the tax liability of Mukwa Sawmills (Pvt) Ltd for the year of assessment 2020, together with a schedule of capital allowances. (20 marks)

b) Comment of royalties paid to the Italian designer (3 marks)

c) Compute minimum capital allowances for Mukwa Sawmills (Pvt) Ltd for the year of assessment 2020 (12 marks).

SOLUTION

a) Computation of Mukwa Sawmills (Pvt) Ltd's tax liability

Net loss		(1,884,178) ½
Less Deduction		
Dividend (non-taxable)	65,000 ½	
Interest (taxed at source)	56,200 ½	
Gain on sale of fixed asset (capital profits)	34,500 ½	
Unrealized foreign exchange gain	12,000 ½	
Wear & tear	288,530 ½	(456,230)
Add		
Unity Peoples' Party donation (not for purpose of trade)	12,000 ½	
Construction of Maternity Ward (restricted to $800,000)	126,000 1	
Destitute Homeless Persons (restricted to $500,000)	200,000 1	
Drinks for client (non-deductible)	7,400 ½	
Staff drinks (deductible if offered on non-discriminatory basis)	- ½	
Annual diner (e.g. Christmas are deductible)	- ½	
Fines for speeding Lorries	8,000 ½	
Late submission of statutory forms	2,000 ½	
Unrealised foreign exchange loss	12,000 ½	
Transit insurance (deductible)	- ½	
Insurance on stocks, fixed assets etc (deductible)	- ½	
Lease on 4 Tonne Mitsubishi truck (deductible)	- ½	
Land Cruiser for MD (restricted on PMV to $100,000)	70,000 ½	
Honda CRV (deductible –restricted to $100,000)	20,000 ½	
Fees for a loan to purchase a special plant (deductible)	- ½	
Fees for defending a breach of regulation	9,000 ½	
Fees for recovery debts (deductible)	- ½	
Fees for patenting a new design (capital nature)	7,000 ½	
Depreciation	189,100 ½	
Loss on disposal of asset	13,900 ½	
Reserve for future promotion (provisions are not deductible)	100,000 ½	
Provision for doubtful debts	60,000 ½	
Minor repairs of factory building (deductible)	- ½	
Extension of the loading and unloading bay	27,600 ½	
New Manager's room	45,000 ½	
Royalties (deductible)	- ½	
Fees for trespassing (correctly netted off)	½	
Penalty paid to Immigration office	7,000 ½	
Freight charges (deductible)	- ½	
Unapproved benefit fund ($150,000 + 30 x $100)	153,000 ½	
Allowance for marketing manager (deductible)	- ½	1,069,000

Taxable income (1,271,408)

b) The 17th Sch ITA requires withholding tax to be deducted on fees payable to non-resident from a source within Zimbabwe in respect of any services of a technical nature. The deducted withholding tax must be remitted to ZIMRA within 10 days of paying the fees, distribution or crediting the non-resident person's account with the fees, whichever occurs first. The company was supposed to withholding tax of $6,000 ($40,000 x 15%) on the $40,000 fees paid on 15 July 2020 and remit it to ZIMRA by 25 July 2020. The company is liable to pay the tax, a penalty of 100% of tax due plus interest of 10% p.a for each day the interest remained outstanding. Although the company correctly deducted the withholding tax on the second payment, it delayed in remitting the tax to ZIMRA. The company is again liable to a penalty of 100% of the tax (i.e., $3,000) plus interest of 25% of tax due for a month or any part of month thereof. (3)

c) Computation of minimum capital allowances

Asset	Cost/ITV	Rate	Wear & Tear	ITV	
Director's computer	2,000	20%	400	1,600	1
Lease computers	290,000	20%	58,000	232,000	1
Delivery vehicles	160,000	20%	32,000	128,000	1
Private car	10,000	20%	2,000	8,000	1
Computer network	500,000	10%	50,000	450,000	1
Office furniture	80,000	10%	8,000	72,000	1
Air conditioners	70,000	10%	7,000	63,000	1
Dwelling (non-qualifying)	N/A	N/A	N/A	N/A	1
Plant & machinery	500,000	17.5%	87,500	412,500	1
Warehouse	600,000	5%	40,000	560,000	1
Loading and Loading bay	27,600	5%	1,380	26,220	1
New Manager's room	45,000	5%	2,250	42,750	1
Total			288,530		

TUT 13

Drake Group is a computer chip manufacturing company in Zimbabwe. The group is comprised of, Drake Ltd and Drake 2. Drake Ltd has 60% voting rights in Drake 2. Drake 2 generated a loss of $75,000 (net of deductible expenses, but before recoupment) in the year to 31 December 2020. Drake Ltd generated a profit of $105,000 for the same period. On the 29 December 2020 the board of Drake Ltd made a resolution to rationalize its operations, accordingly it made an agreement to dispose all Drake 2 assets to Drake Ltd.

The following was extracted from the books of Drake 2 for the year of assessment 2019:

Acquired in the year 31 December	Qualifying Cost	ITV	Market value
Industrial building (constructed 2018)	2,000,000	1,000,000	2,300,000
Production plant	450,000	nil	564,000
Computers	15,000	nil	16,500
Commercial vehicles 2019	120,000	90,000	102,000

The following expenses were deductible in arriving at Drake Ltd profits

1. The company had a cash loss of $45,000 as a result of embezzlement by a shop assistant. The MD reported a loss of $25,500 to a snatch thief during her trip back from the bank, having withdrawn $25,500 comprising $15,000 wages to pay her staff and $10,000 from her personal savings for personal expenditure.
2. Drake Ltd removal costs include the following:
   Transport cost to relocate Drake 2 fixed assets (see below) ……..... 7 500
   Removal of rubbish from Drake Ltd premises …..... 3 000

   The transport cost to relocate the Drake 2 assets to the new premises was paid on 1 June 2020.

3. The following legal and miscellaneous were incurred and deductible in arriving at Drake Ltd profits:

Site investigation for new building	12,700
Drafting and registering a mortgage on the new building	1,500
Drafting purchase agreement for the new building	3,000
Filing a lawsuit against a supplier for breach of contract	3,500
Annual audit fee	9,000
Lease of Isuzu Double cab used by Finance Manager (ignore VAT)	122,500
Amortization	43,000
Golf club membership dues for the MD to entertain suppliers	2,000

Required

a. Explain the group relationship that must exist in order for two or more companies to form a group for capital gains purposes. (2 marks)

b. State the time limit for transferor and transferee to make a joint election to transfer the capital gain on disposal of specified asset and explain why such an election will be beneficial (3 marks)

c. Briefly explain how the taxes can be avoided on sale of assets by Drake 2 to Drake Ltd. You are also required to compute Drake 2 income tax and capital gains tax as if measures to avoid tax has not been made (14 marks)

d. Briefly explain the income tax provisions relating to trafficking of shares with assessed loss, the loss expiry provisions and whether Drake Ltd can utilise Drake 2's assessed loss (4 marks).

e. State, with brief explanations, whether or not the loss of cash under each of the circumstances outlined above is an allowable deduction in computing the adjusted income of the business (3 marks).

f. Under what other circumstances is loss resulting from theft disallowed (3 mark).

g. State, with brief explanations, whether or not the removal costs under each of the circumstances outlined above is an allowable deduction in computing the adjusted income of the business (2 marks).

h. Compute Drake Ltd.'s minimum taxable income (8 marks)

SOLUTION

a) Group relationship

A capital gains tax group exists when one company is controlled by another. A company is deemed controlled when its majority voting shares (at least 50% is controlled by another party). (2)

b) Time limit for election

The election must be made at the time of submitting a return for assessment of capital gains (1.5).

The election will save the transferor of capital gains tax on assets transferred, since the assets will be transferred at base cost making neither gain nor loss (1.5).

c) Taxes to be saved by making an election

The transferor and transferee must elect to transfer assets at ITV to avoid tax on recoupment (2). The transferor and transferee must also elect to transfer specified assets at base cost to avoid capital gains tax (2).

Income tax

Item	Amount	Marks
Industrial building ($2,000 000 x 50%)	1,000,000	1
Production plant ($450 000 x 100%)	450,000	1
Computers ($15,000 x 100%)	15,000	1
Commercial vehicles (102 000 – 90,000)	12,000	1
Recoupment	**1,477,000**	
Less Loss	(75,000)	1
Taxable income	1,402,000	
Tax liability at 24.72%	**346,574**	**1**

Capital Gains tax

Item	Amount	Amount	Marks
Industrial building		2.300,000	½
Less Recoupment		(1,000,000)	1

		1,300,000	1
Less Deductions			1
Original cost	2,000,000		½
Less capital allowance	(1,000,000)		½
	1,000,000		
Add inflation $2,000,000 x 3years x 2.5%	150,000	(1.150,000)	1
Capital gain		150,000	
Capital gains tax liability @ 20%		30,000	1

d) Assessed losses

- Assessed losses belong to a person and cannot be utilized by another person. (1)
- Where there is a change in control the Commissioner may not permit the carrying forward or inheritance of assessed losses unless it can be shown that the change in control was not motivated by the existence of assessed losses. (1)
- Assessed losses can be carried forward and deducted against future income, but such losses will expire after 6 years and would not be used when they expire. (1)
- Drake 2 and Drake Ltd are under the same control and Drake Ltd can inherit Drake 2 assessed losses, unless the change is motivated by existence of assessed losses. (1)

e) Loss of cash

- Loss of cash as a result of embezzlement by a shop assistant is expenditure inseparable from carrying on of a business. It is deductible (1)
- The loss of cash by MD is also deductible. It is also on inherent business expense, unless it occurred as a result of a theft by the MD (1).
- The loss of his/her money is non-deductible, being a private expenditure (1).

f) Disallowed theft/loss

- A loss or embezzlement resulting from the acts of the shareholder or by someone in the position of a proprietor (1).
- Loss or theft not ordinarily incurred in the bona fide carrying on of a business e.g. theft by external auditors etc (1).
- Loss by junior staff where the junior is neither reprimanded nor the loss is reported to the police

g) Removal Costs

- Transportation of fixed assets is expenditure of a capital nature and non-deductible (1)
- Removal of rubbish is expenditure of revenue nature which is tax deductible (1).

h) Computation of minimum taxable income for Drake ltd

Item	Amount	Marks
Net profit	105,000	½
Cash loss-shop assistant	0	½
Wage to pay staff stolen	0	½
Personal cash of MD stolen	10,000	½
Transport of fixed assets	7,500	½
SIA removal cost on fixed assets ($7,500 x 25%)	(1,875)	½
Removal of rubbish	0	½
Site investigation for new building	12,700	½

Drafting and registering mortgage	1,500	½
Drafting purchase agreement	3,000	½
Supplier breaching a contract	0	½
Annual audit fee	0	½
Lease of Isuzu (PMV 122,500-100,000)	22,500	1
Amortization	43,000	½
Golf club subs-entertainment	2,000	½
Taxable income	**195,325**	

TUT 14

Your client, Taisek (Pvt) Ltd, is an engineering company registered in Zimbabwe. They have recently been investigated by the Zimbabwe Revenue Authority in respect of normal income tax for the year ended 31 December 2018. The financial director of the company has requested that you assist in dealing with queries raised by the investigators from the Zimbabwe Revenue Authority.

The Zimbabwe Revenue Authority investigators have compiled a schedule of queries, which are listed below:

1. A new machine was purchased by Taisek (Pvt) Ltd from Germany in November 2018 for $15 000. This was delivered to the factory in Zimbabwe on 20 December, and installed and tested on 21 December 2018. As a result of factory closure over the Christmas season, the company only started to use the machine in the production process on 6 January 2019. The company claimed a capital allowance of $3 750 for the 2018 tax year.

2. The company's senior engineer incurred travel expenses of $3 500 in August 2018.He went to Germany to inspect and test a machine and to make the necessary arrangements for its delivery to Zimbabwe. The travel costs of $3 500 were charged to 'foreign travel' in the profit and loss account and claimed in full for tax purposes in the 2018 tax year.

3. The company demanded upfront payments from its major customers because of tight cash-flow restrictions. The company held payments received in advance totalling $17 500 at 31 December 2018. They were disclosed as deferred revenue in the 2018 financial statements. No adjustments were made regarding these receipts in the 2018 tax year.

4. The company's cut-off date for the 2018 accounting year was 21 December. Stocks were counted and all books of account were written up to the close of business on that date. Sales totalling $71 250 were made during the period 27 to 29 December. These were processed in January 2019, but not accounted for in the financial statements for the 2018 financial year.

5. A payment of $23 000 was made to the Zimbabwe Electricity Supply Commission in July 2018 for electricity usage. This was erroneously posted to the 'repairs and maintenance' account and reflected as such in the year-end financial statements.

6. University fees totalling $700 were paid to the University of Zimbabwe on behalf of the managing director's son (who is 20 years of age). (The managing director is also a shareholder in the company and holds 51% of the issued share capital.) This payment was erroneously allocated to the 'repairs and maintenance' account and reflected as such in the year-end financial statements. The son is studying for a degree in mechanical engineering, which is consistent with the main business activity of Taisek (Pvt) Ltd. In addition, he has signed a contract to the effect that he would work for the company for a period of three years after completion of his studies.

7. An office desk, which had been purchased in March 2018 for $2 000, was erroneously allocated to the 'purchases' expenses account and reflected as such in the year-end financial statements.

8. The company carried out alterations totalling $10 000 to the administration block which the company owns. This involved changing the position of doors and windows as well as the installation of 20 new PowerPoints. The whole amount was claimed as repairs and maintenance.

9. Taisek (Pvt) Ltd borrowed an amount of $300 000 on 2 January 2018 at an interest rate of 15% per annum. It used these funds to purchase shares in a building contracting company, Build (Pvt) Ltd. The shares cost $50 000 and the company advanced an interest free-loan to Build (Pvt) Ltd of $150 000. The balance of $100 000 was used to purchase raw materials. Taisek (Pvt) Ltd claimed the full interest on the original loan amounting to $45 000 in its tax computation for the year 2018.

10. On 1 February 2018 Taisek (Pvt) Ltd entered into a lease agreement with Mutumwa Properties (Pvt) Ltd for the leasing of an industrial building. The details of the lease agreement were as follows:

Lease Period:	12 years
Lease Premium (paid on 1 February)	$10,000
Lease rental (Monthly)	$4,000

In terms of the lease agreement Taisek is obligated to make improvements with a total cost of a maximum value of $30,000.

Between February and April 2018 Taisek made capital improvements to the building at a cost of $40,000 and then commenced to use the building in the manufacturing process with effect from 1 May 2018. In the 2018 Financial statements Taisek (Pvt) Ltd Expensed the lease rentals and lease premiums to the Statement of profit and loss.

The lease was classified as a finance lease for financial reporting purposes hence the cost of the improvements were capitalised to the leased building.

In preparing the tax return for the 2013 tax year no adjustments were made in respect of the above information.

Required

A*dvise Taisek (Pvt) Ltd with regards to the Income Tax Implications of the transactions detailed in Note 1 to Note 9. Where adjustments are required provide the supporting calculations of amounts taxable or deductible where applicable. 20 marks*

With reference to Note 10:

Advise Taisek (Pvt) Ltd of the Income tax implications of the Lease agreement and determine the deductions that would result in Taisek paying the minimum tax possible from the lease transaction 6 marks

Discuss in respect of Mutumwa Properties (Pvt) Ltd the income tax implications of the lease agreement entered into with Taisek (Pvt) Ltd. Provide supporting calculations were applicable. Assume that Mutumwa Properties had originally acquired the building for $130,000 in 2009.4 marks

SOLUTION

Advice Taisek (Pvt) Ltd with regards the Income Tax Implications of the transactions detailed in Note 1 to Note 9. Where adjustments are required provide the supporting calculations of amounts taxable or deductible where applicable. 30 marks

Note 1- New Machine from Germany

In terms of section 15 (2) (c) and the 4th schedule capital allowances are claimed on assets that are used for the purpose of trade commencing the day the asset is first brought into use. 1
Therefore, Taisek is incorrect to claim the capital allowance in 2018 as the machinery was only brought into use on the 2nd of January 2019.
Need to add back the $3,750 in the determination of taxable income for the 2018 tax year. 1/2

Note 2 - Travel Expenses – sect 15 (2) (a)

The expenditure can be deemed to capital expenditure as it was incurred in the acquisition of machinery.1
Therefore, Taisek should have capitalised the costs to the machinery and claimed it as part of the capital allowances from the date the machinery is first brought into use. 1

Need to add back the $3,500 in calculating the taxable income for the 2013 tax year. ½

Note 3 - Advance Payment – Sect 8 (1)

In terms of section 8(1) gross income includes amounts received, therefore the advance payments from customers should be included in gross income upon receipt. 1
The $17 500 should be included in gross income in the 2013 tax year. ½

Note 4 – Sales Cut-off – Sect 8(1)

The tax year ends on 31 December 2018; therefore, the accounting records need to be adjusted for transactions that took place between the 21st and the 31st. 1
Revenue of $71 250 should be included in gross income for the 2018 tax year. ½

Note 5 - Payment to ZESA – Sects 15 (2) (a)

No adjustment required since both repairs and maintenance and electricity expenses are tax deductible Sect 15 1

Note 6 – University fees

In terms of sect 15 (2) (p), a deduction is allowed of grants, bursaries, scholarship paid for a person undergoing technical education, provided that: the course is related to the taxpayer's trade and that the beneficiary should not be a near relative of the individual controlling the company, his spouse or near relative of the spouse unless the director works full time for the company and controls not more than 5% of the share votes. 1
In this case the MD'S son is studying towards an engineering degree which is connected to Taisek's trade; however, the MD holds more the 5% of the share capital, therefore the fees are not deductible. 1
Need to add back the $700 in the calculation of taxable income for the 2018 tax year. ½

Note 7 – Office desk

The purchase of the office desk is capital expenditure is not deductible as per sect 15 (2) (a), therefore Taisek should add back the cost. 1
However, since the desk is being used for the purpose of trade Taisek can claim capital allowances on the cost thereof. 1
SIA of $500 ($2,000 * 25%) ½

Note 8 - Alterations to admin Block

The question is whether the expenditures qualify as repairs and maintenance or are capital in nature. The repositioning of the doors and windows does not add value to the building hence these qualify as repairs and maintenance – Sect 15 (2) (b). 1
The installation of new power points is also repairs since this does not constitute a significant component of the building 1
Therefore, no adjustment is required ½

Note 9 – Loan

In terms of section 15, expenditure is deductible to the extend it was incurred for the purpose of trade and is not capital in nature. 1
The interest was incurred on the loan utilised as follows
Purchase of share – capital in nature hence interest relating to the $50,000 not deductible1
Loan to Build (Pvt) Ltd – Taisek is not in the business of giving out loans hence the interest related to the $150,000 not deductible. 1

Loan to purchase raw materials – raw materials are used for the purpose of trade hence the interest element on the $100,000 is tax deductible. 1

With reference to Note 10:
Advise Taisek (Pvt) Ltd of the Income tax implications of the Lease agreement and determine the deductions that would result in Taisek paying the minimum tax possible from the lease transaction.

Lease Premium

In terms of section 15 (2) (d) the lease premium paid by Taisek is deductible over the lesser of the lease period or 10 years beginning from when the leased asset is first put to use. 1
Therefore, the amount deductible in the 2018 tax year is $667 ($10,000/120 * 8months) ½
The lease rental payments are allowed as a deduction beginning when the leased asset is used for the purposes of trade. 1
In this case the property was used in the production process commencing 1 May hence lease rentals from May to December 2018 allowable in full. 1
The rentals paid between February and April can be claimed as preproduction expenditure in accordance with section 15 (2) (t). ½

Lease improvement

Taisek has two options available in claiming a deduction in respect of the lease improvements.
Since the improvements are in terms of the lease agreement, Taisek can claim a deduction over the lesser of the lease term or 10 years. 1
The second option is to claim SIA since the improvements were constructed and relate to an industrial building. 1
To minimise the tax liability Taisek should claim SIA in the 2018 tax year as follows:
$40,000 * 25% = $10,000 ½

Discuss in respect of Mutumwa Properties (Pvt) Ltd the income tax implications of the lease agreement entered into with Taisek (Pvt) Ltd. Provide supporting calculations were applicable. Assume that Mutumwa Properties had originally acquired the building for $130,000 in 2009.

Lease Premium

In terms of section 8 (1) (d) the lease premium is taxable in full in the year of receipts, therefore Mutumwa will be taxed on the $10,000 in the 2013 tax year. 1

Lease Rental

The lease rentals are gross income in the hands of Mutumwa hence taxable commencing 1 February 2018 1

Lease improvements

In terms of section 8 (1) (e) obligatory improvements made in terms of a lease agreement are gross income in the hands of the lessor. 1

The lease improvements are taxable over the lower of 10 years or the lease term. 1.
Therefore, in the 2018 tax year Mutumwa is supposed to include $2 000 ($30,000/120*8months). ½
Mutumwa is only taxed on the $30 000 which was the maximum value of the obligatory improvements in terms of the lease agreement. 1

Capital Allowances

Since Mutumwa is earning rental income from the building they can claim capital allowances on the cost of acquiring the building. 1

Therefore, Mutumwa will be able to claim W&T at a rate of 2.5% per annum since the property qualifies as a commercial building as defined. 1

TUT 15

AAC (Pvt) Ltd (AAC) operates a leading business school in Zimbabwe (The Academy) and a training and advisory services consultancy (TAS). AAC trains professional courses and the flagship course is the Chartered Accountancy one. TAS specialises in International Financial Reporting Standards (IFRS) and International Public-Sector Accounting Standards (IPSAS). TAS also advises on tax and audit matters. AAC is a category C VAT registered operator. You are a trainee at AAC and are responsible for the accounting function wherein you prepare the financial reports for both the academy and TAS since they share the Finance and Admin function. Your job also involves preparation of tax returns. AAC has just hired a university intern in their 3rd year of an undergraduate degree program with a local university. You are responsible for the intern's induction. Part of the induction is a technical phase where you are to walk the student through technical aspects of their job using live information i.e. a hands-on approach. You are currently handling tax matters in preparation for VAT returns for the month of February, the first QPD return for the year and possible CGT on asset disposals done to date.
AAC receives tuition fees before the semester starts on the 10th of March 2021. In the month of February 2021, AAC received a total of $1,570,000 for tuition.

During the year AAC received registration fees of $10,500 up to the 31st of January 2021 when registration closed.

Interest income

- AAC accrued interest of $450 being 10% per annum interest (accruing monthly non-compounding) on staff debtors.
- AAC also charges interest on outstanding student account balances.

TAS delivered IFRS 9 trainings to financial institutions and to ZIMRA worth $82,500.00 in the month of March 2021.

TAS developed audit manuals for a leading audit firm. The manuals included the revised methodology and charged $16,250. TAS has not been paid for this work.

TAS has been writing specific papers such as concept papers for entities who want advice on specific matters, comment letters for regulatory bodies, publication and a range of technical work for which it accrued $14,500.

In March, AAC enlisted the services of a University of Johannesburg lecturer Peter Van Vuuren to provide the following services:

- AAC dismissed two trainees for breach of ethics and the two decided to take legal action. The one was working for the Academy and the other for TAS division. Peter assisted the legal team to interpret the code of ethics which linked to the staff labour rules. Peter charged R13, 000 for each of the cases. The exchange rate was USD1: R13.
- Peter then went on to do two other jobs. One was to take an audit lecture for the academy focusing on ethics for R6, 500 and also attended a TAS training for a client on the same topic. Since he was presenting on behalf of TAS, Peter charged TAS R3, 900.

During March 2021, TAS disposed of the following assets:

- A Nissan Sunny saloon 1.5 ltrs was sold for $5,600 and had a book value of $4,200. The vehicle cost $15,000 in 2013.
- AAC disposed of a property in Sunningdale. The property was used as a warehouse. The contract was concluded on the 19th of March. The total cash price of the sale was $150,000. The terms of the sale were that AAC would receive the amount in 3 equal instalments of $51,500 each commencing 31 March 2021.
- The client was only able to pay the first instalment on the 15th of April and the last two instalments on the 30th of April and the 31st of May respectively. The property was acquired in May 2018 for $108,000 from a non-registered operator.

AAC is recruiting a key staff member for TAS, a chartered accountant and is discussing with the candidate a suitable remuneration package.

Motoring benefit

- AAC could import a passenger motor vehicle and assign it to the candidate. The candidate will then assume ownership of the vehicle at the end of 3 years for free. The vehicle shall have a cost of $20,000 and engine capacity of 3000cc.

- AAC could assist the candidate with finances to import the passenger motor vehicle for $20,000 with an engine capacity of 3000cc. The candidate shall then have to repay the loan by serving 3 years for AAC. If the candidate decides to terminate employment, they shall pay for the outstanding balance allocated based on the time served.
- AAC shall provide a housing allowance of $300.
- AAC shall pay for the relocation expenses of up to $1,200 for the candidate to move from Mutare where the candidate currently resides.
- The candidate shall receive cash allowances of $300 per month for use as the candidate pleases.
- AAC shall pay for the candidate's ICAZ subscriptions since they are a chartered accountant for $600 per annum. AAC shall also pay for the candidate's Leo's club, toastmasters' club and golf club subscriptions for a total of $850 per annum.

Other Operating Expenses:

- AAC is renting the current premise for $5,500. TAS has a staff contingent of 5 people whereas the Academy has 25. TAS turnover is projected to be $540,000 and the Academy at $3,450,000. TAS uses half a floor out of the four floors.

- Water is acquired in bulk and stored away. At the beginning of the year, 3 months' worth of supply was hoarded for $350. It was expected the TAS would use 70% of the water for trainings and conferences. However, the inventory stock cards show that TAS actually used 85% of the water up to the 31st of March 2016. The open market value of the water over the three months is $350.

Electricity:

- AAC was billed $160 for electricity for the month of March. AAC only paid this amount in June 2016.

Bad Debts:

AAC wrote of debts for the following:

- A former student who lost their parent to death and initially thought they could raise the balance on their school fees of $320 for the 2015 academic year.
- A loan of $650 was advanced to a former attaché for fees in their final year of an undergraduate degree program, on condition that they repay it or return to AAC to serve AAC. The attaché migrated to the United Kingdom upon completion of their degree and has since been avoiding communication for 2 years.
- A student tuition 2013 debt of $540 which had been written off in December of 2015, was subsequently recovered. The Commissioner had granted an allowable deduction in that year.

Required

Discuss the income tax implications for the year ended 31 December 2016 of the transactions in the following notes:

Note 9. Your discussion should focus on the tax implications in the hands of the candidate and in the hands of AAC.

Note 11. In the hands of AAC.

SOLUTION

Acquisition of Motor vehicle for use by employee

AAC Perspective

- The motor vehicle will be expenditure of a capital nature. S15 (2) general deduction formula. (1mark)
- AAC will be allowed to deduct capital allowances per s15 (2) (c) (1mark)
- AAC will be allowed to elect between Special Initial Allowance (SIA) of 25% p.a. with accelerated W&T at the same rate subsequently on a straight-line basis for the succeeding 4 years; or W&T on a reducing balance basis at 20% per annum. (1mark)
- After three years when the asset is given to the employee, it is deemed to be disposed at its fair value and recoupment, if any is brought into gross income. (1mark)

Candidate's Perspective

- The right to use the motor vehicle is a fringe benefit and brought into income per s8 (1) (f). (1mark)
- The value of the benefit is based on the engine capacity and since it is a 3000cc engine in question, then it is going to be $9000 per month. (1mark)

Acquisition of the Motor Vehicle by Candidate via a loan arrangement

AAC Perspective

- The loan to the candidate is going to be expenditure that shall be repaid by service over the three years. This is a prepayment of services to be rendered over the three years and therefore has already been incurred. (1mark)
- The amount shall therefore be allowed as a deduction. (1mark)

Candidate's Perspective

- The receipt of the loan is an advance for services to be rendered by the employee. (1mark)
- The receipt is for his own benefit and own behalf. (1mark)
- The receipt is remuneration and therefore revenue in nature (1mark)
- The entire loan amount should therefore be included in gross income in the current tax year. (1mark)

Housing allowance

- The housing allowance is a fringe benefit to the candidate and is included in the gross income of the candidate per s8 (1) (f). (1mark)
- It valued at the value to employee but since it is being awarded as an allowance it shall be at the cost the employer which is $300 per month in this case. (1mark)
-)
- The housing allowance is a staff cost to AAC and an allowable deduction per s15 (2) general deduction formula at $300 per month. (1mark)

Relocation Costs

- The relocation cost is a fringe benefit to the candidate but is not however included in gross income since the employee's journey is going to be undertaken to take up employment. (1mark)
- The relocation cost is a staff cost and is an allowable deduction per s15 (2) general deduction formula. (1mark)

Cash Allowances

- The cash allowances are a fringe benefit to the candidate and included in gross income of the candidate. (1mark)
- The cash allowance is a staff cost and an allowable deduction as per s 15(2) (a). (1 mark)

-

Subscriptions

- The payments for the ICAZ subscriptions are gross income to the candidate (1 mark)
- The $600 payment shall be an allowable deduction as they are for the purposes of trade. (1mark)
- The $850 payment to the social clubs is a fringe benefit to the candidate and will be included in his gross income. (1mark)
- The amount is a staff cost to AAC but for his entertainment. This makes the amount a prohibited deduction as per s16. (1mark)

Bad Debts Written off

Bad debts are written off only if they meet the following criteria:

- The amount must have been included gross income. (1mark)
- The Commissioner must satisfy himself that all efforts to recover the debt have been exhausted. (1mark)
- The debt must belong to the taxpayer. (1mark)

For the $320 debt written off, more information is required as whether all efforts to recover the debt had been taken to the satisfaction of the Commissioner. For example, was there a guarantor on enrolment and have the guarantor failed to pay? Where the Commissioner is satisfied then a deduction will be allowed. (1mark)

For the $650 debt, the amount had not been included in the gross income of AAC previously and therefore no deduction is allowable. (1mark)

For the bad debt subsequently recovered, it shall be included in gross income.

TUT 16

You are required to advise on the following unrelated queries

Query 1

Cathy carries on a business of manufacturing school playground equipment. In addition, she also provides consulting services to schools about the type of playground equipment to use. On 30 June 2019 she had raw materials on hand that cost $23,000, partly finished goods on hand that cost $25,000 to get to their current condition, finished goods on hand that cost $50,000 to manufacture and she has unbilled consulting fees of $12,000. What is the value of her trading stock on hand at 30 June 2019, assuming that she wishes to value her trading stock at cost?

Query 2

Civil Works Pvt Ltd operates a small manufacturing business and for the past year has been experiencing production problems. The company seeks advice from a consultant engineer who recommends the following:

1. The furnace be relined immediately with fire bricks similar to those presently in use [cost $23,000] or with more modern bricks that will last twice as long [cost $35,000].
2. An electrically powered forklift be purchased. A new vehicle would cost $27,000 but the engineer knows where an identical second-hand unit can be purchased. It has only 40 hours work and will cost $23,000.
3. A new overhead crane be installed. With no modifications to the existing building this will cost $60,000. If existing supports to the building are strengthened, the total cost will be $80,000.

Advise the company of the tax consequences of the alternative courses of action. You must cite sections and relevant case law.

Query 3

You are the newly appointed Tax Manager at Chimonera Premium Pack, a cigarette manufacturer. The Finance Director has informed you that he is under fire from the board regarding the income tax figure on the tax computation of the company. He asks you to recheck the tax computation before the finalisation of the financial statements. You discover the following transactions performed by the company:

1. $5 000 000 donation to victims of cyclone IDAI paid into the Destitute Homeless Persons Rehabilitation Fund Account;
2. $ 900,000 worth of medical supplies donated to the local municipal hospital directly.
3. $ 2 000 000 annual tree planting competition sponsorship for farm schools (they get to show banners at the prize giving ceremony where most of their clients will be in attendance).

Advise the Finance Director of the tax consequences of these transactions.

Query 4

Glimmer of Hope Trust is a not-for-profit organisation founded for philanthropic purposes. It is donor funded and its main donor is Life Hope Global, a foundation based in the Netherlands. In 2019 Life Hope Global wrote to Glimmer of Hope Trust that it will be cutting funding by 65% of their normal budget. In order to sustain its philanthropic projects, Glimmer of Hope embarked on agricultural activities and retail of groceries to augment its finances to fund its projects. Glimmer of Hope has never been registered for income tax but is registered for PAYE and other taxes. ZIMRA has raised assessments for income tax for the period 2019 to date. The trustees are opposed to this assessment and have approached you to object to this assessment. Advise the client on the correct exposition of the law on this matter.

SOLUTION

Query 1

The definition of trading stock will include raw materials, work in progress (partly finished goods) and finished goods. Work in progress of a professional nature will not be included in assessable income until it has been billed. Therefore, in this question the total value of trading stock on hand will be [$23,000 + $25,000 + $50,000] = $98,000.

Query 2

1. If similar bricks are used, $23,000 is deductible under s15 (2) (b) (1); Modern bricks are an improvement; (increased efficiency). But is a second element cost on which capital allowances can be claimed. No deduction for notional repairs.

2. Either forklift can claim capital allowances in terms of section 15(2) (c). The first element of 'Cost' for new or second-hand items is the amount paid. For second-hand plant, the condition may be taken into account in calculating the effective life.

3. The crane itself is a capital asset on which capital allowances can be claimed; $60,000 in terms of section 15(2) (c). The amount of $20,000 does not form part of the cost of the crane unless it can be shown that the building is an integral part of the plant: (Wangaratta Woollen Mills)

Query 3

1. Chimonera Premium Pack can claim deduction of up to $500,000 paid to the Destitute and Homeless Persons Rehabilitation Fund for the victims of cyclone IDAI. The remaining 4, 500 000 is disallowed.
2. $700,000 is disallowed in full because the donation is made directly to the hospital and not through the state or an approved fund. In future, the company must make such donations through the state or through approved funds as provided for in section 15(2) (r1)
3. $2 000 000 annual tree planting completion sponsorship for farm schools is deductible in full because there is close connection between the tree planting competition sponsorship and Chimonera Premium Pack's business.

Query 4

Section 14 as read with paragraph 2 (e) (i) of the Income Tax Act exempts ecclesiasticalinstitutions, charitable and educational institutions of a public character—
consisting of donations, tithes, offerings or other contributions by the members or benefactors of the institutions concerned, and any other receipts or accruals *that are not receipts and accruals of income from trade or investment carried on by or on behalf of the institutions concerned*;
The income that ZIMRA is seeking to tax is income from trade and investment activities being carried out by Glimmer Hope Trust.

TUT 17

Simon Peter, trading as Peter Security Alarms, conducts an extremely successful business in the field of installation and maintenance of burglar alarms. When Simon is not at a client's premises, he works from home. His workshop comprises 10% of the floor area of his home. His workshop is specifically equipped for his business and is regularly and exclusively used for his trade purposes. Simon incurred the following expenses and losses in this regard during the 2021 year of assessment:

(i) The interest portion of the mortgage loan repayments on his home loan amounted to $ 100 000 000 during the current year of assessment. He then paid $20 000 000 on the capital balance outstanding on the loan in respect of this same period. Simon wishes to claim these payments as deductions for normal tax purposes. [5]

(ii) Apart from having a full-time assistant in his employment, Simon has to make use of his housekeeper to take down messages left by clients and potential clients, when he and his assistant are engaged at a client's premises and not contactable on their mobile phones. He pays his housekeeper an additional $500 000 per month for performing the aforementioned task. The housekeeper's total annual salary is $24 000 000. Simon wishes to deduct the $ 6 000 000, for taking down the business-related messages, that he pays per year to his housekeeper, from his income earned from his business. [3]

(iii) While installing an alarm system at a client's home, Simon's assistant was bitten by a dog. Simon paid $1 500 000 as a result of the attack, i.e. $1 000 000 for the medical treatment and $500 000 as compensation for the shock and anxiety caused by the attack. Simon wishes to claim the $1 500 000 as a deduction against his business income. He believes it was incurred as part of his business operations while attending to the installation and maintenance of burglar alarms at clients' premises. (5)

(iv)While Simon was working at one of his client's premises in an industrial area, someone broke into his bakkie (which he uses solely for business purposes) and stole his car radio. The loss incurred amounted to $580 000 . Fortunately, his insurance contract provides cover in respect of stolen goods, but at year-end he was still waiting for the insurance claim to be paid out. He wishes to deduct the $580 000 expenditure incurred in the determination of his taxable income. (2)

(v) Simon purchased his assistant's work station (i.e. computer unit) during the 2021 year of assessment and brought it into use for business purposes during the same year of assessment. The work station was transported from the assistant's home to Simon's workshop during the 2021 year of assessment, at a total cost of $2,000 000. Simon wishes to deduct the transport costs of $2 000 000 in the determination of his taxable income. (3)

Required

Discuss, with reasons, whether each of the aforementioned expenses and losses are deductible in the calculation of Jack Alert's taxable income for the 2021 year of assessment. In your answer you must refer to relevant legislation and deal with each query separately.

SOLUTION

(i) The repayments on a private mortgage bond is normally private and domestic expenses. Private expenses are therefore prohibited deductions for income tax purposes. However, in light of the fact that the workshop was specifically equipped and exclusively used for Simon's trade purposes, this prohibition will not apply to the extent of its use for trade purposes. (1)

Since Simon is conducting his business from his workshop, which comprises 10% of the total floor area of his residence, an allocation of 10% of his expenses to the business should be deductible, provided the expenses satisfy the requirements of section 15 (2) (a), i.e. incurred in the production of income in carrying on such trade and not of a capital nature. Therefore, interest of $10 000 000 (10% of total interest of $100 000 000) paid on the mortgage bond is thus deductible in terms of section 15 (2) (a). (2)

The remaining 90%, however, is private in nature and its deduction is prohibited. Therefore, the remaining interest of L$90 000 000 paid does not qualify for a deduction. The capital repayments of ZWL$20 000 000 are not deductible as they are of a capital nature and merely a repayment of the amount initially borrowed. (1)

(ii) The salary of $18 000 000 ($24 000 000 – ZWL$6 000 000) paid to Simon's housekeeper is a private and domestic expense and thus prohibited as a deduction. (1.5)

The $6 000 000 is not a private expense hence he will be entitled to deduct it, as it was actually incurred, in the production of income, it is not of a capital nature and was incurred in the course of carrying on Simon's trade. (1.5)

(iii) In order for the medical expenses and compensation payment to be deductible in terms of the general deduction formula (section 15(2) (a)), all the requirements of the section must be met, i.e. the expenses must have been actually incurred, in the production of Simon's income, incurred in carrying on his trade, and the expenses must not be of a capital nature. (1)

The most likely requirement to be challenged is the "in the production of income" requirement. The medical expenses and compensation payment would be deductible if they are so closely linked to Jack Alert's business operations to be regarded as part of the cost of performing such operations. (1)

In Simon's type of business, where they visit clients' premises (both industrial areas and private residences) where the guarding of premises by a dog(s) is a common and familiar sight, the risk of being attacked by a dog and sustaining injuries in the process, can reasonably be expected. (1)

As a necessary consequence, Simon will have to bear the cost of the resultant medical expenses and compensation paid for any injuries sustained by his assistant. The medical expenses and compensation payment can therefore be considered to be sufficiently closely connected to Simon's business to render the amount deductible. The requirement "in the production of income" will thus be met. Furthermore, the payment of the medical expenses and compensation has not created any enduring benefit. The expenses of $1 500 000 are therefore not of a capital nature and Simon can deduct the entire amount for normal tax purposes. (2)

(iv)Since Simon had insurance cover for stolen goods and will thus recover his loss once the insurance claim is paid out. The Income Tax Act therefore prohibits the deduction of the loss of $580 000 and he cannot claim it as a deduction in the calculation of his taxable income. (2)

(v) Costs incurred in transporting a capital asset is more closely connected to the income-earning structure than to the income-earning operations of the business and is therefore of a capital nature and not deductible in terms of section 15(2)(a). It can be added to the cost of the asset and will form part of the capital allowance to be claimed over the remainder of the asset's useful life. (3)

TUT 18

Newwave Ltd (Newwave) manufactures electronic cigarettes. This is a new concept of cigarettes that was invented by the major shareholder and CEO of Newwave. The company was listed on the Zimbabwe

Stock Exchange in 2009 as it hoped to raise more equity after its entire share capital was wiped out when Zimbabwe changed from Zimbabwe dollars to adopt multi-currency. The electronic cigarettes are odourless, ash free and do not need a lighter. Newwave manufactures in its own factory situated in Southerton Industrial Area. The manufacture of the cigarettes is regarded as a manufacturing process by the Zimbabwe Revenue Authority (ZIMRA).

Newwave's financial year ends on 31 March each year. Its 2019 annual financial statements, which include the effects of the journal entries below, reflect profit before tax of $5 340 500. The amounts exclude VAT where applicable.

In preparation of its annual financial statements a number of unrelated journal entries were made, some of which were as follows:

Investment in rent-producing property

	Dr	Cr
Investment property	250 000	
Income statement (fair value adjustment)		250 000
Investment in a property valued at its fair value in terms of IAS 40		

Explanation: Newwave participated in the government project to encourage companies to invest in building residential accommodation to ease accommodation woes under the operation titled 'Operation Garikai'. In 2017 it purchased land and built cluster houses in Greendale. The houses where finished and brought into use on 1 April 2018 at a total cost of $750,000. The cluster houses are subject to an annual fair value adjustment. On 31 March 2019 the fair value was $1 000 000.

	Dr	Cr
Bank	48 000	
Income statement (rental)		16 000
Income received in advance (accounts payable)		32 000
Rental received for six months, of which four months are in Advance		

Explanation: Newwave lets the property at a market-related rental. The tenants paid $48 000 to Newwave on 3 February 2019, being rental for the six-month period 1 February 2019 to 31 July 2019. The rental for the four months that fall in its 2020 financial year has been included in Newwave's accounts payable.
Investment in 'local' listed shares

	Dr	Cr
Investment in a 'local' listed company	180 000	
Bank		180 000
Investment in a 'local' listed company		
Fair Value adjustment – Income Statement	11 000	
Investment in a 'local' listed company		11 000
Investment in a 'local' listed company restated at its fair value		

Explanation: On 1 September 2018 Newwave purchased shares in Econet, a 'local' listed company as an investment for $180 000. Newwave does not deal in shares.

On 31 March 2019 the fair value of this investment was $169 000. In accordance with IFRS 9, Financial Instruments, Newwave classified this investment as 'at fair value through Profit and Loss'.

	Dr	Cr
Bank	16 000	
Income statement (sundry income: 'local' dividend)		16 000
'Local' dividend received from its investment in the 'local' listed Company		

Explanation: On 31 January 2019 Newwave received a 'local' dividend of $16 000 from its investment in Econet. This was the only dividend that accrued to it in its 2019 financial year in the profit and loss.

Capitalised finance lease

	Dr	CR
Computer	300 00	
VAT input account	42 00	
Lease liability		342 00
Computer purchased under a finance lease		
Lease liability	130 00	
Bank		130 00
Settlement of the first annual lease rental under the finance lease in advance		
Income statement (finance charges)	2 60	
Lease liability		2 60
Interest for one month (to 31 March 2019) calculated as follows: ($342 000 - $130 000) x 14,756% x 1/12		
Income statement (depreciation) ($300,000 x 20% x 1/12)	5 00	
Accumulated depreciation		**5 00**

Explanation: On 1 March 2019 Newwave leased a computer for a three-year period at a lease rental of $130,000 per annum payable annually in advance. Newwave capitalised this finance lease in its accounting records. The lease agreement reflects a cash cost for the computer of $300,000, VAT of $42,000 and finance charges of $48,000. On 1 February 2019 Newwave Ltd paid its first annual rental of $130,000. ZIMRA allows a special initial allowance of 25% p.a

Impaired plant

	Dr	Cr
Income statement (depreciation)	30 000	
accumulated depreciation		30 000
Depreciation on the plastic bottle plant at 20% per annum on the straight-line basis		
Income statement (impairment loss)	25 000	
Accumulated impairment		25 000
The plastic bottle plant reflected at its recoverable amount		

Explanation: Newwave used to sell its cigarettes in plastic cases, but stopped doing so in order to comply with environmental requirements. The plant that was used to package plastic cases with cigarettes is now only used occasionally, and solely for special export orders.

Because of the decline in popularity of plastic cases the value of this plant has also declined. After provision for depreciation of $30 000 for its 2019 financial year, the carrying amount of the plant was $60 000. It originally cost $150 000 (excluding VAT) and depreciation has been provided at a rate of 20% per annum on the straight-line basis. The asset was acquired, brand new, on 1 March 2016 and it qualified for the special initial allowance from that date at 25%, and 25% wear and tear thereafter. Its market value is now $35 000, which is both its scrap value and the recoverable amount. To reduce the value in the financial statements to the recoverable amount, an impairment loss of $25 000 was charged to the income statement.

Depreciation on the tablet-making plant at 20% for the 2019 financial year calculated as follows: $750,000 x 20% x 6/12

Explanation: Newwave now also sells its cigarettes in biodegradable paper cases, which necessitated the purchase of plant to package the cigarettes in those cases. Newwave purchased a new and unused packaging plant on 1 October 2018 which was immediately brought into use.

Defined benefit pension fund

		Dr	Cr
Defined benefit pension net liability		432 000	
Bank			432 000
The contribution of Newwave (as the employer) to the pension fund			
Income statement (defined benefit pension expense)		253 000	
Defined benefit pension liability			253 000
The charge for the net pension expense to the income statement for the 2019 financial year. This amount was determined as follows:			
	$		
Current service costs	225 000		
Plus: Interest cost on pension obligation	610 000		
	835 000		
Less: Interest on pension plan assets	(570 000)		
	265 000		
Less: Decrease in past services costs	(12 000)		
Charge to income statement	**253 000**		

Explanation: Newwave employees contribute 6% of their salaries to the company's pension fund, while the company contributes on the basis of $2 for each $1 contributed by an employee, which in effect means that the company contributes 12% of the value of employees' salaries to the pension fund which is all deductible for tax purposes.

Newwave has a defined benefit fund. At the end of the company's financial year an actuary determines the pension fund assets and liabilities. Newwave provides for a defined benefit pension liability in terms of IAS 19, Employee benefits. On 1 March 2018 the balance of its defined benefit pension liability was $1 000 000, and benefits of $400 000 were paid out by the fund during the year.

Prepaid expenses

Item	Dr	CR
Prepaid expenses (balance sheet)	60 000	
Income statement (insurance)		40 000
Income statement (property rates)		15 000
Income statement (Medical Council levy)		5 000
The portion of the above expenses that relates to its 2019 financial year		

Explanation: Newwave pays the insurance premium on its business assets, the property rates for its trade premises and a levy to the Medical Council annually in advance.

Item	Amount paid(excluding VAT)	Date Paid	Period covered
Insurance premium	$60 000	29 Nov 2018	1 Dec 2018 to 30 Nov 2019
Property rates	$18 000	24 Jan 2019	1 Feb 2019 to 31 Jan 2020
Levy to the Medical Council	$12 000	27 Aug 2019	1 Sept 2018 to 30 Aug 2019

There were no prepaid expenses at 31 March 2018.

Doubtful debts

	Dr	Cr
Income statement (increase in the provision for doubtful debts and bad debts written off)	9 000	
Provision for doubtful debts		8 000
Accounts receivables		1 000
The adjustment to increase the provision for doubtful debts from $34, 000 to $42 000 and $1 000 for bad debts written off during the year		

Explanation: Relates to provision for doubtful debts and bad debts written off. The accountant is unsure whether ZIMRA will give him a deduction in respect of the amounts.

Bad debt

	Dr	Cr
Income statement (bad debt expense)	27 200	
Loan to employee		27 200
The amount owing by an employee, Mr. Ghana, written off as a bad debt		

Explanation: Newwave is not a moneylender, but on 1 March 2016 lent $20 000 to an employee, Mr. Ghana, to partly finance his study expenses. The loan was at an interest rate of 12% per year. However, Mr. Ghana has for the past three years neither repaid any portion of this loan nor any of the interest due. It is clear that he will not be able to repay any of the amount owing and the company has therefore decided to write off the amount of the loan as well as the interest as a bad debt.

Cottages for employees

	Dr	Cr
Buildings (ten cottages)	3 000 000	
Bank		3 000 000

The erection of ten cottages at $300 000 each		
Bank Debentures Funds borrowed to pay for cottages	3 000 000	 3 000,000
Buildings (borrowing costs on the ten cottages capitalised) Bank The debenture interest for the first six months	67 500	 67 500
Buildings (borrowing costs on the ten cottages capitalised) Income statement (interest incurred) Bank The debenture interest for the second six months	22 500 45 000	 67 500
Income statement (depreciation of buildings) Accumulated depreciation on buildings Depreciation on these buildings provided for in terms of IAS 16, Property, plant and equipment, and calculated as follows: ($1 500 000 + $67 500 + $22 500) x 5% x 4/12	26 500	 26 500

Explanation: On 1 April 2018 New wave commenced with the erection of ten cottages (ten dwellings) on its own premises. These cottages were completed at a cost of $150 000 each on 30 November 2018. They were occupied rent free by ten of its employees as from 1 December 2018. To finance the entire cost of the cottages, New wave issued 9% debentures on 1 April 2018. Interest on the debentures is payable six monthly.

Share options

	Dr	Cr
Income statement (staff costs - share options)	37 500	
Equity (share options)		37 500
The cost of the equity settled options of the third and final year of the vesting period recognised as follows:		
(50 x 1 000 x $3) – 112 500 = $37 500		
Previously recognised as follows: up to 28 February 2018		
(50 x 1 000 x $3 x 27/36) = $112 500		
Loan to employees	500 000	
Equity (share options)	150 000	
Share capital		50 000
		600 000
500 000 shares with a nominal value of $1 each issued to employees in terms of the share option scheme		
	Dr	Cr
Loan to employees	20 000	
Income statement (interest accrued)		20 000
Interest accrued on the loan to employees at a rate equal to the dividend declared		

Explanation: On 1 January 2014 Newwave granted share options to 50 of its employees, enabling each of them to purchase 1 000 Newwave shares at $10 a share.

The par value of a Newwave share is $1. Each option had a fair value of $3 on the grant date. Each grant is conditional on the employee remaining in the employ of the company until 31 December 2018. During

its 2016, 2017 and 2018 financial years it was estimated that no employee would leave Newwave's employ before the vesting date (31 December 2018). Indeed, all 50 employees were still employed on 31 December 2018 and exercised their options on this date. The value of a Newwave share was then $16. In terms of the articles of association of the company, the employees are not entitled to continue to hold the shares after they cease to be employed by the company.

Newwave granted loans of $10 000 each to the employees for the purchase of the shares. The loans bear interest at a rate equal to the dividend that accrued to the employee. On 29 February 2019 a dividend of $400 accrued to each of the 50 employees which was offset as interest on the loan.

Provisions

	Dr	Cr
Factory Building	180 000	
Provision for Environmental Rehabilitation		180 000
Provision for environmental rehabilitation at the area of the main cigarette processing plant		
Depreciation	6 750	
Accumulated Depreciation		6750
($180 000/20 x 9/12)		

	Dr	Cr
Provision (Income Statement)	20 000	
Provision for Environmental Rehabilitation ($180000x11%*9/12)		20 000

Explanation: During the year new legislation requiring companies that dispose of toxic waste in the environment to ensure that the environment has been restored to its original conditions. The new legislation came into effect on 1 July 2019. Newwave, in its main location, produces a filtered toxic substance from the manufacture of cigarettes. When they started operating the plant, the company had not invested in the combustion machinery that breaks up the toxic substance into a detoxed form; some of the substance was dumped behind the main factory. Environmental experts engaged during the year have provided the estimate of the amount needed to rehabilitate the environment and the amount has been discounted correctly at 11% to $180 000. The useful life of the plant has been estimated to be 20 years. All capital allowances on the factory building had been fully claimed in prior years.

Other Journals

	Dr	Cr
Commission Expense	500 000	
Bank		500 000
Commission paid to a government official who helped the company avoid censure by government over its non-compliance with the Indigenisation and Empowerment Act		
Fines	24 000	
Bank		24 000
Fines paid to Environmental Management Agency (EMA), due to unlawful dumping of expired products		

	Dr	Cr
Legal Fees	20 000	
Bank		20 000

Explanation: Mr. Kitsu, the CEO and major shareholder, is Ghanaian. The company was listed in the initial list that came out in the government gazette for companies that needed to comply with the Indigenisation and Empowerment Regulations. After a series of meetings with some influential government officials, the company was taken off the list. However, a commission was paid to some officials for their effort to ensure the company was removed from the list.

The amount for fines relates to amounts charged by EMA when the company's truck driver was caught at night dumping expired products in an undesignated place.

Legal fees were paid for a case that is still on-going against ZIMRA as a result of an allegation by ZIMRA of understating its tax payable from 2016 to 2018 by $1 000 000. The amount of $2 500 000, which is the potential liability if the company loses the case, (being $1 000 000 for the understated tax, $1 000 000 for penalty and $500 000 for interest) has been disclosed in the notes.

Required NB. (Use prescribed values as they were during the mentioned years)

Calculate the taxable income of Newwave for its financial year ended 31 March 2019. Start with profit before tax of $5 340 500. Support your answer with workings and reasons.

CAA CTA JUNE 2013 (Adapted)

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SOLUTION

Calculation of taxable income	$	Mark
Net income per income statement	5,340,500	1
Less fair value adjustment (gain) in investment property (no receipt or accrual, so not gross income)	- 250,000	2
Less W&T – (2.5% x 750 000) – 4th Schedule Para 2(commercial building)	- 18,750	2
Add rentals received in advance (taxed in the period it relates)	0	2
Add back fair value adjustment through profit and loss (no loss or expense actually incurred)	11,000	1
Less 'local' dividend - 3rd Schedule Para 9	- 16,000	2
Add back finance charges (accounting provision)	5,000	1
Computer under lease (SIA $300,000 x 25%)	-75,000	1
Add back finance charges (capital in nature)	2,607	2
Add back depreciation (accounting provision)	5,000	1
Less lease rentals incurred adjusted for input tax (100/115 X 130 000) – Sect 15(2)(d)	- 113,043	1
Add back depreciation (accounting provision)	30,000	1
Add back impairment loss (accounting provision)	25,000	1
Accelerated wear and tear (25% x 150,000)	-37,500	1
Add back depreciation (accounting provision)	75,000	1

Less SIA allowance: $750 000 x 25%	- 187,500	1
Add back pension charge to income statement (no expense or loss actually incurred)	253,000	2
Deduction for the employer's pension fund contribution	- 432,000	2
Insurance deductible in the period it relates	0	1
Rates	- 15,000	1
Medical Council levy	- 5,000	1
Add back provision for doubtful debts (accounting entry)	8,000	1
Bad debts (Allowed – no adjustment)	_	1
Add back 'capital' portion of the debt owing by Mr Ghana. New Wave Ltd is not a moneylender and the $20 000 never formed part of its income. However, as the interest of $7 200 was included in New Wave Ltd's income, it is tax deductible	20,000	2
Add back depreciation on buildings (accounting entry)	26,500	1
Residential units disqualified for capital allowances since construction of each unit exceeds $250,000	0	2
Issue of debentures (receipt of a capital nature) - no adjustment required	0	1
Debenture interest including the preproduction portion is tax deductible. Hence a further $90,000 is deductible	(90,000)	1
Interest on debentures (no adjustment necessary)	0	1
Interest accrued on employees loans form part of Newwave Ltd's gross income and therefore no adjustment required	0	1
Add back provision for equity (no expense or loss actually incurred)	37,500	2
Increase in share capital and share premium (receipt of capital nature not adjustment required)		2
Add back depreciation	6 750	1
Add back provision – no incurred	20 000	1
Other Journals		
Commission - not incurred for the purpose of trade	500 000	1
Fines	24 000	1
Legal Fees	20 000	1
Taxable income	5 232 064	1
Tax and Aids levy at 25.75%	1 347 256	2

TUT 19

Marble Arch Hardware (Pvt) Ltd (MAH), a company registered in Zimbabwe, deals in tools, hard-ware and building supplies. It also owns a residential property, which is let, as well as shares in listed companies, which are held as investments. Throughout the 2019 financial year its share capital consisted of 100 shares of $10 each, which was held as follows:

Item	%	$
Cabriole Ltd (an unlisted company registered in the United Kingdom)	60	600
Mr. Dayle Chippen (ordinarily resident in Zimbabwe)	20	200
Camelback Trust (a Zimbabwean Trust)	15	150
Ms. Sofia Bridgewater (a resident in Canada)	5	50
	100	
Issued share capital		1 000
Retained profit at 31 December 2019		11 200
Equity at 31 December 2019		12 200

MAH had borrowed $40 000 from Cabriole Ltd ('Cabriole') at a rate of 10%. The interest had been credited to Cabriole's account in MAH's books at 31 December 2019. The agreement had been authorized by Exchange Control.

MAH accrued management fees payable to Cabriole amounting to $36 010, being 2% of turnover. This had been credited to Cabriole's account at 31 December 2019. The agreement to pay a fee had been authorized by Exchange Control.

In November 2019 MAH declared a dividend of $60 000 after obtaining the relevant Exchange Control authorization.

MAH has prepared the following Profit and Loss Account for the 2019 year

Item	$	$
Gross profit from trading account		1 800 500
Rental income		7 000
Dividends from quoted Zimbabwe shares		2 510
Profit on sale of residential house		36 000
Less Expenses		
Agent's commission on sale of property	8 750	
Staff Christmas party	1 760	
Allowance to Managing Director	630	
Lunch for customers	360	
Interest	4 000	
Zimbabwe Revenue Authority late payment of tax	680	
Legal expenses on sale of property	420	
PAYE penalties	3 500	
Payment to ACME Ltd to become sole agents for their		
Tools	5 600	
Partitions erected in office	2 920	
Specific provision for doubtful debts	2 400	
Specific provision for leave pay	5 100	
Provision for anticipated repairs	3100	
Other expenses - all allowable	1 769 580	
Management fee	36 010	(1,844,810)

Net profit		1200

MAH sold the residential property on 5 August 2019 for $87 500. The property had been acquired in February 2013 for the equivalent of U$51 500. During the 2019-year MAH purchased a second-hand twin cab for $190 000 and a Fiscalised register for $20 000

Country	NRST Unlisted shares	
	Normal	Reduced
	%	%
Canada	15	10*
United Kingdom	15	5*

Reduced where the recipient is a company beneficially owning at least 25% of the company distributing the dividend

Required ***NB.*** (Use prescribed values as they were during the mentioned years)
Prepare an income tax computation for MAH for the year ended 31 December 2019, commencing with net profit of$1 200. Where necessary motivate your answer. You are not required to calculate any income tax payable.

Calculation of taxable income	**$**	**$**
Net profit		1,200
Dividend from Zimbabwe quoted shares – exempt 3rd schedule	- 2,510	
Profit from sale of residential house – capital in nature	- 36,000	
Recoupment: No capital allowances had been granted therefore no recoupment	-	
Total Capital Income		-38510
Agent's commission on sale of property	8 750	
Staff Christmas party	1 760	
Allowance to Managing Director	630	
Lunch for customers	360	
Thin Capitalisation –Interest (4000-(12200*3 /40000*4000) Debt to equity ratio- related party debt is restricted to 3:1to equity the company exceeded the ratio therefore excess interest is disallowed.	340	
Zimbabwe Revenue Authority late payment of tax	680	
Legal expenses on sale of property	420	
PAYE penalties	3 500	
Tools	5 600	
Partitions erected in office	2 920	
Specific provision for doubtful debts	2 400	
Specific provision for leave pay	5 100	
Provision for anticipated repairs	3 100	
Total Disallowed		35,560
Second Hand Twin Cab – Passenger motor vehicle ($100,000 * 25%)	- 25,000	
Fiscalised register - SIA ($20,000 * 50% * 25%)	- 2,500	
Partitions erected in office (commercial building) – ($2,920 * 2.5%)	-73	
Total Allowed Expenses		-27573
Disallowed Management Fees *(see working below)*		17,642
Taxable Income (Loss)		-11,681

Management fee to related party is restricted to 1% of total deductible expenses and this is computed as follows:

Item	$
Turnover	1,800,500
Rental	7,000
Dividend	2,510
Profit on sale of residential house	36,000
Total Income	1,846,010
Less Net profit	1,200
Total expenses	1,844,810
Less Disallowed expenses	- 35,560
Add Allowable expenses	27,573
Total deductible expenditure	1,836,823
1% limit	18,368
Management fee	36,010
Disallowed management fee	17,642

TUT 20

Plastic Ltd (a Zimbabwean resident company) is a registered operator for Value Added Tax (VAT) purposes and all amounts in the question exclude VAT, except where indicated otherwise. Plastic Ltd (Plastic) manufactures plastic household products. This process is classified as a "process of manufacture" for purposes of the Income Tax Act. Plastic has a 31 December year-end. The financial accountant of Plastic, Andrew, calculated the profit before tax of Plastic as $4 282 040 for the year of assessment ended 31 December 2020.

As Andrew was uncertain as to the correct tax treatment of the following items, these items have not yet been included in the calculation of the above profit before tax of Plastic. Plastic would like to minimise its normal tax liability whenever possible.

Importation of manufacturing machine

On 1 November 2019, Plastic purchased a new manufacturing machine for €200 000 from an independent supplier in Germany and on this date paid a deposit of €150 000. The remaining €50 000 was paid when the machine was shipped to Zimbabwe (FOB) on 1 March 2020 (transaction date). On 1 July 2020 the machine was cleared by Customs for home consumption after Plastic paid the duty (levied in terms of the Customs and Excise Act) of 20% on the customs duty value ($228 000) as well as the VAT in respect of the importation. On 1 July 2020 the machine was brought into use in the current manufacturing process.

Date	Exchange rate
1 November 2019	€1 = $1.37
31 December 2019	€1 = $1.40
1 March 2020	€1 = $1.38
1 July 2020	€1 = $1.42
31 July 2020	€1 = $1.34

Average exchange rate for Plastic's 2019 year of assessment was €1 = $1.36.
Average exchange rate for Plastic's 2020 year of assessment was €1 = $1.39.

Second-hand plant

On 1 January 2020 Plastic purchased plant from Tupper Ltd for $25 000. Plastic brought the plant into use in its process of manufacture on the same day. This plant was independently valued at a market value of $27 000 on 1 January 2020. Tupper Ltd holds 60% of the shares in Plastic.

Tupper Ltd purchased this manufacturing plant new on 1 January 2018 for a cash cost of $20 000. It was brought into use immediately. Tupper Ltd.'s year of assessment ends on the last day of December.

Residential property

Plastic rents a house for $500 per month from an independent letting agent. This house was made available to the managing director as a fringe benefit for the full 12 months of the 2020 year of assessment. The Managing Director has got free use of the house.

On 1 November 2018 Plastic bought five (5) flats in a newly erected building from the developer at a total cost of $24 500 each. Four (4) of these flats were rented out to employees for $200 each per month, effective from 1 December 2018. The other flat was immediately sold to Andrew (the financial accountant) for $23 000, financed by an interest free loan. Andrew repaid $6 000 of the loan in the 2020 year of assessment. Plastic does not own any other residential units within Zimbabwe.

Factory buildings and improvements to leasehold property
On 1 December 2017 Plastic purchased a plot of land for $50 000. Erection of a factory on this land commenced on 1 January 2018. It was completed on 31 August 2018 at a cost of $200 000. The factory was brought into use in a process of manufacture on 1 September 2018.

As a result of continued unrest in the vicinity of this factory, the board of directors of Plastic decided on 1 July 2020 to dispose of the land and buildings as soon as possible. The land and buildings were sold to a non-connected party on 30 September 2020 for $220 000, of which $30 000 was for the land and $190,000 for the buildings. Plastic continued to use the land and buildings in its process of manufacture for the period 1 July 2020 to 30 September 2020. In anticipation of the proposed sale Plastic, on 1 September 2020, entered into a 30-year operating lease agreement with Blue Mountain Ltd for the lease of an industrial site. This lease agreement stipulated that Plastic would:

- pay a premium of $7 500 on 1 September 2020;
- erect a factory on the site at a cost of $320 000;
- and from 1 September 2020, pay a monthly rental of $1 400 in advance (subject to an escalation of 5% for each 18-month period).

Erection of the factory commenced on 1 October 2020. It was completed on 30 November 2020. The factory was brought into use on 1 December 2020. The cost of the factory was $350 000.

Lump sum paid to retired employee
Plastic covers as part of the company's retirement benefit plan for employees, post-retirement medical aid contributions. This is done by paying a lump sum directly to the retired employee out of which the employee then funds his post-retirement medical aid contributions. On 31 January 2020 Plastic paid a lump sum (to fund post-retirement medical aid contributions) of $18 000 to Joshua Randals who retired at the age of 65. Plastic retains no further obligation relating to the mortality risk of Joshua Randals.

Required NB. (Use prescribed values as they were during the mentioned years)

Prepare the journal entries to account for the information contained in Note 1 (Importation of manufacturing machine). Your journals should comply with the requirements of the applicable IFRS. Structure your solution as follows:
1 November 2019 – 1.5 marks
1 March 2020 – 3 marks
1 July 2020 – 5.5marks

Discuss with supporting calculations where relevant, the income tax implications of the information contained in Notes 1 – 10. Your discussion should cover implications from Plastics Ltd perspectives as well as from an employee's perspective where applicable. The marks will be allocated as follows;
Note 1 – 3 marks
Note 2 – 3 marks
Note 3 – 8 marks
Note 4 – 13 marks
Note 5 – 3 marks

CAA CTA JUNE 2014